

ICICI Prudential Life Insurance Company Ltd. (ICICIPRULI)

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Call: May 2023

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 5039 1600, Fax: +91 22 2422 4 484, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

April 27, 2023

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the year ended March 31, 2023

This is further to our letter dated April 10, 2023 and April 20, 2023. The Company had hosted an earnings conference call with investors and analysts on Thursday, April 20, 2023 to discuss the performance of the Company for FY2023.

Please find attached the transcript of the 'earnings conference call' for FY2023. The same is also made available on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Sonali Chandak

Company Secretary

ACS 18108

Encl.: As above

N. S. Kannan , Managing Director & CEO:

Thank you , Neerav . Good evening to all of you. Sorry about this late call. We just completed the Board Meeting, so we had to have this call at this time . Good evening to all of you once again and welcome to the Results Call of ICICI Prudential Life Insurance Company for FY2023 . I have several of my senior colleagues on the call : Satyan Jambunathan, our Chief Financial Officer; Judhajit Das, who heads Human Resources, Customer Service and Operations; Amit Palta, who heads Distribution, Brand & Marketing and Products; Deepak Kinger, who handles Audit, Legal, Risk and Compliance; Manish Kumar , our Chief Investment Officer; Souvik Jash , Appointed Actuary; Dhiren Salian , Deputy CFO; and Dhiraj Chugha from the Investor Relations team.

Let me start by talking about some of the key developments during the quarter:

First Development: On the regulatory front, IRDAI, our regulator, has notified revised regulations on the expenses of management (EOM) and commission. The increased flexibility in commission limits as per the new regulation will allow insurers to react to market forces in a n agile manner thereby supporting the IRDAI's mission of improving penetration of insurance in the country and their focus on ease of doing business. The EOM regulations seek to bring about three relative shifts in our view:

- First, encourage longer term products by way of higher allowances relative to shorter tenure products , which is in line with insurance products being more suited with the long -term savings and protection needs of the customers.
- Second, incentive renewals through increased allowance , which aligns distributor and manufacturers ' interest with that of the customer. This was also expected to improve persistency levels for the entire industry.
- And third, provide incentivisation for protection at a higher level relative to savings products. In our view these regulations are a welcome change for the industry. As a Company , we are very optimistic about the growth prospects and the opportunities ahead of us.

Second development: In the Union Budget 2023 , it was announced that if the total annual premium paid for non -unit-linked policies exceeds ₹ 500,000 then the difference between the total be

nefits received and the premiums paid would be subject to tax as income from the other sources. This will not affect the tax exemption provided to the amount received on the death of a person insured , and also on insurance policies issued till March 31, 2023. We do not expect this change to have a lasting impact on our business as customers who wish to take the benefit of section 10(10D) taxation can even

in any case buy policies with premium amount being capped at ₹ 500,000. Up to this amount, insurance products have in fact become more attractive than competing debt products in the market. In any case customers value products which address their specific needs irrespective of the tax levied at various stages of the product life cycle. There is also the precedence of a similar event in the recent past when in the Union Budget 2021, high ticket ULIPs were subjected to capital gains tax. Despite this, for our Company, in APE terms, the product mix prior to and post-tax regime change was very similar. Finally, and most importantly, as of today, the well-diversified product and customer segments of our Company have made the business model much more resilient and allow us to take advantage of opportunities as they present themselves in the

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marketplace, without being reliant on one segment or one channel, nor on specific tax or other such issues specific to a particular segment of business.

Third development: I am happy to inform you that during the quarter, our annual report was awarded the 'ICAI Award for Excellence in Financial Reporting' for the year 2021-22. We are honored to be recognized as the most innovative insurer in 'Life Category' by FICCI. We have also been conferred with a Corporate Governance award at the 'Dun & Bradstreet ESG Awards 2023'. We are particularly delighted with outcome on the independent industry Net Promoter Score (NPS) survey where we were ranked the 'Best Life Insurance provider in India' by Hansa Research.

Fourth development: I am pleased to inform you that Ms. Vibha Paul Rishi has been reappointed by our Board of Directors as an Independent Director of the Company, for a second term of five consecutive years, with effect from January 01, 2024, subject to approval of the Shareholders of the Company.

Fifth development: I am happy to inform you that Mr. Anuj Bhargava has been nominated by ICICI Bank Ltd. as a Non-Executive (additional) Director of the Company, with effect from May 1, 2023, subject to the approval of the Shareholders of the Company. He began his career with ICICI Ltd. as a management trainee in 1998 and has successfully completed various assignments in different roles in the bank and the group companies during his career spanning 24 years. He has rich experience in Investment Banking, Corporate & Government Banking and Retail Banking.

Sixth development: As you are aware, the Board of Directors has appointed Mr. Anup Bagchi as the MD & CEO of the Company, for a period of five consecutive years with effect from June 19, 2023 subject to the approval of IRDAI, Shareholders and other approvals as maybe applicable. To ensure smooth leadership transition, the Board has also appointed Anup as Executive Director & Chief Operating Officer with effect from May 1, 2023, subject to regulatory and other requisite approvals.

While the approvals are still awaited, I have immense confidence that under Anup's leadership, the Company will continue to grow and bring even greater value to our shareholders. Anup has been my valued colleague at the ICICI Group, and I have personally known him for more than three decades since our business school days together. I want to assure you all, that my team and I personally will ensure the smoothest possible leadership transition of the Company. Anup has been on the Board of our Company as a Non-Executive Director for more than four and a half

years now

and has been one of the biggest supporters of 'Team ICICI Prudential'. While each new CEO will, and should, bring his or her own perspective on the business, I expect the overall strategic continuity to be maintained since he has been an integral part of the Board and the Company's strategic formulation over the years.

My journey as the MD & CEO of the Company will come to an end as I superannuate from the services of the Company on June 18, 2023. I would like to take this opportunity to thank all of you for being extremely supportive during my journey. We faced unprecedented challenges both internal and external during this period. Despite these challenges you continued to have faith in me and my team, for which I am extremely grateful. Achieving any of the milestones over the past five years wouldn't have been

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possible without your support. I once again extend my sincere gratitude to each one of you and thank you all for your huge belief in me not just during this five-year period but all through the last three decades of my tenure with the ICICI Group in various roles in the Bank as well as ICICI Prudential. Thank you very much.

I will now move on to the Company strategy and performance. We have put up the recent presentation on our website. You can refer to it as we take you through our performance.

First, let me talk about the strategy and the corresponding performance of our VNB journey. Four years back in April 2019, I had articulated the aspiration to double the FY2019 VNB, building on the 4P strategy of Premium growth, Protection business Growth, Persistency improvement and Productivity enhancement, while keeping the customer centricity at the core.

My team and I are delighted to state that we have been able to walk the talk and have successfully doubled the FY2019 VNB in FY2023 with a four-year CAGR of 20.1% and industry leading margins of 32.0%. Over these past 16 quarters, we have demonstrated a consistent track record of healthy compounding of VNB and well diversified pools of profit.

As I look back, we started on this journey with a medium-term financial and a Shareholder value metric in mind, but along the way we have also focused on building long term capabilities to create an organization well positioned to deliver sustainable growth in the future. Our long-term capability building has been focused on the building blocks of People, Process, Technology & Analytics, and Distribution & Product. While without any doubt these capabilities also contributed to our performance in the last four years, more importantly these capabilities will serve as the robust platform for sustainable growth, quality of business and profitability of the Company going forward. The details of our work relating to each of these capabilities in the last four years are set out in slides 8 to 11 of our presentation.

On the People aspect, we have systematically invested in expanding capacity, improving capability and strengthened our culture of empowerment & inclusion. Across the customer lifecycle, starting from purchase of policy upto claim settlement, you can see technology and digital have underpinned our process journey and the same is evidence to a steady increase in the digital adoption percentages and our net promoter score as presented in slide 9. As I mentioned earlier, the outcome of this NPS journey is the external endorsement of 'Best Life Insurance Provider in India' by Hansa Research. For increased productivity, we have invested in Technology and Analytics which helped us provide better value to our customers, improve our various processes, and identify new growth opportunities. Last but not the least, creating depth and adding width in our distribution channels and offering a comprehensive product suite to address varied customer needs has been our key focus. Amit will talk in detail about the capabilities

on

distribution and products in his section.

Now let me move on to the performance on Premium growth and Protection business growth.

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APE performance across distribution channels in the last four years has been presented on slide 12. The performance has been split across the first three-year period of FY2019 to FY2022, then 9 months of FY2023 which we discussed during our last results call and the period just ended, that is the Q4 -FY2023. Specifically, the FY2023 APE growth of 11.7% was on the back of 20% growth in APE in FY2022. The overall Company APE declined in the first three years at a CAGR of 0.3% followed by a 4.2% y-o-y growth for 9M-FY2023 and a 26.5% y-o-y growth for Q4 -FY2023. As you can see, the decline in the ICICI Bank channel has been mitigated by the growth across all other channels. Overall, excluding ICICI Bank channel, during the four-year period, we have registered a very strong CAGR of 18.1% for the Company. The accelerated growth registered across channels other than ICICI Bank as you can see in the slide, is a result of our relentless focus on distribution expansion and accelerating our topline.

The APE performance across the product segments in the last four years has been presented on slide 13. Over the last four years, we have worked on broadening our product propositions through the launch of annuity variants, protection products and protection variants as well as guaranteed products and participating products. As a result, our non-linked savings on annuity business registered a very strong growth across the four-year period as can be seen in the slide presented. We have been witnessing an impact on growth in ULIP products on account of ICICI Bank channel shifting its priorities, pandemic related concerns and market volatility leading to a shift in consumer preference towards preserving wealth through guaranteed products. These factors have led to our ULIP business declining at a CAGR of 16% over the last four years. However, our systemic approach to building a comprehensive product suite with a product mix being well-diversified has ensured that the decline of ULIP business has been more than mitigated through growth across all other product segments. This is reflected in the 36.6% CAGR registered across all product categories excluding linked products over the last four-year period.

Moving on to our journey on protection growth . We have become a dominant private player on overall new business sum assured with a 23.8% four -year CAGR and with a market share expanding to 15 .0% in 11 M-FY2023. Our overall protection business including group protection has grown strongly by 20.2 % CAGR in the last four years and contributes nearly one -third of the new business received premium in FY2023. While we faced supply side constraints coinciding with the start of the pandemic, we were focused on revival of the retail protection business. This effort has started yielding results through this year and we witnessed sequential growth in the Q2-FY2023 and Q3-FY2023 , followed by a strong 27.7 % y-o-y growth in Q4 -FY2023. We will continue to direct our efforts in this segment while we leverage the opportunity in the group protection business as well. Protection and annuity products together contribute 47.8% of our new business received premium for the whole of fiscal 2023, a significant increase from 27.2% four years back in FY2019. With this , coupled with sum assured market share , we have truly become systematically more focused on mortality and longevity even as we continue to seize opportunities from the savings line of business.

While I have spoken about the short and medium -term performance on the strategic element of Premium and Protection growth, let me also talk about the long -term performance build through the building blocks of our investment in People, Process, Technology and Analytics and Distribution &

Product which I talked about earlier . I am

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proud to say that we have become a resilient organization that can successfully seize and capitalize on emerging opportunities despite facing unprecedented challenges as we have seen in the last few years. The dimensions of resilience can be evidenced through the aspect of removal of skewness in the business model through well diversified business mix and also a strong balance sheet . First, the well -diversified business mix avoids any excessive concentration of risk in any one channel, product or customer segment. We have the power of comprehensive product proposition today distributed through multiple channels catering to a large customer base spread across various income segments. Second, we have built resilience across risk, capital and profitability aspects. We have no liability /reserving issues and our emerging mortality experience is consistent with our expectations. Our asset quality is high and we have had zero non -performing assets since the inception of the Company. We use forward rate agreements to hedge the interest rate risk for our non -par guaranteed savings portfolio. Our solvency levels are strong with a solvency ratio of 208.9% on March 31, 2023, which is much above the regulatory threshold of 150%. With the proposed risk -based capital under discussion by IRDAI, you can see that our solvency ratio on an economic capital basis is also robust at 385% on December 31, 2022. On profitability , we are focused on growing absolute VNB and it has led to industry leading VNB margin levels.

To summarize , the resilience built over the last few years across insurance risk, investment risk, solvency levels and profitability is reflected in our strong balance sheet as presented in slide 16 of our presentation. The growth trajectory of the last four years and finally the achievement of the VNB doubling objective , despite unprecedented internal and external challenges faced , is a testimony to the resilient organization that has been built and demonstrates that we are well positioned to deliver sustainable growth in the future. Now as we look forward , we are poised to capitalize on this platform and continue our journey of sustainable growth into the future.

Thank you once again. Now Amit, Satyan and Jit will be taking you through the performance update for FY2023, financial update and ESG update respectively. Thank you for your patience and over to you, Amit.

Amit Palta, Head – Distribution, Brand & Marketing and Products :

Good evening, everyone. I will be talking about performance update for FY2023 through the elements of the 4P strategy.

Let me start with the first 'P' of our strategic elements which is 'Premium Growth' on slide 19 to 23 . We have used a two -pronged strategy to drive premium growth . First , investing in building existing channels and widening the distribution to maintain a diversified distribution mix. Second , continuing to strengthen our product portfolio to address changing consumer preference in a dynamic economic environment.

On the distribution front we have continued to invest across channels. Our strategy in the agency channel is to ring fence our top producing advisors while continuing to have granular focus on expanding the width of advisor activation. We strengthened our sales management teams in FY 2023 to manage our existing advisors and to add new advisors. We licensed more than 33,500 new advisors in FY 2023. Within the bancassurance channel , during FY 2023, we have added 13 new banks and with these new bank

partnerships, we have now access to more than 17,500 partner bank branches for distribution of our products. Out of the 17,500 partner bank branches, more than 3,000 bank branches of UCO Bank have been added during Q3 -FY2023. Recently we have tied up with Ujjivan Small Finance Bank in March and with commencement of business it will

give a boost to our distribution network further. We have added 113 non-bank partnerships also in the year and have more than 900 non-bank partnerships now. For our direct channel, we continue to focus on business generation through our digital assets like website and mobile application. Additionally, we continue to leverage analytics to upsell to our existing clients.

There was strong momentum across most distribution channels in the last quarter of the year. As you can see on slide 20, for overall FY2023, our APE in banks other than ICICI grew by 28.2% y-o-y to ₹ 74.46 billion. ICICI Bank channel declined by 38% y-o-y and contributes now 13.8% of the APE for the last financial year. Among other channels, agency grew by 24.8%, bancassurance other than ICICI grew by 23.6%, direct business grew by 6.7%, partnership distribution grew by 78.2% and group grew by 26%.

Now moving on to the capability built in our product propositions. In FY 2023, we have strengthened our product portfolio by introducing ICICI Pru Gold, a participating, non-linked life insurance product. With ICICI Pru Gold, we have combined saving benefits along with protection, where customer gets income up to 99 years and an option to earn immediate income which addresses their liquidity needs.

Even in the linked savings category, we have launched two new funds during the financial year. We have launched a Mid Cap Fund where we invest in stocks of companies which are currently in the growth space. We have also launched a Mid Cap Hybrid Growth Fund in the month of February. This fund is a combination of equity funds that we predominantly invest in mid cap stocks i.e. companies in the growth phase and debt funds that we invest in government securities and corporate bonds. The equity debt ratio is in 70:30 proportion.

We witnessed strong momentum across most product categories during the year and especially in Q4 of the financial year. As you can see on slide 23, apart from 51.9% y-o-y growth in non-linked savings product, our annuity products also grew by 69%, group funds grew by 17.2% and protection products grew by 14.5% even though these three product categories were not affected by the tax changes announced in Union Budget 2023. Linked business for us declined by 17% y-o-y in the entire financial year. On the back of strong growth in all product categories other than linked, overall APE grew by 11.7% y-o-y in FY 2023.

Now moving on to second 'P', which is 'Protection Growth' on slide 24. For FY2023, protection APE grew by 14.5% y-o-y to ₹ 15.04 billion. We continue to be a leading private player on overall new business sum assured with a market share of 15% in 11 M-FY2023 as compared to 13.4% in the last financial year.

Moving on to the third 'P', which is 'Persistency Improvement' on slide 25. We continue to have a strong focus on improving the quality of business and customer retention which is reflected in the significant improvement in persistency ratios across all cohorts. I would like to highlight here that our 13th month persistency ratio improved to 86.6%, 25th month

improved to 77.8%, 37th month improved to 71.3% and 61st month improved to 65.7% in March 23, which is the best in the last five years. Our 49th month persistency ratio improved to 64.2% which is the best in the last three years.

Now moving on to the fourth 'P', which is 'Productivity Improvement' which is presented in slide 26. Our total expenses grew by 20.7% y-o-y. Excluding advertisements and publicity expenses, the increase in total expenses is 14.4% y-o-y, which are broadly in line with the APE growth. The absolute expenses are higher as compared to the same period last year due to the investments that we have made in order to deliver sustainable growth in the future. Our overall cost to total weighted received premium, TWRP as we call it, stood at 21.5% and the cost to TWRP ratio for the saving

business at 14.2% for

FY2023. Even with the cost increase, our cost to average assets under management has been stable at 2.6% for the financial year.

The outcome of our focus on these 4Ps has resulted in our VNB for FY 2023 of ₹ 27.65 billion, a growth of 27.8% over the same period last year and VNB margin expansion from 28% for last financial year is 32% for FY2023. We will continue to monitor ourselves

against the 4 P framework and our performance on these dimensions is what we expect to feed into our VNB growth over time. Given all this, we will continue to invest in organizational capabilities as Kannan mentioned such as People, Process, Technology & Analytics, Distribution & Product to enhance our overall growth trajectory. While this investment will lead to elevated costs in the short term, we believe this will yield results in the form of sustainable growth in the future and create value for our Shareholders.

Thank you and over to you, Satyan.

Satyan Jambunathan, CFO:

Thank you, Amit. Good evening.

I will now take you through some of the financial metrics. Let me start with the movement in Embedded Value during the year. If you refer to slide 29, you will see that our embedded value grew by 12.7% y-o-y to ₹ 356.34 billion at March 31, 2023, as compared to ₹ 316.25 billion at March 31, 2022. This growth was led by 15.4% y-o-y growth in the Value of In-force business. Our Embedded Value Operating Profit (EVOP) grew by 71.9% y-o-y to ₹ 54.88 billion in FY2023 as compared to ₹ 31.92 billion in FY2022.

The breakup of EVOP is as follows:

- Unwind contribution for FY2023 is at 8.6% of opening EV
- The VNB of ₹ 27.65 billion is 8.7% of the opening EV compared to 7.4% for FY2022. Total unwind and VNB constitute 17.3% of the opening EV
- Operating assumption change is a negative ₹ 1.61 billion primarily taking into account the revisions in group term premiums in the post COVID environment
- We continue to see a positive persistency variance of ₹ 1.43 billion on the back of an improvement in persistency
- Mortality variance for the year is at ₹ 0.22 billion
- The other operating variances are also marginally positive

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Consequently, the ROEV for FY2023 stands at 17.4%.

Total economic and investment variance is negative ₹ 14.49 billion due to the shift in the yield curve and the equity market movement. Overall, this has resulted in EV growth of 12.7% for FY2023 with closing EV at ₹ 356.34 billion.

Our VNB margin for FY 2023 stood at 32% as compared to 28% in FY 2022. The contribution of VNB from non-linked savings products has increased to 53.4%. The VNB margin expansion can broadly be explained by the following.

- 3.5% points of margin improvement is due to the change in business mix, as contribution of non-linked portfolio increased from 32.6% in FY 2022 to 45.2% in FY2023 with a corresponding decrease in the linked portfolio
- About 1% of the margin improvement came due to changes in operating assumptions, primarily taking into account some of the improvement in surrender rates under unit-linked products
- 0.5% margin reduction is due to the movement in the yield curve where we saw during the year for most parts arise in the yield curve. Comparison of the yield curve between the two years is provided in slide 74 and 75

On slide 32, sensitivity details have been provided. There is no significant change in the various sensitivities and overall, sensitivities of both VNB and EV to various factors remains low, reflecting a stable operating model.

Our VNB and EV have been reviewed independently by Milliman Advisors LLP and their opinion is available in the results pack submitted to the exchanges.

Slide 33 shows other financial metrics. The Company's profit before tax increased from ₹ 7.90 billion in FY 2022 to ₹ 8.97 billion in FY 2023, a y-o-y growth of 13.5%. Profit after tax for FY 2023 stood at ₹ 8.11 billion an increase of 7.6% from FY 2022.

Our solvency ratio continues to be strong at 208.9% at March 2023, an improvement of 440 basis points from March 2022. Our AUM was more than ₹ 2.5 trillion at March 2023, a growth of 4.4% from March 2022.

This concludes the financial performance section, over to you, Jit.

Judhajit Das, Head – Human Resources, Customer Service and Operations:

Thank you, Satyan. Good evening. I will be sharing the salient aspects of our ESG journey.

As shared in the investor pack, we received the highest ESG ranking in the Indian Insurance Industry by two well-known ESG rating agencies. I am also delighted to share that this year we received the 'Corporate Governance' award at the 'Dun & Bradstreet ESG Leadership Summit 2023'.

This year we expanded the terms of reference of our Board CSR committee to include review of sustainability activities and key ESG related disclosures. Under the Board Committee, we have the Executive Sustainability Steering Committee, this comprises

members of our management committee and we are supported by a dedicated ESG resource. This Committee sets the ESG agenda and reviews progress every quarter.

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I will now share the key highlights on each of the ESG focus areas. You can refer to slide 35 to 39 for more details.

- Starting with human capital, we believe that people are key to strategy execution and a source of our competitive advantage. We identified Diversity & Inclusion as a thrust area and our gender diversity has improved to 29% from 27% last year. We have a Diversity Council comprising senior colleagues and is chaired by our Chief Distribution Officer. This committee recommends, reviews and monitors D&I related initiatives. This year we also formalised a 'Human Rights Policy' to further strengthen our commitment to human rights and providing a professional work environment. I am also pleased to share that 90% of our employees gave us top 2 box scores on a 5-point rating scale on parameters like advocacy, morale and several others. Our approval ratings are also among the best in the Indian life insurance industry on a top global workforce platform.
 - In the area of responsible investing, this year we put in place a Board approved policy to facilitate ESG integration in our investments. As a signatory to UN PRI, we remain committed towards integrating our responsible framework to promote ESG factors in our investment decisions.
 - On governance, we continue to have a robust Governance framework with the Board having a majority of Independent Directors with an independent Chair, enabling the separation of the Board's supervisory role from executive management.
 - In the area of access to finance, we have specially designed micro insurance products targeting socially and economically weaker sections governing 61.8 million lives as of March 2023. Our 13th month persistency ratio of 86.6% is one of the best in the industry and this year we settled around 246,273 retail and group death claims and overall our retail and group death claim settlement ratio stands at 98.64%. As mentioned by Kannan, in the industry Net Promoter Score (NPS) survey conducted by Hansa Research, we were ranked the 'Best Life Insurance provider in India'.
 - On environment, our focus has been on reducing our carbon footprint. We have already calculated our scope 1, scope 2 and partial scope 3 emissions which have been verified by external sustainability consultants. Going forward we intend to have quantitative target for reduction in carbon footprint using the SBTi methodology and we are working with an external consultant on the same.
- To summarize, Sustainability is intrinsic to a vision of building and enduring institution as we serve the long term savings and protection needs of our customers. I would like to once again reaffirm our commitment to creating a culture that embraces sustainability and goes b

eyond goals and targets by integrating best in class sustainability practices with our business processes.

Moving on, I would like to highlight that we have added a section on innovation in the investor pack from slides 41 to 43. I am pleased to share that we have created a platform called 'P i' which is a digital portal to encourage all our colleagues to share their ideas. More than 1,200 employees participated and we identified 100 ideas as projects for implementation. These ideas span improving the customer journey, launching new product features, improvements in process and many more. Some of these projects have

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been recognized at prestigious forums organized by Chambers of Commerce such as ASSOCHAM, FICCI and the Indian Chamber of Commerce (ICC).

Thank you and we are now happy to take any questions that you may have.

Moderator: Thank you very much. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: The first one is that I mean very impressive numbers driven by the last two months of kind of a high ticket non-linked policy sales for you and the industry. However, overall if you look, numbers tell a lot of positive story about your result. Policy count, I mean despite the retail protection coming back a bit, the policy count still remains muted and that again brings to the very basic point that the entire narrative of the opportunity, under penetration is not reflecting somewhere even if you were to look at the policy count overall adjusting for retail protection. Somehow that, and now with the

regulatory changes, it means the industry participants are a lot kind of excited or rather looking opportunities in terms of the increase commission and OPEX. So, now the question is that if you were looking, the industry is looking to increase the OPEX and cost. I mean how is the product, particularly on the saving side, going to remain really competitive for the policy holder. So, that is my first question. And second question is more on that the VNB margin and the VNB contribution to EV growth looking pretty strong, can we expect the EV compounding trajectory to be very different now because if I look at over the last four years, I mean it is close to a 14% kind of a compounding in EV and additionally we were doing so can we expect the EV compounding trajectory to be different going forward?

Satyan Jambunathan: Thanks, Avinash. I think your first question was actually many questions rolled into one. So, I am trying to break down your question and answer them. The first point that you made was with respect to the strong growth in Q4 being driven by high ticket, I don't think that is entirely true for us. It may well have been true for many of the other market participants, but equally from the market numbers that you would have seen earlier in the day today, you would have seen that that was not the case for everyone. Particularly, the channels that did very well on the high -ticket sales were those which had a higher access to affluent customers. Typically, some of the large banks, some portion of agency which cater to high network customers and some parts of partnership distribution or some brokers who had a natural customer base over there. So, you will find Avinash that most others who did very well in the period got disproportionate benefit and we may not have got nearly as much benefit in the quarter as some of them deal with respect to high ticket cases.

Your second question on the same part was with respect to number of policies. And we have discussed this now for many quarters Avinash, and we have said this that there are two distinct reasons why our number of policies have not growth. One, the decline in one of our channels and two, the decline in retail protection. I can say this for sure, I have the numbers in front of me and you will start seeing them in the overall public numbers in the

next few quarters that as the impact of that distribution channel decline goes down and as we have seen in Q4 retail protection picking up to a 27% kind of a growth, number of policies growth will start again. So, I am not so sure, I agree with the view that not growing number of policies in the last year or two years particularly in ICICI Prudential

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case is about any decline in the opportunity. This is more to do with the specific circumstance of our business, which we now believe is behind us. Your second question in the context of compounding VNB and expenses of management, again the first point I would want to make there Avinash is to say that I don't see anything in the expenses of management regulation to even suggest that cost for companies should go up. And I say this knowing that if indeed the industry were to price at the current expenses of management, then we would end up with customer proposition that we would not be able to sell. So, in a way the expenses of management is only an enabling framework and a boundary and effectively cost will depend up on affordability that we create through our business models. And that is something that we believe will continue to drive the industry, we do not expect cost for the industry to go up on any of these accounts. In fact, we are very conscious of the expectation of the regulator that we should systematically bring down cost over a period of time and that is what I would expect to see for the industry at large.

Your fourth, or the second part of your second question which was with respect to EV compounding. I think a number of things have changed in the way our business has evolved in the last four years. And I would venture to say that what we are today is not nearly what we were four years back and therefore to superimpose what happened in the last 3 years to 4 years into what could happen for ICICI Prudential over the next 4 to 5 years, I think will end up giving very misleading answers. I would much rather focus on what Kan nan spoke about as what are we today; a diversified customer acquisition model with a varied distribution channel and a variety of product offerings to cater to the needs of all of these customers. Where we are today, we really do not have any qualms about the kind of growth or compounding the VNB that can happen from here on. One of course has to keep in mind that EV compounding will also be a function of market and to that extent there will be some volatility in the shorter term but I don't think we ever had even in the past any doubts about our ability to compound EV if at all today with what we had built we would like to think that our ability to grow EV from here on will be far more sound and predictable compared to what it has been in the past. So, I hope I have been able to answer your rather two long questions which I broke down into four.

Avinash Singh: Yes. Quickly, regulator E OM thing they have also mentioned that okay, passing benefit of direct. Now what is your position on that and how are you going to handle channel conflict if indeed you want to pass some benefit of the direct sourcing to the customer. I mean how do you think about it?

Satyan Jambunathan: Avinash, if I may just point or draw your attention to the current product regulations which already require that if there are any cost savings, they should be passed on customers to that extent pretty much every company today has an architecture of what they believe they can pass on as benefits or discount for direct sales. I am not seeing anything in the current norms to change that approach from where we are today and as a category, as this category moves more towards becoming a full product, I only think there will be a greater ability for insurance companies to offer better propositions to customers.

Moderator: Thank you. Next question is from the Swarnabh Mukherjee from B&K Securities.

Please go ahead.

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Swarnabh Mukherjee: Congratulation sir for the great set of numbers and, also the fact that you have very comfortably exceeded the VNB growth aspirations that you had. So, I will just from the previous participants query on the cost side wanted to take your views on this factor; so cost to TWRP has been bit high for us. You had earlier also commented and today also commented that investment in business would keep this elevated at least in the near term. Given the E OM levels and the limits that you have right now, how would we be placed in terms of the regulatory method of calculation in terms of E OM, where would we be, are we comfortably having a headroom in that and how would can it pan out over the next year? And then how should we think about in terms of our profitability and VNB growth given that the costs are slightly higher that could have a drag on that. So, that would be my first question and maybe also in line with that, some comment on margin although I understand that your focus is more on absolute VNB, but whether with the change in product mix, the new par product, how should we think about VNB and VNB margin? So, that is the first question. And on the second question, just wanted to understand the retail protection growth. The pure term number has started to improve as well along with the ROP. So, the pure term, from where the growth is coming and is this primarily from the ICICI Bank channel that is selling this. And also wanted to understand the ticket size does not seem to have increased over the last year, so what is the dynamics playing out there? So, if you could take these two questions and then I will have couple of more, I mean bookkeeping kind of questions that I will ask after this.

Satyan Jambunathan: Thank you for your very kind words Swarnabh with respect to the numbers and results. But like Kannan spoke about in the beginning, it wasn't just about the numbers for this year, it was also about positioning the business for the years beyond 2023. And that really is the context of your question with respect to where the expenses are going. And you are right, we have been speaking about this for a few quarters now as we have ramped up our ability and capacity to expand. I would just point this out Swarnabh to say that despite the increase in cost ratios, we have been able to still improve our VNB margin for this year and that is through a variety of other factors such as the product mix. Going forward we are very clear that internally through managing the other levers of business we want to and we will create capacity to invest in growth, because growth is the primary driver of the way we are looking at the way forward. So, to that extent even if costs in the short term end up being higher, it wouldn't really worry us because we believe we have enough ability and capacity to generate the ability to spend for growth into the future. With respect to your question on limits on expenses of management, these do not tend to be very public numbers but I can say this, we are well within the limits and we have no intention or desire to expand and cost in a way that it reaches the limits. So, we will continue to focus on delivering good propositions to customer which creates opportunity not just within the insurance space but across the wider financial saving space and that is what our focus will be. With respect to your question on protection, I am going to hand it over to Amit to talk through where the growth has come from. But before I handover I think I am quite happy that the growth has not come from average premium. Fundamentally we have one commentator who would like to see us grow the number of policies and as long as we are able to deliver that I think we have made our objective of growing the segment. Amit?

Amit Palta: Thanks, Satyan. See, retail protection has been a slow process over a period of the last

t four quarters if I may say. We saw congestion and unfortunate change in underwriting guidelines and product restructuring and retraining of distribution leading

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to quite a bit of a slowdown in FY 2022 which we saw sequentially quarter -on-quarter. So, lot of time was spent in investing and distribution, retraining and getting used to selling protection in a different way. I called the current regime of protection being 'Regime 2.0' if I may call it as for protection. So, lot of relearning had to be done. Protection product had to be repositioned from being very strongly positioned on a high sum assured segment through our affluent product, we introduced return on premium product to reach out and become more meaningful to mass and mass affluent as well. We started looking at ₹ 50 lakhs to ₹ 1 crore sum assured also as a focus area and suddenly we saw that since we had a more diversity in distribution, our access to mass and mass affluent was also much better in comparison to what it was earlier. We started seeing some results going into from quarter one to quarter two, quarter two to quarter three; which if you are to track it closely we saw a sequential growth from quarter one to quarter two which was very small at least we could capture the degrowth. From quarter two to quarter three was again a sequential growth and we had kept our eyes on growth coming to y-o-y in quarter four. So, while this entire hysteria was being created on non-linked savings business, we are happy to say that by deploying right product to the right distribution segment with access to diversify customer segments, we started seeing variety of results coming from various partners and it was not restricted only to ICICI. So, we say various partners who had access to customer segments which are very diverse from the ones we had in the past. Choosing the right product and selling it and there of course return of premium products also helped and they helped us get the right sum assured being sold to mass and mass affluent. So, it is a combination of the right product, introduction of new product, introduction of distinct advantages that we could offer through our products and more and more distribution channels getting used to selling new products and of course learning curve that went into from quarter one to quarter two to quarter three to quarter four which led to 27% growth in quarter four. So, that is all I have to say, in case you want anything else you can.

Swarnabh Mukherjee: Very clear, sir. That is very helpful. I also wanted to ask a couple of quick questions on numbers. May I go ahead?

Satyan Jambunathan: You can but if it is also okay after the call you want to connect back the team and get the details as well, that is also okay, given that there are other people also who might have question.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: In 9 months, we disclosed that our high ticket non-ULIP is around 6% of the total business. If you can tell that number, what it is for Q4-FY2023 and FY 2023, it will give us some indication on the contribution of the high-ticket policy. And the second question was ULIP margins if I see have come up significantly around 6.5% in FY 2023 which is meaningfully low compared to what we have delivered in FY2021 and FY2022. So, I just wanted to understand is that anything to read because persistency and everything seems to be better numbers, still margins in ULIP has taken a hit. And last one on protection mix, in the past you used to give the disclosure of protection mix in this credit for the GTL and ICICI and non ICICI credit life. So, if you can give the details it will be easy.

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Satyan Jambunathan: Sanketh, if I may talk through the questions, the first question on the share of the business coming from high ticket, I somehow get the feeling that

we are

making too much of an issue of that particular topic, especially in our context and we have been saying this in the past as well, the proposition standalone is strong enough to stand on its own feet even without tax advantage. As an industry and as a Company we are very clear that over a period of time, we prepare for a regime where there are no tax advantages. So, to that extent, it shouldn't really matter what proportion of our business comes from there. While we gave the numbers a nine months, that was in a particular context when the announcement was being made. At this point of time, all that we would like to say is that in the context of our 2023 FY full year numbers we do not believe that the so-called elevated sales of Feb and March are in any way material. And therefore, going forward as well, we do not expect this to impact our growth to a base effect in any adverse fashion. We will remain focused on improving the proposition to our customers and that is going to be the way we operate. With respect to your question on unit link,

why the margin has gone down, I guess it is not always possible to have all shining bright spots in all parts of the results. There are always pockets where there will be challenge. A unit-linked margin decline comes predominantly from two factors. One is the yield curve shift which has reduced the margin a little. And the second is our higher expenses in the year which have also been allocated for the segment which has reduced the margin for that segment. At the end of the day if I were to go back to two years back our unit-linked margins were in the same ballpark. In FY 2022 we saw the unit-linked margins go up meaningfully on the back of a lower conscious expense level that we had. So, I wouldn't read anything into this Sanketh. I would actually say last year was an aberration, we have mean reverted back to the levels of margins of that category that we had prior to last year.

Sanketh Godha: Got it. And on the credit lines of our group protection business mix, if you...

Satyan Jambunathan: We have not put it out at this point of time, we will see whether we can put it out at some time later, Sanketh.

Sanketh Godha: Got it. And last one if I can squeeze. The unwind rate at 8.6 % seems to be substantially superior compared to what we have even reported in last 3 years. I believe it was FY2020 around 7.9 % and 7.2 % in last two years, FY2021 and FY2022 and this number seems to be materially very higher. So, just wanted to understand that are we building better returns on the equity is reflecting in the unwind rate or this 8.6 % number is sustainable going ahead?

Satyan Jambunathan: Nothing of this sort, Sanketh. I will just start off by saying that when others were having unwind rates of 8.5% nobody told us that ours should be better. So, I will leave that aside. But fundamentally unwind rates are a function of the yield curve, you know that. And also, the underlying portfolio composition. Given that our portfolio composition has been changing from being more unit-linked dominated to including other categories as well, the higher unwind rate is a natural consequence of that. It is not on account of any higher expectation of investment return compared to the past. It is only a reflection of the underlying yield curve and the underlying composition of the book that they described.

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Moderator: Thank you. The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.

Deepika Mundra: Thanks for taking my question. Back to our margin stand on the ULIP margin when you said higher expenses, is that mainly because of the change in the channel mix for the products? Still on the protection margin, we have seen better numbers despite the group mix being higher this year. So, what is driving that margin improvement within protection and lastly on the expense outlook, you mentioned that

you were not looking to materially up expenses, but given the fact that more taxes on non-participating products, do you think more distribution effort will require, will lead to product level change in margin?

Satyan Jambunathan: Deepika, first question on unit-linked margins, I refer to the cost delta, last year was a conscious lower spending year. So the 9% category margin that you saw for FY 2022 was in a way artificially elevated and that is the reason why I said to the last question that we should keep that out and look at the trend for FY 2023 compared to FY 2021 and then I don't think it is too far off the mark. There may be some element of channel mix, but I don't think that is the bigger driver. The bigger driver is overall cost ratio this year for us was higher than last year. That is a reality and to that extent it will get reflected in respective product segment margins as well. But going forward as I said, a couple of things may end up happening. First, the yield curve itself may see a change of shape next year. So, to that extent that will impact margins as well. Second given that most of my new business now has moved to other product categories, it may well become the case that my expenses allocated to unit-linked also change from the current levels into last year. But to that extent we are not too fixated on the product category margin, we would much rather look at it as an overall VNB. So, from our point of view no real concerns with respect to the emerging trajectory of segmental profit margins. Second question on protection. Yes, indeed the composition of group has been higher in this period compared to what it was a couple of years back, but I think last year as well the contribution of group was substantially higher. In fact, this year the contribution of retail towards the last quarter started improving a little bit, so yes, you do have a little bit of plus and minus. We tend to focus more on underwriting group business also where we are comfortable with the levels of profitability. And you will remember Deepika, we have had in past quarter from the result call conversation about given the

strong focus on group term will this materially affect our margins over a longer period of time. At least what this year's results on margin for the segment also demonstrate is, yes, there will be some changes in the underlying product mix, but the overall margins have remained stable. Your third question with respect to expenses on the guaranteed return non-participating, I would only say this Deepika that if I have to increase expenses the only way to fund it is by passing it on to customers. And from here if I actually worsen the proposition to customer then that may well be an adverse impact on demand that I don't think the industry will be keen to get to. So, if at all I would see that we have to manage our sourcing strategy in a way that costs are not adversely impacted.

Deepika Mundra: Well, understood, sir. And one last one from my side. In terms of the new banks contribution in Q4-FY2023, what would that be on APE?

Satyan Jambunathan: Banks, fourth quarter we have not separated out. But for the full year we have shown there. For the full year ICICI Bank was about 14% of APE, other

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banks were 16% of our APE, quarter three was a bit of an aberration for us. You know our quarter three numbers were generally weaker across all channels. We did see a rebound in the fourth quarter coming through, but I don't think we have put out 4Q numbers specifically, but full year we have seen it move on to 16.

Deepika Mundra: Sir, what I actually meant was that any new banks that you all signed up in the last couple of quarters alone, obviously non-ICICI Bank, whether any incremental contributions specifically in the fourth quarter from bank which were not present in the distribution mix before?

Amit Palta: Yes, so I will take that Deepika. So, some

of the significant partners that we

added in the last couple of quarters are the ones who actually got operational only in the month of March and they are still at a very early stage. We were in the process of still integrating the systems, getting the employees trained and product dissemination was happening during this period. So, the contribution from the new partnerships during this period was very limited and hence is not part of the overall growth numbers that you see from the banks other than ICICI or new partnerships in the last quarter. Just to give you a number broadly if we were to be growing at about 24% growth for our non-ICICI Bank bancassurance partner, our growth was in the similar range, little more for quarter four as well, but it doesn't include any new bank partner, very small number was there in quarter four.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I will start off with firstly seeking a clarification to earlier question. So, is the understanding correct that you expect to deliver growth on top of the elevated FY2023 APE? That will be the first question. And the second one is regarding the new commission guidelines and you talked about how incremental distribution that have to be passed on, but then now that you have the flexibility to design your commission structure, wouldn't the banks who give you most of the volumes demand a higher commission. So, are you getting similar enquiries from the banks? So, that is the second question and thirdly, there has been a lot of talks around composite license and some of the life insurers have indicated that they are interested in entering the health insurance segment, so how are you thinking about that? So, those are the three questions.

Satyan Jambunathan: Supratim, your first question was with respect to VNB growth on the back of elevated VNB or APE?

Supratim Datta: APE growth.

Satyan Jambunathan: I am struggling to see how 12% APE growth is elevated growth, Supratim, quite honestly. If at all we would like to accelerate from here on, so I don't think there is a base effect challenge with respect to APE. With respect to your second question on will banks demand more, I don't think anything has ever stopped distributors from demanding more in the past. What is now very clear is an overlay on top of that from the regulator to say that I will expect companies to bring down their cost. This is a matter of balance that has to be found between the manufacturers and distributors. It will play out over a period of time. Our view at this point of time is that it should not increase cost.

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N.S. Kannan: On composite license, Kannan here, I wanted to say that from our perspective it is a welcome move. We do believe that composite license will be good ultimately for the consumers. On our part, we always believe that health insurance is integral to life insurance and integral to our business and we used to operate this

business until 2016. So, we would be very keen to watch this space and make our moves. Even pending composite license if regulators can allow us in some form getting into health indemnity business, we would be very keen to do that. Apart from health we do see the allied businesses or wellness -related activities as something which could really be of interest to us because that will round up the proposition to the customer in a nice manner. So, wellness and allied business is the second area of this proposed new regime if it gets through will be of real help. And finally, anything to do with the insure tech/fintech space, in which as the bill suggest, the draft bill suggest, if we can get some form of skin in the game kind of a stake in those businesses that will also be of interest. So, to summarize, health insurance, allied businesses and insure tech fintech, these are the three areas we will be v

ery keen to pursue it.

Moderator: Thank you. Next question is from the line of Nidhesh Jain from Investec Capital. Please go ahead.

Nidhesh Jain: Congratulations to the team to achieve the VNB aspiration of doubling the VNB over last full year, which I think honestly was looking quite difficult in between. So, congratulations for that. So sir, firstly on the protection we have seen good growth in this quarter, what gives us confidence that this growth is now sustainable and probably next year we should again see a double-digit growth on the retail protection side. Has underwriting, reinsurance and the distribution issues all resolved which gives us confidence that we will be able to show decent growth in the premium protection next year?

N.S. Kannan: Thank you, Nidhesh for your kind words. It was not an easy journey. Thank you for the compliments because we had lot of ups and downs, more of a downs than ups, but still, we manage to double the VNB, so that is quite gratifying. Thank you for that. On the retail protection side what gives us confidence, I will ask Amit to elaborate, but essentially how we came to fourth quarter number is lot of hard work across the quarters and sequential improvement month-on-month we have been seeing in this business. Amit will talk about the strategy. But the bulk of the frequent process changes or the pricing changes we believe are behind us. It is more of activating the channels and having a coordinated strategy. It is a very granular strategy. Amit, you want to talk about that, and this is what gives me confidence from an outward perspective, but Amit can talk about how he has been able to track this business.

Amit Palt a: So, Nidhesh, I've spoken about retail protection as an answer to one of the questions, but let me on a lighter note tell you it is not doubling of VNB, it is little more than doubling of VNB that we eventually delivered. So, thank you so much still. Now coming to retail protection, like I mentioned earlier as well, that the process of coming back on retail protection for the industry has been a long one, has been a very adverse one and protection the way it was sold prior to all the changes that happened in the ecosystem was a very different regime altogether, distribution, sales processes, practices, learning of products, access to customer segments was very different and the landscape had to undergo a change after all the processes and underwriting guidelines

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had to be changed because of the challenges in the environment. Subsequent to that as you know distribution is generally very granular in nature and spread across various types of distribution which starts from agency to partnership distribution to banker and eventually at the ground is being sold by the employees scattered right across the country. And what we have been able to do as an investment over a period of the last few quarters is to take advantage of the diversity of our distribution and not make one strategy fit all for all our distribution channels. We look back at the access of the customer segments that our various partners had to their customer segments and we aligned and made offer on products which were most appropriate for those customer segments. So, not everyone was selling one kind of product, so depending upon where the natural advantage was, we positioned an appropriate product and introduction of return of the premium product also helped our cause. So, I think this has been a learning process. There is nothing miraculous that has happened. I am sure this learning curve will further improve and we will get into the next financial year on a sequential improvement trend. Y-o-y has just happened as an outcome, but I am still looking at a sequential improvement. So, quarter two was better than quarter one, quarter three was better than quarter two, quarter four was better than quarter three, in between we just happen to see t

hat it was a good y-o-y positive. So, y-o-y was an outcome, was not something that we were intending to work towards. Everything was a result of

incremental steps that we were taking every quarter. This gives the confidence; y-o-y will happen on its own. Sequential efforts on distribution and innovation on products will continue and training of course will be very important because now it is a very different and hard-working model that what it used to be earlier which was largely focused only on affluent customers.

Nidhesh Jain: Sure, sir. Secondly on this high-ticket policy issue, the management team seems to be quite confident that the impact is minimal, but as an outsider we are quite worried that hypothetically let us say 10% of APE came in this year from that segment, but you guys seem to be much more confident that the impact is lower. So, how are we thinking internally to mitigate that impact because from a high-ticket customer who is buying ₹ 30-40 lakhs of policy for him there is a meaningful impact on IRR and these are very informed customers. So, the value proportion for that customer has materially been impacted. So, how do you think that the impact of that will be much lower in FY 2024?

Amit Palta: If I can take your question again, Nidhesh, see like I mentioned, in fact Satyan mentioned about this in the beginning as well. First of all proposition in the opportunity which was available to us, we leveraged it through our distribution partners who had natural access to affluent customers. And of course, there was value. There was a value because with tax benefit IRRs definitely look very good. But let me just share with you some incremental information as to what we watched and what we observed as a consumer trend or consumer preference within the same segment which is affluent. I am very happy to share that even in the annuity space which is one of the fastest growing category of products within industry and we are no different, more than 50% of our business sold in annuity segment actually is being brought over by the same customer segment which is affluent. Which means that this customer is still buying a proposition for his need in his world view and that product happens to be taxable. So, imagine the fastest growing & you may have seen disproportionate growth in Quarter 4 or in March for non-linked savings business, but otherwise if you were to look at overall year, the fastest growing product category for the year is actually annuity and that is taxable. And

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more than 50% of annuity sales is actually done with the same customer segment. So, incidentally even on sum assured from almost 50% on the protection sales still happens in a sum assured in excess of ₹ 1 crore which makes me believe that this is also a customer who is affluent. And there, you like it or not, but it is the higher GST product available in the protection space. He is paying 18% GST for the protection premium that he is purchasing the product for. So, I think this customer is not averse to paying tax or paying tax for the value that he is getting. It is just that he got the opportunity to save some because of this arbitrage which was available. I am sure the normalcy will prevail and we need to look at the options available to this customer, in line of the fact that physical investments are anyways moving towards financialization and within financialization what are the options available. And we believe that unit-linked product in the current form also under ₹ 2.5 lakhs is still a value proposition which is available on the unit platform which is much better. Even beyond ₹ 2.5 lakhs that structure is quite favorable to these customer segments. Yes, it is going to be lesser than what it was in March, but then look at the options available. I think this is still the best option available within the life insurance space specifically in long term savings category.

ory.

Nidhesh Jain: Are you planning to make any changes in the product structure to mitigate the impact, or how are you thinking about that from a product structure point of view?

Amit Palta: There is some ongoing process and we keep looking at taking feedback from distribution. We have a team that is talking to customers, we look at insights and we align our product as the time goes by and look at what is best for the customer and create it on the go. But at this point in time, we will see how it emerges.

Nidhesh Jain: Thanks. And lastly on the EV work, if you can share the reason for negative operating variance in EV work and positive operating variance in VNB?

Satyan Jambunathan: EV work there are no negative operating variances, Nidhesh. On the EV work operating assumption changes is net negative. If I were to talk through what are the elements that are contained in this, I would call out three specific elements. One the increase in expenses meant that there was a small increase in the renewal unit cost as well. That was a negative impact on EV. Second, the group term business in the last year had in the price an expectation of claims on account of COVID. Post the pandemic when those schemes got renewed that loading was not charged anymore. Some of that is reflected as a negative in the EV work. The third element is surrender rates in the unit-linked business beyond 5 years for us have been considerably lower than what we had assumed. We have capitalized some of that in the assumptions. That is seen both in the

VNB in the margin as well as the EV. Net -net it is ■ 1.61 bn negative . But if I were to look at it slightly differently and club operating assumption changes to all operating variances, even that is a net positive. So, net -net we are looking a RoE V driven predominantly by un wind and VNB with a small aggregate delta driven by the net operating piece put together.

Nidhesh Jain: And the operating assumption change in VNB work is completely driven by surrender rates of the 100 basis points ?

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Satyan Jambunathan: That is the predominant one which is there. There may be other smaller persistency related or modality related for certain segments. But yes, nothing to significantly call out, Nidhesh, that is of material nature.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama. Please go ahead.

Madhukar Ladha: Congratulations on the good set of numbers. Couple of questions from me. First, we see further improvement in non -linked savings segment margins, can you elaborate a little bit on the sustainability of these margins and how they have been derived, especially given now that the interest rate curve is lot more flatter and let us say how could these margin behave if interest rate actually go down, maybe after 6 months. So, how could that play out? Second, coming back on APE growth and for the non -linked saving segments, do you think there has been some preponement of demand even for the less than ■ 5 lakhs segment. I am coming from a thought process that people might buy a little bit now and just say that okay at least I have that ■ 5 lakhs available if I want to buy it in the latter years. Could that also impact demand going into FY 2024 and onwards? Those will be my two questions.

Satyan Jambunathan: Madhukar to answer your first question, non -linked savings margin increase that we saw this year compared to last year is a function of the underlying intermix between par and non -par. The last two years have been about non -par doing well, if it still happens at next few years are about par doing well, then this portfolio margin may well not be the same as what you are seeing now, it may come down. I have said this in the past as well. So, to that extent the way we see it is not about margin, it is about am I still there from an opportunity point of view or not. Product segment -related margin

expansion opportunities will come as protection mix expands and within protection as retail grows faster than group which we saw happening in Q4. So, you will always have at a sub product category some changes which happen. But I think the really very good structural part of the life insurance business is that we have so many underlying distinct needs in segments that we don't need to worry about everything firing in the same fashion every period. I have unit -linked savings, I have par savings, I have non -par savings, I have annuities in savings, I have retail protection, I have credit life, I have group term, I have micro insurance, I don't think there is any other business model around us that has so many different opportunities that is there. So, I am never going to get worried about whether one segment in terms of mix both up or down, I think there are enough opportunities overall for that to ride, but to go back to your fundamental question if non -par mix goes down and par mix goes up, average portfolio margin of non -linked savings can go down but we will deal with it as we get to it. The second question with respect to preponement of demand I will hand over to Amit to answer that.

Amit Palta: Yes, actually we were tracking it. Good you asked this question. I have actually the answer very much ready. As you know, March business generally sees a scale up over February and this happened last year as well and did happen over the years. So, we were also internally tracking this business closely and we saw that this scale up that we had last year in less than equal to ■ 5 lakh kind of a premium which is the premium segment that you are talking about actually scaled up almost the same from February to March last year like the way it did this year. So, if at all there is a preponement

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the systemic preponement generally happens every March if at all you call it as preponement. So, the movement from Feb to March was absolutely identical to what we saw last year , the entire swing of course we saw in the more than ■ 5 lakh category but the less than equal to ■ 5 lakh is exactly the same .

Madhukar Ladha: Got it. Satyan, just on part of my first question, how would the interest rates curves and flattening of the interest rate curves impact the non -par margins?

Satyan Jambunathan: Sorry, I missed that one. Yes, you are right. I don't think that the

change in the yield curve or the change in interest rate should affect margins in any fashion. Eventually, what will matter is if the spread between expected return and actual return passed on to customer kept the same or not. So, to the extent that we can reprice the product practically every month to reflect the yield curve, level of yield curve or shape of the yield curve doesn't bother us. If competitive action enhances or reduces, that can change the spread. But I don't think one needs to be worried about the yield curve.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Congratulations Kannan and entire team on surpassing the VNB guidance. Few questions right now. Firstly, if you can broadly share the mix of business that you sold through ICICI Bank this quarter and do you expect further decline in this channel mix from here? And secondly on the retail protection side, where in the growth has really picked up, so have we gained market share in this segment and what is the mix of ROP business here?

Satyan Jambunathan: ROP is disclosed in the slide Nitin. Whether we gained market share or not I have to wait for the disclosure of others. So, maybe we can have that conversation on the side couple of weeks from now. On the other question...

N.S. Kannan: Yes, so only thing I will add there is that overall sum assured market share 11 months we have done very well compared to last year. So, overall, the sum assured market share

we have been picking up some momentum. And Nitin, thank you for your kind words. Thank you for all the support. On ICICI Bank you asked the question, at about 14% of my mix it doesn't really move the needle anymore too much going forward. Yes, it has been stable. We have started doing the monthly disclosures also. You would have seen. It's been stable at around a billion rupees as month. So, that is what it is currently doing. I would expect that to be around that as it move forward. But beyond that doesn't really move the needle in terms of impacting the overall APE if it goes down further. So, that is the stage we have gotten into. So, whatever the bank gives us we will be happy to take that is it. Those are the two questions you asked. Any other questions you have?

Nitin Aggarwal: No, that were the two question. Thank you.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS Securities. Please go ahead.

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Neeraj Toshniwal: So, my first question is what is driving the improvement in the 61st month persistency? And follow up on that is, why is it not clearly getting into renewable pool, because renewable pool is still getting much lower. So, how to reconcile that?

Satyan Jambunathan: Every cohort's persistency improvement is also a function of preceding cohorts. Today if you see the 61st month persistency for the industry, it will predominantly be driven by unit-linked persistency for most private companies and participating persistency for LIC. Now given this and you would have noticed this even through the segmental persistency disclosures over the past few years, that we still stand head and shoulders over every other company with respect to unit-linked persistency. And what you are seeing is 61st months, today is just the accumulation if you will, of improving prior period persistency over a period of time, nothing dramatic overnight. Does this flow into renewal? Yes, there is a positive effect to renewal. But the bigger driver of renewal again is the pace of new business growth over the recent past. And to that extent because we have not been that strong, for all of these persistency improvements visibly show up in the renewal premium will only follow once growth also starts to pick up. But it is sitting in the renewal, without this possibly the renewal numbers would have been little worsened.

Neeraj Toshniwal: Are we looking to change the assumptions which we talked about earlier in terms of persistency we had some buffer?

Satyan Jambunathan: Slowly and steadily, we did a little bit on surrender this time, maybe we will pick up some of the other buckets over a period of time.

N.S. Kannan: As we get more confidence.

Satyan Jambunathan: Yes. And do you know Neeraj we have not, as a house we have not been of the view that we capitalise everything at one go and then put it at risk to see whether it will be sustained or not.

Neeraj Toshniwal: Last question, from the March month growth, how much if we have to attribute on the higher ticket sales. So, you have mentioned minimal, but if we have to really attribute how much would have been coming from seen in the budgetary headline, what would the realistic number look at?

Satyan Jambunathan: Neeraj, I have been very gently trying to dissuade you from asking that question by saying what I did. I go back to what I said, the more relevant aspects

are is the product proposition standalone good enough? And two, was it so much of a business in the last year that it should create a base. Did it add more than it normally does in the month of March, yes it did. Did we take advantage of that, yes we did. Did others take more advantage of that, I am sure they did.

Nitin Aggarwal: So, does it give us the confidence that in repeat or have you changed the strategy or is it just the March season, if you not at all attributing to budgeting, is the seasonality, t

he March factor or do you think it will be repeated in the going forward in FY20 24.

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Satyan Jambunathan: There is always seasonality. But I think both Kannan and Amit have been talking at length about distribution capacity and product capacity build out that we have been working on all of this time. A lot of what you are seeing now in terms of the outcome Neeraj is what we have done as good work over all of this period. You see these growth numbers are more pronounced because also ICICI Bank share and that impact is also gone down over a period of time. But reality is, four years , +18% CAGR on APE ex -ICICI Bank. So, to that extent it is really about building that wider distribution which is creating it, not so much of a seasonal or a mood -based phenomenon. Yes, there may be some of it, there will be some of it.

Neeraj Toshniwal: So, getting into FY 2024, how to think about growth in terms of APE and VNB going forward?

Satyan Jambunathan: Again no different from what we have spoken in the past. Our expectation of growth across various segments still remains quite stable. Savings business for the industry more or less in line with the nominal GDP growth. So, the extent that we have been building some distribution capacity , can we move at those levels are slightly higher, I think that is an opportunity. Protection we still think we will grow faster than savings and that may well add to growth on an overall basis as well. So, no change in view with respect to growth opportunity from what we have discussed in the past.

Neeraj Toshniwal: And last question, if I may , is in the ICICI Bank, we have already 13% contribution now. So, do we think that in quarter go down or does it become stable or it will improve from here. How are we thinking about in our overall scheme of things ?

Satyan Jambunathan: I think again Kannan addressed this when he said that there seems to be producing about a billion rupees of APE each month, if they remain at a billion a month and other grow faster, logically the share will reduce, but that's okay, it is what it is.

N.S. Kannan: And the drag in terms of decline, would go away, hopefully. But it is not in our hands. It is their approach towards distributing third party products.

Moderator: Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Congratulations on the good set of numbers. Three questions from my side. First, on the banca bit, if you can just give some color on some of the larger non ICICI partners and how they have been growing, I mean it may be specifically the top 2 or 3. On the context that maybe some of them would also incrementally focus on liability mobilization, not from a product competition perspective or maybe from RM bandwidth perspective out there. Second also is some of this part, Satyan incrementally discussing about opening up or expanding the partnership tie ups compared to what they already have. Second, if you can give some color on the annuity business and the variance types whether it is deferred variance that has been sold more in some of the other variance, maybe more from a FY perspective or maybe on quarterly perspective. And lastly if you can breakdown your unwinding into RFR and excess returns?

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Satyan Jambunathan: I will let Amit answer the questions on distribution. But the unwind, Dipanjan, we have not broken out in disclosures. We are not expecting to do that at this point of time. But you can kind of back -work it from the yield curve that you have.

N.S. Kannan: Kannan here, I will ask Amit to specifically talk about what is the outlook for top 2 to 3 players in banca other than ICICI Bank. He will talk about the outlook. And you also asked in the context of thereon efforts towards deposit accretion. He will talk about that. I will ask him to give a general color. And on this opening up, we do see it as an opportunity

ity because in over a period of time, now we have got good handle of how to drive business in multi partner shops in banks, that we have been able to push that forward in the last year and a half or so. And also given that for, we will be one of the largest bancassurance partner company for any bank promoted company. We do believe that our pitch book is very strong when I go to the potentially opening up banks. So, there I can make a strong case of getting into those banks. So, I do see it as an opportunity. We do have a very strong alliance team which keeps quoting for this opportunity. And I think at some point in time, we will be able to add a few mid-to-large-sized banks as we go along. You want to talk about the first part, Amit?

Amit Palta: So, specifically talking about banks other than ICICI, we have seen that they have been quite appreciative of the need to bring their fee income up and they have been focusing a lot in building, cross selling capabilities and we have seen most of our partners talking about getting more and more employees of their going through the licensing process and becoming part of the overall insurance sale process. That we have not seen coming down as a focus. While there has been discussions about asset liability mismatch which typically is witnessed on the growth side across the banking sector. But I still believe that almost if I want to take a guess, almost ₹ 150,000 crores to ₹ 200,000 crores is what is the fixed deposit utilized in a month by banking system. Insurance industry whole, forget about a company, industry as a whole does around ₹ 7,000 to ₹ 8,000 crores of premium which is very small fraction of the overall dispute mobilization that is done by banking industry. So, I think while the focus on deposits will continue and I think almost every bank is very sensitive to drive fixed deposits. But again the category of products are so different, one is short term with liquidity as a benefit, whereas our product is much longer term in nature offers a very distinct advantage. And I think most of our bancassurance partners have matured into accepting both as two different category of product serving two different needs of the customers. In terms of our success rate with all the other bank partners, actually we have been growing our share in most of the shops over a period of time, a large number of these partnerships we stitched almost two years back and we have seen progressively our share actually has reached a point which is highest that we have witnessed in last two years. I am talking about specifically quarter four. So, that is about the outlook on the other banks. In terms of the opportunity on new banks and new partners, I think that is an ongoing effort, given a choice we would like to tie up with all. But yes, this is a long process. It has gestation, but we are in it. Wherever we see an opportunity we are there making a proposition on fee income and our principle offer to our partners on increasing the overall revenue pie by working in the white spaces and helping the partner grow their overall pie and they away what they are doing with their existing partners. So, that proposition stays and that is something that we are going ahead and meeting newer partners. On non-bank partnerships we have been quite active and it is there in the deck somewhere, we added

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more than 100 non-bank partners as well last year. And that effort will continue. And we have seen that what you acquire typically in a year starts yielding results in 2 to 3 years time frame is what we have witnessed over a period of last so many years now having invested in partnership distribution space and that is something which also is helping our overall partnership distribution to grow much faster than any other distribution channel. So, that trend is no different for last year in comparison to years prior to that and I don't see any reason why t

he trend will change again in the coming years. So, that is how I would like to answer your question.

Dipanjan Ghosh: Sure. Just on the annuity mix, if you can give some color?

Amit Palta: See, one big trend as I can speak on annuity is that annuity is typically for a customer where a benefit starts accruing to him once he is retired. So, earlier it was about retired customers coming and investing lump sum into immediate annuity products, like we would start annuity immediately. Then the new customer segment was explored. Customer started looking at planning for the retirement much earlier which we called it as deferred annuity. On a single premium proposition, they started investing much earlier. So, we saw younger customer is starting to invest the annuity where he will invest now and start his annuity in 8-10 years later, which we called as 'deferred'. And what we witnessed in the last year and a half or so is that insurance industry introduced regular premium variant of deferred annuity. Which means that somebody who doesn't have a lump sum to invest in single premium and wanted to look at systematic investment as a root to plan for retirement, started adopting regular premium annuity product and that has been the most successfully run category within annuities over a period of last 12 months as witnessed by us.

Dipanjan Ghosh: Would you like to quantify or just leave it at that.

Amit Palta: We don't break it out, but on side discussion we can probably share.

N.S. Kannan: Some kind of colour Amit has already given, because of late we have seen regular premium annuity picking up. That is the current trend. So, let us see how it goes.

Moderator: Thank you. Next question is from the line of Mohit from BOB Capital. Please go ahead.

Mohit: My question is that if you see, do you foresee any change in the retail protection premium or do you think whatever hike had to happen has been done and now it has capitalised?

N.S. Kannan: As of now we are not foreseeing any changes and we do believe that whatever has to happen has happened.

Mohit: Okay, so basically no pressure from the reinsurers to have any hike, right?

N.S. Kannan: Yes, as of now there is no such conversation. We only hope that at some point in time they will come and reduce the price.

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Mohit: Alright. Another question is basically in terms of persistency. So, if I look at the bancassurance persistency, it is actually lower than your average both on 13th and 49th month. So, is there a cause of concern or do you think that this will pass in the coming quarter?

Satyan Jambunathan: I think we have to recognize structurally that high engagement channels end up with a much higher persistency than relatively lower engagement channels. These are structural dynamics of distribution. I wouldn't read too much into it or worry too much about it. What is very clearly there is that partners recognize the merits of retaining customers for long and to that extent they are aligned to our efforts at improving persistency.

N.S. Kannan: And that is where I also feel that the proposed EOM guidelines which incentivize relatively more the renewal premiums compared to the new business premium, would be beneficial for the customers ultimately and we can drive through that behavior by all the partners including the partners who may not have that kind of a level of engagement with their customers.

Amit Palta: If I would also add, once you have the disclosures from other companies as well, they would share category wise persistency and you would know and appreciate by category, unit-linked persistency is relatively lower to non-linked, that is because customer doesn't lose in unit linked, funds only go into discontinuation and hence relatively in comparison to product categories, unit-linked has lower persistency in comparison to other categories and this is an industry phenomenon. Incidenta

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bancassurance, ICICI Bank even in current form is half of our business in banca. So, in banca, half is done by ICICI and half is done by non ICICI and ICICI you know is only unit link. So, that could be one of the reasons that you may be seeing an aggregated number in banca where the number could be slightly lower to the extent of higher unit link.

Moderator: Thank you. Next question is from the line of Nischint from Kotak Securities. Please go ahead.

Nischint: Just a clarification, in the entire unwinding rate change reflects the RFR and probably the duration of the product mix change, right, or have you made any changes to the adjusted return or something?

Satyan Jambunathan: It is exactly these two Nischint, no other change, no change in method or anything else.

Nischint: And how should we really think about unwinding rates next year if we sort of make an assumption that you move from a flattish to a more upward sloppy curve? Because I think what seems to have happened is, it seems to have caused significant benefit in the unwinding side without much movement in the longer end. So, if you see, the shorter end kind of is coming off then probably you might revert to where we were last year. I am just trying to kind of understand how it works because I don't really have any data points to write this?

Satyan Jambunathan: It may still be a function of where my cash flow patterns are. If it is shorter term cash flows, then steepening of yield curve through drop-in rate of the

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shorter term could have reduction in unwind rate. But to the extent that most of the cash flows are longer-term, the short-term shape of the curve I don't think should significantly impact the outcome. It is just the level of the yield curve which will be the bigger determinant than just the slope.

Nischint: You would probably say that the large or the significant contribution of the

increase in unwinding rate this year was the movement of rates, not the change in the shape of the curve?

Satyan Jambunathan: And underlying composition. Given that my non-par and par is significantly higher term compared to unit-linked which would have been a shorter term concentration of cash flow pattern, that also feeds to the underlying.

Nischint: Sure, got it. And just one small clarification you said that change in surrender rate assumption for ULIPs, this had a positive impact on VNB walk and a negative on EV walk?

Satyan Jambunathan: Yes.

Safe harbor: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to u

update forward-looking statements to reflect events or circumstances after the date thereof

Call: Aug 2023

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 5039 1600, Fax: +91 22 2422 4 484, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

July 24 , 2023

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the year ended June 30 , 2023

This is further to our letter dated July 7 , 202 3 and July 18 , 2023 . The Company had hosted an earnings conference call with invest ors and analyst on Tues day, July 18 , 2023 to discuss the performance of the Company for Q1 - FY202 4.

Please find attached the transcript of the 'earnings conference call' for Q1 - FY202 4. The same is also made available on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Sonali Chandak

Company Secretary

ACS 18108

Encl.: As above

Anup Bagchi, MD and CEO:

Hi, good afternoon, everyone and welcome to the results call of ICICI Prudential Life Insurance Company for the quarter ended June 30, 2023. Let me begin by highlighting the recent changes in our key managerial personnel . On behalf of the entire team at ICICI Prudential Life Insurance. I would like to express our heartfelt appreciation to Mr. Kannan for his exceptional leadership in scaling up the organization prudently and sustainably. We would also like to express our gratitude to Mr. Satyan Jambunathan, who served as our company's CFO , for his invaluable contribution to the growth and success of ICICI Pru Life. Satyan, he was a founding member, has decided to pursue early retirement after a remarkable career spanning two decades with us. I am pleased to announce that Dhiren Salian has been appointed as the CFO, effective May 18, 2023. Dhiren has been associated with the company for 20 years and has held various positions across functions within the Company. I would also like this opportunity to extend our best wishes to him in his new role. Dhiren is with me on this call.

I also have on the call several other senior colleagues, Amit Palta, who heads distribution, brand marketing and products, Judhajit, who heads Human Resources, Customer Service and Operations, Deepak, who handles Audit, Legal, Risk and Compliance, Manish, our CIO, Souvik, our Appointed Actuary, and Dhiraj, our Chief Investor Relations Officer. Let me take you through some of the key developments during the quarter before moving on to our performance.

Firstly, on the regulatory front, IRDAI has extended the use and file mechanism towards launching new products that include Group Unit Linked Life and Health Insurance products as well as combi products where the life insurer takes the lead. Additionally, the approval process for new funds has also been simplified. These measures are aimed at providing insurers with greater flexibility to swiftly react to market dynamics and meet the evolving needs of the customers, thereby supporting IRDAI 's vision of insurance for all.

Secondly, aligned with our customer -centric philosophy, we further strengthened our product portfolio in Q1 -FY2024 by launching new products and funds that complement our offerings.

iShield, this was launched in 2023 in partnership with ICICI Lombard, offers a comprehensive protection proposition that combines the benefits of life and health insurance under one umbrella. In addition, we launched ICICI Pru Protect and Gain, a protection -oriented unit life insurance product that addresses both the protection and savings need of the customers. We further strengthened our savings portfolio, with the

addition of two new optional attachments, ICICI Pru Non -Linked Accidental Health and Disability Rider and ICICI Pru -Linked Accident Death and Disability Rider. Both are optional.

These attachments provide additional protection against accidental death and disability and can currently be added to many of our products. We have also expanded our products of funds by adding constant maturity fund, a debt fund offered with our unit linked insurance plans. Against the backdrop of rising interest rates, this fund is suitable for customers looking for wealth preservation and tax efficient returns.

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Thirdly, I am happy to inform you that during the quarter our Company was awarded with the ASSOCHAM Award for organizational excellence in the field of data science and analytics. Additionally, at Customer Fest Awards for 2023, our teams were honored with a slew of awards, namely Best Data Analytics Team, Best Use of Data and Insights in a Transformation Project, Best Use of Mobile to Enhance Customer Experience, and Best Data Enablement campaign in a loyalty program. Our Corporate Communications team was featured in the top 30 corporate communication teams for 2023 at India Inc, instituted by Reputation Today.

I will now move on to discussing our Company's strategy and performance. We have uploaded the presentation on the stock exchanges and our website. You can refer to the same as we go through our performance. In FY 2023, we successfully accomplished our stated objective of doubling the 2019 VNB. This achievement was made possible through the meticulous execution of our 4P strategy, that is, protection growth, premium growth, persistency improvement and productivity enhancement.

These 4P strategic elements will continue to play a crucial role in growth of our absolute VNB, while keeping customer centricity at the core of everything we do, along with integrating ESG with business management. Our very purpose of existence is to provide financial security to our customers and their families. We believe we are the trustees of the life savings entrusted to us by our customers in order to achieve their protection, health, retirement, and long-term savings goal.

Our philosophy is to understand the latent needs of our customers and curate products that address the unique needs of diverse customer segments. We leverage digital and analytics capabilities to distribute our products through the most appropriate channels. Our goal is to provide a superior experience throughout the customer life cycle by following a diligent risk management framework. To ensure that we remain true to our philosophy and improve our performance across all the 4P strategic elements, we have a 4D framework which drives our 4P strategy.

The elements of the 4D frameworks are data analytics, diversified propositions, digitalization and depth in partnerships, with focus on quality business in a risk-calibrated manner. This framework will ensure products are aligned with the customer needs, are designed to meet those needs most effectively, are developed with the highest quality standards and are delivered through the most appropriate channels.

Also, this framework will help us provide simplified and hassle-free processes to our customers across the product lifecycle. The framework has been detailed in slide 5 of the presentation. The first element of the 4D framework is data analytics. Over a period, we have built significant analytics capabilities that help us to provide better val

ue to our

customers and partners. We have leveraged data and information to help us improve our various processes, such as distribution operations, etc, and to identify new growth opportunities.

We understand that customers expect seamless and personalized experience and data analytics plays a crucial role in making this a reality. We have therefore invested in machine learning and artificial intelligence to provide tailor-made insurance solutions to our customers. Our analytical capabilities help us to identify customers through machine learning based segmentation across demographics and customer behavior, create

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geographic clusters and position appropriate products in those geographic clusters. With data sciences and analytics, we aim to reduce barriers and points of friction in the entire process that prevent customers from buying life insurance.

These capabilities are also extended to our partners to help identify opportunities to cross-sell our products. Further, machine learning models are enabling us to improve persistency, streamline claims and bolster our risk management practices. Through AI, we analyze customer sentiments to improve the overall customer satisfaction. The

details of our extensive deployment of analytics capabilities are set out in slide 36 to 38. Further, our analytics team's awards during the quarter are a testimony to our constant efforts in deploying extensive data analytics.

The second element of the 4D framework is diversified propositions. Over the years, our customer's product strategy has been focused on expanding the product suite and continuously providing innovative propositions to our customers. This approach ensures that our products are suitable and accessible to a wider range of customers spread across customer segments, age, affluence and other demographic aspects, enabling us to serve a large market effectively. Further, the continuously recalibrates its product offerings to align with the evolving need of customers. This proactive approach has allowed us to effectively navigate the changing landscape and ensure that our products remain relevant and impactful. Building on this approach in Q1, 2024, we have successfully launched new products and fund offerings.

Moving on to the third element, that is digitalization. Together with our customer first philosophy, as a company we realized very early that digitalization would be a differentiator in times to come. We use technology to help us make life insurance accessible and an empowering experience for customers. As a part of that belief, we were one of the first life insurance companies to begin our digital transformation journey way back in 2012.

Across the customer life cycle, starting from policy purchase to claim settlement / maturity, digitalization has underpinned our journey. Our endeavor is to create simplified and hassle-free processes for our customers. We have fully digitalized our pre-sales, onboarding, issuance, and servicing processes. Through digitalization, we have empowered our customers on servicing aspects, including self-service, renewals and quick payment systems.

More than 99% of all our policies issued are logged digitally. Further, our digital platform has been extended to employees and partners too. We have been leveraging digital tools to strengthen our sales digital capabilities. We empower our partners with customer centric digital support across their processes with a very clear focus on ease of doing business and creating a better customer experience. Few examples of the digital support including our own technological capabilities to identify customer opportunities within partner database, utilizing our demand generation tools to enhance partner productivity and leveraging digital onboarding to reduce issuance time. As we look forward, we will continue to reimagine all our processes to leverage the ever-changing digital ecosystem

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and continue to provide a better experience to all our stakeholders.

Moving on to the fourth element, that is depth in partnerships. Distribution in life insurance business is a critical link that bridges the gap between the products and the

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customers. We have made significant strides in expanding our distribution reach by onboarding additional partners and investing in our own proprietary channels. The natural advantage that it gives us is access to a heterogeneous set of customer basis that spans across geographies, demographics, age and affluence. We believe that to have a sustained competitive advantage, we need to equip our partners to grow their overall insurance business and we continue to focus on increasing the depth of our customers in distributors base.

We extensively work with our partners to deep mine the customer opportunities while remaining focused on the quality parameters. We empower our partners with a suite of digital tools to help them position life insurance more effectively and in a more holistic manner. We support them by integrating the ecosystem for easy onboarding of customers and post-sales service and building capacity by training partner employees in products and processes. This entire 4D framework has been put in place by keeping in mind our core objective to deliver quality business in a risk calibrated manner. Our risk management framework sets out the risk that we are prepared to accept, given the expected risk, rewards and consistency with strategic objectives and those risks for which we have no tolerance and want to avoid.

We regularly monitor our experience in respect of insurance risk, that is mortality, morbidity, persistency and expense, and take actions to ensure that our emerging experience is consistent with our expectation. We minimize our investment risk by following a prudent investment philosophy. Our investments are made with regard to nature and term of liabilities. We have a low exposure to interest rate guaranteed products, and we hedge the risk for these products. We continue to diversify our product and distribution mix to avoid any excessive concentration risk in the business. To summarize, the diligent and prudent risk management framework we operate on is

reflected in our strong and resilient balance sheet.

Moving on to the key quarterly performance highlights for Q1 -FY2024 presented in slide 6. Our VNB for Q1 -FY2024 stood at ₹ 4.38 billion with a margin of 30%. Our total APE stood at ₹ 14.61 billion for Q1 -FY2024. We have witnessed a very strong growth momentum in our retail APE from non-ICICI bank channels in the month of May and June. Amit will talk in detail later during the call. Our protection APE stood at ₹ 3.44 billion in Q1-FY2024 on account of strong retail protection growth of 61.8% year -on-year. Our persistency improved significantly across all cohorts.

Our 13 -month persistency stood at 86.4 % and 49 -month persistency stood at 64.7 %. Our cost to TWRP ratio for savings lines of business stood at 18.8% in Q1 -FY2024. I will now hand it over to Amit to talk to you through our results on 4P strategic elements, after which Dhiren will take you through the financial highlights. Thank you and over to you to Amit.

Amit Palta, CDO:

Thank you Anup. Good afternoon everyone. I will now talk about performance update for Q1-FY2024, through the elements of the 4P strategy. Starting with the premium growth element from slide 7 to 12. We have used a two -pronged strategy to drive premium growth. First, investing in building existing channels and widening the distribution to

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maintain a diversified distribution mix. And second, continuing to strengthen our product portfolio to address changing consumer preference in a dynamic economic environment. As you can see on slide 8, on the distribution front, we have continued to invest across channels.

Our strategy in the agency channel is to

leverage on strong relationship of agents with customers, while we provide institutional support to agents in terms of data analytics and processes. We continue to build capacity and have added more than 7,400 agents during Q1 spread across geographies.

Within the bank and non -bank channel, we continue to add new partnerships and increase share of shop in the existing partnerships. We now have a total of 39 bank partnerships and more than 950 non -bank partnerships with addition of 49 non -bank partners during Q1. As you can see on slide 9 for the quarter, our APE excluding ICICI bank grew by 3.7% Y -o-Y.

Agency for the quarter grew by 4.4%. However, we have witnessed a strong growth of 20% in May and 23% in June 2023. Direct business grew by 28.5% year on year, partnership distribution grew by 7.7% year on year, and APE excluding ICICI bank retail business witnessed strong growth momentum of 20% in May and 21% in June, 2023. As you can see from slide 10, we have a comprehensive suite of products. Also as mentioned by Anup, we continue to strengthen our product portfolio to address changing consumer preference in a dynamic economic environment. As you can see from slide 11, our APE for quarter one stood at ₹ 14.61 billion.

Our APE from savings business stood at ₹ 11.17 billion for quarter. And we continue to maintain a very diversified product mix with quarter one APE contribution from linked savings business at 38.8%, non -linked savings at 27.7%, protection at 23.5%, annuity at 6.2%, and the balance 3.8% coming from group saving products. As you can see from slide 12, we are very diversified in terms of distribution mix and product mix, which allows us to manage the impact of the external environment and respond swiftly to shifting consumer preferences.

Another important focus area for us is to serve the life protection needs of the customer. On this aspect, let me talk about the second P, which is protection growth on slide 14.

With an APE of ₹ 3.44 billion, the overall protection segment saw year -on-year growth of 4.2%, leading to a business mix of 23.5% in the quarter. The retail production business registered a strong year-on-year growth of 61.8% to ₹ 1.1 billion. Our total new business summer assured stood at ₹ 2.4 trillion for quarter and a growth of 8.8% year -on-year.

Our total sum assured stood at ₹ 30.41 trillion as on June 30th, 2023.

Coming to our third P, which is Persistency Improvement, it is presented on slide 16. We continue to have a strong focus on improving the quality of business and customer retention, which is reflected in the significant improvement in persistency ratios across all cohorts. We would like to highlight here that our 13 -month persistency ratio improved to 86.4 % and our 49th month persistency ratio improved to 64.7%.

Now moving on to fourth P, which is productivity enhancement, which is presented on slide 18. Our total expenses grew by 21.9% year on year. The expenses are higher as compared to the same period last year on account of continued investment and capacity

creation to support future growth. Our overall cost to total weighted received premiums stood at 27.7% and cost to TWRP ratio for the savings business at 18.8% for the quarter. Even with the cost increase, our cost to average assets under management has been stable at 2.3%. Through the 4P strategy of premium growth, protection business, persistency improvement and productivity enhancement, our objective remains the same to increase the absolute value of new business.

I will now hand it over to Dhiren to talk you through the outcome of 4P strategy and financial update for quarter one 2024.

Dhiren Salian, CFO:

Thank you, Amit. Good afternoon. I will now take you through some of the financial metrics. We continue to maintain a strong and resilient balance sheet as presented in slide 19. We have evaluated insurance risks and mortalit

y experience, and they are

within our expectations, and we will continue to monitor them closely. On credit risk, only 0.2% of our fixed income portfolio is invested in bonds rated below AA, and we continue to maintain a track record of not having a single NPA since our inception.

Of our total liabilities, 74.7% of liabilities largely pass on market performance to customers. We continue to closely monitor our liquidity and ALM positions, and we have no issues to report. As a result of our 4P strategy, the VNB for quarter one was ₹ 4.38 billion. Given our APE of ₹ 14.61 billion, the resultant VNB margin was 30% for quarter one.

Coming to the financial update as presented in slide 21, our profit after tax grew by 32.7% year on year from ₹ 1.56 billion in Q1 last year to ₹ 2.07 billion this quarter. Our assets under management stood at ₹ 2.6 trillion and our solvency ratio continued to be strong at over 203% at June 30th. To summarize, we will continue to make progress against the 4P framework of premium growth, protection business growth, persistency improvement and productivity enhancement. We expect that our performance in these aspects will translate into our objective to grow Absolute VNB.

Before concluding the call, I would also like to share that during the quarter, we released our FY23 annual report, which was themed "Delivery on Promises and Delivering Sustainable Growth". Along with that, we also released a standalone ESG report, which articulates our approach and outcomes of our efforts towards sustainability. The integrated reporting structure prescribed by the International Integrated Reporting Council has been followed for developing the Annual Report.

Thank you, and we're now happy to take any questions you may have.

Moderator: Thank you very much. We will now begin the question and answer session.

We have our first question from the line of Suresh Ganapathy from Macquarie Group.

Please go ahead.

Suresh Ganapathy: Yes, thanks. Okay, my first question is to Anup. Anup, it's been maybe a couple of months for you as the CEO. You know what, in your assessment, I know it is still early days, what do you think are the areas of improvement or what are

the gaps that you have identified? That's my first question. And of course, related to that, how well do you plan to leverage the ICICI Bank distribution channel?

Is there a change in mindset with respect to distribution of products by them? How do you plan to leverage that network? That's the first question. And the second question, maybe Dhiren can take it. What explains the sharp rise in expense ratios and the fall in margins this quarter, despite a sharp pickup in protection APE? Overall, APE was down, but still opex is high. So just the clarity on these two questions. Thank you so much.

Anup Bagchi: Thank you, Suresh. So I'll just answer your two questions, the area of improvement and ICICI Bank. First of all, I must say that the team here is very good. Kannan has left a very good balance sheet, very sound and prudent balance sheet. So there is really nothing really to worry on those points at all. The other thing of transformation is largely complete and the transformation by way of diversification of products and diversification of channels is also largely complete.

There is no area of improvement. The area of focus certainly will be growth because as you know our margins you know where last year was at 31% this year it is 30% so on margin we are you know at the top decile or top quartile of the market. The real driver of VNB, our stance will be towards to get it through growth rather than the margins. And so to activate many of our channels which are 18 months old and 24 months old and so they are not really fully mature in the sense that our share of shop in those channels we can improve.

We can help them through data analytics, understanding, co-understanding of their own client

base, making sure that we are able to train them on the most suitable products, ensuring that during the login stage that we are able to help and support them, so that you know both of us generate good business. That is really the area of focus. Not really area of improvement but I'll say area of focus. And I must also say that the team here is very very good and fully aligned to this objective. As you know we have been focusing on getting the transformation bit right. And successfully. I will say that in four years, the VNB was doubled in absolute amount. But the driver of that was margin, more than APE growth. And so now with the Bank, in a way, the contribution of the Bank coming on the lower side, all other channels will now start to or must start to show up on growth. Now, as far as Bank is concerned, I must say that Bank has two distinct roles. One as a shareholder, one as a distributor. As a shareholder, they are a fantastic shareholder. They are extremely supportive, both ICICI Bank as well as Prudential. But in the context of distribution also, because Prudential is not a distributor, ICICI Bank also is a distributor for us. They are focused on protection and annuity. And that is something that is up to them as a distributor. What is their role in distribution. Our plans largely are, now because it's a small proportion and contribution is lower for ICICI Bank, we can get our growth primarily from all other channels as well. In Bank, it is vulnerable, but it is really up to the Bank to respond to that question. Over to you, Dhiren.

Dhiren Salian: Hi, Suresh. So some of the larger contributors of expense growth are manpower costs, which of course, additional people that we have on the ground to be able to activate some of our newer channels and some other elements around distribution costs, which are fundamentally on the advertising and sales costs. But also,

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I think when you look at the VNB, you are aware the way we look at it is more from a full year perspective of where we expect costs to be.

And so when we look at the VNB, you'll see that largely it is driven by the inter-se product mix profile that has been shifting. What you can see is somewhat traditional perspective, you are aware that there is 5 lakh cases. There are the taxation aspects that have come through on the 1st of April. So within the traditional pool, we still have drop away from the higher ticket sizes.

For non-linked guaranteed portfolio, to some level, that has gone across to the participating side, which have picked up quite smartly. And from another level, we're seeing some signs of moving towards the unit-linked side. So while you are right, at one level, we have got growth in retail protection, there are some contrasting elements that have come through overall.

Moderator: We have our next question from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I will start up with your point on investing into newer channels. So you have 39 bank partners. Could you give us an understanding about what would be your share in banks outside of ICICI bank? And how do you plan to grow here? Because 26 of these partners have been there for more than 2 years. So how are you planning to grow the channel going forward? That's one.

Next, on the agency side, that has been a strong growth driver for you. But from a productivity perspective, your agents -- the new business premium for agents is still at the lower end compared to the industry. So how do you plan to grow that? What are the steps that you are taking? If you could shed some light on that. But when I look at your RWRP and compare that to the individual APE, your RWRP comes out to ₹ 10.6 billion whereas your individual APE is ₹ 11.7 billion. So if you could help me understand what's driving the difference between these two lines, it could be very helpful?

Anup Bagchi: Yes. So Amit, will

you just take those questions? And then...

Amit Palta: Yes, so I'll comment here. Let me start with share of business with our new bank partners. So if you were to look at new partnerships that we have stitched over a period of last 18 to 24 months, we saw a huge traction of business, which was driven through tax scarcity that we witnessed in Jan, Feb, March, specifically during March. And we saw some part of the business pulled into last quarter of last year. And hence, there was generally overall slowdown, which was witnessed not just in bank partners but also in some non-bank partnerships as well, which spanned across corporate agency and broker. But the good news is that while overall pie may have shrunk because of early half of the quarter, the remaining half of the quarter actually we have seen the growth coming back. So overall pie has started to grow in the second half of the quarter.

And our share of business actually has incrementally grown across all our large partnerships. So from where we were to where we are, of course, delta here could be different from partner-to-partner. But in a large number of our partnerships, we have seen our share growing even though the overall pie was kind of static. So that is the

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status on all the bank partnerships, not just bank partnership but extending this argument to even other multi-insurer area of partnerships that we have. So that is one thing, one area I would like to just articulate.

Second point, you spoke about agency productivity. So now I would understand that probably the way you are calculating agency productivity is on the total number of agents, total business done divided by total number of agents. So if you recollect that for a long period of time in the past, we were actually not terminating advisers. So as you know, the advisers, over a period of time, they hold on to the insurance business, they continue in insurance business and large number of advisers also kind of stop doing insurance after they have exhausted their natural market. So even after they have exhausted their natural market, we tend to stay away from terminating these advisers. And hence, they are reflecting in the pool.

What is most important is agency distribution while calculating productivity is to see our manageability of these advisers. And this manageability of advisers, we used to look at 3,000-odd unit managers, who used to manage these advisers. Now that manageability, we have improved over a period of last 12 to 15 months by increasing our unit manager capacity from 3,000 to almost 4,000, which is almost like adding capacity of 33%. So if you look at productivity of the units, that we have seen significantly growing over a period of last 2 to 3 years. In between, there was a period during COVID when we refrained from adding this capacity, as you know, that this is direct addition to our cost. But however, whatever investment that we have done in the last 15 months or so, we are starting to see the results already.

As we speak in Q1, we can clearly attribute some 4% to 5% of our top line in agency being contributed by the capacity that we have built over a period of last 12 to 15 months, which means that at an early gestation period, if you were to look at low vintage pool of our units to contribute 5% to 7% of our top line is quite significant. And as we go deep into the year, we expect this capacity to deliver anywhere close to around 15% to 18% of our business as we have planned anyway in the agency business.

Dhiren Salian: So Supratim, your third question was the divergence between what is RWRP and APE. That can come through if there are, let us say, non-annual modes that have been written. Of course, they do not show up in RWRP. It will show up in APE.

Supratim Datta: Sorry, yes, it's non-annual what? I could not get that.

Dhiren Salian: Monthly mode policy.

Moderator: We have our next

question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: A couple of questions. First one is if I just try to look within protection and we can see, on the group side, I mean, there had been sort of a decline. And it could have been, given the kind of a retail credit growth, it can largely be into the GTI where you are seeing decline. Can you just help us sort of because you are pretty kind of a dominant player in this market. So how has been the market?

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And what has been the reason behind sort of your growing cost or withdrawing accounts on some parts of the GTI market? So that's number one. Second question, a bit continuing from what Mr. Bagchi said on sort of things being in place and growth being sort of top of the agenda that sort of -- if you can just help, I mean, if I look back at the 4 years, you had your VNB at -- absolute VNB growth flat.

If you were to look ahead with the 4% growth, what sort of a relative or absolute growth of kind of range or experience you have for the medium-term? And related to that, I mean, your direct has been growing already strongly this quarter. Is the sort of that is driven by retail protection growth? Or it's the other way? I mean, how sustainable is this direct channel growth?

Dhiren Salian: So Avinash, let me take out those questions. Within the group protection, there are two parts of it. There is credit life and there is group term, which is employer-employee. Now the credit life continues to grow. But if you recall our earlier conversations on group term, which is the employer-employee space, if you recall that we actually had higher prices which was an offshoot of COVID pricing that was still remnant in last year

and a portion of last year's business. As you are renewing business this year, all those COVID loadings have gone away. So to that extent, there is a challenge in staying in the same place. While even though we're doing much better in terms of closures, the absolute premium, therefore, is a little challenged to that extent. But as you go through the year, we expect this to wash away. That's at one level.

In terms of what we are starting to see in terms of VNB from a medium-term perspective, clearly as Anup pointed out earlier, the profile shift in terms of the product has actually happened towards last full year. And going forward, I don't think there's going to be a large shift in the product profile, which means we are not seeking to grow VNB through margin. We seek to grow VNB primarily from APE growth. And to that extent, some of the trends that you could see over this last quarter, particularly when you look at the month of May and June, you'll see sequential growth plus you'll see strong year-on-year growth. In fact, in the month of June, we had a double-digit growth in APE for that month. So clearly, we see good movement and strong movement in terms of APE. Where we should end up, I think would be a function of two key segments, one, of course, how does savings actually pan out over the next full year. There are, of course, these transient elements in terms of the taxation aspect that will possibly impact it. But as we had mentioned before, we kind of expect to see that wash away as we look to the full year. Of course, environment factors will continue in terms of macro. But we'll have to see how that pans out through the year. Fundamentally, we don't think that this is going to be a drag. I think more from a medium-term perspective, there is expectation that savings business will continue to grow in terms of a nominal GDP. What can be quicker is obviously in terms of protection and more specifically in terms of retail protection. You've seen those green shoots come through. We've been speaking about this for the past few quarters. And now as you see the strong growth of 62% year-on-year for the quarter, I think it gives us a lot of comfort

to say that the entire sales distribution team has understood that this is the new way of doing business. And that is actually seen through not just in sales but in terms of the back-end operations team as well. So I think we are in a far better position today than what we were even 18 months back.

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And from that perspective, from the medium term, we will see how this evolves. We've always held that from a protection perspective, from a retail protection perspective, it's not just a few years in terms of the trajectory, we think it's a multi-decade opportunity. And we continue to hold on to that view.

Amit Palta: Now just to add, see today, business in retail other than ICICI is now close around 87% of our business. And from this 87% of our business retail part grew by ~20% in May, grew at ~20% in June. So that gives us comfort Avinash that, even if ICICI stays where it is, I think 87% of the business will help us be in line with the industry growth. And we will allow customer preferences to dictate how the margin will pan out. But overall, on APE growth aspirations, I think we are in a better position now with 87% of the portfolio already exhibiting the most recent growth trends of May and June.

Coming to one more question you had on direct business, yes, we do have an upside on direct channel. As you know, direct channel proprietary sales force, is largely looking at upsell opportunities within the existing customer base of ours. We'll continue to use our deep analytics to identify spaces, how we can leverage in a dynamic environment, where tax benefits was going away. And we'll capitalize on our ability to reach out to our existing customers with alternate propositions are fastest.

So you have the advantage of direct channel being fastest to get this proposition going to our customers. And that is something that we are seeing in the conversions. This has also given us the cues to create enablement through our partnership intermediary businesses as well. I do believe that this is sustainable, not just on upsell, but we are looking at going beyond upsell and explore some of the strategic segments that we can address through our proprietary sales force, which is part of direct.

And also, as you know, the direct business also comprises our ability to cross-sell through our digital assets, which is our website and application. We continue to improve our customer experience at our website as well as application. And of course, we'll explore opportunities around our partners to see how we can leverage their digital assets as well. So it looks quite sustainable in nutshell if I were to tell you.

Moderator: We'll take our next question from the line of Prakash Kapadia from Anived Portfolio Managers.

Prakash Kapadia : My questions have been answered. Thank you.

Moderator: We have our next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha : So I wanted get a better sense of why are our other bank channels in Q1, if you look at that segment, they have been flattish. In fact, there has been a decline of about 0.5%. So what is sort of hindering growth over there? And maybe if you could let us know or tell us about, what is our counter share in some of our major bank partners and whether growth will be driven more by the channel growth itself? Or are we looking at increasing our share? Some color over there will be helpful?

Amit Palta: Yes, so Madhukar, I answered this question previously as well. Let me brief, just reiterate once again. Growth has looked flattish for the quarter, actually returned to

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growth in the month of June. They are close to around 6% to 7% of our growth. That is bank partnership beyond ICICI. And like I mentioned, multi-insurer banks as well as CABR partners did see a huge scaleup on traction built around tax scarcity in the month of March. And hence, we cannot

rule out some part of the demand being pulled into March.

And hence, we saw some impact of that in the first half of the quarter. So overall pie at these banks was relatively constrained.

But, however, our share at these shops still continued to increase. I can't give specific numbers around partnerships. But all I can say is it was quite significant in terms of overall growth in the share of our business. And we believe that with growth returning in the second half of the quarter, we hold onto current share and probably will gain having picked our market share up in the second half. So that is what I would like to articulate here.

Madhukar Ladha : Understood. Just a follow-up on the ICICI banking channel, I think Mr. Bagchi clearly mentioned that the decision of what they want to sell lies with them.

Having said that, what is your expectation in terms of numbers from there? Do you think that this channel, which made about INR1,200 crores last year in business, does it -- has it plateaued? Or will it decline further from here? What are you guys building in when you make your business plans?

Anup Bagchi : So this is Anup here. So today, the proportion of ICICI Bank is small. So to that extent, I see it as a positive thing in the sense that 85% to 87%, we have full control of growing. And the balance, 13% to 15%, that is on ICICI Bank as to what their stance is. But they have said that the two products or two categories that they would be focused on will be protection and annuity.

Our plans essentially are not so much dependent on ICICI Bank now. So ours is an independent plan based on other channels. And on the other channels, we are very clearly seeing that these are all 18 months - 24 months old channels. The share of shop there is increasing. And wherever we have done partner workshops and we have put out strategy, clearly there is a good acceptance of that. We certainly want to be the partner of choice for all our partners.

And we would want to help them do more and more of these businesses. In many cases, we have seen that the absolute penetration of customers, that is customers policy divided by the customer base is all less than 1% ; 0.5% somewhere, 1.5 %, 2%. And it is inconceivable that only 0.5% or 1% would be wanting this kind of -- or that insurance product would be suitable to only 1% of the customer base.

And to that extent, what we have to really work hard is to move the penetration up and also show value to the partner that by selling an insurance product, which is a long-term product, in a good way. That is with high persistency indeed increases the stickiness of the customers with the partners. And long-term stickiness of the partners is really helping in their other products as well, particularly in banking.

And that is the value that we will, with our full data analytics, we would want to demonstrate to them and keep increasing our share, number one, of the existing business that they do, but we will also help them create new drivers of business for their insurance

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businesses, which is going to help us. So that is going to be the approach in general from our side.

Madhukar Ladha : Sir, but I understand that it's up to ICICI Bank as to how much business they want to do. But what do you think? What is sort of your expectation of growth from ICICI Bank?

Anup Bagchi : As a manufacturer, well all manufacturers think that distributors should do good business. So our expectation also is that if ICICI Bank does well, we will only be very happy.

Amit Palta : Just to give you a quick sense, Madhukar. In the businesses that they have

chosen to prioritize, ICICI Bank is already on a growth path. So to that extent, in protection, ICICI Bank is on a good double-digit growth.

Moderator: We have our next question from the line of Prithvish Uppal from AMSEC.

Prithvish Uppal : So just firstly, wanted to understand the retail protection

growth has

been quite strong for us for this quarter. And even sequentially, we've been more or less at a similar kind of run rate. So what channels has this been driven by? And second is have you seen an increase in policy count in retail protection as well?

Or is it more driven by sum assured being -- like a greater amount of sum assured being purchased? So that would be my first question. Second is, if you could just highlight what could possibly be the average ticket size in your non-par segment during the quarter compared to probably, say, last year and possibly even how much the policy count has grown. So these are the first two questions and then I'll come back for a follow-up.

Anup Bagchi : Yes, Amit, you want to? And Dhiren, you want to?

Dhiren Salián : Prithvish, in terms of policy counts for retail protection, of course, there's been an improvement. It's not just the ticket size angle, it's also a policy count aspect there. So yes, the uptick actually has been on more number of cases being sold. And this is actually quite broad-based. It's not just one or two channels. Of course, at a point in time, you might see some shift across from one to another. But it's a broad-based effort that has been going on across all channels through the year.

And we start to see that in this particular quarter as well. In terms of the ticket size as you mentioned for non-par, I think we're seeing it broadly stable and it is trending downwards. Because of course, we don't have the more than 5 lakh cases in the same quantum that we had last time. But as you also have read, the total cases over 5 lakh was not that large for us as a company. So to that extent, we are not worried. And more importantly, I think we're starting to see some migration away from non-linked more than 5 lakh towards the unit-linked pool, which means we're not losing the customer. We're able to offer them something else as they come and approach us.

Anup Bagchi: Also, just to add on, on the retail protection side, essentially there are four things that you're required to do. One is on the KYC side. Second one is income estimation, that is in general for life insurance policy. Third is health. And fourth, more and more and more, if you want to do preapproved sum assured kind of products for

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retail protection, you would then want to only take it essentially as a question-answer, then customers give information. And so the fourth element becomes a critical thing, how do you establish authenticity of the information.

Because it's later on during the claims, if the information given doesn't turn out to be fully right, then there could be an issue on the claim, which is something that no insurance company would want to do, because we are there to give claims for good customers.

And now if you see over the last 3, 4, 5 years, many of the things either are fully digitizable. KYC is fully digitizable. Better and better income estimation models are coming in. Better and better health models are coming in and with better path labs, etc.

So that ecosystem is also developing.

And if you go towards preapproved sum assured, there also, on the authenticity of data, there are other markers that you can bring in to get more authenticity of data. So actually more and more and more, we see that the congestion levels on the protection, if it is brought down, we are also seeing a shift in the society where in the demand for protection is coming, albeit for a certain segments of customers.

So when there is a demand, if you are able to then streamline the processes of meeting the demand through decongested processes without trading off risk and prudence, this is a business of growth. And this is a business that we will certainly be focused on. We are focused on this business and we will continue to be focused on this business. And this is a good business to be in. It is margin accretive. It is good

for customers. It increases

policy count. And it indeed is what insurance companies, life insurance companies particularly, we all strive to do more and more and more of that.

Prithvish Uppal : Okay, sir. Thanks, sir. Well understood. Coming to...

Moderator: Gopal, I request you to join back the queue, sir. Thank you. We have our next question from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: Hi, thanks for giving me this opportunity. I had two questions. So my first question is, within protection we have, this employer-employee type of questions. So just wanted to understand as of today, what is our share of, like what is the

percentage of premium that comes in this segment? And from a long-term perspective, do we see this as strategic to us or this is more of a tactical business, wherein where the pricing is right, we could consider it but it's not core to ICICI Pru ?

And my second question is your opening remarks had mentioned that, your guaranteed product is not very large as a share of business, so if we just quantify how much comes from this interest rate guaranteed business. And just another question here is that, some of our peers have a larger share of business coming from this category. And they claim that, they are able to hedge it quite well. So what would explain our hesitation in growing this business to a larger percentage, more closer to what our peers are doing today?

Anup Bagchi : Yes, Dhiren, you can take this.

Dhiren Salian : Yes, hi Anirudh. So in terms of the group term business, some of the improvement in protection share that you've seen over the past few years has come

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through group term. So to think of it as a one-off and a tactical move, I think is the wrong way. We've fundamentally been able to establish our position quite well in the group term market, because we've been investing in our group sales business for the past many, many years. And so we've held these relationships all this while, especially in the period of COVID, when there weren't that many companies quoting to clients. We were the ones who were willing to quote and quote appropriately. Of course, COVID was an evolving scenario at that time and we were able to correct prices as they went through. Fundamentally, this is part and parcel of our strategic element. I don't think we are treating this as a one off in that aspect.

Coming to your second question that you called out, fundamentally, the way we look at the non-par guaranteed business is that, at the core of it, it caters to the mass affluent customer, which means that, there is adjacency between the participating and the non-participating business. There may be shifts between these two businesses depending upon the interest rate environment, but fundamentally they would cater to the similar set of consumers, which is why we have called them out as traditional business in our disclosures.

Of course, what also happened over the past couple of years is that, given the interest rate cycle and the steepness of the yield curve, there were of course some element of pickup that has come in from affluent customers. But that was a transient part. And as you see the new taxation rules, there is of course some hesitancy that will come in from that particular set. Even though we think that from a long term perspective, these sets of products, even above INR5 lakhs, even if being taxed completely do make a lot of sense because they do take away reinvestment risk. So from the assets available that the customer may be able to invest money in, this should definitely form part of their portfolio. Coming to your third question, whether we're able to hedge it, I think we've been very, very categorical. The reason, we did not step into this market four years back was because of the lack of hedging instruments. As instruments were made available primarily through

FRAs, we grew that business quite well. We run a very, very tight strategy in terms of hedging, and we also run a tight strategy in terms of re-pricing. That is how we've been able to manage any residual risk that comes out of this book.

And it's extremely important to recognize that this particular book has to be managed tightly from a hedging perspective, because world over insurance companies have gone down from a mismanaging interest rate risk. I don't think insurance companies have gone down from a mortality risk perspective. So this is a portion that we have been watching extremely closely, and we continue to work on that. When we mentioned that a small portion of the book comes in from this pool, it's obviously from the overall book and not just the incremental segment, Anirudh.

Amit Palta : Yes, Anirudh, just one thing I wanted to clarify. Over the period of last few years, our effort has been to be most comprehensive product provider, which takes care of consumer preference changes that may happen because of the environment change. So once we complete the product portfolio, which could be, within savings, linked, non-linked, within linked, it is equity, debt, balanced, within non-linked, it is participating or non-participating. We allow the environment to take over and consumer preference to eventually decide what they want to buy.

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After that, we don't carry a bias against any one category of products. We allow it to play out the way it is. And we build capabilities over a period of time to adjust to that. And that is exactly what we did, when we saw an opportunity on guaranteed side. We

adjusted our capability to deliver on what consumer preference was. And that's when the hedging opportunity came, and we capitalized and converted and catered to the consumer preference change.

Anirudh Shetty : Got it. And would it be possible to quantify how much of our premium in Q1 FY '24 comes from this guaranteed products and how much comes from this employer -employee protection?

Dhiren Salian : No, we've not called those numbers out. And at one level, like I explained earlier, the way we look at the traditional book is fundamentally because of the fact that, this caters to a different set of consumers. And the inter -se mix between the two can vary at points in time depending upon the rate cycle.

Anirudh Shetty : Okay, no problem. Thank you for answering my questions.

Dhiren Salian : Thanks, Anirudh.

Moderator: Thank you. We have our next question from the line of Shashank Mundra, an individual investor. Please go ahead.

Shashank Mundra: Hi, so I was seeing the margin, so it has drawn Y -o-Y despite being high protection business mix, which is I think 70% - 80% plus margin. So, I want to understand the reason behind the drop in the margin and another one is on the cost side, despite the business being flattish, the expenses have increased so much? Thanks.

Dhiren Salian: Yes, Shashank. Hi, Dhiren here. So I picked up this margin question earlier and the reason for that is basically the inter se mix between the product profile. Where at one level, yes, you're right, retail protection has gone up. As we discussed earlier, there has been a drop in group term. Similarly, in the high value non -par guaranteed segment, that has dropped to some extent, those customers have gone towards the participating and some towards unit linked. So it's essentially the underlying product profile that has resulted in this margin that you see here.

Having said that, margin is not a focus as we've been reiterating on the call. Our vision is to be able to grow absolute VNB. And given the way that the product profiles have actually transformed over the past four years, the core driver of VNB is going to be absolute AP E. To that extent, while we've had a drop in AP E in the quarter, that is the co-driver of where the VNB drop is.

Having said that, through the quarter

also, we have seen improvements, sequential

improvements in absolute AP Es. So in the month of June, we've been able to do double digit growth numbers. The cost numbers of course as I mentioned earlier also had risen. Some of the larger cost elements, where this has gone up has been on employee cost, as we have been in vesting in adding more people on the ground, fundamentally along new banks, along new partnerships, and other elements of distribution cost as well.

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Shashank Mundra : Okay. And one more thing you mentioned about the agent termination in one of the earlier question. So I assume there must be some cost if you don't terminate some inactive agent.

Dhiren Salian : So that's a good question, Shashank. Fundamentally, the way we look at agency is because these are completely commissioned agents , it doesn't cost us to keep them on books. The first point of fixed cost and the efficiency that the fixed cost element draws out is what is very critical and that is the manager on the ground. So to be able to manage productivities of the se managers who manage these agents is what becomes very critical when you're looking at agency productivity and profitability.

I'd also like to add that, we spoke about this fact also, we've been on a digitalization journey for many years. In fact, we've actually built out an agent platform, which allows spans of these frontline managers to run as low as 10 to 12 to as high as 200. And again, because it doesn't really cost us to keep these agents on books , we pay no fixed cost. We're able to eke out even from a long -term perspective some of these businesses as well. So yes, while it looks on an agent productivity, which would be the total AP E divided by the 2,00,000 agents , looks like not so great as compared to the rest of our peers. More important, we look at productivity at a frontline level.

Shashank Mundra: Yes, okay, thanks.

Moderator: Thank you. We have our next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity, sir. Firstly, how should we think about the VNB margins going forward? Do we think that, we have already made the required investments which are required to scale AP growth or that will still ahead of us? And which will have some, which will probably drive AP growth but may have impact on VNB margins going forward.

Dhiren Salian : So, Nidhesh again, no guidance on VNB margin, absolute VNB growth is

what we seek. Again, a lot of it would be a function of the product profile that comes through. As Amit also pointed out earlier, essentially we're laying bare the entire product profile. And as Anup pointed out, what we're seeking to see is, what is the specific product that can fit a particular customer through that specific distribution channel. So understanding the nuance of the distribution channel to see what kind of customers they have, and therefore what are the products that we could sell to them. The outcome of all of that is what we would end up in terms of the VNB margin. Again, we hold no targets on VNB margin, absolute growth in VNB is what we seek. And again, based on the way the product profile comes through, we will take it as it comes.

Amit Palta: Like I give you an example, Nidhesh, like what we mentioned, that change in the consumer preference, whenever it happens, we want to be there catering to customers change requirements. Like for instance, what we saw towards the end of the quarter is where large value deals which typically were coming in non-participating platform. We started seeing large part of this business shifting towards unit link products. So internally at the organization level, we don't get partial towards any one

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category of products. If customers started choosing unit linked products, we were more than happy to serve them through that.

And that is what is evident in the way we have looked

at our average premiums and

non-participating in unit linked. So unit linked went up by 10% and non-participating went down by 10%. So it was all about consumer deciding as to what it is. So to answer your question on VNB margin outlook, while absolutely right, what Dhiren mentioned, that we will not be guided on margin percentage. We will allow the ecosystem and the environment to drive the margins for us. We will stay focused on the drivers that we have identified for our distribution through which we intend to deliver our AP growth. That is what, we will focus more as a controllable, that's the market forces and the environment will take over.

Nidhesh Jain: Sure, sir, so just to follow up on that, so if you look at last four year journey for us, we have delivered on VNB growth, despite a lot of headwinds that we were facing, but in the process we have maxed out on product mix changes. We have probably also invested less in our distribution, at least in FY '22.

And FY '23 probably we started this investment journey in our distribution. So where are we currently in the investment journey? Or do we think, our investment will continue to accelerate going forward in FY '24? Leading to growth in cost ratios vis-a-vis top line growth that we have seen in Q1. Is that likely to continue in FY '24 - '25 or not?

Amit Palta: Absolutely. We want to stay invested in building capacity. Proprietary channels already are close to half of our business today. And we want to stay invested there and want to build capacity. As you rightly mentioned, Nidhesh, in between during COVID, adding to capacity would have added cost without any bottom line or top line because gestation period for settling into reasonable productivity is much longer in proprietary channels.

And hence, for a very reasonable reason, we stayed away from investing during times which were very difficult. And we were banking mostly on efficiency and productivity enhancement of our existing distribution. So the journey that we started 12 months, 15 months back, we want to continue. And for next couple of years, we want to stay invested relentlessly. And that is what, like I mentioned in the previous, to the previous question as well, almost 5% to 7% of our agency business, we are seeing coming through from the additional capacity that we've built in last 12 months.

And that is something that will continue. So this is incrementally going to only add and become significant as we go deep into the year and even the coming financial year. But that will only happen if we continue investing. And that is what is one of the reasons also that, we invested in first quarter, we did not stop. Though for seasonality of business, typically you see much lower business in quarter one. So percentages look heavier in the earlier quarters, but as you go deep, it will all get squared up.

Nidhesh Jain : Sure, sir. In FY 2019...

Moderator: Mr. Jain, I request you to join back the queue, sir. Thank you. We have our next question from the line of Sanketh Ghoda from Avendus Spark. Please go ahead.

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Sanketh Ghoda: Yes, thank you for the opportunity. I just wanted to check on this protection business again, that probably there was a campaign run in bank or even the agency channel, and even to some extent in Policy Bazaar, that the price hike is coming

in. So I just wanted to understand, that led to an up-fronting of the growth in the current quarter in the individual protection business. That's point number one.

And if the price hike is coming, I just wanted to understand the reason for it, because I don't see any competitor increasing price. Have we changed our reinsurance strategy? Because we have a different reinsurance strategy compared to the peers. So I just wanted to understand that part a little better on protection. And second question was more on margin again.

There should be some level where you might be thinking t

hat beyond below this number,

I am not comfortable to go margin, whether that number is 30 or 29 or 28, I'm not sure. But there should be some number in your mind probably beyond which the margins going down might not be comfortable. So at that point of time, you'll take a calibrated step on more product mix rather than just chasing what customer wants? So I just wanted to understand these two parts, share from you.

Amit Palta: Okay, so Sanketh, let me try addressing first of all this protection part. The protection pricing part that we are putting, actually this is an ongoing exercise that we keep doing. Internally in a committee based approach, we keep looking at profiles in various cohorts and keep looking at our risk to pricing and balance between the two. And we do correct our pricing on a regular basis.

Now, this is something which is not periodic, but it is something that we take stock every month. Sometimes we may decide to increase pricing in some cohorts and some months, we will decide not to. So it is generally at some pockets and some cohorts, where we find an experience where it necessitates us to correct pricing and that is what we do it. It has no implication on demand going forward to that extent because protection product is more or less now standardized in terms of pricing, it's not much of a disruption that we've seen in the industry. So to that extent, there is nothing in terms of demand, which is affected because of some price change that happened in the past. So that is on protection part.

Second on margins, you spoke about, what is that bare minimum? So let me answer by saying that, the biggest driver, if you were to ask me, as to what we should be doing to look at enhancing our overall margins, if at all, is of course to reach out to customer segments where the natural demand of the products from those customer segments is the one, where we see same as margin accretive. For instance, typically mass and mass affluent, where the entire industry is going to be focused on but to increase width and increase number of policies by reaching and penetrating more and more.

Anup spoke about the fact that current penetration being 0.7%, 1%, 1.5% across various partnerships. If you were to move towards 5% kind of a number, you have to go deeper and go beyond affluent and go to mass and mass affluent. And there naturally you will understand that probably simplified products like participating and non-participating will make more meaningful sense.

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So our effort will be to increase with, reach out to more and more customers, increase penetration. And by virtue of reaching out to this customer segment, but probably, you will see a category of products will start growing where probably margin acquisition is relatively better in comparison to what you see in unit link products.

Anup Bagchi: I will just come in here, just to add to what Dhiren and Amit said, on this margin management thing because a couple of questions that come on the margin management. So what is the approach and philosophy of margin management? So margin management essentially, just mathematically is a function of product. Now, if it is a function of product mix, then it is then a function, but ultimately it emanates from the customer segment.

So what we have seen is that, there is a wide ranging quality parameter on when you triangulate the persistency, the product and the customer code. And wherever we have seen that the customer suitability and the product suitability is not right, there the persistency drops perceptibly. And wherever there is a customer suitability and the product suitability is there, even after five years, we have seen 90% plus persistency, although the market persistency, as you know better, Sanketh, is hovering around 50s, mid-50s, and 60s, but we have seen 90%. Then the real question that comes back is that, why is it that some people are at that

level and some people are at 90% plus?

The real answer to that and that's the only answer to that is that, wherever the product suitability is proper and there is continuous customer engagement, you get high customer persistency because that is where the customer needed the product. They understand

the product and it is well sold and it is well accepted and then your engagement and so the fall off doesn't happen that they forget whether to pay premium, not pay premium and they understand that, these are locked up products and they understand why they brought the product.

Then the question really is that, if you really want to do margin management, then we have to find out pairs of such products and such customers. So if you don't diversify on products and you just allow the customer to play, they obviously will pick up a particular kind of product, if you put a control on quality. And so while your quality may be good, if you don't diversify your product customer base, you will have lesser growth, but you will have quality growth, and you will have a product. Now, that product depends on it could be a low margin product, it could be a high margin product.

Now, as a company, you cannot allow that fully. So because ultimately, VNB will come from margin multiplied by the top line growth. And so because of the heterogeneity of the partners that we have, we have seen that, you have all kinds of customer cohorts within us, within our customer partners base. And so we are digging deeper into the partners base to see, which are the kind of cohort and which are the kind of products cohorts that you bring and you pair them for higher quality business. And then you go after that one by one -by-one and make sure that the channel is activated for that product through that channel for the correct customer segment.

And that is the way in which your quality also will be maintained, your growth will also come, and your margin will also come. And that is going to be our approach. And we have seen, working very closely with partners, that wherever we have done this kind of a workshop, we have seen that, the green shoots are very good. And they understand it,

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and it is easy. And then the partners don't see it purely as a fee income. It is a fee income product. But they also see it as a part of the overall book your product, where they will get attachment for a long period of time. And if you're a bank, where ultimately, you require attachment for you to lower the volatility of your liability, lower the volatility of your customer, this is a very, very good product because it is locked up product.

And if understood well, you have to sell it only to 10%, 15% of the income. Just like you cannot over-leverage in lending, you cannot over-leverage in insurance as well.

Otherwise, you'll have a persistency problem. So this is a slightly multivariable issue that we have to solve. And that is the approach that we are taking. And this is the approach that is going to be useful to us. And I'm very confident that, it is going to be useful to us. And I'm also very confident that, the game that we have to play is not 0.7%, 1% going to 1.1%. The eye, we have to keep is 2%. Of course, we have to month over month, quarter over quarter, we have to grow.

But really the big problems that we have to solve within our company is, how do you set up the foundation that you can go from 1% to 10% and how do you do the full penetration on the customer base? How do you understand the barrier to adoption? How do you understand that, why customers don't buy? And you get to know, why customers don't buy from the customers who buy.

And which is the peer? Which is the agent? Which is the channel through which the customers buy in a more persistent manner without complaints? So really, I thought, I'll just answer it comprehensively, because what I was hearing is that, these are coming across as disjointed questions.

It is actually just one big problem that has to be solved, of course, by breaking this into four, five variables but doing it in a cohesive, integrated manner.

Sanketh Ghoda: Perfect, sir. This is very useful. Thanks.

Moderator: I request you to join back the queue, sir. We'll take our next question from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan : Good evening. Thank you for taking my question. Just the first one, just the only one on ULIP. I think, in the opening remarks, there was a mention that ULIP demand is starting to come back. So, and maybe it's also a result of this tax breaks going away. So I just want to understand what are the demand dynamics here? It still is a 40% kind of APE contribution. So when we talk about growth, both APE and VNB, can you talk about what's happening on the ULIP demand dynamics? And also the constant maturity product, thought process behind it? Was it a missing product in our portfolio? So any color here will be helpful. Thank you.

Anup Bagchi : When it comes to the philosophy of fund, essentially, the constant maturity came up because on the mutual fund side, the tax advantages have gone up. Here, the tax advantages remain the same, and there are a segment of customers who don't want to take. Of course, ULIP is associated generally with equity, I must admit or at the best

balance advantage funds equivalent. But there are a certain set of customers who want their wealth to get compounded in a tax-free manner for a long period of time, and that is where this product comes in. Like I said, essentially, it is not about coming out with the product, it is about understanding there a product positioning for a segment of

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customers and then searching for those customer segment of customers and which channels can that be paired to with what product.

And that is there. So we are seeing reasonable traction on the fund. And customers who have taken this fund, they seem to be generally happy because it is clear what they are taking. For example, in constant maturity fund that they are taking a debt fund and they should not expect equity type of return. I think selling and expectation is very, very critical. All of us in this call belong to financial services, and it's important that everything is against an expectation.

And so disappointments and happiness all comes against expectations. So this is basically tuned for that kind of customer segment through these kind of channels. So these are not traditional equity ULIP kind of channels also that also we are seeing and but they search for this kind of product and then sell it and the experience so far has been quite good.

Shyam Srinivasan : Sir, just on the first question, ULIP overall, not constant maturity?

Anup Bagchi: Not constant maturity, I think, what has happened is a little bit of spillover has happened greater than INR5 lakhs because they're affluent. Affluent essentially, if you look at ULIP and if you look at ULIP equity, they were all non-affluent types. So part of the spillover has come to ULIP. But it is 40%. So there is -- it's not too much of a deviation from our general product mix.

Amit Palta : Yes, specifically, if you were to see in unit linked business, there is a bit of a channel color as well that we have internally, which is very unique to us. If you were to keep ICICI ULIP aside, then you will see actually some 11% kind of growth on linked business that we have seen in channels other than ICICI.

And that is largely contributed by what we witnessed in the second half of the quarter, where large value deals instead of coming in non-participating range of products started coming in unit linked business. And that is when it coincided with CMF launch, Constant Maturity Fund launch. And since the story came at a time when the number of options available for tax savings, rel

ative tax savings, was very attractive on this kind of a platform, then we saw an uptick in the channels other than the ICICI.

Shyam Srinivasan: Thank you. And all the best.

Amit Palta : Thank you.

Anup Bagchi : Thanks Shyam.

Moderator: Thank you. We have our next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Hi, thank you. I have two questions. First is on the credit life business. So in the annual report for the full year, you've given about INR4.8 billion of credit life. In previous years, you used to give us the breakup of credit life between ICICI and other banks, if you could help me with that?

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Also, any color on what kind of attachment rates are we seeing in the other banks because I'm assuming that the majority of the growth should be coming from that segment. First is that. And second is just a clarification. You said that agency channel in May and June grew at 20%, 23%. Does that -- is that correct because that implies a 50% decline in April. So just these two from me.

Dhiren Salian : Yes. On the second question, yes, agency broadly right. You got the numbers broadly right there.

Amit Palta: Yes. So, as you know that there is generally a traction of spillover business that happens from March to April. And that has been the trend in the past. And this year being special, most of the logins that we experienced in the last week of March was issued by us March itself because there was sensitivity around the tax proposition. Hence, we actually dislodge ourselves from April performance because large part of spillover, which was a trend in the past, did not happen for us this year. Hence, April looks a little skewed, but you are right. May, June is 21%, 22% growth for agency and resultant is whatever we saw in the month of April.

On the first question that you asked on credit life, we actually don't share specifically channel-wise numbers on this, but if you ask me among on attachments, see this is

something that we completely go by our partner priority, depending upon the type of customer, the type of businesses they are in, whether it is MFI, whether it is home loan, personal loan, vehicle loans, you know, that credit line today is being sold across category of loan products. And we have seen attachment rates are varying from product category to product category, and also depending upon partner priorities, right? So to that extent, there is no standard number that I can reply you with, but it varies from partner-to-partner.

Shreya Shivani : Got it, that's useful, thank you.

Moderator: Thank you.

Dhiren Salian : So that number varies as such, Shreya, in terms of what are the share of ICICI Bank that comes in., it can be anywhere between a quarter to a half depending upon the period.

Shreya Shivani : Yes, because last three years, FY '20 to FY '22, the annual report did have a breakup of credit lines between ICICI Bank and other banks.

Dhiren Salian : Yes, so a lot of it also is additional credit life across new partners. That's where some of the growth is coming from.

Shreya Shivani : Okay, got it, got it.

Moderator: Thank you. We have our next question from the line of Aravind R from Sundaram Alternates.

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Aravind R: Hi, thank you for the opportunity. As you're talking about the agents, some of them being not active. Can you give some color on the number of active agents in the system?

Dhiren Salian : So, we've not called that out. Like I said, one of the core reasons is looking at total APE and looking at channel economics, it makes more sense to look at what is the frontline that we have. And also, as I mentioned, given the way that we manage the channel using our digital platform, span can be as low as 10, which can go all the way up to 200 as well.

So I think, it becomes a little more important to kind of look at what the channel delivers in terms of absolute APE, because

at the end of the day, the agent is completely variable for us.

So he takes his commission only if he performs and delivers business, if he doesn't, he doesn't. So that's the way we actually run that business. And it's not looking at number of agents that we have overall on our books that we're chasing at any point. Obviously, at points through the year, there will be a change in number of agents who are active at any point. But again, it's also a function of the underlying nature of those agents. Some of them are far more professional, some of them are semi-professional. And so to that extent, their activity levels will vary through the year.

Aravind R: Just one more question if you can, if it's permitted. I understand you're talking about, it's upon the ICICI Bank, bank itself, but in terms of business per branch of a bank, and when compared to other peers, it's one of the lowest among the peers. So is there any target or something in mind to improve that to some average level in the industry, certain thing?

Dhiren Salian : Aravind, you're referring to ICICI Bank productivity per branch?

Aravind R : Yes.

Dhiren Salian : So I think, we've discussed quite a bit on ICICI Bank's philosophy on what they're looking at from a third party perspective. And when you put that out, I don't think comparing ICICI Bank's per branch productivity with any other bank would make, you know, it would be an apples-to-oranges comparison actually. The Bank is very clear that the kind of products that they focused on are going to be protection and annuity and given those ticket sizes, it's obviously going to be much less than that of other products.

Aravind R: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta : Yes, I have one follow-up question. So from April this year, the new IRDA guidelines have come in and which is the more product-wise commission caps. So just wanted to understand how has that resulted in, some of the negotiations with the non-ICICI bank partners, or how are commissions there now trending post these changes?

Dhiren Salian : So, Supratim, the short answer to that is this is still an evolving scenario. There are conversations on. At some level, one would expect commissions to go up. But

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from a company perspective, I think, what we would seek to do is to keep overall unit cost broadly stable across where we were because at the end of the day, there's only so much that can be put into the product from a pricing perspective.

And so if there is going to be an increased commission, then there is going to be a reduced set of operating expenses that will have to happen there. But I don't think, the market has stabilized at this point. That is our sense in some of the conversations. Yes, to some level, in some cases, there have been some increases in commission, but I don't think all of it has played out. I think, we'll get a much better picture as we go through to the end of the year. This could just be a little premature at this point.

Supratim Datta : Got it, thank you.

Moderator: Thank you. We have our next question from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal : Yes, hi. My first question is on the ULIP since we discussed that we are selling products given by demand. So I wanted to understand anything you are doing towards increasing the product level margin particularly for ULIP because the in the last call, I think, we discussed that the margin can normalize to a much lower level and would remain as is. Is that the case, or is there a change in strategy or you can see the margin might improve from that level?

Dhiren Salian : So Neeraj, taking that question on ULIP margins, I think by regulation, there's only so much that a ULIP product can deliver in terms of margin. There could be variations from year -to-ye

ar, period -to-period, depending upon how efficient we are in that period. But I don't think, this is going to be like a high double digit kind of a margin product at all. I think, the guidelines are fairly clear in terms of what has to be given to customer. And so to that extent, this is not going to be fairly high margin, relatively speaking. But again, as we have said before, it's a question of where is the customer opportunity? This product clearly caters to our affluent customer segment. If they're able to sell much, much more than what we would have sold in another customer segment, then clearly it gets VNB on the table. Because again, I come back to the first point, we're not guided by margin, we're looking at growth of absolute VNB. This is an opportunity pool that we should not be letting go of.

Traditionally, we've had great strength in this pool, and we continue to have strength in this segment. And we'll continue to innovate and bring new products that will be relevant for customers in this segment. And one example of that is Constant Maturity Fund that we launched in the month of May. Clearly, that was an opportunity we saw given all the changes that were happening in the environment and the fact that there wasn't a credible offering from the life insurance stable, which is where we moved quickly and got that out.

Neeraj Toshniwal : Got it, sir.

Moderator: Mr. Toshniwal, I request you to join back the queue, sir. Thank you. We have our next question from the line of Sahej Mittal from 3P Investment Managers. Please go ahead. Mr. Sahej Mittal, please unmute your line and go ahead with your question.

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Since there is no response, we will move on to the next question from the line of Akshen Thakkar from Fidelity. Please go ahead.

Akshen Thakkar : So one on retail protection, strong growth this quarter. You know, in the past two to three years, we've spoken about constraints in terms of underwriting, in terms of ability to pay for customers to pay that much. Now if when you think, I'm not saying this year, this quarter, etcetera, just the next two to three years, would you say that this business has now got back to a run rate where you feel confident that it will deliver the kind of growth which an underpenetrated category like this deserves? That's question one. I'll wait for you to answer and then ask follow-up question.

Dhiren Salian : Okay, so, Akshen, I think, we're getting a lot more confident in the numbers that are being generated on a month -to-month basis. There's a lot more stability that we see. Of course, as you pointed out, in the past periods, the environment challenge was a key factor in the drop that we saw in retail protection.

But as we had mentioned earlier also, we have been working hard actually at a unit level to try and understand what are the core drivers, be it at the sales side, be it at the operation side, be it at underwriting side. And we've been slowly working at addressing these over these years. So as we stand today, I think, we've moved much further direction and we're getting a lot more confident the way the numbers are actually shaping up. Can we do more? Of course we can do more and as I mentioned earlier, we fundamentally think that this is a multi-decade opportunity. We are not shying away from that. It was essentially coming out of that period of adjustment that we have to work through and

as we see it I think, we're far better position today than what were, let's say a year back. Amit, would you want to add?

Amit Palta: Yes, so Akshen, just to explain it further and understand what happened in protection over the last few years, I just want to mention that at one part of congestion was created because of underwriting policies becoming stringent on account of unforeseen impact on mortality risk, which was envisaged during COVID. So that is one factor that this is no longer as big a fear or apprehension as it was

two years back. So

experience is definitely much better than what we thought a few years back, which is leading to process becoming simpler.

Two, Anup mentioned that congestion. Process over a period of last few years has actually eased out because of the overall data which is available in the ecosystem. So everything to do with process today, our ability to get KYC from the customer, get income documents from the customer is getting easier -and-easier and newer options are emerging to make process more seamless for the customers. So I want to believe that one, because of experience, two, because of ecosystem data, processes are becoming simpler.

And third element, which is also critical, is the distribution reset. Because distribution was selling protection in a certain way till the FY '17, FY '18 and subsequent to COVID, it had to take some time to reset and follow a different regime of selling protection. So all three things have contributed towards retail protection now turning around. So I do believe that all these three are quite sustainable because ecosystem will only get stronger -and-stronger, ecosystem will get data rich, experience I don't see it undergoing any drastic change because all those calamities are behind us. And distribution reset has already

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happened. So more -and-more participation you will see from distribution going forward as well.

Akshen Thakkar : All right, great. Thanks for that answer. Second, Dhiren, to you, a little bit of a housekeeping question. You mentioned that growth in April was a little muted because March month had seen a big bump -up in premium growth. When we think through growth for the full year, would you say that the extra bump that you got in March, the effect of that would have played out in Q1 largely, or do you think, as we look at growth in Q4, you will have some residual impact on Y -o-Y growth in Q4 as well? Just trying to, I'm not looking at exact numbers, just directionally how we're thinking about that?

Dhiren Salian : Yes, so April was not a great month. And I think to some extent, we were fairly clear that we needed to get the operational efficiency fairly high in the month of March, given that some of the policies were in the traditional pool. And some of them, of course, were in the more than INR5 lakh range. And there was no way that we want to let those spill over into the month of April.

So typically, April is one of those months where there is new business generation that is quite low. That has been the case of the industry and depending upon different years, looking at whatever spillover comes through because you are unable to issue all the cases in the month of March, you see some of the April numbers shape up. But having gone beyond that, I think, looking at May and June are the ones that are more critical. And there you could see even within as we've disclosed earlier as well, there has been a sharp movement up in terms of the overall business for the month of June, sequentially, as well as on a Y -o-Y basis. We continue to see those trends even now.

And the way we look at it is that quarter 1 is only about 15% of the overall business. We are cognizant of the fact that March last year was a fairly strong March. And therefore, it's important for us to be able to drive growth in the balance months as we go through to the end of the year. So I'm not giving a set of numbers, difficult to call out, but effectively this is amount of color that I can provide in terms of what we're driving towards.

Akshen Thakkar: Yes, so I mean, it will be a volatile year, but I think, Q2 and Q3 from what you're saying should give a better reflection of the growth cadence in your business rather than looking at Q1 or Q4 or full year numbers because there'll be a lot of noise either side of the quarter. So..

Dhiren Salian: You're right. And Akshen, as we spoke of earlier, one of the core drivers of VN

B development is going to be AP E growth and therefore this is clearly top of our mind. Not that it wasn't top of our mind earlier, I think, people were not able to appreciate the overall movement across those channels, given the preponderance of some of our

channels that were not doing so well. But as you now see that portions of the business are much smaller, overall you can start to see the AP E growth come through quite strongly.

Akshen Thakkar : All right, great. Thank you guys and all the best for the rest of the year.

Dhiren Salian : Thanks, Akshen.

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Moderator: Thank you. We have our next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Hi, good evening. Just two questions. One on the persistence improvement. Can I get some color on whether it is led by a mix change on the product side that you have seen or on the individual product classes also you're witnessing improvement across cohorts? And second, if you can give some color on your individual riders attachment rates or across your policies that you're seeing and whether there has been any trend shift on that particular segment out there?

Dhiren Salian : So on persistency, Dipanjan, the answer is both. We're seeing some improvements at the LOB level as well as some amount of mix change. At the first one is what is more critical. I think, irrespective of where the underlying product mix is, it is important for us to be able to deliver on persistency because that's essentially the promise that we've got from the customer. So all efforts are on towards improving unit level persistency as well. In terms of riders, I think they're quite small at this stage. We just started another drive on improving rider attachments. Let's see how that shapes up through the year.

Dipanjan Ghosh : Sure. Thank you and all the best.

Dhiren Salian : Thanks, Dipanjan.

Moderator: Thank you. We have our next question from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Thank you for the opportunity. Now that we sort of look back over the last six months, and kind of, say that March was extraordinarily a strong month, which obviously had a rub off in this quarter. Would you want to call off the extraordinary in the month of March?

Dhiren Salian : Call off extraordinary month? So Nischint, I don't think that's a fair question on the perspective that if we hadn't taken the business that was on the table, you would have asked a different question of us now. So I think, we saw the business, we took it, and I think we move on to the coming quarter. We know it wasn't that large overall, but clearly we know what our work has to be from a cutout perspective. Important to see that on a sequential basis, you are seeing positive trends. And like I said, coming into June, it is a double digit growth number. And that's what we want to build on.

Nischint Chawathe : I guess the way I'm coming in is that, for March this year, you probably going to be looking at growth over growth, like, or it's not something that...

Amit Palta: We want to stay optimistic because March is still quite far away. And I'm sure the journey that we had started doing on building capacity will also start playing out through the year, right? So there are a lot of things that we probably have built up over a period of last 15 months, and that only will go and become more -and-more efficient and productive as we go deep. So March is still far away. I'm sure we will work towards filling -up for the scale -up in March to the build -up capacity in next few months.

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Anup Bagchi: So Nischint, these kind of, see Anup here, these are two independent questions. Whether March was a strong month? Of course March was a strong month because there was an event and so March was a strong month. Should we have taken the business? Yes, we should have taken the business. Why leave the business i

f the

March is strong? You don't leave a business or you don't take the business thinking that year-on-year next year will be low. So that's an independent thing. Now, whether the next march will be strong or weak is a function of what capacities we are building and what is the market opportunity there?

Our general focus and our approach will be that whatever be the last March, we will see it's an independent thing. It's a thing that is behind us. We have to look forward and ensure that we have to keep growing. And we have to build capacities for growth. And whether March was good or bad, we will see. We will want to make last March an ordinary March. And we will all push and focus to make it an ordinary March, so that when you look back, you say that while it was an extraordinary March, your growth is so

strong that it was an ordinary March. So this is also my request to Amit and team.

Nischint Chawathe : Sure. On the product strategy side, it looks like, ULIP is kind of making a comeback. And I think, at the same time, you are investing in the franchise, investing in the agency force. Typically, the trend that we have seen over the last three years is that agency tends to be sort of no more non-link heavy than ULIPs. Probably maybe driven by consistency outcomes. So how do you see both adding up adding up you know in terms of...

Anup Bagchi : Good question. I am not seeing, see, ULIP, see we have all products and what happens when the marketing generally is good etcetera, there is a bit of shift towards ULIP. Also because non-par guaranteed has moved off, some part has shifted towards ULIP but our sense is that it is not as if it's a secular trend moving towards ULIP and it will not go back. It is for us to discover different customer segments and come out with more suitable product to manage our product mix so that we are a balanced company.

Now, of course, to a channel which is, let's say, more ULIP-focused, and if they have got ULIP customers, they obviously will sell more ULIP. But then it is up to us to also find out other channels, develop other customer cohorts, so that we get more balance. So I think that is nearer to the situation. I don't think it's a secular thing. When the market moves, ULIP is a market focused business. So when it moves, it moves. And when it moves, one should take.

Amit Palta: And Nischint, just to add effort like what Anup in one of his answers to the previous question mentioned. Idea is not to say no to ULIP, let ULIP grow in absolutes, but how to reach out to customer segments who need a product which is different from ULIP. And that is the journey that we have started. It's a journey which is about understanding customer segments of our partners.

And with only 1% kind of penetration that our partners have, I'm sure there are customers which are beyond affluent, who may need products other than ULIP. And that is the journey that we have to traverse and that is what we have started working on. I think absolute growth in ULIP is welcome, but at the same time, we have a task laid out in

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terms of what we want to do to increase width by increasing number of policies and segments beyond ULIP customers.

Nischint Chawathe : Thank you very much and all the best.

Moderator: Thank you. We have our next question from the line of Mohit Mangal from BOB Capital. Please go ahead.

Mohit Mangal : Yes, thanks for the opportunity. My first question is towards the annuity. So we saw annuity declining and if you look at last three to four quarters, we saw a very strong growth. So what went wrong this quarter in the annuity business?

Amit Palta : Yes, so I'll take that. First of all, let me just put in context that last year, we had an introduction in one of our new products on a regular premium platform. So last year first quarter was a good 60% -plus kind of a growth for us in annuity. So it was one, it was on a

very large base that we saw annuity growth declining, that is one, which is a very technical Excel file, mathematical explanation.

But second thing which I want to articulate here is that if you were to segregate annuity business into regular premium products and single premium products, then we actually saw a constrained growth in single premium products. So regular premium continued to grow at around 30%, 40% for us in this quarter. However, single premium was impacted. As you know that, currently rates available in deposits are at an all-time high at this point in time. And some of our bank partners did prioritize at this point in time to look at deposit mobilization as a primary objective.

But we believe that it is transient. Eventually, what the regular premium annuity product serves is a customer who's nearing retirement against a customer segment which is, who's already retired when it comes to single premium product. So it's not a customer segment issue, it is a transient issue, which we do believe that demand will come back as we go deep into the year.

Mohit Mangal: All right, very clear, thanks and all the best.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Yes, hi, good evening everyone. Just a couple of questions. Firstly, the INR5 lakh-plus ticket size, what would be the share of that premium in 1Q and versus say, 1Q of last year? If you could help us with that. And secondly, with respect to the retail protection, what is the kind of risk that you are taking on your own balance sheet and what is the level that you're passing out beyond which you're passing it on to the

reinsurers? And any change there? Yes, that would be my two questions.

Dhiren Salian: So hi, Prayesh. I think, breaking it down back again into less than INR5 lakhs and more than INR5 lakhs, I think we would want to stay away from that.

Fundamentally, because we still are looking at the opportunity. And like we said, there is going to be some shift that happens across. It is not a large amount that used to be for us, nor is it at this point. I think, our focus overall is to be able to reach out to different consumer segments and offer products that are relevant there.

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So if at some level, the more than INR5 lakh ticket size, we're seeing some, if you see some drop coming from a non-par segment, there are other products that we are offering and we're starting to see some pickup on that, which is what we mentioned earlier on the call. I think, our focus will still be to be able to grow overall business, irrespective of which segment it comes in from. Coming to your second question on retail protection, we've not changed our reinsurance levels on retail protection. The retention levels continue to be at INR1 crore and we're comfortable with the experience that we've taken on.

Prayesh Jain : Thanks.

Moderator: Thank you. We have our next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity again. So in FY '19, we put out our aspiration to double VNB over three years to four years. What are our aspirations for VNB and AP over medium to long term in terms of growth?

Anup Bagchi: No. We will just continue to work hard to ensure that VNB keeps increasing and with a stance towards growth.

Nidhesh Jain : Okay, sure.

Moderator: Mr. Jain, does that answer your question?

Nidhesh Jain : Yes. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Anup Bagchi for closing comments. Over to you, sir.

Anup Bagchi : Yes, Yes. Thank you all very much for joining this evening and we'll just continue to work hard to ensure that all our customer needs are met through the suitable products, through the most appropriate channel. Thank you.

Moderator: Thank you. On behalf

of ICICI Prudential Life Insurance Company, that

concludes this conference. Thank you for joining us and you may now disconnect your lines.

Safe harbor: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. The risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof

Call: Nov 2023

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 5039 1600, Fax: +91 22 2422 4484, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

October 23, 2023

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and ha lf year ended September 30, 2023

This is further to our letter dated October 6, 2023, and October 17, 2023 . The Company had hosted an earnings conference call with investors and analyst on Tuesday, October 17, 2023, to discuss the performance of the Company for H1 - FY2024.

Please find attached the transcript of the 'earnings conference call' for H1 - FY2024. The same is also made avail able on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Sonali Chandak

Company Secretary

ACS 18108

Encl.: As above

Anup Bagchi – M.D. & CEO:

Good evening and welcome to the Results Call of ICICI Prudential Life Insurance Company for the Half Year -ended September 30th, 2023.

I have several of my senior colleagues with me on this call; Amit Palta, who heads Distribution, Brand Marketing and Products; Dhiren Salian , CFO; Judhajit Das who heads Human Resources, Customer Service and Operations; Deepak Kinger, who handles Audit, Legal Risk and Compliance; Manish Kumar – our Chief Investment Officer, Souvik Jash , Appointed Actuary; and Dhiraj Chugha , Chief Investor Relations Officer.

Let me take you through some of the key developments during the quarter before moving on to discuss our strategy and performance:

First Development: On the regulatory front, as a step towards moving to RBC regime, IRDAI has directed insurers to undertake a quantitative impact study to assess the impact of the proposed framework for quantification of capital and solvency requirements following a risk -based approach. Additionally, with the objective of aligning India with global accounting standards, the Regulator has notified the phased implementation of IFRS/IndAS in the insurance sector starting April 2025.

Second development: A recent development in the fixed income market is the introduction of 50 -year GSec in the H2 -FY2024 borrowing calendar of the Government, a long -standing demand, particularly by life insurance companies. The introduction of these ultra -long -term bonds is a positive move for the entire industry.

Third development: We had our 23rd AGM through the video conference on July 28, 2023. All the items specified in the notice of the AGMs were approved by the shareholders of the Company.

I'm also pleased to inform you that the members of the Company have approved the item of special business pertaining to the appointment of Mr. Solmaz Altin as Non -Executive Director nominated by Prudential Corporation Holdings Limited w.e.f. August 22, 2023, in place of Mr. Benjamin Bulmer by way of an ordinary resolution through the postal ballot.

Fourth development: I would also like to share that ICRA and CRISIL domestic rating agencies have reaffirmed the long -standing rating of our subordinated debt program as [ICRA] AAA

(Stable) and CRISIL AAA /Stable respectively. The outlook on the long -term rating is given as stable by both these agencies.

Lastly, I'm happy to share that our Company has received an award for the "Best Sustainability Report " from CMO Asia. Additionally, the Company has also been bestowed with the "Best Overall Sustainable Performance " and "Best Sustainability Report" at the 10th Edition of the National Awards for Excellence in CSR and

Sustainability from World CSR Congress.

I'm also pleased to inform you that MSCI, a leader in ESG research and index provider, has upgraded our ESG rating to AA, which places us as a 'leader' among life insurance

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globally on ESG front. In fact, among all the listed insurance players, we have the highest ESG rating. FTSE Russell has also improved our ESG rating score, which is higher than the life insurance sector average.

Lastly, Sustainalytics has retained our Company as low-risk status, ranking us among the best among all Indian insurers. These awards and rating upgrades are a testimony of our commitment to the ESG practices.

I will now move on to discuss the key performance snapshot for H1 -FY2024 presented on Slide #7:

- Our VNB for H1 -FY2024 stood at ₹10.15 billion with a margin of 28.8%. Our total APE is at ₹35.23 billion for H1 -FY2024. Our market share based on RWRP has been increasing every month, growing from 5.2% in April 2023 to 6.3% in September 2023.

- In Q2 -FY2024, multi-partnership channels have delivered a strong year-on-year growth with partnership distribution growing by 25.1% and Banca (excluding ICICI Bank) growing by 13%. Direct Channel has delivered 19.3% and agency channel grew by 4.2% year-on-year in Q2 -FY2024. We have been investing in our agency channel over the past few quarters and we have started to see the benefit coming through in our monthly business performance where we have registered double digit year-on-year growth except for the month of September 2023. In Group business, credit life has continued to witness very strong growth in Q2 -FY2024 as well.

- Group Term business growth has been challenged due to decrease in rates post COVID-19 and increased competitive pressures. We are among the largest players in this segment and understand it well and will underwrite business only if it matches our risk/reward expectations.

- Our protection APE stood at ₹7.34 billion in H1 -FY2024. The retail protection APE witnessed strong growth of 73.7% year-on-year to ₹2.38 billion in H1 2024.

- Our persistency improved significantly across quarters; our 13th month persistency stood at 86.9% and 49th month persistency stood at 65.8%. Our cost-to-TWRP for savings line of business stood at 17.2% in H1 -FY2024.

When we look at the H1 -FY2024 performance, let me now talk about the strategy and framework adopted by the Company:

With a customer at the heart of everything that we do, our 4P strategic elements comprising of premium growth, protection business growth, persistency improvement and productivity enhancement continue to play a crucial role in the growth of absolute VNB while we integrate ESG with business management.

As detailed in Q1-FY2024 Earnings Call to drive our 4P Strategic Elements, we have a "4D Framework -Data Analytics, Diversified Proposition, Digitalization and Depth in Partnerships" with focus on quality business in a risk calibrated manner.

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The framework has been presented on Slide #5. The "4D Framework" ensures that the products are aligned with the customer needs, are developed with the highest quality standards and are delivered through the most appropriate distribution channels. The aim is to provide simplified and hassle-free processes to our customers across the product life cycle.

In line with our "4D Framework", we have recently launched first-of-its-kind ICICI Pru Stack, a suite of platform capabilities encompassing digital tool and a

analytics to

significantly enhance customers' life and create a differentiated experience throughout their journey. The seven layers of ICICI Pru Stack have been presented on Slide #6, right from identifying target segments, crafting value propositions as per the customer needs, building capabilities through digital and physical modes to serve the proposition, integrating partner ecosystems and sales processes to deliver a frictionless experience, to provide best pre- and post-sale services, our capabilities allow us to deliver value across the customer lifecycle.

Our intent is to be the most customer-friendly and partnerable insurance for our distributors. And we have anchored our outcome focused on growth, quality, productivity around the "4D Framework".

I would also like to talk about claim settlement, which is really the moment of truth for any insurance company. I'm pleased to inform you that ICICI Pru Life had a class leading claim settlement ratio of 97.9% in Q1 -FY2024. This is a strong testimony to our customer - first philosophy, which is engrained in the business practices that we follow at ICICI Pru Life.

I would like to reiterate that the entire "4D Framework" has been put in place by keeping in mind our core objective to deliver quality business in a risk calibrated manner.

Thank you. I'll now hand it over to Amit to take you through the updates on our "4D Framework" and our results on a 4P Strategic elements, after which Dhiren will take you through the financial highlights. Over to you, Amit.

Amit Palta, Head – (Distribution, Brand, Marketing and Products):

Thank you, Anup. Good evening, everyone. As Anup highlighted, the strategic importance of a "4D Framework" in his opening remarks, let me highlight the key initiatives we are undertaking towards strengthening this framework.

The first element is "Data Analytics":

Over the years, we have invested in data science, integrated insights from our own customer data with macroeconomic household data to develop deeper understanding of customers across life stage and income segments. The details of our extensive deployment of analytic capability across the customer lifecycles are set out in slides 30 to 34. A specific example of how we use AI across policy life stages to manage persistency is presented on slide 34. This has helped us to increase persistency across all cohorts.

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The second element, "Diversified Propositions":

The diversified propositions has been detailed from Slide #35 to #37. Our Company's strategy has been centered on continuously expanding the product portfolio to suit the varied customer needs. This enables us to cater to a wide range of customers spread across income segments, age, affluence and other demographic aspects. Our endeavor to continuously innovate is exhibited through the three unique propositions launched in H1, namely, "ICICI Pru GIFT Pro, iShield and Protect and Gain."

On the fund side, we launched "Constant Maturity Fund" which was industry's first ULIP debt fund with constant maturity in H1 -FY2024. The details of the same are presented in Slide 37.

The third element, "Digitalization":

Digitalization has been detailed from Slide #38 to #42, across the customer life cycle starting from policy purchase to claim settlement, digitalization has underpinned our journey. We have been working extensively to integrate our digital ecosystems with the central agencies to fetch KYC and income estimation details for customers smooth onboarding experience. In September 2023, around 80% of our policies have been issued using digital KYC. Further, ICICI Pru Stack has enabled the Company to issue 20% of the policies on the same day for the savings lines of business. Also, customers income estimation can now be completed through digital integration of various documents, such as through Perfios, GST, CAS, EPFO, VAHAN and Account Aggregator.

The 4th element "Depth in

Partnerships:

Depth in partnerships is presented on slide 44. We are committed to building long-term relationships and we continue to invest across channels by building existing channels and adding more distribution partners. Through ICICI Pru Stack, we intend to become the most partnerable insurer and our partner integration team has the capability to onboard any new distribution partner in less than two weeks' time. Our strategy in the agency channel is to leverage our strong relationship with agents and with their customers while we provide institutional support to agents in terms of data analytics and processes. We continue to build capacity by adding more than 18,000 agents during H1 -FY2024 spread across geography.

Within the bank and non-bank channel, we continue to add new partnerships and increase the share of shop in existing partnerships; we have 40 banks and more than 1,000 non-bank partnerships with an addition of 105 non-bank and one bank partner during H1. We will continue to strengthen our distribution by onboarding additional partners and by investing in our own proprietary channels.

Let me now talk about the "Business Performance Update through the elements of our 4P Strategy."

Starting with the "First P," that is "Premium Growth" element which is mentioned from Slide #9 to #12:

As you can see on slide 10, our total APE for Q2 -FY2024 stood at 20.62 billion and for H1-FY20 24 it stood at 35.23 billion.

Our retail business excluding ICICI Bank grew by 12.9% year -on-year in Q2 -FY2024 , giving us confidence that the business is on a growth trajectory. The headwinds we have faced in key distribution channels over the past few years have been carefully mitigated by the distribution diversification we undertook. We have no dependency on any single distributor, and we believe our diversified distribution mix will enable us to grow sustainably in the long term.

While Anup spoke about the channel wise growth, let me focus on the agency channel. A few years back, the agency business mix was skewed towards ULIP products and the first step in this channel was about building capabilities to distribute multiple product categories to multiple customer segments. In the last 1.5 -2 years we started building capacity in this channel by scaling up the frontline managers who manage advisors with them. Additionally, we are investing in demand generation tools to expand the agents' natural market and our analytics backed digital product nudges are aligned to the right customer segments, which are the underlying segments served by our advisors. We continue to provide agents with institutional support, complemented by data analytics and digital capabilities to drive our business. Considering these investments being made, we expect the agency channel to contribute a larger proportion of the top line going forward.

As you can see from Slide #11, our APE from savings business stood at 16.72 billion for Q2-FY2024 . Linked saving products contributed 44.9%, non -linked savings products contributed 25.8%, protection products contributed 18.9%, annuity 6.1% and group savings contributed 4.3% of the overall APE. The non -linked APE mix has declined from 28.8% in Q2 last year to 25.8% in Q2 current year, whereas linked APE mix has increased from 41.1% in Q2 last year to 44.9% in Q2 this year. One of the reasons for the shift in a mix is a significant proportion of more than ₹ 5 lakh ticket size, non -par business shifting to linked and part guarantee products, and this trend has been increasing month -on-month in Q2 -FY2024.

The annuity business has declined by 6.7% year -on-year in Q2 -FY2024 , primarily on account of customer preference shifting to fixed deposits over single premium annuity products in Bancassurance channel given the attractive FD rates offered by banks. The decline in the single premium category has been mitigated to a large extent by

the strong

growth that we saw in regular premium annuity products during the year. We are well diversified in terms of distribution mix and product mix, which allows us to manage the impact of the external environment and respond swiftly to shifting consumer preference. Another important focus area for us is to serve the life protection needs of the customer. On this aspect let me talk about the "Second P" which is "Protection Growth" on Slide #14:

With an APE of ₹ 7.34 billion, the overall protection segment saw a year -on-year growth of 3.4%, leading to an APE mix of 20.8% in H1 -FY2024 . Retail protection business, which had seen supply side constraints in the post COVID -19 era , has come back on track. The

retail protection business has registered a strong year -on-year growth of 73.7% to ₹ 2.38 billion for H1 -FY2024.

Our total new business sum assured stood at ₹ 4.9 trillion for H1 -FY2024 and our total sum assured stood at ₹ 31.67 trillion as on September 30th, 2023. We believe given the current levels of under penetration , retail protection business growth is a multi -decadal opportunity, while credit life and Group Term business also offer significant opportunities as we witness growth in credit and the economy.

Coming to our "Third P" which is "Persistency Improvement" is presented on Slide #16:

We believe persistency is the most effective indicator of the quality of sales and is the barometer of customer experience. This is reflected in the significant improvement in persistency ratios across cohorts. Our 13th month persistency ratio improved by 100 basis points to 86.9% and our 49th month persistency ratio improved by 220 basis points to 65.8% for five months 2024.

Now, moving on to the "Fourth P" "Productivity Enhancement" presented on Slide #18: Our total expenses grew by 27% year -on-year for H1 -FY2024 . This increase in new business commission is attributed to the redesign of our commission structure pursuant to the flexibility provided in IRDA Regulations 2023 issued on March 31st, 2023. The operating expenses increase is primarily on account of continued investment in capacity

creation to support future growth.

Our overall cost -to-TWRP ratio stood at 26.2% and savings lines of business cost -to-TWRP ratio stood at 17.2% for H1 -FY2024 . We monitor cost ratios for the savings line of business separately. Our objective is to bring in efficiency in the savings lines of business while we continue to focus on growth in the protection business.

Our 4P strategy together with our “4D Framework” has been put in place by keeping in mind our core objectives of increasing the absolute VNB while delivering value to our customers. I will now hand it over to Dhiren to talk to you through the outcome of 4P Strategy and the Financial Update for H1. Over to you, Dhiren.

Dhiren Salian - Chief Financial Officer:

Thank you, Amit. Good evening. We regularly monitor our experience in respect of various risks and the diligent and prudent risk management framework we operate on is reflected in our strong and resilient balance sheet as presented in slide 19. Our mortality experience is within our expectation.

On the asset quality 96.4% of our fixed income portfolio was invested in fixed income instruments that are rated sovereign or AAA and we continue to maintain a track record of not having a single NPA since inception. Of our liability profile, 73.8% of liabilities largely passed on market performance to customers.

We use derivatives to hedge interest rate risks in our non -participating guaranteed savings and annuities portfolio. We continue to closely monitor our liquidity and ALM

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positions and we have no issues to report. As a result of our 4P strategy, the VNB for H1 -FY2024 was ₹ 10.15 billion . Given our APE of ₹ 35.23 billion , resultant VNB margin was 28.8 % for H1 -FY2024. The shift in VNB margin is primarily on account of

the shift in the

underlying product mix towards unit -linked and the decline in the non -participating business.

Coming to the financial update:

➤ Our Profit After Tax grew by 27% year -on-year from ₹ 3.55 billion in H1 -FY2023 to ₹ 4.51 billion in H1 -FY2024.

➤ As presented on Slide #22, the adjusted net worth grew by 21.8% year -on-year to ₹ 95.66 billion and the Value of Inforce business grew by 16.8% year -on-year and stood at ₹ 289.63 billion on September 30, 2023.

➤ With this, our Embedded Value grew by 18% year -on-year and stood at ₹ 385.29 billion at September 30th, 2023.

➤ Assets under management stood at ₹ 2.7 trillion and our solvency ratio continues to be strong at 199.4% at the end of this quarter.

To summarize:

Our financial strength coupled with our diversified product , distribution , and customer mix makes us resilient and allows us to take advantage of new opportunities in a fast -changing business environment. We will continue to make progress against the 4P strategy through our “4D Framework”. We expect that our performance in these aspects will translate into an objective to grow absolute VNB without compromising on our risk management approach.

Thank you and we are now happy to take any questions that you may have.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: A couple of questions. First one is on your shareholders account. If I see for the quarter close to ₹ 420, 425 crores of investment income and for the first half is more than ₹750 crores . I mean annualized yield of close to 15% -odd on shareholder investment . So, I mean why such high kind of probably investment gain booking, what is driving this, is it coming from some equity or fixed income and why sort of the trend is very unusual when you park? Second one on the margin profile, I do acknowledge that there is shift from I mean towards ULIP and probably within non -ULIP maybe some kind of a lowering of non -par guarantee towards par. But at the same time if I see the most profitable retail or protection has gained for the first half YoY, it has gained material share there, so somewhat, it should have sort of offset. Is it also the margin also a fact of your cost because the growth is not coming, but if you look at the commissions and OPEX also both sort of gone up, is it also coming because of the kind of an issue with cost absorption? And as far as OPEX is concerned, you kept saying the capacity building for future growth, but that is what, I mean, we have done for last few years that we have been creating capacity to grow, but the growth has not been coming. So, I mean what

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are the areas where still we need to sort of expand to our capacity building because the growth has been slower?

Dhiren Salian: Thanks, Avinash. So, on your first question of shareholder, yes, we've been able to use the markets to be able to realize some yields. The holding in the shareholder fund is not typically in line with what we hold for the policyholder portfolio, and so in this period we saw an opportunity to book some gains. That explains the heightened outcome of that line that we have. With respect to the margin question that you have, there has been a shift of the underlying product mix. Unit-linked has grown. Within the non-linked portfolio there has been mix between non-par going towards par, that has had a part to play. You also have noted that on the annuity portfolio, annuity has declined. We spoke about the fact that there's been a shift away from single premium to regular pre-annuities. But by and large, the overall annuity book also has declined. All of which has led to the shift in the product mix, which has resulted in this margin. We rightly continue to invest in capacity building and that capacity building outcome is quite visible when you look

at the growth in business. Net of ICICI Bank, especially on the retail side, we saw that 13% growth. That clearly is an outcome of all the efforts that we've been making in stepping up our capacity and building out our distribution there. We will continue on this path because it's quite clear that we want to our distribution to be quite diversified and not concentrated. To that extent, some of the newer channels that we have added, the newer distribution partners that we added, we continue to invest in those and build out the channel there.

Avinash Singh: If you can just help me that your ex-ICICI Bank APE of ₹5.2 billion for the first half, what would be the contribution for say the top three in that?

Dhiren Salian: So by and large across our entire APE, we really don't have channels that contribute beyond 5% if I take out ICICI Bank from a Banca perspective or I take out agency. No single distributor typically contributes more than the 5%, 6% range. This would be the largest distributor outside of ICICI Bank. If you look at the distribution, we set out in slide #10, the mix is fairly clear; you've got agency at 25% for H1, you've got direct at about 14%, Banca net of ICICI Bank is at 15%, partnership distribution at 14%. So, if you look at this is fairly well diversified. We don't have large partnerships in the Banca space.

Avinash Singh: Yes, yes, I just gather that, within that 14.8%, if at all there is some kind of an indication around top three you will have, you have a pretty deep Banca partnership, but the banks are of different sizes and scale. So that's why –

Dhiren Salian: You would also note that we've got close to 40 banks that still gives us a quite large enough spread.

Amit Palta: Avinash, if I could just add here, the protection impact you spoke about while there is a very decent 70% -plus growth on retail protection, but in absolutes, if you see, of the overall ₹35 billion in H1 APE that we have, in absolutes, it still remains ₹2.38 billion, which is a very small percentage, so a very high margin on a low absolutes will have its reservation about compensating for a big shift that you may have on savings business. So that is just one point that I wanted to add and leave it there.

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Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I have two, three questions. So, I'll start first on the channel side. If you could explain, say the difference in how growth is panning out across different channels, say for example in direct what we are selling, which has resulted in such strong growth in the last couple of quarters with the base effect or is that we are cross selling more ULIPs which is resulting in that vis-à-vis that agency growth is yet to pick up despite the investments we are putting in that channel? And on the partnership distribution side, what I am seeing is sustained growth momentum. So, is it coming from adding new partners or is its organic growth that is happening, if you could give some color on these individual channels, what is driving these different growth trajectories, that is on the channel side? On the product side, if you could give us some color on how the non-par margin has been vis-à-vis what it was last year given the shape of the yield curve and the availability of the hedging instruments that were there? And the fact that you have mentioned that there has been a shift in the non-linked portfolio from non-par to par, I was just wondering, we have launched a new product that is the GIFT Pro product, how is the pickup in that and whether it is compensating for some amount of this move? These are the two questions on channels and products. And thirdly, a bookkeeping question, if you could call out the impact of economic variance for the first

half?

Amit Palta: So, on channel front, let me just take the question. So, you

spoke about the

fabric of our performance across channels. So first of all, let me just share with you. On proprietary business that comprises our agency and direct, constitutes close to 50%, 51% of our overall retail business. And on this direct business, which is showing a growth of 20% -odd for Q2 and almost 23% for entire H1, is largely led by the upselling efforts that we make continually on our existing base. This is one channel which has really invested a lot on digital platform over a period of time and is one of the largest upsell channels in the industry. And this is not something which has happened now, but yes, the market sentiment, the buoyancy that happened on unit-link has contributed to growth coming from unit-linked business across channels and direct channel was no different. But, also this channel is really backed with a lot of analytics on the next best product that can be positioned to our existing clients and is approached very systematically through our distribution team to offer most appropriate wealth solutions to our existing customers because of the changing life stage that we experience with our existing customers based on data that we have. One part of our direct business also is what we do through the traffic that we have of our customers on our website. So, there is a lot of effort that has been taken in improving customer experience and also navigating and recalibrating our customer journeys based on insights that we pick up on our online channels. So, that is also something which in line with the overall ecosystem support that we have on retail protection has contributed to the overall growth in direct business. In partnership distribution, which is a combination of very, very diverse kind of partners on corporate agency and brokers, has an overall net impact which is positive. The overall business in this segment we have experienced has not grown at the partner level, but by virtue of our focus individually with our partners, and by institutionalizing ICICI Pru Stack, which is a seven-layer support program that we have for our diverse partnerships, we have been able to work towards increasing our share over a period of last six months. And that increase in share has led to what you see here as a growth of 17.9% in partnership

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distribution. Coming to agency, yes, growth relatively is muted at 4%, but this is largely on account of what we saw in the month of September. If we were to look at performances right across May to August, we were seeing a good consolidated 15% to 20% kind of growth month-on-month. However, September, we do understand that this was one area that we could have done better. However, we are applying our analytics to see deep cohorts of our advisor segments where we can improve our performance going forward. But net-net, most of our diversified channels actually are on growth path. That is the message that I wanted to give. Even Bancassurance partnerships, other than corporate agency and broker, other than partnership distribution, right across, while the overall pie may have been constrained because of more than ₹5 Lakh ticket sizes coming down drastically in the industry, but by virtue of increasing share in many of our bancassurance partnerships, we have been able to see a growth which is close to around 13% in Q2 and close to around 7% in H1.

Swarnabh Mukherjee: Just a follow up on the partnership distribution, what I understand is that you are saying that it is basically a function of increasing counter share and not like any kind of additional inorganic growth that is coming through new partner additions which maybe we have done over the last six months which is now kind of becoming more productive.

Amit Palta: We continue to add 70 to 80 partners almost every year. This year in fact we have added hundred -odd partners. But as you know there is always a gestation of new partners

from getting onboarded and getting to start business. So, it is very difficult to figure out and single out only those 100 additions as to how much they have contributed. It happens over a period of time. So, what you added last year has contributed to business this year and what you probably added two years back has contributed relatively in a higher proportion. So, if you ask me, is it because of new partners added this year, which has contributed to growth, answer is at this point in time, no, but it will pan out over a period of time.

Dhiren Salian: On your question on margins, through this year, we have not seen any movement on margins on the non-par portfolio. So that continues the way it is. With respect to your question on economic variances, we have not broken the EV walk at half year. We will do that at the full year.

Swarnabh Mukherjee: Can you give some colour whether it is a positive or a negative?

Dhiren Salian: Yes, it's quite positive given the way the markets have moved.

Swarnabh Mukherjee: How is the pickup on the GIFT Pro product, how should we think about this mix between par and non -par moving going ahead with new product launches?

Amit Palta: See, what we observed going into Q2 and while exiting H1 is that large proportion of guaranteed products have started gravitating towards part guarantee which has potentially higher upside if we were to deliver a good investment management performance on the participating products and on unit -linked products. So, what we have seen is that high mix of non -participating has moved some part into part guarantee as well as some part in unit -linked products. So, to that extent within non -participating

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product, there's GIFT Pro was an addition which recognizes the fact that customer is not probably looking only at IRR end of the day, but it also appreciates the features and benefits that we offer to our customers. So, GIFT Pro is unique, in the sense that beyond IRR, it offers specific proposition to the customer which addresses the specific need of inflation adjusted income over a long period of time. That is something that we have seen as really a success. Of the 14% of non -participating business that we deliver as a Company, almost 22% of this was GIFT Pro in month one of launch and today it is close to around 40% of our overall non -participating business. So, we have seen this gravitating towards benefit rich products and not really customer yielding IRR-linked products. So, that is something that we have seen as a trend.

Moderator: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions, Sir, first is on the Group Protection side. You spoke about how the GTI, specifically within Group Protection has seen challenges. Can you help us understand, given that GTI is like 50% of the entire protection which is about 20% of your APE, whether this is an incremental drag on our APE target that we've been speaking about that we will be able to deliver industry level growth in the second -half, will this be a negative or will this be a drag? My second question is on the performance in the month of September. While I understand that you guys are trying to understand the performance of agency channel better in September, but can you give us some color on whether this could be because of higher drag from high ticket policies, some of your peers have spoken about certain channels seeing more drag from high ticket policies, etc., if you can give us some color on how much drag you guys are seeing on high ticket policies and which are the channels which are getting more impacted and could that be one of the reasons why September was weaker?

Amit Palta : To address this question on Group Protection, first of all, if I were to look at overall protection, you can broadly say the way contribution is, you can assume that one -third of it

is retail protection, one -third of it is what you do on Group Protection on credit life platform, and one -third is what Group Term for us is. So, when it comes to retail protection, we've already articulated; it is close to around 74% growth for us. Credit life growth also is well ahead of the overall credit growth in the economy. That is largely on account of partners that we are adding over a period of last few months and the effort to increase line of businesses within our existing partners and also working on increasing attachment. So, credit life growth is part of Group Protection. So, to that extent, it is well on course. Coming to Group Term, we articulated that separately Group Term as you know for the large period during COVID and immediately after COVID, there was a time when ICICI Prudential was virtually present with a proposition to our clients for that period and we were one of the very few insurers who were quite prominent in our offering to our corporate customers. To that extent, we obviously had a very large base up for renewal and hence what we have seen after the COVID experience turned out to be much better than what we had anticipated, the pricing went through a big correction subsequent to the experience turning out to be favorable. So, it is good for the customers, good for corporates, but eventually it was not very good for APE. So, if I were to share with you in terms of number of schemes and number of deals that we have closed as fresh /new customers, actually, there is a growth of almost 38% on the number of deals that we closed last year H1 against what we did this year. But, however the deal

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size in comparison to what was last year has actually come down significantly by almost 40% to 50%, which has led to overall APE looking suppressed. So, we don't want to lose our sleep on this because this is an impact of a better experience leading to a better

proposition for the customer. In the interim during the cusp period, we may have a little bit of a stress on overall APE, but that's fine, that's how it turns out. So, we would not have kept the price at a higher level than the experience turned out to be favorable. So that is the color on Group Term. We are as much present in Group Term like the way it was earlier. And we are one of the largest players in this segment and understand it very well and we will underwrite this business only if it matches our risk/reward expectations, that is something that we are very, very clear about. So, even the cases which are coming up for renewal, they're coming up for renewal at a much lower price now. We are happy to offer it to our corporate clients as long as it is making sense both from risk as well as profitability perspective.

Dhiren Salian : On your question on September performance, while yes, on a YoY perspective it seems low. But if I look at it sequentially, I think we're quite a bit divergent to the market; we've actually grown quite well compared to some of our larger peers and actually had positive growth, which is not what most of the other companies have been at. So, it's a little mixed bag when you look at September, but by and large, I think our clear focus is that we continue to work at it granularly and keep growing this business from month -to-month, quarter -to-quarter. In fact, our market share has been continuously increasing; it was actually 6.3% for the month of September on RWRP basis, higher than what it did in the previous period.

Shreya Shivani: Just coming back to the last question that I had asked, so our guidance on APE growth in second half at industry level that gets challenged, right, because of Group Protection, that thesis is correct or am I reading it wrong?

Dhiren Salian : We have not given guidance on APE growth. I think what we have mentioned in our previous calls is that from a phase wise perspective, step one would be to move the total APE growth in

line with the market. We've not given a timeline to that.

We want to get to that as soon as possible. And once we get there, step two would be to create an alpha over that. That's the trajectory that we want, but I'm not able to give you a timeline when we'll get there, but we've been working hard at getting to these objectives, get to the phase -one first and then to phase -two.

Moderator : The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I have three questions. The first one is we have a thousand partners now on the partnership distribution channel. So just wanted to understand the partners of scale are there, still which you could add, then continue growing this channel. The next question that I had was on product innovation. In the first half we did not see a lot of new products. So, going forward and on the second half, do we expect to see more product launches happening and which segments would those product launches be targeting? And lastly, recently there was an article in the press talking about capping commissions for credit life policies at 30%. Just wanted to understand your views about what kind of discussions are you having with your partners on the commission structure post this new guideline which has been applicable from 1st April?

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Amit Palta: Let me start with your question on partnership distribution with the 1,000 - odd partners. See, first of all, let me confess here, the natural advantage that we have with our partnership distribution is the diversity of partners that we have. So, we have partners of very, very different, diverse types, someone who's cross selling to a captive customer base / multiple financial products / large partners, that is one cohort. Then there is a cohort, which is essentially working on a POS model, looking at secondary distribution to reach out simpler propositions to their customers coupled with some of the other general insurance products that they are selling. Then there are partners which are largely equity and mutual fund distributors, who are also looking at life insurance as an upsell product. So what happens is this diversity allows us to play out in varying or a dynamic economic environment. So at any point in time, any environment favoring any specific type of distributor helps us being at a natural advantage to take benefit of the positive tailwind there. And at the same time, we may have a disadvantage depending upon the kind of environment which may be impacting certain kind. Good part is that we have been net positive because there are some category of partners doing better in the given environment while some other partners are getting impacted. But net positive is what we continuously keep working upon. If the environment favors us, we get positive and if not, then we work towards working deeper with our partners through our ICICI Pru Stack, work on seven layers of development and work on increasing share. If the overall environment constrains growth, then we look at increasing share to keep ourselves on a growth path. So, that is how the partnership distribution outlook is and that is what has

kept us with the sustained growth over the period of last four to five years. If you were to trace back the performance of partnership distribution, this is one channel which has consistently grown at 25% -plus over a period of the last four to five years just because of the kind of diversity that we have in our partnerships.

Dhiren Salian : Your question on product innovation. I think we've got this detailed out on Slide 37 as well. If I could just take a minute to refer back to slide 36, what you can see very clearly is that we've got products for every life stage across each of those opportunity segments. And the objective is to deliver value proposition to all of our customer pools. But specifically, if you look at innovation, there are four

items that we

have called out. One, of course, is the GIFT Pro that that was launched this year. iShield is another product that we have launched. Protect N Gain is the third product that we launched, and in fact we've got a new fund in the form of a Constant Maturity Fund that was launched during the year as well. So, if you want to look at innovation, I think you've got enough examples of innovation on the product side that we've been able to demonstrate.

Supratim Datta: I was more interested in what is going to come in the second half. If you could give some colour on that?

Amit Palta : That is competitive information. I can't divulge it. So, of course we are at it, we keep picking customer insights and there is always something which is WIP and we're working on it. So, we'll let you know as soon as we launch those products.

Dhiren Salian : On your other question on credit life, the way we're looking at commissions, of course, with the relaxation in commission levels that have been enabled by regulation, we'll keep working with our distributor to see what is the appropriate and sustainable level of commission through the year . That's what we had to add to this.

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Supratim Datta: Just one follow up. So, are you seeing pressure from distribution partners for higher commissions or is it still at a negotiation stage?

Dhiren Salian : This will always be in WIP stage, but you've seen some evidence of increased commissions across all lines of business . It's not unique to us, it's across the industry as well. So yes, after the relaxation in commission levels, commission rates have gone up. Have they settled to a final equilibrium? I think not, it's still a bit of a flux at this point.

Moderator: The next question is from the line of Raj Saya from Agam Capital. Please go ahead.

Raj Saya: I just wanted to know your strategy in terms of Tier -2 and Tier -3 distribution and business contribution. Where do you stand currently and what's the strategy because this is the competitors stress on this asset, so just wanted to know?

Amit Palta: Tier-2, Tier -3 strategy actually dovetails into our multi -distribution structure. As you know, if you were to look at the texture of our distribution, they have very good presence right across the geographies across the country. When we look at our product structures, we look at affluence, we look at life stage , we look at geographies, and we keep turning out products which are most appropriate for the distribution channels who are present in those geographies . So, to that extent through our distribution partners, we believe that we are fairly representing Tier -2, Tier -3 markets today through small finance banks, small banks, new age banks, existing large banks. Even to that extent of large banks like ICICI also have almost 40% to 45% of the distribution in rural. So, to that extent, our presence in Tier -2, Tier -3 market has been there. If you were to look at agency which is the most micro and diverse distribution structure that we have, a one -third of our distribution in agency actually is in Tier -3, one -third of our distribution is in Tier -2, and one -third of the distribution is top cities. So, to that extent, I think we are fairly well represented when it comes to Tier -2 and Tier -3.

Raj Saya : Thank you. Another thing on annuity, just wanted to know, do you divulge information on the split between corporate and retail annuity and what coming from NPS at this stage?

Dhiren Salian : Raj, no, we've not broken that split out.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: First on the GTI bit again, you mentioned that one -third is, so the total protection, one -third is from GTI, one -third is Credit Protection, and then one -third is a Retail Protection. For what period is this? Is this for FY '23? Or is it

for the first half of FY

'24? I understand that these are rough numbers. And given the pressures that we are

seeing in GTI in terms of pricing, how much do we really see this business to grow this year, if you could help us just get a sense of what sort of growth we could get here? And given the pressure in pricing, are we seeing also margins come off substantially over here is another question that comes to my mind.

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And frankly, I also know that VNB development of the business that we had written earlier, are we seeing any negative variances due to this pricing pressure currently in this business? Are we seeing any negative operating variants over here? So, on the GTI, these are some of the questions and you mentioned that on the more than 5 lakh rupees ticket size, there is certain movement towards ULIP and then you also mentioned another category. Can you just explain that? And finally, if you could quantify how much is the more than 5 lakh ticket size in the first half versus second half of last year and how much have we done in the current year, that would also be helpful.

Dhiren Salian : So, at one level, the first question that you had is what is the period - broadly for this current year, it is one-third, one-third, one-third . Your second question on GTI and the outlook on growth. I think we called this out earlier as well. Given the set of challenges in the market, given the increased competition, we are not looking at a growth out of this particular line of business and we continue to seek to defend whatever business that we have and ensure that we deliver adequate profitability out of that business. That's something that we kept very clear.

As we have pointed out earlier also, we are one of the largest in this group term space and quite clearly, we understand the texture of the customer that we have onboarded. We understand mortality and we will take on business only if it meets the risk-reward framework that we set out. By and large, I think margins on this continue to be stable. There are, of course, calls that we take when we look at where the business is at, but we're quite clear that we wouldn't want to write negative margin business there.

In terms of where this stacks-up therefore as variance, clearly, there's one element of business which was written during the COVID period and in the latter half of the COVID period whose renewals at this point are obviously netted off for all the COVID loading. So, that clear has a variance element when we look at the EV walk. Beyond which we are not really seeing any drop in mortality outside of that. You asked a question around the ` 5 lakh.

Madhukar Ladha: Just one thing Dhiren, can you give me the GTI number for FY 2023?

Dhiren Salian: GTI numbers for FY '23 is slightly higher than this broad split that we had given out. What Amit was also referring to earlier when he spoke of the more than ` 5 lakh ticket size migration, one level of migration was towards unit-linked plans. The second migration is towards participating plans. I think that was your question that you had asked.

Madhukar Ladha: Yes. And if you could give us some sense on what is the split between first half and second half of last year and how much are we doing in more than ` 5 lakh rupees ticket size in the first half of this year?

Dhiren Salian: Yes, Madhukar, we haven't called that split out, but I think the way we look at it, we do understand where the segments are at and what are the relative advantages of each of the proposition that we have got for below ` 5 lakhs and more than ` 5 lakhs and we continue to build out those propositions through a variety of our new product launches for them. Let us see how that particular segment emerges through the year, but I think we are fairly clear that irrespective of whether it be a more than or

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less than ` 5 lakhs, the objective is to be able to build on growth and

broad base our

customer segments. So, we continue to work on that line.

Amit Palta: See, Madhukar, this H1, Amit this side, H1 has been a story of two halves. Okay, the first half was impacted because of the preponement of demand that happened on large value cases in the month of March for obvious reasons and the second impact was the fact that another story of wealth preservation around debt products on mutual fund went through a change starting quarter one.

So, if you ask me that was the reason why quarter one impact was quite obvious and was visible. Eventually for relatively lesser number of choices available on investments, part guarantee and unit-linked products is where the acceptance started growing while the markets were doing well as well as part guarantee, as you know, since it's also a function of how well you manage your funds and potential returns would be actually higher than what you can offer on Guarantee Platform. The preference started

moving towards part guarantee products , preference started moving towards unit linked.

If you ask me as recent as last month, we have started seeing that more than ` 5 lakh cases more or less is quite similar to what it was last year. The only thing is it was all skewed towards one category of products last year. Now it is split between participating products, unit-linked products and also some element of it still continues to happen on guaranteed products.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Securities Limited. Please go ahead.

Nischint Chawathe: Just one or two points. Any sense that you could give in terms of the business trajectory at ICICI Bank? And how do you see the second half playing out here?

Amit Palta: Amit this side once again. So, ICICI Bank as they have articulated their priority on focusing on protection and annuity range of business, on protection ICICI is showing a growth of close to around 45% over last year for the first half. So, to that extent, in alignment with what they have stated as their preferred approach, we are seeing a growth on that side.

On relative degrowth month-on-month we are seeing on the overall AP E coming down, so what it was close to around 35% degrowth in quarter 1 came down to 15% degrowth in Quarter 2. We will have a base effect playing out in Quarter 3. We will see how it goes.

Nischint Chawathe: And if I look at the overall VNB growth for the Company, I guess, obviously, we discussed the challenges in the first quarter or for the quarter in the first half. In the third quarter when I really look at the margin base for nine months, I think it's still kind of a slightly demanding base. So, in the backdrop of that, how do we really look at VNB growth for the year? I know you have a sort of a plan for doubling VNB in a four-year period but how do you really look at this year?

Dhiren Salian: So, Nischint, we don't, we haven't put out a plan of doubling VNB. I think we are fairly clear that we want to build on absolute VNB as we go through this

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particular period. Yes, VNB growth has been challenged for the first half. It is down. But as we look at the base into Quarter 3 and into early part of Quarter 4, I think the AP E bases are a little more benign and we would want to build upon those AP E bases into the coming year. Quite clearly, what we have also spoken of is that VNB development would be largely driven by AP E development with some movement at the margin based on the product mix. So, our key focus is to continue to deliver on growth and as Amit pointed out earlier also with some of our channels, we should start to see a more benign base going forward.

Amit Palta: See, Nischint, also let me give you a context. If you were to look at overall distribution composition of ours, while all other businesses, whether it is partnership distribution, our direct business, our Bancassurance bu

siness other than ICICI, they seem

to be on growth path and the large part of investment that we have done over a period of last year and a half or so is about creating enablement for our new partnerships, one, and two, about scaling up agency. And as you know, that agency scale up is a little longer and has a gestation period which we need to be patient and watch out for. Close to 4,200 odd frontline managers that we have who manage close to 200,000 agents, we still believe is a smaller number and this is one area which has reached to this level only after having hired people over a period of last year and a half or so.

Our experience, our analytics says that it takes almost 18 to 24 months for a frontline manager to start hiring, build capability with advisers, understand customer segments being served by advisers, understand their natural markets, build capability on demand generation and eventually start turning out productivity. So, our singular focus at this point in time without diluting it with any margin pressure at this point in time is to get our capacity to start turning productive and that is where agency and our new partnership enablement will take primacy over anything else at this point in time.

Nischint Chawathe: On the partnership side and as well as on the agency side, in terms of product profile, I believe the initial thought was that you probably focus more on traditional products through these channels, but is there a change in the strategy? And are you kind of also kind of looking at doing ULIPs through these channels?

Amit Palta: No, let me clarify, Nischint, we don't have a product to channel strategy just by based on what we want. Actually, we allow our partners to choose based on the kind of customer segments that they have. So, we have not mandated our agency channel to sell only traditional and not ULIP because ULIP is low margin for us. It depends on the customer segment they are serving. So, the approach that we have is simple. We decide

on what customer segments we believe are priority segments, are the growth segments for us, where the quantum is, and then we identify which kind of distribution channel has the ability to take the right product and reach out to that customer segment.

Now, if somebody has access to an affluent customer and if I control him and not get him to offer unit-linked products, it will be completely against the customer philosophy. So, there is no channel which is mandated to follow any product strategy specific to traditional or non-linked savings or protection.

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Dhiren Salian : So, Nischint, as Amit also explained earlier when we had a question on partnership distribution, he explained about the various types of partners that we have as part of this pool and you would have understood that there are different strategies that would follow for each and every one of these segments. So, an equity broker segment, for instance, would have a slightly different approach than a more traditional broker that we have. So, clearly, the idea is to be able to marry the product with the customer segment and the distribution and create that product market fit that's appropriate for that particular segment there.

Amit Palta: Actually, it is reflective of the fact that different distribution partners and within distribution partners, different cohorts and geographies and channels within channels actually have very, very different product mix, and in fact none of the distribution partners have a product mix which is similar to what ICICI Prudential's overall product mix is. So the colour of product mix is drawn from the customer segments of our partners.

Moderator: Thank you very much. We will take the next question from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: The retail protection growth has been reasonably strong. So, can you speak about what is driving back? You mentioned that ICI

CI Bank growth is around 25%, which means that non-ICI Bank protection, retail protection growth maybe upwards of 100%, and what is driving that in sustainability of that? And also post-COVID, we have changed the reinsurance strategy where we were retaining up to 1 crore of risk on our balance sheet. Has there been any change in that strategy now?

Dhiren Salian : So, Nidhesh, let me take the second one first. No, we have not made a change in our reinsurance strategy post what we discussed last. We continue to monitor the experience and it's all within our expectation at this point. Growth within retail protection across channels has been quite strong. Overall, as you saw, for the period was about 84% for Quarter 2. Of course, this is on the fact that last year's base was quite benign. As we go through into the coming quarters, specifically when you get to Quarter 4 onwards, this should start to normalize back to more lower levels, but we will continue to record growth across channels and keep it broad-based through the period.

Nidhesh: So, is there any specific channel which has shown such high growth? Is it an online channel etc., if you can give some color on that?

Dhiren Salian : Yes, so some of our online channels have done quite well, but we are seeing strong momentum across all our offline channels as well.

Nidhesh: And just one follow-up is on the product level margins. How are the trends on product level margins on a Y-o-Y basis?

Dhiren Salian : So, the shift that you saw in the overall margin has been obviously because of the product mix. That's been the large contributor towards movement in the margin. By and large, at a segment level, we have not seen too much of a change.

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Moderator: Thank you. The next question is from the line of Vivek Khanjode from Aditya Birla Sun Life. Please go ahead.

Vivek Khanjode: So, I wanted to know, you discussed about group term and group credit life. I wanted to know what is the growth story on the group funds for H1-FY'23 versus H1-FY24?

Amit Palta: Group fund for us is flattish, but we are fairly confident because these are lumpy businesses. We have done close to what, 550 odd deals have contributed to our group fund business this year and a few large deals have got deferred and we are not losing our sleep there at all, because we are quite confident of what we have put as a plan for group fund business, it will pan out eventually in the remaining six months. So, the number of deals, number of customers that we are engaging in is almost showing a 25% growth over the number of customers that we got our group fund participation last year. So, to that extent, our distribution has been fairly strong, very vintage and not just

in group fund but even on group term, we are fairly present right across and our participation is among the highest when it comes to group fund and group term opportunity across the corporate sector.

Vivek Khanjode: Also and on the annuity front group, annuity front, so the pressure from the fixed deposit, do you have growth on the group annuity funds from H 1-FY2023 versus H1 -FY2024?

Dhiren Salian : So, Vivek, this would all be part of the single premium annuity pool. Quite clearly, as we called out, a lot of folks are looking to defer single premium annuity given that bank FD rates are quite high at this point and competing rates at this point.

However, we are seeing good growth come through on the regular premium annuity and we continue to push the regular premium annuity business at this point.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Most of the questions have been answered. Just on the protection bit, what would be the share of ROP products? And could you highlight whether ROP products are margin dilutive for you with regards to the entire protection margin and also, how is the RO

P kind of moving, say, this year versus last year?

Dhiren Salian : So, the return of premium variant of the product is roughly about 15 % to 20% of the Retail Protection business.

Prayesh Jain: And from profitability perspective, is it any different from the pure term?

Dhiren Salian : It depends upon the tenure that you choose. So, longer tenure gives you higher margins. Shorter tenure gives you lower margins.

Amit Palta: See, let me just share the fundamental that propositions are not changing from non -ROP products to ROP products. It is only the customer behavior that decides whether he is okay to let go of a premium as an expense or he would like to take his premiums back. Otherwise, the underlying profile of the customer really doesn't change.

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We have seen this kind of a behavior more prominent in mass, but we have seen even affluent customers at times preferring the return of premium products and alternate products where they can get high covers with probably even a higher return of premium by choosing a high cover on a unit-linked platform. So, from that perspective, margin really doesn't change by nature of ROP or a non -ROP because underlying customer and the cover that you offer is quite similar.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi . Please go ahead.

Dipanjan Ghosh: Just one question. Are you seeing any change in payouts to any of your distribution partners or any of the segments for this for any particular partner out there post the guideline changes?

Dhiren Salian : Dipanjan, yes, we discussed this earlier. We have seen commission rates rise for us and understanding is this is not just specific to us. It's for the industry as well. Has it settled down? I am not so sure. I think we will continue to work through this into the coming quarters as well.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just one question. I mean, even apart from commissions, if I look at other OPEX has gone up substantially for us on a H 1 over H 1 basis as well, whereas the premium growth, of course, has not been that strong. So, just trying to understand what is driving that ex of commissions also and in the backdrop of that, do you think that given that seems like a lot of these commission increase are going to stay here for a while, do you think that VNB growth in this year will be possible?

Dhiren Salian : So, Rishi, outside of commission, some of the larger expense items are, of course, employee costs. Part of it is the capacity creation that we have invested in and we continue to invest in given some of the newer channels that we have added on. There are, of course, some of the advertising and sales -related costs that are elevated at this point. Given that commissions are going up, we would seek to kind of keep the overall expenses broadly where they are. This year, of course, will be a bit of a flux. So, we will have to manage it through this coming quarters to see how we can keep that stable at this point.

Amit Palta: Also, I just want to clarify that while there has been a question on commission increase, but let me share with you that we are well within the guard rails and the direction given to us by the regulator in ensuring that we align our commission structures to promote long -term business, protection business, renewal business and not at the cost of customer proposition. so, since we have not let the customer proposition

get impacted, for a short period of time, you are actually seeing that OPEX swelling up. Directionally, this entire increase in cost needs to get compensated through better OPEX management and that is what we are intending to do. That is the cusp period is where probably, you know, it will take some time before it settles, but we are very clear that whatever is the increase in the cost, it will not come at the cost of customer proposition.

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Rishi Jhunjhunwala: And so, views on VNB growth this year?

Dhiren Salian : I think let it emerge, Rishi.

Rishi Jhunjhunwala: Just on the commission part, right, so wanted to understand you mentioned about the industry is witnessing an increase in commissions. What are your thoughts in terms of how does that dynamic play out given that even for us agency's proprietary ICICI Bank is exclusive and we have direct and group businesses as well which are possibly within our control. So, what kind of pressure is there for commissions to be increased across the board? And what is the risk in case that wouldn't have gone up? Do you really think that the premiums would have severely gotten impacted or the growth around that?

Dhiren Salian : So, Rishi, the way we manage each channel is to look at the overall cost of the channel for which commission is only one aspect of it. So, yes, this year is a bit of a flux. We have got other operating expenses that are slightly elevated, but on the steady state, the way we seek to manage each channel is to see whether for a product line that it finally delivers, whether the overall cost that it incurs is in line with what we would want to deliver from a VNB perspective. So, it's a balance that comes through. I don't think this has impacted growth at all and commission is essentially only one aspect of the overall spend that each channel does.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Just one on the margin. If I want to draw a waterfall, the margin compression, how much you would attribute to product mix change and to the cost ratio? Whether the real problem is cost which has dragged the margins or is more the product mix? That's my first question.

Dhiren Salian : Mostly product mix.

Sanketh Godha: And second on cost, just wanted to understand, EOM was expected to move the cost line items between commissions and advertisement, but it was expected to remain on the similar lines, but still our OPEX ratio has moved up, but just wanted to understand that EOM is structurally increasing the commission cost and other expenses are not going to cut and therefore, going ahead, we are going to see an elevated cost ratios which could have an impact on the margins?

Dhiren Salian : So, Sanketh, like we mentioned earlier, this is a bit of a flux year. So, at that level, we are managing across these multiple line items. We are well aware that we will have to keep overall costs in control to be able to deliver on margins.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal: Wanted to understand that this quarter looks like ULIP heavy for everyone. So, what are the early trends you are picking up for the Q3 and going ahead, what we can expect? And are we okay to increase the ULIP share again back to a certain

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level? We do have certain mix in mind that we need to kind of maintain to have a positive VNB by the end of the year?

Amit Palta: Neeraj, I think we have spoken about this earlier as well. We are not guiding each channel to a product mix. If ULIP is the flavour of the season, we are quite happy to take that on board. Of course, we are quite cognizant that we are looking at delivering absolute VNB and to that extent, we will have to deliver additionally on AP E as well.

Neeraj Toshniwal: On that only, what are the trends you are picking up in other segments apart from ULIP? Can we see because one of you called out that non -PAR savings is possibly return back or might see a uptake from now? Are you also in a similar camp or it's too early to call out?

Dhiren Salian: It's a little too early to call out with this last 15, 16 days, but as we mentioned earlier, we constantly are looking for proposition that could work with the various customer segments even in the non-linked space.

Amit Palta: So, let me add here. Like I have articulated earlier as well, within affluent customer segments, we have seen a trend of wealth preservation story which has been running so well over a period of last couple of years giving way to unit-linked and part guarantee products towards the second half of this H1 which is a clear trend that is visible. Of course, it varies from partner to partner and the composition of these customers at a partner level decides the mix of what kind of products are selling there, but if you were to look at these set of customers eventually on an overall household that you look at the urban centers, these are only 10 % to 15% of the overall number of households that you have. Almost 80% of the households actually are ranging between an income segment closer to around ₹ 3 lakhs to ₹ 25 lakhs means that there the simplicity of the product and simplicity of the proposition actually takes precedence over any complexity or differentiation that you want to create. There the demand for simpler propositions continues and as you know, it is about our ability to reach out to these customer segments, identify which distributors have access to these customer segments. That degree of success is a function of how we will convert this opportunity on simple products, non-linked products or participating products find its way into the overall product mix. That's how it will eventually pan out. There, if you ask me, trends have not changed drastically.

Neeraj Toshniwal: And how does digital stack will help us to achieve this growth? Can you elaborate more on that which you have created a seven-layer stack which will help you?

Amit Palta: Yes, so seven-layer stack is our thought process, our enablement framework for our partners. Over years we have spent lot of time in analyzing our own data as well as the data which is available in the ecosystem on understanding customers, on geography, on demographics, on income, on life stage and we have fairly been able to segment customers which are there in the market and customers which are part of the partner ecosystem and based on the natural advantages of the customer segments of our partners, we have actually worked together and co-created value propositions which are most meaningful to the customer segments and then convert those value

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propositions into a capability framework for their team both on digital as well as non-digital platforms.

And of course, we do believe that when it comes to life insurance, the best of value propositions and capability eventually need to be supplemented with demand generation model and that is where our entire focus is to cut across all distribution channels to work exclusively on demand generation coupled with sales process integration and network integration with a partner gives us the ability to onboard our customers, give them the experience, give partner the empowerment to manage the entire policy life cycle is what we have split as a seven layer process for us. This is something that we are doing in a workshop mode with all our partners, and it actually changes partner to partner and it's largely a function of the customer base and the primary model of business of our partners.

Moderator: Thank you. The next question is from the line of Yash Jain from CNBC. Please go ahead.

Yash Jain: So, most of the questions which I had have been answered. One thing that I wanted to understand, and this is with respect to distributions, especially ICICI Bank. We have a setup where, I mean, your peers, the closest peers, HDFC, Max get about 50%, 60% of their APE from their main banking partner that is Axis Bank and HDFC Bank. For us, it's come down significantly. It's kept coming down over the quarters. It's about 13.5%. Just last year same period, it was about

20%. I have three very specific questions

on this one. One thing at ICICI Pru Life, do you have an intention to sort of increase your sales across product categories through ICICI Bank? If yes, then my second question is, are you doing something about it, looking at ways in which this can be done? This will help growth come back as well for the Company. Just wanted the perspective from the management on this one.

Amit Palta: So, Amit this side, Yash. So, one principal partner philosophy that we follow across the new potential partners that we meet and the way we take up our partner stack to other partners both with banks as well as non-banks is to give the decision of what to do and what to propose to their customers, leaving that question entirely with our partners. We do believe that their brand is supreme, and we are subservient to provide services in terms of manpower, technology, product to our partners.

We don't play a role in influencing that decision because we do believe and respect the decision taken by partners on what they believe is most appropriate for what they want

to do and which fits into their overall scheme of things. To that extent, we appreciate that ICICI Bank does look at annuity and protection as two complementing products which is not competing on investment space with banking and we do appreciate that they prioritize banking products, they prioritize SMEs, they prioritize lending, they prioritize deposits, and we have complete appreciation for that. We will take it as and when they have any priorities which are aligned to any specific proposition that we have in the basket. We will be more than happy to offer it and put it on the table. At this point in time, we do see a value in what we have on offer, which is retail protection and what they want as a proposition for their customers and that's where we are seeing growth of 45% in retail protection with ICICI.

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Yash Jain: One final question. I mean, since earlier you had one guidance on the VNB side which was doubling VNB in four years. Under the new leadership, I just want to understand, is there one large guiding ambition in terms of quantification that you have, let's say for the next two to three years for a slightly longer period that you would want the markets to look at and you would want to work towards?

Dhiren Salian: So, Yash, Dhiren here. No, we have not put out a target as we have done earlier. I think what we are very clear on is that our objective is to work within each of our partners, look at it granularly, look at their customer segments that they operate in and ensure that we have got appropriate products that can be delivered to those customer segments. And so to that extent, we would go deeper into each of those partnerships and as Amit articulated, help them grow those particular segments using the partner stack that we just discussed. The idea is that if we are able to sustainably grow each and every one of the diversified channels that we have at this point, then we should be able to look at sustainable growth into the coming years. The fact that we don't have any large distributor outside of ICICI Bank in our distribution mix gives us the confidence that we are able to sustainably build out this particular pool of business by looking at it very, very granularly and looking at it with a deep lens of analytics as well. That is the core focus and that's what we would continue to work towards.

Amit Palta: See, an overarching theme which has been articulated over a period of last six months is a customer to product to right distribution channel who has access to that customer and taking the appropriate product. So, customer to product to distribution is the overarching theme and to support this theme is this 4D framework that we have created which is power of analytics, data analytics, diversified propositions on product and taking it to diverse geographies

and diverse partners, digitalization by making an experience which is differentiated for the customers and eventually converting it into a depth of partnership becoming an inspiration for us to come up with this seven layer ICICI Pru Stack to enable our partners. Eventually, the strategic direction is to become the most partnerable insurer in the industry.

Moderator: Thank you. The next question is from Aditi Joshi from JP Morgan. Please go ahead.

Aditi Joshi: So, my question is on the agency side, and I actually wanted to understand if we are targeting a further increase in the head count of the agents in the second half of this year, and I'm sorry if I missed it previously. I just wanted to understand, what portion of this new agents are split between Tier -1 or Tier -2 and Tier -3? And just one more question, if I may, on the rider side, we have a pretty good, impressive suit of rider available to us. So, just wondering how much is the push from the management or what is the strategy across the channel on moving the rider attachment?

Amit Palta: Amit this side. On the distribution side, an agency, like I mentioned earlier as well, we are fairly spread out across all types of geographies, whether it is top cities, Tier-1, Tier -2, Tier -3, the way we spell it out internally. So, we have fairly distributed representation of advisers as well as our business. The outcome as well as our advisor count is quite spread out across type of geographies and on new acquisition as well, new advisor licensing also is fairly in line with our spread of business.

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So, to that extent, going forward, even in H2, I don't see that being different from what we have been following in agency for some time. Idea in agency is about the capacity that we have built to manage this advisor force, not just the existing ones, but also to acquire new ones. Like I mentioned earlier, for some period during COVID, we had refrained from adding cost through capacity addition of frontline managers. That is something that we started doing some 18 months back and that is something that we

are going through a cusp period of building capacity there to manage our advisers better and improve efficiency and productivity over a period of time. I think we are in a cusp. It is expected to improve, and we want to accelerate it and try to cut the learning curve and reduce attrition so that we manage our advisor force even better.

Coming to the second question that you had which was on riders, see, first of all, riders, we don't see riders as an attachment product first of all. So, riders need to really add value to our customers and the proposition. We do believe that riders make our proposition very distinct in comparison to anything which is available across financial industry on the investment space and accident, or disability or critical illness add value. So, from that perspective, the fabric of attachments are quite similar which cut across health as well as accident and disability and we would like to offer it as part of our protection as well as savings proposition. You know that these riders are not available standalone in the industry, and we want to offer it as a value add to our customers on the savings platform and that is what we have been doing. Even on protection, we look at riders as a very specific strategy to convert a protection solution into a wholesome mortality and morbidity solution which we offered through our flagship protection product where the customer has an option to choose critical illness, accident disability and actually both as well which we call it as an all-in-one proposition to give a most wholesome proposition on protection for our customers.

Moderator: Thank you. The next question is from the line of Prateek Poddar from Nippon Asset Management. Please go ahead.

Prateek Poddar: Sir, I have just one question. You called out about the kind of mix shifting,

right, in the ₹5 lakhs plus policy ticket sizes from entirely non-par to par or ULIP and then you also called out higher investments as well as higher commissions. In that back drop, how should we think about VNB margins for the full year? Is it fair to say that that given the mix shift we are seeing towards ULIP/non-par and the higher investments which you need to do because of growing your agency/other channels, margins would be under pressure this year and next year is where AP E growth as you have alluded earlier?

Dhiren Salian: So, Prateek, Dhiren here. A little difficult to call. I think, let it emerge through the year. There are of course product mix shifts that can emerge and that can drive where the margin would be. That would be one of the core components within which, of course, we will look at some of the expenses and see how we could manage them through this year as well. A little difficult to call. I think we will look at the way the product mix evolves over the second half of the year. You anyway know that the larger portion of the business happens in the second half. So, that can kind of dictate where we end up.

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Prateek Poddar: And you also talked about wallet share gains across other co-op agencies, I mean, partnership distribution side and Banca side in ICICI Bank. How much more potential is there for you to gain further wallet share or bulk of the wallet share whatever we could have done have been done this year?

Dhiren Salian: No, I don't think there is an end to wallet share as such. I think the key point is while we look at wallet share as an outcome; I think the one clear thing is we are looking at how we are able to deliver value to our partners and that's where some of the partner stack elements that Amit spoke of come into frame. The idea is that if we are the most partnerable insurer, then naturally we should have bulk of the business flowing to us and that ends up as a higher wallet share. Because very clearly, as we spoke of earlier, we are looking at the product, we are looking at the customer, we are looking at the distribution channel and each of those sub segments are the ones where we have to ensure that we have got the highest, the best fit in and that naturally will give you the move towards our sets of products and our set of distribution rather than some of the other partners that may be there in the short term.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: See, I have two questions. One, yesterday in ICICI Securities call, they also said that they are focusing on protection and annuity which is very similar to what ICICI Bank is thinking of. So, just wanted to understand how big is ISEC as a channel for us and if they continue to follow the way ICICI Bank follows, what likely impact in near term will we have on the growth? That's point number one. And the second, honestly, the question still remains for me is on non-ICICI Bank channel because the growth for H1, if I look, seems to be around 7 odd percentage seems to be very weak. Is it largely driven because of the macro factors because people are deploying, making or putting money in

deposits? It's macro related or something somewhere we are struggling with market share in the existing channels and that is leading to some muted growth in the banking channel, non-ICICI banking channel?

Amit Palta: Sanketh, Amit this side. First of all, let me answer the question on ICICI Securities. You are right. ICICI Securities also is looking at augmenting their proposition to their clients on protection and annuity. However, unlike ICICI, they are a very small part of our overall pie. They contribute close to around 2.5 % to 3% of our business and as I mentioned earlier as well, we allow our partners to choose what they think is most appropriate for their customers. I think we will be m

ore than happy. Even if the top line

is lesser and the protection is higher, it is value neutral for us. To that extent, that is fine. We appreciate and respect the decision and direction taken by securities, but they are a very small part of our overall business.

Second, you spoke about overall growth momentum in non-ICICI channels and let me just stitch it together once again. First of all, let me give you a number of 13% growth of non-ICICI in Quarter 2. So, 13% growth is what you witness in Quarter 2. I did mention that loss of share was not the problem for us because while the overall pie at a multi-insurance shop was severely impacted, more severely impacted because of guaranteed products becoming relatively unattractive in comparison to what was available in the H2 of last year on the regular ticket size and also on large ticket size for obvious reasons,

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tax proposition. So, all the multi-insurance shops were severely impacted because of this change in the environment. However, we still grew in partnership distribution by close to around 25% in Quarter 2. So, this is largely on account of increasing share. Otherwise, the overall pie was almost similar or slightly lower than what it was last year. So, this increase or this growth that you see in partnership distribution is largely on account of the increase in share. And by the way, Sanketh, let me also mention to you that partnership distribution what you see here actually factors in ICICI Securities as well. So, despite that 2 %-3% business that we have which is part of our partnership distribution having a change in direction actually did not have any impact on the overall partnership distribution growth which still stayed at 25% for quarter two. Banca, very similar situation. Direct business, like I told you, both online as well as upsell, we are growing well. Agency, I have already articulated. We are still at a cusp stage. We are very confident that capacity will turn into an outcome for us very soon.

Moderator: Thank you very much. That was the last question in the queue. I would now like to hand the conference back to Mr. Anup Bagchi – MD and CEO of ICICI Prudential Life Insurance for closing comments.

Anup Bagchi: Thank you for staying back late evening. Thank you very much. Bye.

Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' et c., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof

Call: Feb 2024

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 5039 1600, Fax: +91 22 2422 4484, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837 January 24, 202 4

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and nine months period ended December 31, 2023

This is further to our letter dated January 5, 2024, and January 17, 202 4. The Company had hosted an earnings conference call with investors and analyst on Thursday, January 18, 2024, at 8:30 a.m. IST , to discuss the performance of the Company for 9M - FY2024. Please find attached the transcript of the 'earnings conference call' for 9M - FY2024. The same is also made available on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Sonali Chandak

Company Secretary

ACS 18108

Encl.: As above

ICICI Prudential Life Insurance Company Limited

Earnings conference call

Nine months ended December 31, 2023 (9M -FY2024)

January 18, 202 4

Anup Bagchi:

Good morning and welcome to the results call of ICICI Prudential Life Insurance Company Limited for the 9 month - ended December 31, 2023. I have several of my senior colleagues with me on this call, Amit Palta, who heads Distribution, Brand Marketing and Products, Dhiren Salian, CFO, Judhajit Das, who heads Human Resources, Customer Service and Operations, Deepak Kinger, who handles Audit, Legal Risk and Compliance, Manish Kumar, our Chief Investment Officer, Souvik Jash, Appointed Actuary, and Dhiraj Chug ha, our Chief Investor Relations Officer.

Let me take you some of the key developments during the quarter before moving on to discuss the Company 's performance.

On the regulatory front, IRDAI has issued an exposure draft on product regulations for public consultation. One of the key elements proposed is the concept of a premium threshold for non -linked savings products, where beyond this threshold, no surrender charges shall be levied on the remaining premium irrespective of when the policy is surrendered. We believe th at any changes leading to a better product proposition for the customers would be a great opportunity for the insurance industry. In line with the s ame, we have launched ICICI Pru Guaranteed Pension Plan Flexi with Benefit Enhancer, industry's first annuity plan that provides customers with an option to receive a 100% refund of premiums paid at any time starting from the day of purchase. Significantly, this product is in line with the proposed regulations, which aims to ensure that the customers receive a fair and appropriate surrender value, particularly in the event of an early exit from the policy. For distributors, while the base level commissions between both the variants of GPP Flexi are similar, in the Benefit Enhancer variant, the commissions paid have been back -ended and more level -based for initial years.

Further, IRDAI is expected to introduce BIMA Trinity for insurers, which includes BIMA Sugam, BIMA Vahak, and BIMA Vistaar, with an objective to reach the last mile coverage by leveraging technology and customer -centric initiatives. The BIMA Sugam platform is proposed to be a non -profit company, and we are set to invest in the platform as a founding member. The

platform aims at providing an end-to-end digital solution for insurance purchase, service, and claim settlement in a seamless manner. This is a welc ome initiative, since it could be a one -stop destination for customers to fulfill all their insurance needs, and it also gives the platform to all stakeholders to participate.

Innovation has been at the core of our business strategy. During 2023, we launched a slew of innovative products, such as ICICI Pru Gold, GIFT Pro, i -Shield, and Protect & Gain. We also launched industry's first unit linked Debt Fund, with 'constant maturity ' as a theme. During Q3 -FY2024, we launched 'Waiver of

Premium Rider ', which allows customers to get policy benefits even if an unfavo urable event occurs to them. On the protection side, we have launched 'ICICI Pru iProtect Smart Life Continuity Option ', again an industry -first feature, where the customer has the flexibility to either receive the sum assured as a lump sum, or a monthly income for a duration of up to 30 years, or a combination of both.

And of course, we spoke of the ICICI Pru GPP Flexi with benefit enhancer a while back.

On the process side, with a set of capabilities encompassing digital tools and analytical capabilities, we were able to issue approximately 40% of the policies on the same day for the savings line of business in Q3 -FY2024. Complementing this, we have launched an initiative of crediting commission on the same day of the policy issuance for top -tier advisors. In the last earnings call, we had detailed out the 'ICICI Pru Stack ', which is aimed at making us the most partnerable insurer, and initiatives like this further add to the overall proposition provided to our partners.

Third, I would also like to talk about claims settlement, which is the moment of truth for any insurance company. As a customer first brand, I'm pleased to inform you that the Company has consistently maintained an impressive claims settlement ratio of 97.9% in Q1 -FY2024, and 98.1% in Q2 -FY2024, securing the top position among private sector insurers. Along with that, our average turnaround claims settlement time now stands at 1.3 days for non -investigated claims in 9M-FY2024.

Fourth, as a testament of our efforts on investing in digitalisation and data sciences, we have received awards for the 'Best use of Technology in Customer Service in Life Insurance' , 'Best Transformative Security Initiative' , 'Best Innovation and Diversification' . The Company's FY2023 Annual Report too, has received the 'Gold Award' at 2023 Spotlight Awards by League of American Communications. Recently, we have been ranked number one term insurer by Fortune India.

Lastly, on the sustainability front , we continue to be the highest rated insurer in India with AA rating by MSCI and have received awards for 'Best Sustainability Report' and 'Best Overall Sustainable Performance' in BFSI. Our complete list of awards won in Q3 -FY2024 is presented in slide 43.

I will now move on to discuss the key performance snapshot for Q3 -FY2024 and 9M-FY2024.

- In 9M -FY2024, value of new business was ₹ 14.51 billion with an APE of ₹ 54.30 billion. VNB margin stood at 26.7%. The decline in VNB margin is

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primarily on account of the shift in underlying product mix towards unit linked and par from non -par business, decline in group term business and higher expense ratio for the current year.

- We have registered RWRP growth of 10% in Q3 -FY2024, higher than average growth rate registered by the overall industry as well as the private life insurers.

- On the proprietary business, that is direct and agency , constitutes more than 50% of our retail APE. Within this, direct business has grown by 18.8% for 9M -FY2024. We have been investing in agency channel by scaling our frontline managers and providing our agents with institutional support, complemented by data analytics

and data capabilities. The agency channel has grown by 12% year -on-year in Q3 -FY2024 and our efforts are directed towards driving this growth further. Partnership distribution has registered a growth of 11.2% year -on-year in 9M -FY2024.

- The bancassurance channel grew by 2.4% year -on-year in Q3 -FY2024. Within that, ICICI bank channel declined by 4.8% year -on-year.

- The group channel declined primarily on account of group term business, while we saw sustained growth in the group credit life business.

- On the product side, in 9M -FY2024, linked business has grown by 5.7%, while non-linked savings business has declined by 4.5% year-on-year, primarily on account of shift in customer preference from non-participating products towards participating and unit linked products. For greater than ■ 5 lakhs ticket size category, we have witnessed growth at the Company level in line with the overall RWRP for Q3 -FY2024.

- Annuity business grew by 17.3% year-on-year in Q3 -FY2024, on back of strong growth in regular premium annuity.

- The group fund business declined by 5.1% in 9M -FY2024.

- The retail protection APE continued to witness strong growth. We ended 9M-FY2024 with 55.9% year-on-year growth, and with this, we have surpassed the FY2023 retail protection AP E.

- Our regular and limited pay persistency have been improving consistently. 13-month persistency stood at 87.4%, and 49-month persistency stood at 67.1%.

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- Our cost to TWRP ratio for savings line of business stood at 16.3% for 9M -FY2024, as we continue to invest to deliver sustainable growth in the future.

We have always ensured that customer centricity is at the core of everything that we do, and we have been continuously working on improving the customer-related metrics as detailed on slide 7. We believe that the key to market expansion is in getting the customer-product-channel equation correct, which means the right and simplified product to the right customer at the right price through the right channel.

Additionally, we have taken major steps to become the most partnerable insurer in the industry, and with the launch of ICICI Pru Stack, we now have an array of platform capabilities available for our customers and our partners. By enhancing the distribution through acquisition of new partners and new sourcing channels, we are setting up the platform for long-term sustainable growth.

Our product, process and distribution is completely aligned with one goal, that is, to deliver value proposition to our customers. The hard work done through all these years is expected to start bearing fruit in the shape of steady growth going forward.

Our 4P strategic elements led by 4D framework continue to play a crucial role in the growth of absolute VNB.

Thank you, and I will now hand it over to Amit to take you through the business updates. Amit.

Amit Palta:

Thank you, Anup. Good morning, everyone.

As Anup said, our 4D framework is what drives our 4P strategy. Our 4D framework has entirely been put in place by keeping in mind our core objective to deliver quality business in a risk calibrated manner.

Let me outline the important actions we are taking to further strengthen this 4D framework. The first element is Data analytics. We have been investing in data science over the years and customer-centric analytics engine has been powering our sales and distribution operations, business, and product strategy. Additionally, we are focused on extensive utilization of AI and machine learning along with data analytics to mitigate risk in the insurance business.

Our recently developed AI and ML backed model has been assisting us to mitigate the fraud and early claims risk. This has led to ~70% reduction in cases with

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higher propensity for fraud and early claims for savings policies , for the period October 2023 to November 2023. Th

e same has been detailed on slide 30. The details of our extensive deployment of analytics capabilities are set out in slides 26 to 30.

The second element that is Diversified proposition has been detailed from slide 31 to 34. We have a comprehensive suite of products and continue to strengthen our product portfolio to address changing consumer preference in a dynamic environment. During 2023, we launched innovative products across categories. We also launched industry's first unit linked debt fund with constant maturity as a theme. The launch of ICICI Pru Flexi with benefit enhancer in annuity, waiver of premium rider, ICICI Pru iProtect Smart-Life Continuity Option, as highlighted by Anup in his opening remarks, are a result of anticipating what consumer needs and delivering it accordingly.

The third element, Digitalisation, has been detailed from slide 35 to 39. We have been working extensively to integrate our digital ecosystem with central agencies to fetch KYC and income estimation details for a simplified digital customer onboarding. As a result, during Q3-FY2024, around 80% of our policies have been issued using digital KYC and nearly 40% of our saving policies were issued on the same day.

The fourth element, Depth in partnership, is presented on slide 41. We continue to build capacity and have added more than 28,750 agents during 9M-FY2024 spread across geographies. Within the bank and non-bank channels, we are setting up the platform for longer term growth . We continue to add new partnerships and increase share of shop in existing partnerships. We now have a total of 42 bank tie -ups with access to more than 20,000 bank branches and more than 1,050 non -bank partnerships with an addition of 144 non -bank partner s during 9M-FY20 24. Through ICICI Pru Stack, we intend to become the most partnerable insurer and we can onboard any new distribution partner in less than two weeks.

Let me now talk about the business performance update through the elements of our 4P strategy. Starting with the first P, that is Premium growth element, which is mentioned from slide 9 to 12. As you can see on slide 10, our total APE for Q3-FY2024 stood at ■ 19.07 billion and for 9M-FY2024 it stood at ■ 54.30 billion. While Anup has highlighted the channel and product -wise growth, let me highlight the business mix. Today we have a well -diversified distribution mix with no single distributor, excluding ICICI Bank, contributing more than 5% to our APE in Q3-FY20 24. Hence, volatility in any single channel will not have any significant impact on our top line or bottom line.

As you can see on slide 12, for overall 9M-FY2024 APE, agency business contributed 27.2%, direct business contributed 14.8%, bancassurance 27.9%,

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partnership distribution 12.6% and group business contributed 17.5% to overall APE. This diversified distribution will enable us to grow sustainably in the long term. Along with channel mix, we continue to maintain a well -diversified product mix with 9M-FY2024 APE contribution from the link ed savings product at 43.1%, non-link savings at 26.8%, protection at 20.1%, annuity at 6.2% and the balance 3.7% coming from group savings products.

The non -linked APE mix has declined from 28.6% in 9M-FY2023 to 26.8% in 9M-FY2024 , whereas linked APE mix has increased from 41.4% in 9M last year to 43.1% in 9M-FY2024.

Annuity business grew strongly by 17.3% year -on-year during Q3-FY2024. Single

premium annuity declined, as customers might have postponed purchases given high FD rates currently. However, the strong growth in regular premium more than made up for the decline in single premium business.

Another important focus area for us, is to serve the life protection needs of the customer. On this aspect, let me talk about second P, Protection growth on slide 14. With an APE of ₹ 10.92 billion, the overall protection segment saw year-on-year

growth of 4% leading to an APE mix of 20.1% in 9M-FY2024. The retail protection business has registered a strong year-on-year growth of 55.9% in 9M-FY2024. With this, we have surpassed the FY2023 APE in the current year's nine-month itself. We expect normalized growth going ahead in retail protection.

Our total new business sum assured stood at ₹ 7.2 trillion for 9M-FY2024, and our total sum assured stood at ₹ 32.3 trillion as of December 31st, 2023. We believe given the current level of under-penetration, retail protection business growth is a multi-decadal opportunity, while credit life and group term business also offer significant opportunities as we witness growth in credit and the economy.

Coming to our third P, which is Persistency improvement, presented on slide 16. We believe persistency is the most effective indicator of the quality of sale and as a barometer of customer experience. This is reflected in the significant improvement in persistency ratios across cohorts. We have developed AI models which predict future persistency behavior of the customer at various stages, and these enable us to take appropriate interventions. This will further help us to improve the overall persistency levels for the business.

Now moving on to the fourth P, which is Productivity enhancement, presented on slide 18. Our total expenses grew by 28.3% year-on-year for 9M-FY2024. As highlighted in the previous quarter, the increase in new business commission is attributed to the redesign of commission structure pursuant to the flexibility provided in IRDAI (Payment of Commission) Regulations. This year will continue to be a transition year and we expect the rates to settle down as we move to the

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next fiscal year. The rise in operating expenses is primarily due to sustained investment in capacity creation to support future growth.

Our overall cost to TWRP stood at 25.3% and savings lines of business cost to TWRP ratio stood at 16.3% for 9M-FY2024. We monitor cost ratios for the savings lines of business separately. Our objective is to bring efficiency in the savings lines of business while we continue to focus on growth in the protection business.

I will now hand it over to Dhiren to talk to you through the outcome of 4P strategy and financial update for 9M-FY2024.

Dhiren Salian:

Thank you, Amit. Good morning.

We regularly monitor our experience in respect of various risks, and the diligent and prudent risk management framework we operate on is reflected in our strong and resilient balance sheet, presented in slide 19. The emerging mortality experience is within our expectation. On asset quality, 96.4% of our fixed income portfolio is invested in fixed income instruments that are rated sovereign or AAA and we continue to maintain a track record of not having a single NPA since inception. Of our liability profile, 73.9% of liabilities largely pass on market performance to customers. We use derivatives to hedge interest rate risks in our non-participating guaranteed savings and annuities portfolio. We continue to closely monitor liquidity and ALM positions, and we have no issues to report.

The VNB for 9M-FY2024 was ₹ 14.51 billion. Given our APE of ₹ 54.30 billion, the resulting VNB margin was 26.7% for 9M-FY2024. The decline in margin is

primarily attributed to product mix shift and higher expense ratio for the current year.

First, let me explain the impact of the product mix shift. The market buoyancy has led to higher growth of the unit linked portfolio, which, as you are aware, has a lower margin profile compared to the Company average.

Further, we have been experiencing a shift in product mix of greater than ₹ 5 lakh non-par cases, moving towards the participating and the unit linked products. However, for Q3 -FY2024, in the greater than ₹5 lakh category, we have been able to seize the market opportunity through unit l

ink ed and participating products, and we were able to grow this customer segment in line with the Company level RWRP.

There has also been an inter-se mix of traditional plans moving from non-participating to participating products, which has led to the PAR product mix to

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be higher than the non -PAR product mix for 9M -FY2024. Further, we have seen competitive pressure on pricing in both the non -PAR business as well as the annuity business.

Additionally, on the protection side, even though retail protection and credit life businesses have grown during the year, group term business has declined from the high base we had in the previous year. While there has been significant growth in the number of group term deals, the lower deal sizes reflecting normalization of rates post COVID has led to a decline in the overall APE of group term.

Second, the higher expense ratio for the year has also impacted margins. The growth in the top line for the 9 M-FY2024 has been lower than the planned numbers. As explained earlier, the redesign of the commission structure has led to an increase in commission expenses. We have also continued investment in capacity creation to support future growth, specifically in the proprietary channels, that is agency and direct, as well as in IT and brand awareness. This has led to an increase in operating expenses for the year.

Further, from a Q4-FY2024 perspective, we are now looking at building double digit APE growth, which we believe can help absorb some of the fixed costs that have been incurred in the current year. On assumptions, we seem quite comfortable on both persistency and mortality experience, and as with the usual practice, we will evaluate them at the end of the year.

For the coming year, we believe all investment and diversification that we have made will help in delivering the APE growth, which will aid in growing VNB.

Coming to other financial metrics, our Profit after tax grew by 17.9% year on year, from ₹ 5.76 billion in 9M-FY2023, to ₹ 6.79 billion in 9M -FY2024 . Our Assets under management stood at ₹ 2.9 trillion, and our solvency ratio continued to be strong at 196.5% at December 31st, 2023 . To summarize, we will continue to make progress against the 4P framework of Premium growth, Protection business growth, Persistency improvement, and Productivity enhancement led by our 4D framework.

We are now well diversified in terms of product and distribution mix, which allows us to manage the impact of the external environment and respond swiftly to shifting consumer preferences.

Thank you, and we are now happy to take any questions that you may have.

Moderator:

Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh:

Yes, hi. Good morning. Couple of questions. The first one on your big dip in margins. I mean, on an as it is basis, if I look at product mix changes, they fail to explain. So that means either the product value proposition for the policyholders have changed materially for the same set of products, or the overall cost, acquisition cost plus opex, has inflated a lot, and that is leading to certain dip in the margin. So, if you can help explain this, sort of how much of the product value proposition changed for the policyholders, or and how much of it is coming out of the acquisition cost and opex?

And if the large part was due to acquisition cost and op-ex, I mean, I would expect you to have a bit guided because you know that, okay, how your opex is going to go based on a strategy. So a bit of guidance because this margin dip suddenly is pretty big. So that's question one. Second question is more around growth.

If I heard you correctly, you are saying beyond Q4, you are looking at double digits. So I mean, if you can just

sort of try to explain the value constructs or what is because I mean, we are also in the era of some regulatory uncertainty going on. So what gives you confidence for double digit growth beyond Q4? And what sort of a number of growth you are looking for Q4?

And just one minor thing again, if I were to look at the retail APE, retail WRP growth, some minor gap I mean, 10%, 7%, is it largely I mean the quarterly /monthly premium payment kind of a thing that sort of distorts the number and will normalize over the quarters, or, is there something more? Thank you.

Dhiren Salian:

Good morning, Avinash. So Avinash, as I explained earlier, the shift that you see in the margins is on again two fronts. The product mix, what you've seen here is the shift towards unit link that has definitely happened. What you've not been able to see because we've not given a split between par and non-par clearly is the shift towards participating.

If you recall, we had initially spoken of last year's par to non-par mix being roughly about 1:2. That has shifted more towards the participating side where the participating actually is larger than the non-participating side. That shift in product mix also has a great part to play.

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The other aspect as we also pointed out competitive action in the non-participating space as well as the annuity space clearly have led to compression of margins on that line of business. So to that extent, there is, of course, a depletion that comes through. Coming to operating expenses, yes, we've seen operating expenses that have been higher.

We had forecasted growth for the full year. We've not been in a position to deliver on that growth for the nine months so far. And you can see that it's a little over 1.5% for the nine months put together. That has impacted the unit cost for the lines of business, and which is what we're reflecting at this point.

Coming to your second question, in terms of what are we looking for quarter four, we're seeking to look at the double-digit growth in terms of APE. We're looking at this primarily from the perspective that if you look at quarter three, we do have a double-digit growth on retail business.

You saw the RWRP grow at about 10 plus percent. We expect to build that into the coming quarter as well. The initial trends that you see in the first few days of January seem to be quite positive, which is what gives us the confidence that we should be working towards this as well.

Avinash Singh:

And given that Q4, of course, you have that last -year March base effect of high -ticket policy. So what kind of growth, I mean, adjusted for that or not adjustable that you'll see for Q4?

Dhiren Salian:

See, we're seeking to build double -digit on this for quarter four, Avinash.

Avinash Singh:

On that base? On the reported base or adjusted for some kind of, you know?

Dhiren Salian:

On the reported base.

Avinash Singh:

Okay. Reported base, you are looking at double -digit in Q4. And just last, you know, kind of a bookkeeping question that was, your RWRP and retail APE, actually individual APE reported, that will be largely because of this monthly, quarterly premium -paying accounting?

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Dhiren Salian:

Yes, right, Avinash. So there'll be a gap between the RWRP and APE from a monthly modal perspective.

Avinash Singh:

Okay, okay. Thank you. Thank you.

Moderator:

Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee:

Yes, hi, sir. Thank you for the opportunity. Two, three questions. First one, as you highlighted in terms of the mix change, I just wanted to understand also that, if I just, look at the mix in third quarter from a comparison point of view with the second quarter, then, like, unlike if we would have compared nine month to nine month, if we do it just

on a sequential basis, on a quarterly basis, then the mix does not look very different in terms of, say, how much is unit linked, how much is protection. I take your point that par has increased very significantly vis -a-vis non-par in the non -linked mix.

Is it fair to understand that this change has happened more in this quarter between par and non -par? Because I think some triangulation suggests that it would have not moved that drastically in the previous quarter. So, is it a phenomenon that has happened this quarter?

And also, similarly, for, say, in the protection side, how is the margin profile of group term life now playing out post the price correction? Because I think

although retail protection has increased, I think share of group term life on an APE basis in the mix have increased for overall protection. So, if you could give these granularities.

So, that is my first question. The second question is on the Banca channel. So, if you could tell us how it has been between I-Bank and non I-Bank this quarter, what is the split in the Banca APE in that?

And given that you mentioned that you are gaining market shares in your partner banks, but despite that, I think we have done a 2% -2.5% growth in APE in this quarter. So, what kind of challenges you are facing there? Is this competitive

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intensity or is this that banks are focusing on other product segments? If you could highlight on that, that would be great.

Also, on the margin side, I just wanted to understand that do you think that product mix will kind of change in the upcoming quarters? Or is this the margin profile to work with for the next, say, 2 -3 quarters going ahead?

So, these will be my questions. And a quick question on the new product would be, sir, that if you could tell us what kind of VNB margin for the new annuity product you are building in, which has a more trail kind of a payout model, as you mentioned, and what kind of lapsation rates, etc., you are also baking in that estimation. That would vis-a-vis a similar product with the current kind of surrender charges. That would be very helpful for us to understand. Yes, sir. That's all from my side.

Dhiren Salian:

Yes Swarnabh, quite a lot of questions. Let me try and pick them up. If we miss, please remind us. So, on the first one that you spoke of, in terms of Q3 margins, please understand the way the methodology is that you look at full year nine-month margins when you do the computation, you apply it for the entire base. So, typically, when you just look at incremental Q3, it does have a catch-up impact of both Q1 and Q2 also built in.

You're right. Incrementally between Q2 and Q3, it doesn't seem to be too much of a shift on the outside from a product mix perspective. But clearly, we've seen a shift across both the quarters, in fact, all three quarters towards the participating line of business, away from the non-participating businesses.

At this point, the participating is slightly higher than the non-participating for the full nine months put together as well. The other point that I also cited was that across the year, we've had competitive pressure on both non-participating as well as annuity lines of business which have led to compression in margins. Those are the key elements that are coming through.

What, of course, we are reflecting also at this point is the expected unit cost which has, given the higher operating expenses, is adverse to the margins. That also is being reflected at this point. That's how the whole thing comes together.

However, what you rightly pointed out, group term has declined. Overall, when you look at the protection mix of roughly 20%, whatever gains that we've had on the retail protection side are being offset by losses on the group term side. Group term specifically, again, has undergone some bit of correction in terms of margins as we've gone towards po

st-normalization of rates post-COVID. And again,

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increased competitive intensity. We're working off a higher base. That itself is leading to a drop in group term APE.

Amit Palta:

I just want to add here, this is Amit Palta. See, we also need to understand the context of margins, the way it was operating on non-participating guaranteed products last year quarter. While all of us have witnessed the hysteria around the guaranteed products in the month of March, but it also led to a lot of competition activity on comparative practices in terms of pricing.

And the margin did compress during the period of February and March because of competitive pressures. And we cannot deny the fact that a lot of affluent business, last-ticket business, was pre-poned in the month of March. And there was a scarcity and there was a proposition for customers to pre-pone their purchases, which meant that naturally there was a lull in quarter one when it came to guaranteed products.

And IRR or the customer returns had to get moderated eventually. So that moderation happened in the quarter one. But however, the base level on margins had already got corrected at the lower side in last year, last quarter.

So subsequent to that, all the changes that we witnessed, whether it was mutual fund indexation benefit being taken away and relative to other investment products, unit linked attracted only a long-term capital gain tax in comparison to more than ₹ 5 lakh cases where regular tax was levied on the customers, meant that naturally the pull towards high potential returns kind of participating product and unit linked products started getting momentum.

So it was not just a quarter three phenomena. We saw it at the very beginning of quarter two itself where participating & Unit Link products started getting momentum. And slowly affluent business also, because of relative advantage that they had on tax, started giving the overall mix. And non-participating products with moderation of customer IRR in the overall industry saw a bit of a compression on demand, which actually continued right through quarter two and quarter three. Coming to group protection, see for the years where we were doing very well during COVID when we chose to participate in group-term business, the pricing was at a different level altogether. Post the experience, which was favorable, the pricing had to go through a correction.

But yes, the competitive pressure on the lower pricing meant that there was a pressure, not just on top line, but also on margins. So margin on a standalone basis is still good, but not as much as what it used to be earlier. So that is on the group-term, which I would like to add here.

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Back to you, Dhiren, for the second question, which is on mix between iBank and non-ICICI Bank.

Dhiren Salian:

Yes, mix between ICICI Bank and non-ICICI Bank for this period is actually half-half. You'll notice that ICICI Bank has stabilized. It's roughly in the ₹ 80 crores to ₹ 100 crores range per month, and that's where it has settled down at. Actually, if you back out ICICI Bank from this, quarter three, ex of ICICI Bank, that business is actually grown by double digits.

Amit Palta:

There was also a question on non-ICICI Bank business and the competition practice. I just want to add there. See, broadly, the way things have played out in bancassurance business is that wherever we saw traction and prioritization in alignment to unit linked momentum and unit linked demand, we saw those channels doing relatively better. So the overall pie was witnessing a moderate growth in multi-insurer banks, barring few exceptions here and there.

But what we have witnessed is a growth which is quite reasonable and more than the growth at the individual partnership, which meant that the focused effort

has actually started yielding us better share of business at the shop. So non-ICICI Bank business in terms of share has continued to look better for us.

Dhiren Salian:

So let me cover the last question that you raised in terms of the new product. What kind of margins are we seeking? This will broadly be in line with our current set of margins on the same product variant.

We're not expecting any large lapse rates out of this, frankly, because this is an offering that we're making to the customers, which is giving them the flexibility in case something does happen to them. This is not a product or core feature that we expect people to utilize.

This is a benefit that is available to them. And the 100% value that they will get or the surrender value that they will get out of it is clearly beneficial to the customer in case they need the flexibility. Please understand that this product actually is saving towards retirement.

And to that extent, if customers needed the money some time during the initial period, then he has the flexibility to take all of that away, even though his retirement goal may get affected.

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Swarnabh Mukherjee:

Understood. And if you could respond on, you know, how to think about the margin in, say, near terms of fourth quarter or maybe going into the first quarter next year. Should we expect it to remain in a similar range on a quarterly basis?

Dhiren Salian:

Yes, broadly, if the product mix holds, then I think we should go along the same lines. Shifts in product mix are something that we have to account for as it goes through the quarter and the next year as well.

Swarnabh Mukherjee:

So if the product mix remains broadly similar, so full year versus nine months, we should see even a little bit more contraction from where we are right. Would that be a fair understanding, sir?

Dhiren Salian:

Swarnabh the other thing also is we are trying to build in a double-digit growth. So to that extent, if we overshoot that, that'd be great. We should have definitely some buffer there. Otherwise, it will reflect in the cost ratio at the end of the year.

Swarnabh Mukherjee:

Understood, sir.

Amit Palta :

The primary focus will continue to be delivering on products which are good for the customer. And we'll allow ourselves to be aligned to where the customer demand is. And what we get as an outcome is something that we'll take it. That's where I would like to actually qualify and put it in.

Swarnabh Mukherjee:

Sure, sir. Very clear. Thank you so much.

Moderator:

Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta:

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Thanks a lot for the opportunity. So my first question is that if we have seen what has happened over the last nine months, it appears to be that you are going for growth. But that growth is coming at the cost of margins. And is this a function of your, you know, ICICI Bank channel not really growing, and hence you have to grow in channels where the competition is higher and which is then adversely impacting margins. So going forward, while growth is going to be double digit, the top line could grow at double digit. The margins could be materially lower than what we have seen historically. So is that the way we should think of the business going forward? That's the first question that I have.

The second question is, you know, you have made investments in your agency channel, direct channel, but just wanted to know that whether these investments, how long will these investments continue for? And what level of top line growth do you need to see before your operating leverage starts to flow through? That's the second question.

And lastly, on the new product, the Benefit Enhancer, just wanted to understand how does the margin on a Benefit Enhancer compare with a normal variant? Thank you. Those are my three questions.

Dhiren Salian:

Yes. Thanks, Supra

tim. On your first question, I don't think that's the right way to look at it. Each distribution channel has chosen a strategy for the insurance business, and we respect every distributor's decision along those lines. And ICICI Bank is no thing new. We've discussed it for many, many quarters now. That has been baked completely into the base. What is good that you're seeing at this point is that ICICI Bank has started to stabilize at the ` 80 crores, ` 100 crores range, and that's where we believe it will be. If there's growth out of it, we will take it. We obviously have to work beyond ICICI Bank. We can't just be stuck with just one primary channel. And one of the key things that we have spoken of in the past and that we have delivered is actually a very diversified channel as well as a product mix, which allows us to take advantage of the opportunity as it presents itself. So whenever there's an opportunity, we are in a position to take it. So if there is a market buoyancy, unit linked definitely did well for us. That, of course, the way the product mix shifts had an impact on the product margins. And that's what we explained in the past few minutes as well.

What is very critical for us is to make sure that we've got all products on the shelf and we're in a position to offer them to the distribution that is able to reach out to those customer bases. Whatever the customer chooses, that is good for them, we will offer and allow that to play out. Coming to your other question in terms of the Benefit Enhancer product that we have launched, we just discussed that margins are broadly in line with what we've seen for the other variant of the product.

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Amit Palta :

Specifically, you had asked a question on agency and direct.

Yes, you had asked a question on agency and direct, I'll take it. This is Amit. First of all, this focus on non -ICICI channel, which may increase our margins, I just wanted to clarify that, of the retail business that we do, 51% of our business is

proprietary, direct business which is proprietary sales force and agency. So 51% of the business is not purely a multi-insurer competitive business. It is only around 14% to 15% of our non-ICICI Bank bancassurance Business and another 15% of partnership distribution that leaves us with around 30% of our business, which is actually multi-insurer. The 70% of our business is close to being captive or proprietary, you may call it. So to that extent, impact of ICICI Bank decision on our strategy will not have an implication on margins because of business increasing on the other side of it.

Specifically on our investment in direct and agency business, we have continued to invest for at least last year and a half, we've really scaled up our capacity to start licensing more advisors through investing in people, processes and also institutionalizing on digitization support to our agents. And this is a process. This has started. As you know, that gestation period for setting up capacity to deliver productivity takes a little time in agency, because the cycle involves not only self-trained, but also hiring and then making agents productive.

And hence the cycle is a little longer. But good news is that quarter three, we saw a good double-digit growth in agency, which is close to 12% and the investment on capacity will continue at the current pace. And we don't intend to pull back our capacity addition in agency. Direct business is quite on course. It's growing at 18% to 20% for us, which includes both upsell as well as what we are doing on our website. So that business is quite on track, back to benefit on some margins.

Supratim Datta:

I just wanted to know what would be the top-line growth that is needed for the operating leverage to flow through, if you could get that.

Dhiren Salian:

Yes, that's a little difficult to estimate because we obviously would want to invest in our business as well, because clearly we don't want to let go of the opportunity. So we'll have to calibrate both along the way, both in terms of how the top-line emerges and the kind of investment we continue to make. So difficult to take a specific number to it.

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Supratim Datta:

Got it. Thank you.

Moderator:

Thank you. The next question is from the line of Pankita Shrivastava from ABSLI. Please go ahead.

Pankita Shrivastava:

Thank you, sir, for the opportunity. So the first question is on so I wanted to understand like what percentage of business, the new business that has been generated, is coming out of the captive I-Bank in terms of group credit life. That is the first question.

And what are the other bank partners that they have in terms of diversification? And you mentioned about the AUM as well of the ICICI Prudential. So I wanted to understand what is the group AUM out of this? what is the percentage of group AUM out of this? Thank you.

Amit Palta :

Thank you. On ICICI Bank's share on credit life business, though we don't publish this, but it is in a double-digit share on overall credit life business. Specifically, if

we were to exclude non-MFI business and look at only non -MFI business, principally mortgage, they're close to around 20% to 25% kind of range.

Dhiren Salian:

So in terms of the A UM, we're largely retail. There is, of course, some group A UM. I don't have the numbers with me at this point. We can pick that up separately.

Pankita Shrivastava:

Okay, sure. Thank you.

Moderator:

Thank you. We'll take the next question from the line of Adarsh from Enam Holdings. Please go ahead. Mr. Adarsh, I have unmuted your line. Kindly proceed with your question.

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As the current participant is not answering, we'll move on to the next question, which is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick:

Hello. So thanks for the opportunity. So again, kind of a repetitive question. So from an individual product perspective, on a sequential basis, have your margins changed?

Dhiren Salian:

So, Ajox, the larger impacts have been on the non -participating and the annuity side. Sequentially, yes, the product margins have gone down because it reflected a higher cost ratio.

Ajox Frederick:

Okay. And just to validate, you mentioned that assuming the double -digit growth holds up in 4Q, for the year, we can end up with a 27 % kind of margins, right?

Dhiren Salian:

We're working towards it. Where the margin finally ends up, we will see. Margin is not the primary focus for us. Absolute VNB is what we're gunning after. And again, wherever is the opportunity, we will go after it. We will offer that appropriate product to that customer segment. And we'll let the margin evolve from there.

Ajox Frederick:

And sir, from a slightly longer -term perspective, are we having any goalposts or do we intend to have any goalposts in the near term, like doubling of VNB, etc. etc.?

Dhiren Salian:

No, Ajox, we have not put out a metric of that nature. I think what we're seeking to do is to build on sustainable growth, quarter -after -quarter. The green shoots are visible at this point. You've seen the fact that we have lagged the market in quarter one, quarter two, by a large degree. And in quarter three, on the retail business, we have now come back on par and slightly above. Our focus largely is on the profitability side to work with a bsolute VNB. And growth in absolute VNB is all we're looking for. The margin will evolve based on the final product mix. But

obviously, the biggest driver to absolute VNB will be on growth. And you're starting to see those green shoots come through.

Ajox Frederick:

Understood, sir. So that's it for me. Thank you.

Moderator:

Thank you. The next question is from the line of Sank

eth Godha from Avendus
Spark. Please go ahead.

Sanketh Godha:

Yes. Thank you for the opportunity. Dhiren, the question which I have is that you said that you will probably achieve double -digit growth in fourth quarter. So if I do a Q-on-Q growth, honestly, that is almost like doubling the AP E what you have generated in third quarter. And if I look at the historical trend, we never grew at that rate on sequential basis for the fourth quarter.

So I just wanted to understand, since you're gunning for that number on a higher base, there should be some confidence in some channels which is giving you that growth will be achieved. So I just wanted to understand where this growth will come from. That's point number one. And if you manage to deliver that number in fourth quarter, then what kind of growth you can expect in FY25 given these channels will deliver growth for you? That's the first question.

And the second question is that on margins, you have highlighted that it has compressed due to a few reasons. But just wanted to understand that on margin, I think we report margin based on projected cost. And given the cost has gone probably is more, have we revisited the projected cost assumptions in the nine - month number and that is getting reflected in the margin compression?

And finally, if you give it in full year, but if you can give it now, it will be very appreciated. That VNB margin waterfall, if you give it because of the mixed change cost pressure and product level margin, which you highlighted is because of non -par and annuity, if you give that waterfall, and an assumption change if it is there any, if you can give that waterfall, it will help us to understand where the margins have led to compression. That's it from me.

Dhiren Salian:

So Sanketh, let me take your second question first. Yes, we have reflected the higher expense ratios into the nine -month numbers. And that flows into our expectation of unit cost for the full year.

Sanketh Godha:

That number is higher compared to what it was in 1H, right? I just wanted to understand.

Dhiren Salian:

Yes, the unit costs are higher than what we saw earlier at 1H.

Sanketh Godha:

Okay, perfect. That's right.

Amit Palta:

Yes, specific to your question on growth expectations in quarter four. Let me just trace back last year last quarter. If you remember, the traction in last quarter was built actually in the month of March only. Jan and Feb were quite moderate in performance. So that is what I just wanted to clarify. I remember till the end of February, we used to go to the market saying that we had not seen the impact of scarcity even till the end of February.

So to that extent, January and February were quite moderate on overall numbers and it was only the month of March. So to that extent, I do agree that March scaling up by 10% growth will relatively be a challenge. But however, January and February are expected to be much better than last year January and February.

Apart from that, your question on where the growth will come from, see it will be a combination of what we do on products and how we have invested on channels over a period of time. And we do expect some of the initiatives taken on productivity and the maturity that we are seeing on the capacity added will enhance our productivity starting January, February and March. So it's been now almost what 18 months that we have invested in capacity.

We do expect some of the productivity to unfold in our favor disproportionately in the month of January and February. So that's how the expectations are built. And of course, it is not just about channels. It is going to be a combination of what we do on products as well as specific interventions that we do with unique channels, within bancassurance as well as non-bank channels.

Sanketh Godha:

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So Amit, if that is the case, the

if this capacity utilization space on a benign base in FY25, we can expect a growth to be in mid-teens because we are confident to deliver 10%, 11% in the current quarter, fourth quarter, then it should trickle down to mid-teens kind of a growth in FY25?

Amit Palta:

The endeavor is, Sanketh.

Dhiren Salian:

So we will work towards that Sanketh into the coming year. The idea is to be able to build sustainable growth quarter-after-quarter.

Sanketh Godha:

Got it.

Moderator:

Thank you. We'll take the next question from the line of Nidhesh from Investec. Please go ahead.

Nidhesh:

Thanks for the opportunity. On the margin still, I'm not able to fully understand that what actually happened in this quarter because the cost pressures were already visible in H1. Operating costs actually has declined sequentially in absolute number. The growth has been better than previous quarters. So what actually has happened in this quarter, which this creates us to lower our margins. So have we lowered the pricing significantly in our non-par products or what specifically has happened in this quarter, I wanted to understand? That is one.

Second is, what will be the impact of surrender value regulation? So you

mentioned the margins of GPP Flexi is probably similar to the overall margin of the company. So which means that that's how we should look at the impact of surrender value regulation or you expect any other impact?

Dhiren Salian:

Yes, Nidhesh, just to repeat the point on margins, we are reflecting the higher unit cost ratio at this point, which is where it's affecting all the previous quarters as well. And the key point is, if we were able to deliver on growth, then we should have been able to absorb the additional costs. You saw that in quarter three, the growth was roughly about 3% to 4% on the overall AP E. If it was higher, then we would have been in a position to absorb that. Given our outlook, we are now

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reflecting some of the extra that we have into the current mathematics at this point.

With respect to the GPP Flexi new variant, the margin of this variant is similar to that of our existing variant, not that of the company average, but that of the existing variant. That's the key point. In terms of where the surrender value regulations will go, I think they're still in a draft stage. Let that evolve. However, we've decided to take a step forward and make this product variant available because we think that from a customer perspective, with the objective that the customer would have taken this product, which is to stay till maturity until the time that they want to draw their annuity, there may be situations in their lives which may necessitate a withdrawal of fund and we want to give this advantage to them.

Nidhesh:

Yes, so just to follow up on this variant, are the IRRs lower or have we reduced the payout to make the margin similar?

Dhiren Salian:

The key thing, Nidhesh, here is that we've back-ended the commission, so it's actually far more trail-based. It's not upfront, which typically is the structure with most products where it is higher in the first year and lower in the subsequent years. In this particular product, we have made it on a trail-based format.

Nidhesh:

Okay. Thank you, sir. Thank you. That's it for myself.

Moderator:

Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani:

Thank you. Sir, I have two questions. First is on the commissions. So, for each quarter; first quarter, second quarter, third quarter, your commission, Y-o-Y growth has rapidly picked up and in the third quarter, it was up about 156% or so.

Now the only other peer of yours who has reported their numbers, they also have elevated commissions, but their year-on-year growth was sort of similar in the past three quarters. So, are there any ch

annels or specific reasons why your

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commissions have picked up much more rapidly in third quarter? Or I would just want to understand where this comes from.

And second on, just continuing the point on the surrender value regulation, sir, any help if you can give us on timelines, where do you expect, when do you expect this to become applicable? That will be useful. And sir, just one last question on credit life, the AP E growth number.

Dhiren Salian:

Yes. So, Shreya, on the second point that you raised, which is the surrender value regulation, it's still under discussion. So, I'm unable to share any timelines at this point. In terms of the first question that you raised, the commissions would be reflective of the channel mixes that are underlying. It will depend upon company - to-company. And again, quite difficult to draw direct comparison across each of them. Coming to your third question, credit life has grown strong double digit in this quarter as well, as it has through all the nine months of the period. We're looking at 20% plus growth on that.

Shreya Shivani:

Sure, sir. And just on the, so any channel of yours, which is causing the higher growth for you, just for you, if not, if I don't compare with any other player, any channel which is increasing this commission much faster, that you could help us?

Dhiren Salian:

So, wherever there's a multi -insurer, there is a higher commission growth there.

Shreya Shivani:

Got it. Got it. Okay. This is useful. Thank you.

Moderator:

Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe:

I'm actually a little confused, on your guidance. Are you sort of kind of saying that, for the month of Jan and Feb next year, you're looking at a double -digit growth? Or are you looking at a double -digit growth in the month of March, April? Because I think, as we discussed earlier, it's almost doubling of business on a sequential basis.

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Dhiren Salian :

Nischint , we're looking at for the quarter, for the quarter, not just individual months, all three months together.

Nischint Chawathe:

And any specific channels where you're looking at any acceleration?

Amit Palta:

We mentioned, Nischint, that it's going to be a combination of products and channels. And some channels where we have invested in capacity, we would see productivity unfolding in the last quarter. But again, it's not specific to one channel that we are focusing on. It's going to be diversified efforts across our bank as well as non -bank partnerships along with direct distribution. And of course, there will be interventions and initiatives around products.

Nischint Chawathe:

The commission side, are we sort of saying that this is kind of redesigning of commission structures or is it, that at a realization level, probably some of your agents are better off this year versus last year?

Dhiren Salian:

So I didn't get your question, Nischint . Can you just repeat that?

Nischint Chawathe:

No, so on the increase in commission expenses, is it sort of, more of, redesigning of commissions or is it something that, agent realizations are better this year versus previous periods?

Dhiren Salian:

So it is, of course, a redesign of commission pursuant to the guidelines. That's the larger component. And in some channels, which have done well, we've seen that commission numbers grow as well.

Moderator:

Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

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Prayesh Jain:

Yes, hi, and thank you for the opportunity. Firstly, when you say the pricing or the competitive intensity in the non -par segment has increased, what would be the kind of view, how would you place yourself in terms of IRRs versus the competition? And is there any

major correction that you would have done in this quarter that would have caused this?

And second question is when you talk about a 10% growth Y -o-Y in total APE in Q4, I am just trying to understand out here the macro factors will not change materially in the next, possibly next two and a half months. What gives you that confidence that, things like competitive intensity would reduce or some of the channels would really kind of pick -up momentum?

And, you alluded to the fact that you have invested in capacity and that utilization will improve in Q4. What , could you cite some examples out here as to which channels, what capacity utilization will increase some examples around it? That would be helpful. Thanks.

Dhiren Salian:

So, Pra yesh, the margin question that you raised on the non -par, that's reflect ed through the year. It's not just this particular quarter.

Prayesh Jain:

Okay.

Dhiren Salian:

And that is seen and we discussed this earlier as well. When you've seen the overall margins of the company shift, it has been on a product mix perspective as well. So clearly it has gone away from the non -par. And wherever non -par is sold, those margins have started to fall through the year.

In terms of growth clearly, we've invested in a lot of channels. We've invested in our proprietary channels. We expect some of that to come through. We're starting to see that growth come through even in quarter three. And that's what we expect to carry through into the quarter four as well.

And again, as Amit explained, it is going to be a combination of product and channel as we play it out through the coming quarter, to be able to deliver on double digit growth for that quarter.

Prayesh Jain:

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Brilliant. Thanks.

Moderator:

Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha:

Hello. Morning. Just, I wanted to understand, because I'm not getting a sense, has there been a big redesign in commission structures for some channels? That's what is driving growth for you? Because if you look at the income statement, there's a steep increase in commissions. And, of that 28% growth in total expenses, what would you attribute? I know because the commission, because the whole EOM framework has also changed. So there might be some reclassification. What would you attribute to sort of fixed cost going up? And what would you attribute to commissions in that sense?

And second, what are we seeing structurally are margins going to be off? How do we see sort of VNB panning out over the next three, four years? And, also beyond FY'24, what sort of top line growth should we expect, let's say over FY'25 to '27, if we were looking at that time frame? Those would be my questions.

Dhiren Salian:

Yes, so Madhukar, on your first question, yes, commissions are being redesigned across all channels. And that is the reflective number that you see on the growth in commission levels. Outside of commission, we continue to invest in building capacity, specially across our proprietary distribution - agency and direct, as well as within IT and brand. So you've seen some of those numbers also pan out through this particular year as well.

If I look at where we stack up from the next year's perspective and then very clearly, the focus is on growing absolute VNB. This year has been a bit of a flux year, especially when you look at the entire commission changes. We expect that to settle down as we get into next year. But having said that, I think the key objective for us to be able to grow absolute VNB and again, the core driver of absolute VNB will be from APE growth.

And as you've spoken earlier, the objective is to be able to deliver on sustainable APE growth. Let's see where the final number comes at, but I think we'd want to do a steady number for the coming quarters anyway, i

n the range of 10% plus
15% plus.

Madhukar Ladha:

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Understood, understood. And structurally, then we should start building in lower margin?

Dhiren Salian:

If I could just answer him. I think we are not looking at VNB margin guidance,

we've discussed that earlier as well. It will depend upon the product mix that finally evolves. Again, it goes back to the fact that we want to offer all products that are relevant to customers. And depending upon the environment, customers will choose what products suits them best. And we are not putting a hard boundary across any of the product lines. Thanks, Madhukar.

Moderator:

Thank you, sir. The next question is from the line of Mohit from BOB Capital. Please go ahead.

Mohit:

Yes. Thanks for the opportunity. Two questions. So if I look at the agents, I mean, we have hired around 28,750 plus agents during nine months. But if I look at the net number, it's pretty much flatish. So I think that number of amount of agents has been deleted. So kind of understand, I mean, try to understand what has been going on there?

And the second question is in terms of the constant maturity funds. So I mean, you said that, it has been kind of innovative product offering. So last, I think we have launched that in May. So I just wanted to understand its response to the last eight to nine months? Yes, thank you.

Amit Palta:

Yes, see constant maturity fund was launched at a time when MF indexation benefit on debt funds was taken away. So we looked at that as an opportunity to introduce debt as an option within our unit linked portfolio. And from then on, we saw a take up from our affluent customer segments to pick it up specifically on constant maturity fund.

Since it was a quarter one when we launched it, which was a relatively muted quarter after a huge spike of business that happened in the month of March. So it was moderate to start with, but eventually now it is settled into one of our active funds that is continuing to mobilize reasonably well on a debt platform. So customers looking at debt as an option with a tax advantage on a unit linked

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platform continue to choose constant maturity fund. So that is how I would like to answer.

But at the same time, you will agree with me that small cap and mid cap led rally on equity did take away the focus from debt back to equity towards the second quarter and the third quarter. So hence, what looked most relevant in the month of May and June, when debt indexation benefit for affluent customers was taken away, our constant maturity became the most obvious choice as the best relative advantages product on tax efficiency. Eventually it got replaced with the buoyancy that we witnessed in equity products.

Dhiren Salian:

So Mohit, on your first question in terms of agents, yes, we've added nearly 30,000 agents. But the way we look at our agent forces that it doesn't really cost us to keep them on books. So the way we look at our reduction in agent numbers, is that we take a slightly longer view in terms of their production.

So it's only after a longer period of time when they've not produced, do we look at taking them off the rolls. So to that extent, our philosophy on agent numbers are slightly different from that of the rest of industry. But clearly, I think what you should look at rather than agent numbers and then try and do an agent productivity, the absolute number that we're generating and the growth that you're seeing out of the agency channel is we think more relevant.

So to that extent, you see that in the last quarter, we've got strong growth on the

agency business and that's starting to pick up now.

Mohit:

Right, thank you. So just one question, have we done any repricing in the retail protection? I mean, if you can just quickly answer that.

Dhiren Salian:

So there is some element of repricing that happens at all points in time depending upon segment s . We obviously use a large degree of analytics to figure out what are the segments that we could offer differential pricing and differential underwriting processes on. And so that's a continuous process. So you could see some tweaks across customer segment s , even retail protection.

Mohit:

All right, thanks and wish you all the best.

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Dhiren Salian:

Thank you.

Moderator:

Thank you. The next question is from the line of Yash Jain from CNBC. Please go ahead.

Yash Jain:

Hello, I just wanted to understand two things. I needed clarity on if I have to look at what is the ICICI Bank contribution to your AP E in this quarter, how does that compare to last year's same quarter? And the share of unit linked out of your AP E, where does it stand this quarter and last quarter?

Second thing, if you could give us some guidance in terms of, of course, you've spoken about AP E in the fourth quarter and the aspiration to work towards mid-teens AP E in FY'25. But in terms of margins, do we see further issues from the current point as well, considering there is that overhang of higher surrender value? What kind of margins do you expect in VNB that you expect as far as FY'25 is concerned?

Dhiren Salian:

Hi Yash, this is Dhiren. So the share of ICICI Bank within the quarter, like we said, is roughly about 13% odd. That's broadly been the case for the past few quarters as well. With respect to your question in terms of where the surrender value regulations are, they're still in a draft stage. So a little difficult to figure out when they would come in. I think the industry representation is still on. So the final one has not been notified yet.

Yash Jain:

Okay. And are the margins, I mean, at the current levels, if it translates in the way it's been proposed in the draft, do we see further impact on the margins and what could be the quantum? I mean, just taking the example of, if they actually come into force the way they've been proposed.

Dhiren Salian:

So I think the industry will anyway react. It's not going to be a status quo situation. You've seen the example that we have done with our own product suite. One of

the products that we have recently launched, which is GPP Flexi with the new variant. The way that we've handled that is to look at it from a trail-based

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perspective where the commissions are far more back-ended. We're seeking to keep margins broadly constant between this variant and the variant that we had launched earlier.

So there are going to be ways and means the industry will react. In any case, our exposure is quite limited to that extent because a larger portion will be felt on the non-linked side. But we'll have to wait to see how this evolves.

Yash Jain:

And any guidance on the VNB that you grow that you expect for FY'25?

Dhiren Salian:

No, there isn't a VNB guidance at this point. Our core objective is to be able to grow AP E sustainably across each of the quarters. The product mix may evolve depending upon what customers choose. There are no hard and fast guidelines as to the share of business that we want from each line of business.

The only thing that we expect is protection and annuity to be growing faster than the savings business. But within the savings business, we allow the customer to choose the product that they'd like. So there is no VNB guidance on that front. Fundamentally, what we're seeking to do is to make sure that we grow sustainably across channels quarter-to-quarter.

Yash Jain:

Okay, thank you so much.

Dhiren Salian:

Thanks Yash.

Moderator:

Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh:

Hi, good morning, sir. Two questions. First, you mentioned that your high-ticket business from unit linked and par have more than compensated for th

e other

segments. I just wanted to get some colour of let's say if I just take the non-par category, what will be the growth in the low-ticket? Less than ₹ 5 lakh, be it for third quarter specifically or nine months.

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And on similar lines on the margin side, you mentioned that last year you had a par and non-par mix of around 1:2 on the non-linked side. And this time around par is more than maybe 50% for a nine-month basis. But wouldn't it be fair to assume that the ratio is more disproportionately skewed towards par maybe for the third quarter, which has led to the higher margin compression that we've seen?

And lastly, coming back to the point on competitiveness on margins in the non-par category, are you not structurally, let's say from a medium-term perspective, if rates were to go down or because of the surrender charge circular, let's say there is some categories where maybe the product becomes less relevant. Do you

think that there is further headroom in terms of compression in margins for this product category, for the overall industry and for ICICI Prudential Life also?

Dhiren Salian:

So looking at the inter-se mix between par and non-par, last year it was roughly 1:2. This year it is about 50-50, but it tilts more towards the participating than the non-participating. It's not true that it has grown disproportionately in the current quarter. You've seen the shift of overall margins also come through in quarter one and quarter two, which also reflects the lower margin that you see on the non-par business.

What we have done significantly in quarter three now is actually to reflect the higher unit cost based on the expense ratio that we see at this point. That's the only difference between H1 and nine months. What is your second question?

Dipanjan Ghosh:

The other question was on the low tickets and non-par, how the growth trends have been on that?

Dhiren Salian:

The way we're looking at the more than ₹5 lakh category, I think we have really not lost any steam on that. If I put the entire ₹5 lakh category customer, which is an affluent customer, I think putting all our lines of business together, we've actually grown. So we've not lost that opportunity at all. In fact, that growth on that segment of business actually is in line with our comp any RWRP growth for the quarter.

Dipanjan Ghosh:

I was asking more from the less than ₹5 lakh ticket size on the non-par category, how growth trends have been on that part of the business?

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Dhiren Salian:

Yes, that has declined, but that is lower than the decline that you see in the more than ₹5 lakh category for the non-linked business. Coming to your third question, in terms of where the margins would be for non-par going forward, if yields were to decline, if the industry does not reprice, then of course there will be impact on the margins in that segment.

Dipanjan Ghosh:

Thank you and all the best.

Dhiren Salian:

Thank you.

Moderator:

Thank you. The next question is from the line of Aagam, from Flute Aura. Please go ahead.

Aagam:

Yes, I just had one question, sir. What is the embedded value as of December?

Dhiren Salian:

We bring out our embedded value twice a year, so we had that at September and we'll bring that out at the end of the year as well.

Aagam:

Okay, okay. That's it for my side. Thank you.

Moderator:

Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal:

Hi. So just wanted to understand the non-linearity between the AP E and VNB growth earlier. Obviously, when we had a lower AP E, we were still growing on the VNB. Now, given the mix is changing and obviously having cost pressures,

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there have been significant impact on margins. But how do you see this going forward? Would we be able to grow in linear terms in AP E?

Or do you think that again, there could be some impact going forward?

Dhiren Salian:

Hi, Neeraj. So you're right. Over the past few years, we've seen the VNB margins improve fundamentally based on the product mix. At this point, you're seeing that the product mix is adverse to margins and that is how it is played out. Of course, as you look at nine months, there has not been too much of an AP E growth, but the expense is being higher. The higher unit costs have been reflected at nine months. How do we see this going forward? Again, we have no margin guidance. Fundamentally, we want to make sure that we grow sustainably on the AP E front quarter after quarter.

And very clearly, the idea is to be able to offer all products to customers and let them choose what suits them best. We work with our distribution channels to identify those customer segments, make sure that we have the right product market fit within those particular pools. And ensure that we work with our distribution teams to be able to deliver on growth.

Neeraj Toshniwal:

And is there any cost difference substantial between the channels? Where are we building the cost is going to be higher? So that is working adversely for us?

Dhiren Salian:

No, overall costs have gone up. I think they're not kept pace with the overall AP E growth. That is fairly visible. And that is what is being reflected in the unit cost.

Neeraj Toshniwal:

So, no particular channel to kind of attribute to?

Dhiren Salian:

No, no specific channel to attribute to.

Neeraj Toshniwal:

And sorry to ask the same question on the APE. During nine months, we had a very favorable base. Last year we did very flatish APE. Now we have a higher base. So we are guiding on a double digit APE for Q4. As of next year onwards, probably the base would be normalized. But what does - I mean, Jan-Feb could

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be a little bit about March. I think we'll not call out for the one-off impact of the budget. So adjusted for that or without adjustment, how do we see double digit to kind of being delivered? It's still a little confusing at this point?

Dhiren Salian :

So, a couple of things. One is the base that the run rate that we're looking at seems quite favorable to us at this point. So we want to carry through that run rate as we exit the quarter into the Jan-Feb period, where the Jan-Feb period has been far more benign. Of course, March is quite large, but we hope to be able to cover everything up by the time we get to March period.

Neeraj Toshniwal:

Any road map to that?

Moderator:

Mr. Toshniwal I would request you to kindly rejoin sir for follow up question, please.

Neeraj Toshniwal:

No problem. Thank you.

Moderator:

Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala:

Yes, thank you. Just one data point. Can you tell us, say, in Q3, what would be the commission that would be paying on first year premiums in the non-linked products? My back of the envelope calculation suggests it could be as high as 70% -80%?

Dhiren Salian:

Not necessarily.

Rishi Jhunjhunwala:

Any range, sir? I mean, where would that be?

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Dhiren Salian:

We have not brought out those numbers, but I don't think it's that high.

Rishi Jhunjhunwala:

Okay. Thank you.

Moderator:

Thank you. The next question is from the line of Ashwani Kumar Agarwalla from Edelweiss Mutual Fund. Please go ahead.

Ashwani Kumar Agarwalla:

Morning, sir. It's very good to know that we are very much customer-centric and we offer products. But as shareholders, we also like to know the profitability that

which we can achieve. So going forward in the Q4, do we expect margins to improve from here onwards? Or the VNB growth should follow the AP E growth or it should be lower than that?

Dhiren Sa

lian:

So, Ashwani, thanks for the question. I think we're very clear that we want to drive on VNB growth, which is on the back of AP E growth. The product mix will decide what the final margin ends up. But I think what we're clearly working towards is to be able to deliver on both of these parameters.

Ashwani Kumar Agarwalla:

Because a 500 basis points margin, Q-o-Q 500 basis points margin decline is much on the higher side. Life insurance is known as a steady business where things really don't move materially. So a 500 basis points dent in the margin is like never seen in the last 10 years of life insurance ever since they have been listed. That's why there is more anxiety in the markets about how the margins can go down so much and what's the way forward. And how do we see the ROEV going forward? And what are the challenges that you see in maintaining the current margins, if at all?

Dhiren Salian:

So I think we've been able to reflect our expectation of unit cost into nine months. That's why you've seen this drop across from H1 till this period, which is roughly about 2% plus. Very clearly, what we're wanting to do is to drive growth into quarter four in terms of AP E. That should also reflect into what we are able to

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achieve on the VNB front as well. Our final numbers, of course, will depend upon where the product mix finally evolves at. But clearly, trying to build consistent growth and followed up by consistent growth in VNB is what we are seeking to deliver.

Ashwani Kumar Agarwalla:

Okay, and for FY'25, do we expect some kind of a growth in AP E post the changes in the surrender value? Is there any absolute target or it all depends upon the surrender value paper?

Amit Palta:

Surrender value, again, let me just clarify, Amit this side, our exposure to products which will attract surrender value is relatively much lower. And we do believe that while the regulations are yet to be seen in totality, however, we do believe that the impact of the same will be relatively higher on non-participating guaranteed products, which actually at current levels is close to around 11% to 12% of our business.

So from that perspective, impact should be lower. But we'll see how we can still structure, manage the margins through a differentiated commission structures. But right now, I will reserve my comments and wait for the final regulations to be out.

Ashwani Kumar Agarwalla:

So my final question, how much of our profit is contributed by the surrender value from the customers?

Dhiren Salian :

I think these are all baked into the product margins itself.

Ashwani Kumar Agarwalla:

Okay. Thanks a lot. That's it from my side.

Moderator:

Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh:

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Yes, hi. Thanks for the opportunity for follow-up. Quickly, I mean, we know that it's uncertain the timing and the final form of this surrender regulation by IRDA. The key idea, I know the way I will read, basically, regulator consistently pushing to improve or enhance policyholder value proposition or benefits in its ambit. Of course, I mean, if you look at the three stakeholders, basically policyholder, shareholder, and your opex part, that's the distribution and employees.

Now, the IRDA regulator is focusing more on the policyholder side. Shareholder returns so far have not been that great. They were coming great, but again, one or the other problem comes. However, if you look at the distribution side of cost, it is still very, very sticky. I mean, whichever form, so I mean, your regulation changes, the line item changes, but the kind of growth the sector has seen, that distribution still remains considering it's a financial product. It still remains very, very sticky over the last five years, 10 years.

So now going forward, particularly if we are

still as a company growing on the higher opex and this distribution cost, any kind of a change in future the regulation comes, probably that will again go into, impact shareholder returns. So I mean, how do you see this distribution cost emerging over the years? Because there has not been material change, barring unit-linked. Of course, unit-linked has seen a dramatic change, but on the non-unit-linked side of it, the overall opex, including the payouts, has not changed.

And the regulator will consistently try to squeeze out more and more to improve policyholder benefits. In that context, how do you see this evolving, I mean, the margins of the shareholder returns?

Dhiren Salian:

So, Avinash, while we're not very certain when the regulations would come out and in what form, because they're still under discussion in the draft stage. One thing is clear that if there is no action, then it flows through in terms of profitability. But I think this entire difference would have to be borne by all stakeholders. One way to ease this whole thing out is to work with the trail-based commission format, where the higher upfront is actually spread across the multiple years, which allows the company to also offer a higher surrender value to customers if they needed to exit in the early periods.

So that is one way this can work out. There are, of course, other formats in which this can play out, but I think they're still under discussion. So we're not very certain how they will all pan out. But I don't think that the industry and the distribution will be stagnant on this. There is clearly value that each of these products provide to customers and they meet specific goals that customers have, which no other financial products can offer. So there may be, of course, a small speed bump at

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various points, depending upon how it finally comes through. But I think we've seen market after market, industry after industry adjust to the new reality.

And as long as there is customer demand and you're able to make your

proposition available to the customer in an easy -to-consume fashion, demand will flow through. So we are quite enthused and think that if this does come through, then we know there are certain ways in which this can get managed. We have taken one step in this new product variant that we have launched. There could be other formats of taking this to market as well, but we'll let that evolve as it goes by.

Avinash Singh:

But don't you think this trail based commission will have some impact on the new business growth again? Because, I mean, recycling or churn of the customer or the policy is also part of your new business, I mean, industry's new business growth. So if the commission goes trail based, lower incentive for the distributor to sort of sell new product rather than focusing more. So don't you think that will again have some kind of second -order impact, negative impact on new business growth?

Dhiren Salian:

But if you look at it from the customer's perspective, any reservations that they would have had to the product in the current form where the surrender values aren't that high, that entire reservation goes away. And therefore, this product becomes far more attractive when you are saving for the longer term. That may itself propel demand.

Avinash Singh:

Okay, thanks.

Moderator:

Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha:

Thank you for the follow -up. Dhiren you said that we have revised our unit economics in nine months, but when we baked in that unit economics, probably you would have factored in 10% growth in the fourth quarter. And that's why the unit economics have been baked in. So due to some reason, if that 10% growth

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doesn't happen in fourth quarter, then unit cost, what you will allocate to the policies will increase. And then

there could be a possibility of the margin compression. Is my understanding right?

Dhiren Salian:

Yes, Sanketh.

Sanketh Godha:

Okay. And lastly, on this point, with respect to the non -ICICI bank channel growth, the growth still seems to be a little lower, relatively at 11% for the third quarter. And also I wanted to understand, do you see a material risk from IndusInd Bank? Because as you are it's a common news that Hinduja Brothers have bid for Reliance Capital, and probably it will become more open architecture than it is today. Then if third player comes in IndusInd Bank, do you see a risk with respect to some growth in that particular channel?

Dhiren Salian:

So, Sanketh, I think the ex -of-ICICI bank, that business has actually grown at

11%, which is higher than what the market delivered in quarter three .

Sanketh Godha:

Yes. But --

Dhiren Salian:

There's an alpha we've got over that. Was it what we would have wanted? We would have wanted much more, no doubt about it.

Amit Palta:

Yes, so, specific to banks, other than ICICI and Standard Chartered , actually in quarter three grew by almost 22% for us in quarter three. So to that extent, it is quite robust. And I just wanted to clarify, when you look at specific distribution partners, IC ICI Bank still is the largest distributor for us at 13% -14% share. There is no other distribution partner which has crossed 5%.

So to that extent, any volatility because of one partner will not impact our top line or bottom line. So from that perspective, we are quite isolated from anything happening on one front. As long as what is happening at IndusInd Bank, it's very difficult to comment because we've not heard from them on any change in their direction on strategy. We'll cross the bridge when we come to it . Anyways in an

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intermediated business , partners priority always take precedence and there are enough examples of that.

And our job as a manufacturer is to keep manufacturing, keep supporting, keep enabling our partners through our partner stack and help them grow and increase their revenue pie. So we'll have new partners, we'll make existing partners more productive. If so mebody has a strategic compulsion to move away and do something different, be it. We have seen it, we have witnessed it over a period of time and we'll cross the bridge when we come to it.

Dhiren Salian:

And frankly, Sanketh, that's the whole advantage of running a very diversified distribution. We are not swung by the vagaries of one particular distribution channel. And the ability for us to be able to work with each distribution partner gives us the flexibility to run with our strategies.

Sanketh Godha:

Perfect. Then last one, in individual protection, essentially on sequential basis, there is a bit of slowdown. We did ` 128 crores in second quarter, we did closer to ` 105 crores in the current quarter. So is it fair, because now you will have a decently big base in fourth quarter FY 2023. So the kind of growth we delivered in H1 or nine months, can we say that it will incrementally tone down relatively because the base effect will kick in?

Amit Palta:

Yes, actually you're right, Sanketh, because if you remember last year, last quarter is where there was a turn of growth on retail protection. That was a quarter where we had grown at 27% -28% for us. So to that extent, the growth numbers will get moderated. In fact, this entire turnaround started to happen from November, December onwards. So you're right, the very exponentially high numbers that you saw in quarter one and quarter two, now those numbers will not reflect in quarter four.

However, a few months here and there, you will know that this business is very, very active business. Number of participants in protection has increased, competitiveness has increased. So one off month here and there, you will see, one

of the in

surers taking a lead over others, but this is all momentary. The situation, the position keep changing every month. But answering your question, growth numbers will definitely be more normal from quarter four onwards and not in line with what we saw in quarter one and quarter two.

Sanketh Godha:

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Perfect, perfect. Amit, thanks for the answers.

Moderator:

Thank you. The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma:

Yes, so I had a few questions. You mentioned, sir, that we will be able to grow in double digit in Q4 and years to come. So my take is, are we going to suffer onto the product mix side? Are we comfortable going beyond 50% onto the unit linked side?

Dhiren Salian:

So Shobhit, there are no hard limits on any of our product lines. We let the product mix evolve to what the customer chooses. However, we're also very cognizant that we cannot let one product line dictate the entire mix. We've seen those issues in the past, and we want to continue to maintain a diversified product mix as well as a distribution mix.

Shobhit Sharma:

Okay, so thanks. Another question is, sir, you mentioned that we have seen that business has shifted from non-par to par or to the unit linked side. So will we be able to continue to see that going forward as well?

Dhiren Salian:

That would depend upon, as you look across the coming years, that would depend upon where the final IRRs for customers are in relation to other financial products as well and the general market environment from a debt perspective.

Shobhit Sharma:

Okay.

Amit Palta:

See, our entire approach, our entire approach on managing products is by identifying the right pool of customers who may find those product categories relevant. So it's not about making a choice on a product and then going and pushing that product to which ever customer segment that our distribution is

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interfacing. I think the advantage of diversified distribution is that you have access to varied profiles of the customers. And we drive our product mix by reaching out to the customer profiles where the respective products are more meaningful.

That's going to be our approach. And the product mix is the outcome of the conversions that we achieve by reaching out to those profiles and see the take up on the relevant products, which are more appropriate.

Shobhit Sharma:

Okay, thanks. And the last one is that, we've had -- you said that we have witnessed a growth in a greater than ` 5 lakhs ticket size on the overall book. Is this because that the ` 5 lakhs ticket size business of the non -par book has shifted towards unit linked or is this something different?

Amit Palta :

Yes, same thing. Non -par we have seen migrating towards participating and unit linked products. See general optimism around markets gives way to unit linked business and potentially high return product in comparison to guaranteed is participating product. So in a general optimism scenario, you will actually see unit linked product followed by participating product picking up steam. So that is what migration has happened.

Within affluent segment, you know that relative to other products available in investment space, it is still most tax efficient. And that is what is bringing back more than five lakh growth from quarter two onwards. That's what we have witnessed.

Shobhit Sharma:

Okay, thank you.

Moderator:

Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha:

Hi, thank you for the follow up. So my question is that sort of product level margins have come off and you've said that commissions were redesigned across channels. Now, I want to know whether when did this happen? Because, if it happens sometime mid -year , then we'll see a further impact on mar

gins going in

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Q4 and then all the way in FY'25 as well or has it been so right from the beginning of Q1? So, that's one.

Dhiren Salian:

Yes, so to answer that Madhukar , commissions have started taking shape for in the new guidelines and the new regulations all through the start of the year. As we mentioned earlier, this is going to be a bit of a flux as we try and figure out what the right levels would be. Going forward as we get into the next financial year, we believe them to be far more stable.

Madhukar Ladha:

Understood. And what would be the impact on sort of gross VNB margins due to increased commissions?

Dhiren Salian:

We don't call that out separately. It's all reflected in the cost ratio, which is what you're reflected at nine months.

Madhukar Ladha:

Got it. Okay, thank you.

Moderator:

Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta:

Thanks a lot for giving the opportunity for a follow-up question. Again, on the fourth quarter guidance of 10% growth, assuming that March declined by around 10%, that means that you have to grow by around 30% -35% in Jan and Feb to hit that target of 10% on the AP E base of 33 billion last year. So, what gives you that confidence that again, 30% -35% is not a small number? How do you plan to hit that in Jan and Feb? Is there a new product launch that you are planning or is there something that's in the pipeline that gives you that confidence?

Amit Palta :

So, Supratim, I mentioned it to other participants as well. It's going to be a combination of what we do on product, what we do on productivity, enhancement of the new capacity and what we are initiating as specific

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initiatives around channels. It's a combination of three. At this point in time, it's very difficult for me to divulge details about what drives how much of it, but broadly, this is going to be a combination of these three.

Supratim Datta:

Okay. Got it. Thank you.

Moderator:

Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Anup Bagchi:

Yes, thank you very much. And we will continue to balance three things, which is growth, profit and risk and prudence, as always. And keeping customer at the center and customer, I must, because there were a lot of questions on that. Customer centricity, I must again add, is not conflicted with any of the three, which is growth and profitability and our risk and prudence. Thank you very much. Thank you.

Moderator:

Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Prudential Life Insurance Company Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Safe harbor: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to m

ortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: May 2024

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at

www.iciciprulife.com

Phone: +91 22 5039 1600, Fax: +91 22 2422 4484, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

April 30, 2024

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the year ended March 31, 2024

This is further to our letter dated April 9, 2024, and April 23, 2024. The Company had hosted an earnings conference call with investors and analyst on Tuesday, April 23, 2024, at 6:30 p.m. IST, to discuss the performance of the Company for FY2024.

Please find attached the transcript of the 'earnings conference call' for FY2024. The same is also made available on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Sonali Chandak

Company Secretary

ACS 18108

Encl.: As above

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Anup Bagchi :

Good evening and welcome to the results call of ICICI Prudential Life Insurance Company for the financial year 2024. I have several of my senior colleagues with me on this call, Amit Palta, who heads Distribution, Brand, Marketing and Products; Dhiren Salian, CFO ; Judhajit Das, who heads Human Resources, Customer Service and Operations; Deepak Kinger, who handles Audit, Legal, Risk and Compliance; Manish Kumar, Chief Investment Officer; Souvik Jash, Appointed Actuary; and Dhiraj Chugha, Chief Investor Relations Officer.

Let me take you through the key developments during the quarter , before moving on to discuss the Company's performance.

First, is that in continuation with the efforts to foster a conducive regulatory environment and enhance ease of doing business, IRDAI has notified regulations encompassing pivotal domains such as products, safeguarding policyholders' interest, corporate governance and approval for setting up of an electronic insurance marketplace, i.e., Bima Sugam. We believe these regulations are a welcome change which encourages innovation, competition, and sustainable growth in the life insurance industry.

I am pleased to inform you that the Shareholders of the Company have approved the appointment of Mr. Naved Masood as an Independent Director effective March 7, 2024. Mr. Masood served in the Indian Administrative Services before retiring as Secretary, Ministry of Corporate Affairs. He has also served as a member on the Board of SEBI where he was actively involved in matters concerning the functioning of listed companies and other SEBI regulated entities.

I would also like to inform you that our Chairman of the Board of Directors, Mr. Ramachandran, will be retiring effective June 30, 2024, having completed the maximum age limit of 75 years, as prescribed by the IRDAI regulations. Mr. Ramachandran has played a pivotal role in fostering the effectiveness of the Board of Directors by setting high standards of compliance and governance. We would like to express our gratitude to him for providing an overall strategic direction towards the growth and success of the Company and wish him well for the future.

Consequent to Mr. Ramachandran's retirement, Mr. Sandeep Batra, a Non -Executive Director of the Company, has been appointed as

Chairman of the Board of Directors

effective June 30, 2024, subject to regulatory approval. He has been on our Company's Board since the year 2014. Mr. Batra has been with ICICI Group since the year 2000 and is currently an Executive Director on the Board of ICICI Bank. We believe our Company will gain immensely from his guidance.

Innovation has been at the core of our business strategy. We constantly work on offering innovative products across life stages to our customers. We are the first life insurer in the country to offer an annuity product with 100% refund of premiums and a long-term pension product which provides customers with the flexibility to make partial withdrawals.

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We believe simplification is the key to expanding the market and is in line with our objective to become the most customer and distributor friendly life insurer. Notably, we are also the first life insurer to pay out commissions on the same day to our distributors. Around 81% of our policies have been issued using digital KYC and 45% of our policies were issued on the same day for savings line of business in Q4 -FY2024. Innovative products and processes underscore the Company's strategy of providing the right product to the right customer at the right price and through the right channel.

In line with our objective of being a customer-centric insurance provider, we have set an unparalleled benchmark by maintaining industry leading claim settlement ratio of 99.2% for FY2024, with an average turnaround time of 1.3 days for non-investigated claims.

A testimony to our customer centric efforts is the endorsement of 'Best Life Insurance Provider in India' by Hansa Research for second consecutive year in a row. We are thankful to our customers for their continued confidence in our innovative products, digital support, easy documentation, and policy issuance time.

We have also been conferred awards by various industry platforms. Our complete list of awards won during FY2024 is presented from slides 61 to 63 respectively.

Now let me talk about the key performance highlights:

- As you can see on slide 7, for the second consecutive quarter in a row, we have delivered a strong RWRP growth in Q4 -FY2024, outperforming both the overall industry and private life insurers. As shown on the slide, we started FY2024 on a slower note. However, in parallel, we continued with our efforts towards investing in building distribution capacity especially in proprietary channel, continuous product & process innovation, digitalisation & data analytics geared to simplify our business operations, all aimed at enhancing customer experience.
- In Agency, over the last two years, we have been scaling up sales frontline managers and providing them with adequate training to enhance productivity. We also empowered our agents by providing them institutional support complemented by data analytics and digital capabilities. Additionally, we continued our investments in demand generation tools to expand the agents' natural market. Agency channel recorded APE growth of 15.6% year-on-year in FY2024.
- In the Direct channel, we invested in our website to improve customer experiences and worked on customer onboarding for a smooth and seamless online journey. We also leveraged data analytics to capitalise our ability to upsell to our existing customers with alternate propositions best suited to their needs. Direct channel APE grew by 20.0% year-on-year in FY2024.
- Both these channels have delivered around 17% APE growth in FY2024, surpassing the growth registered by the overall industry and private players.
- On the products side, our strategy on continuous product innovation with the objective of delivering a superior value proposition to our customers has resulted in strong growth across most product segments. Annuity business APE grew by 88.0% year-on-year, linked business APE grew by 26.1% year-on-year and retail protection

nd retail protection

APE grew by 46.6% year-on-year in FY2024. We believe that annuity and retail

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protection offer strong growth opportunities and will remain key focus areas for the Company.

- At the Company level, the overall APE grew by 4.7% year-on-year to ₹ 90.46 billion in FY2024.
- Our continued investment in data science & customer-centric analytics engine has led to improvement in persistency in most cohorts. 13th month persistency stood at 89.0% and 49th month persistency stood at 68.5%.
- Our cost to TWRP ratio for savings line of business stood at 15.8% for FY2024, as we

continue to invest to deliver sustainable growth in the future.

• For FY2024, Value of New Business was ₹ 22.27 billion and with an APE of ₹ 90.46 billion, VNB margin stood at 24.6%. The decline in VNB margin is primarily on account of the shift in underlying product mix towards unit linked and par from non-par business, decline in group term business and higher expense ratio for the current year. To summarize, throughout FY2024, we worked on various building blocks of business with our efforts pivoted towards balancing growth, risk & prudence and profitability. We currently have the capability to provide the right product to the right customer and deliver it through the right channel. Closing FY2024 on a strong note, we are confident that the positive momentum built will continue going into FY2025 as well. We believe, with the efforts, investments, and the time we have invested to create a resilient business model, we are poised to continue our journey of sustainable growth into the future. Thank you, and I will now hand it over to Amit to take you through the business updates. Amit Palta:

Thank you, Anup. Good evening, everyone.

I will be talking about performance update for FY2024 through the elements of the 4P strategy driven by our 4D framework. Let me now highlight the key initiatives implemented under the 4D framework.

The first element is 'Data analytics' : We have been using customer-centric analytics engine across policy stages and it has resulted in continuous improvement in persistency ratios. In terms of mitigating fraud and early claims risk, AI and ML backed model has led to ~70% reduction in cases with higher propensity for fraud and early claims for savings policies, for H2 -FY2024. The details of our extensive deployment of analytics capabilities are set out in slides 31 to 34.

The second element of the 4D framework is 'Diversified Propositions' . As Anup highlighted, during the year, product innovation to meet the evolving needs of the customers has been one of the primary focus areas for us. For example, ICICI Pru Gift Pro was launched to cater to affluent customers who prefer increased income and lower cover multiple. Constant maturity fund was launched to cater to customers planning to lock-in investments at high interest rates . During Q4 -FY2024, we launched ICICI Pru GPP Flexi with benefit enhancer and ICICI Pru Gold Pension Savings in the pension and annuity segment to address customers liquidity concerns. ICICI Pru Platinum launched in

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the linked segment provides customers the flexibility to choose level of protection between sum assured, fund value or combination of both.

The third element 'Digitalisation' has been detailed from slides 39 to 42. During FY2024, we made strong inroads in integrating our digital ecosystem with central agencies to fetch KYC and income estimation details for a simplified digital customer onboarding.

The fourth element i.e., 'Depth in Partnerships' is presented on slide 44. We continue to build capacity and have added nearly 44,000 agents during FY2024 spread across geographies. Within the bank and non-bank channel, we continue to add new partnerships and increase share of shop in existing partnerships. We now have a total of 44 bank tie-ups with access to more than 21,000 bank branches and more

than 1,100

non-bank partnerships with an addition of 204 non-bank partners during FY2024. Our "ICICI Pru Stack", an array of platform capabilities, helps us deliver superior value propositions to our customers, in collaboration with our partners.

Let me now talk about the business performance update through the elements of our 4P strategy.

Starting with the first 'P', that is Premium Growth element, which is mentioned from slides 10 to 12. As highlighted by Anup, our persistent efforts to lay the building blocks for future growth started yielding results in Q3 -FY2024 and is now notably evident in Q4-FY2024.

Our total APE stood at ₹ 36.15 billion for Q4 -FY2024 and ₹ 90.46 billion for FY2024. Our retail APE grew by 12.0% year-on-year to ₹ 32.01 billion for the last quarter .

Agency business APE grew by 28.6% year-on-year in Q4 -FY2024 resulting in 15.6% year-on-year growth for the entire year.

Agency business contributed 29.1% to overall APE in FY2024 as compared to 26.4% in FY2023, it is in line with our efforts to increase the agency channel mix in our Company .

Anup has already highlighted our efforts on building distribution capacity in the channel. On the Direct business, investments in our digital platform have started yielding results.

We have one of the largest upsell channels in the industry backed by analytical capabilities. Our Direct business APE grew by 22.2% year-on-year in Q4 -FY2024, resulting in 20.0% year-on-year growth for the entire year . Direct business contributed

14.1% to overall APE in the entire year as compared to 12.3% in FY2023. Together, Agency and Direct business, now contribute 51% of our retail APE mix for the entire year. Given the investments and efforts we have put into the proprietary channel, we believe the strong growth momentum will continue going ahead as well. Bancassurance business grew by 18.8% in Q4 -FY2024 and 2.3% year-on-year for the entire financial year. Bancassurance business contributed 28.7% to overall APE in FY2024 as compared to 29.3% in last financial year. Partnership distribution APE declined by 26.1% year-on-year in Q4 -FY2024 and 8.1% decline year-on-year in FY2024. Partnership distribution business contributed 13.0% to

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overall APE in FY2024. Throughout FY2023, the Partnership distribution channel was more focused on the non-par business. As you know, the non-par product segment has faced challenges during the year, hence business from this channel has declined. However, if you look at last three years from FY2021 to FY2024, it has grown by 26.0% CAGR. Therefore, we believe this is transient and expect this channel to grow going ahead given new partnership additions and capability to offer varied product propositions. Group business APE declined by 6.1% year-on-year in Q4 -FY2024 and 8.0% in FY2024. Group business contributed 15.1% to overall APE in FY2024. The group channel declined on account of group term business, while we registered growth in the group credit life and group fund business both in Q4 -FY2024 and FY2024. We have a very diversified distribution mix with no single distributor, excluding ICICI Bank, contributing more than single digit in percentage terms to our overall APE. Hence, volatility in any single channel will not have any significant impact on our top line or bottom line. Along with channel mix, we continue to maintain a well-diversified product mix. FY2024 witnessed a shift in consumer preference towards ULIP products on account of market buoyancy. The non-linked savings contribution to overall APE decreased from 37.3% in FY2023 to 25.8% in this financial year over last year. Contribution from the linked savings products to overall APE increased from 35.9% in FY2023 to 43.2% in FY2024. Annuity business now contributes to 10.5% of overall APE in FY2024, with the tilt towards regular premium annuity over single premium annuity, in line with the t

rends we

had seen throughout the year. Protection products contributed 16.9% to overall APE and group savings products contributed 3.5% to overall APE in FY2024.

Another important focus area for us is Protection Growth. The overall protection APE stood at ₹ 15.25 billion in FY2024 with contribution from credit life business at 39.4% of the overall protection. Retail protection is at 31.4% of the overall protection and group term is at 29.2% of the overall protection business for ICICI Prudential. The last 3-year trend across the protection APE segment exhibits strong growth in retail protection and credit life business, which is presented on Slide 59. The retail protection business has registered a strong year-on-year growth of 46.6% in FY 2024, and we expect normalise d growth going ahead in this segment. Credit Life business has also grown by 25.2% year-on-year in FY2024, in line with strong credit growth in the economy, while the group term business has declined in FY2024.

As discussed before, the Group term market has become extremely competitive. We understand this segment well and will underwrite business only if it matches our risk-reward expectations.

Coming to the third 'P' which is Persistency improvement. Our recently developed AI models which forecast persistency behaviour of the customer at various stages has helped us to improve the overall persistency levels by taking appropriate interventions. As highlighted by Anup, our persistency ratios have been improving across most cohorts.

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Now moving on to the fourth 'P' which is, Productivity enhancement. Our total expenses grew by 21.6% year-on-year for FY2024. The increase in new business commission is attributed to the redesign of our commission structure pursuant to the flexibility provided in IRDAI's Payment of Commission Regulations. FY2024 had been a transition year, and we expect the rates to be more stable in FY2025. Additionally, we have been investing in capacity creation to support future growth.

The investment made though front-ended are necessary to deliver long-term growth for the company, and the results are already visible in our H2 -FY2024 performance. Our overall cost to TWRP stood at 24.0% and saving lines of business cost to TWRP ratio

stood at 15.8% for FY 2024. We monitor cost ratios for the savings line of business separately. Our objective is to bring efficiency in the savings line of business while we continue to focus on growth in the protection business.

Consumer centricity continues to be at the core of our strategy. We believe that we have the right product through the right channel to the right customer equation, leading to a strong business foundation already.

Going into FY2025, we will capitalise on the same to target untapped markets to expand our customer segments. Having said that, we will continue to invest in organisational capabilities such as people, process, technology, analytics, distribution, and products to ensure we deliver sustainable growth and profitability along with managing risk and prudence.

I will now hand it over to Dhiren to talk to you through the financial update for FY 2024.

Dhiren Salian:

Thank you, Amit. Good evening. We regularly monitor our experience in respect of various risks and the diligent and prudent risk management framework we operate on is reflected in our strong and resilient balance sheet presented in slide 16.

Now let me take you through the financial metrics. As shown in slide 18, our Embedded Value grew by 18.8% year-on-year from ₹ 356.34 billion at March 31, 2023 to ₹ 423.37 billion at March 31, 2024. The Value of Inforce (VIF) business grew by 14.5% year-on-year. Our Embedded Value Operating Profit (EVOP) for FY2024 was ₹ 50.17 billion. The breakup of EVOP is as follows:

- Unwind contribution for FY2024 is at 8.6% of opening EV.
- The VNB of ₹ 22.27 billion is 6.2% of the opening EV. Unwind and VNB together

constitute

14.8% of opening EV.

- Operating assumption change is a small positive ₹ 0.70 billion.
- Persistency variance is a negative ₹ 0.56 billion which is largely due to increase in later duration surrenders in the unit linked portfolio because of equity market buoyancy.
- Mortality variance is a negative ₹ 2.88 billion this year. Negative variance is primarily due to an enhanced provision of expected claims incurred but not

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reported. Without provision for this amount, the variance would have been positive. We have provided for this expected but not reported claims in our financials on a prudent basis. We will be continuously monitoring this variance and currently do not see it impacting our long-term mortality assumption.

Consequently, the ROEV for FY2024 stands at 14.1%.

Total economic and investment variance is positive ₹ 16.91 billion due to shift in the yield curve and equity market movement.

Our VNB margin for FY2024 was 24.6% as compared to 32.0% in FY2023. The contribution of FY2024 VNB from protection products is at 51.4%, non-linked saving products is at 36.9% and ULIP products is at 11.7%.

The decline in VNB is primarily on account of a shift in product mix, competitive pricing pressure and increase in expenses.

The market buoyancy has led to a growth of unit linked portfolio, which, as you are aware, has a lower margin profile compared to the company average. Additionally, within the non-linked segment, we have seen a shift in product mix towards participating products.

The industry was impacted due to change in taxation of ₹ 5 lacs non-linked business.

During the year we introduced various innovative product propositions in this segment and one such example is the launch of ICICI Pru GIFT Pro product. However, as also mentioned in our previous earnings call, throughout the year there has been competitive pressure on pricing in this segment which has impacted VNB.

Higher expense ratio for the year also had an impact on VNB. As explained earlier, the redesign of the commission structure has led to an increase in commission expenses. We have also continued investment in capacity creation to support future growth, especially in our proprietary channels, as well as in information technology and brand awareness. Our expense growth being higher than the topline growth impacted our cost absorption capacity.

So how should one look at this going forward. Here, as we have said before, we will

continue to focus on growing the absolute VNB. We believe that product mix will be guided by customer preferences and our strategy of providing the right product to the right customer at the right price and through the right channel will help us to deliver growth. Given that we have a well-diversified product suite catering to varied customer needs, offered through a large number of distribution partners with access to varied customer segments, we believe that we will be able to sustain a balanced product mix. On the expense side, since the impact of revised commission structure has already been factored in this year and we have seen better growth outlook from H2 -FY2024 onwards, we don't expect unit cost to be impacted significantly going forward. Putting these

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together, with the granular work on customer segment, process, distribution, product and brand that we will continue with, our endeavour would be to deliver business growth ahead of the industry and our VNB growth will be in line with the business growth. On Slide 21, the sensitivity details have been provided. There are no significant changes in the various sensitivities of EV. Overall sensitivities of both VNB and EV to various factors remain reasonably low, reflecting a stable operating model. Our VNB and EV have been independently reviewed by Milliman Advisors and their opinion is available in the results pack uploaded on exchanges. Slide 22 exhibits other financial

metrics. The Company's profit after tax for FY2024 stood at ₹ 8.52 billion, an increase of 5.1% from FY2023. Our solvency ratio continues to be strong at 191.8% at March 2024. Our AUM stood at ₹ 2.9 trillion at March 31, 2024, a growth of 17.1% from March 31, 2023.

This concludes the financial performance section. Over to you Jit.

Judhajit Das:

Thank you, Dhiren. Good evening. I will be sharing the salient aspects of our ESG journey. As shared in Slide 24 of our investor presentation, we continue to retain the highest ranking in the Indian insurance industry as rated by two leading ESG rating agencies. I am delighted to share that during this year, we received the 'Platinum Award' for our ESG Report FY2023 at the Vision Awards organised by League of American Communications Professionals. The other awards won this year for ESG are listed in our awards section.

I will now share the highlights under the top five ESG focus areas.

On environment, our initiatives are primarily focused on reducing what we consume and recycling, what we use wherever possible. We have adopted best-in-class environment-friendly practices for reducing energy consumption, water conservation and waste management. In FY2024, we have taken carbon footprint reduction targets in our sustainability journey based on the science-based target initiatives, what is called the SBTi methodology, and we're looking at an overall reduction over the next few years. As a part of our overall efforts to reduce our carbon footprint, we're also encouraging digital adoption across the customer life cycle, and our self-help now stands at 92.8% in this year.

On responsible investing, we already have a Board approved policy to facilitate ESG integration in our investments. Our investment team continues to factor in ESG risks by taking investment decisions and engage with investee companies based on the ESG score as and when required. As a signatory to United Nations Principles for Responsible Investment, we remain committed towards integrating a responsible framework to promote ESG factors in our investment decisions.

Coming to social. On the employee front, we believe that people are key to strategy execution and the source of our competitive advantage. 90% of our employees rating us in the top 2 boxes on various parameters like advocacy, morale, learning and growth,

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feeling the safety and security and empowerment. Our ratings as "a place to work for" are best-in-class among Indian peer life insurance companies on a top global workplace platform. On the diversity front, our gender diversity ratio has improved from 27% of women employees in FY2022 to 29% in FY2024.

We continue to encourage adoption of various enabling initiatives and policies under our diversity & inclusion (D&I) framework. For example, program for new mothers returning to work and mentoring resource group for young women managers. As a testament to our endeavours, we have been awarded as "India's Best Life Insurance Company for Diversity", held by the Insurance Alerts in this year.

Coming to customers and community, for the larger community our aim is to increase

financial inclusion through specially designed micro-insurance products, targeting socially & economically weaker section and we have covered 80.4 million lives as of March 31, 2024. Overall, lives covered stood at 96.9 million. Our 13-month persistency ratio of 89% is one of the best in the industry. This year, we settled more than 3.1 lakh retail and group claims. To promote digital adoption and deliver similar service to our customers, we've integrated various ecosystem databases and repositories. Coming to governance. Our Board has a majority of Independent Directors, enabling the separation of the Board's supervisory role from executive management. And our efforts shall always be to ensure that we always adhere to best-in-class governance standards.

To summarise, sustainability is intrinsic to our vision of building an enduring institution and as we strive to serve the long term and saving the protection needs of our customers, we would like to reaffirm our commitment once again to create a culture that embraces sustainability and goes beyond goals and targets for integrating best-in-class sustainability practices with our business processes. Thank you very much. And we're now happy to take any questions that you may have.

Moderator:

Thank you very much. The first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee:

Yes, good evening, sir s, and thank you for the opportunity. Three questions from my side. First of all, the VNB margin. So, I just wanted to understand if there has been a contraction also sequentially from nine month level to the full year number. Now if I look at how the product mix has played out between the quarters, I think there has been a larger shift towards annuity vis-a-vis maybe group term life /group protection. Now I just wanted to understand, so you have highlighted a few things like shift from non-par to par and lower group term life as a couple of factors. But for example, annuity, the recent product, which has seen strong scale-up. Wanted to understand also the margin implications of that because as I understood that it had a kind of a lower upfront, higher trail kind of a payout model. So just trying to kind of understand how the margins played out like this? And how should we think about the number going ahead as we move into FY2025? That is the first one.

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In terms of Banca, if you could give us some numbers of how I-Bank what was the premium garnered from I-Bank in Q4-FY2024 as well as in FY2024. And should we expect any growth in the run rate in FY2025? And given the fact that the Banca channel overall seems to be focused on the non-linked savings parts? Would it remain the case in FY2025 as well? Or is there a possibility of diversion towards ULIP?

And thirdly, you mentioned about the redesign of the commission structure. If you could highlight in which channels you are seeing this play out and what is the level of escalation? And could there be further escalation going ahead? And is it because of the competitive intensity or any other reason. So those would be my questions.

Dhiren Salian:

Hi, Swarnabha. This is Dhiren. Thanks so much for those questions. So let me pick up one-by-one. The first bit on the margin that you spoke of and the fact that we've introduced a new product on the annuity side, so that product has done well. I think some sense from the fact that we had a PR support on it at the start of the quarter that pickup was decent. But again, as you also rightly mentioned, this is built with a trailed-out commission structure. So, it would cater to only the specific types of distribution partners. Now when you look at our margin, we've given the margin walk for the full year, how it goes from 32% to 24.6%. And you see the expense change that has come through, which is a negative 4.1%. That's been the large shift across from start of the year to end of the year. The business mix, there have obviously been a shift. We spoke of the fact that the inter-se mix between the par, non-par through the year has happened, along with the group term decline.

Overall, put together, the business mix has, yielded a negative 1.5%. And there's been a negative 1.8%, primarily due to the yield curve movements. Now some portion of this also has played out into Q4-FY2024 itself. While looking at incremental Q4-FY2024 margins may not be the right way to look at it, it is more if you look at it from a full year perspective.

Coming to your third question, let me pick that up first. The redesign of the commission structure, I believe, is largely complete. We don't expect too many changes o

f this going

forward into the coming year. Which channel has it increased? I think largely in non - agency channels, there has been an increase in commission rates. And these are, I believe, are market rates at this point. And no doubt, competitive pressure continues on those segments.

The good part for us is when we look at the Company in all, the retail business when you break it down roughly about half of the business is contributed from agency and direct. ICICI Bank plus Standard Charter ed Bank, all of this contributes roughly in the range of about 70 plus percent. So, when you look at the multi -insurer channels, that contribution is actually quite small in relation. So, to that extent, whatever disruption may happen, may happen within the multi -insurer space and less to do with our p roprietary channels. Coming to your second question on Banca and especially when you look at ICICI Bank, we've called it out earlier as well. It's broadly in the ■ 80 crores to ■ 100 crores range in

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the month. There could be periods that is slightly higher given that the underlying product mix that ICICI Bank is fundamentally on unit -linked and protection. Unit-linked in this quarter has done well across the board. So, to that extent, it is slightly higher than the average rate. ICICI Bank, there is no change in strategy. The numbers continue to be stable, and we'd expect that into the coming year as well.

Amit Palta:

So, within bank like Dhiren mentioned, ICICI continues its stable growth and protection, which is the chosen area of focus by ICICI , they've done very well at close to around about 45% of growth. What we have seen in multi -insurance banks as well as non -bank partnerships, is where we have seen some kind of a stress on overall top line as well. In fact, in Q4 -FY2024, almost every distribu tion channel of ours grew in March -over -March as well as Q4 -FY2024 over Q4-FY2023 except for multi -insurer non -bank distribution. That is where we saw the maximum stress because this was a channel, which was largely focused on non -participating products. And hence had to face the maximum brunt of that demand that will compress through the year.

So that business for ours on non-bank partnerships is close to, 15% of our total and adding to it another 12% of our business, which comes from multi -insurer, other banks other than ICICI and Standard Chartered. Overall business coming outside our proprietary channels is close to 27% of our b usiness.

So, this is where the disruption or competitive forces come into play and you at times have to respond to the changes and look at adding value through various means. And it is not restricted only to commission, but it also pushes you to add value to areas outside pricing as well. But yes, when it comes to disruption, it will be limited to only 27% of the business when it comes to impact on the overall commissions.

Swarnabh a Mukherjee:

Understood sir. So just a follow -up, I had also requested for some kind of guidance on how to look at or try to understand the margin for FY2025, some direction in it would be very helpful?

Dhiren Salian:

Sure, Swarnabh. I covered that earlier in the comments as well, but we are not fixated on margins, we're looking at growing absolute VNB and given that one of the biggest drags on margin for the year, which has been the expense ratio, I think that's behind us, which has been driven by the commission guideline change. I believe if the product mix stays this wa y, then it should kind of stay broadly stable at this level. But of course, depending upon where customer demand is, we will be looking to grow those segments. And to that extent, the product mix shifts, you will see a shift in the margin as well.

Amit Palta:

Yes. Just to give you some fair idea, if you were to compare this Q4 -FY2024 versus last year Q4 -FY2023, actually, non -participating guaranteed products contributed almost

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37% of the overall mix last year, which this year it has come down to 10%, which we believe is going to stay at similar levels even in FY2025. And second impact was group protection. Group protection was almost half of what we delivered last year.

So, if you look at these two impacts, I think it has already built into the base, which probably will not go further down from where it is currently. So, to that extent, you can expect that the volatility that you saw in the margins on account of g roup protection , on account of non -participating guaranteed products, which had relatively better margins last year, stabilization of this will probably lead to more stability of margins going

forward in FY2025.

Swarnabh a Mukherjee:

Understood, sir. Sir, the exit rate would be a better metric to look at or the full year run rate in terms of margin?

Dhiren Salian:

I think you should look at the full year rate.

Moderator:

Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh:

Two questions. The first one is on embedded value. If I see there, of course, I mean you have a negative variance in terms of mortality. But you said that is kind of for the future expectation in the mortality. So then can you explain, I mean, should not it have gone in the operating assumption changes rather than variance or if you can break it up into whatever sort of your experience that was in FY2024? Or what is sort of for the future changes?

And second one is, again, a bit on VNB. If I were to look the product you have launched particularly the 100% return of premium and all, the product typically designed where, I mean, sticking for the long term or like if you have a more trail-based commissions. And additionally, also, you sort of highlight that you have one of the highest sorts of distribution where you don't have to compete with an open channel. Yet commission rates have gone up so much. So in that context, I would like to understand that in your sort of product proposition is changing more favourable to customers and yet it requires sort of a higher amount of payouts. So, I mean, what's happening there, particularly? So, these are my two questions. Thank you.

Dhiren Salian:

So, Avinash, on your first question in terms of variance. The reason why we have taken this in variance is because we believe it to be short term if it was permanent that we would have taken as a part of our operating assumption change.

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The second question that you have pointed out is on commission. We feel that the commissions have been redesigned, and you have to appreciate that the commissions have to be in line with market. It cannot be out of line with market because otherwise, whatever proprietary distribution that we have built may not stay with us on a sustainable basis throughout the long term. We may be able to bear competitive pressures at the margin in terms of where the distribution payouts are, but you cannot be far away from the market.

Avinash Singh:

Yes. But your product design, you have changed, I mean, so at the moment, a couple of the products we have launched that is not really yet available with the market. So, if you are sort of making product design policyholder friendly and yet you are matching the sort of the payouts at the sort of market at present, of course, I mean, the margins will be extremely under pressure.

Dhiren Salian:

No, you are right. These products are things that we are experimenting with, which will align the distributor incentive along with better customer outcomes. But again, given the way these products are at this stage, they are quite new to the market. The pickup is small relatively. And so, I mean in any case it's done with only in Q4 -FY2024. So, we have not seen the full play out of this across the year. The pickup, we understand is also quite limited to those distributors for

whom trail commission works. Some of the smaller distributors may not go up with this trail model because they will have their own working capital challenges.

Amit Palta:

Just to clarify, after this product launch that we're talking about, both on 100% surrender value as well as trail-based unit-linked product that we launched recently, as a percentage mix even on a stand-alone March or a stand-alone quarter, this mix still remains very small. And the distribution, which has picked up this product also is at a very start-up stage, very small proportion of our overall distribution has actually adopted this.

So, anything that you do with that small proportion of entire distribution will not have an impact on the overall distribution in cost or top line. That is something which I thought I will clarify.

Dhiren Salian:

So, Avinash, just to add to that, in these products that we have launched where those commissions are deferred, it's just that a commission is deferred. There's no reason why the margin is low on this. That's something that you should understand as well. Essentially, what we're doing is aligning distributor incentives with the customers' required output.

Avinash Singh:

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Okay, a quick follow-up. In the persistency variance, of course, it's a very, very small number. I mean, again, see on the unit-linked, these are small negative numbers. But I see persistency typically for you, it has been generally improving. So, I mean if there is something specific, what sort of a cause is negative around? Because if I see over the years, generally, in the disclosed cohort at least, persistence has been generally low?

Dhiren Salian:

Absolutely. So, the early period persistency, you've seen that climb across these years. The 13-month persistency, we're close to 90%. I think pretty much best in class. And we're quite happy to share that our second year of persistency, which is the 25th month, come up all the way till 80%, again, class leading. The reason why we have this negative variance is because this is later period surrenders in the buoyant equity market that's created a run-up in terms of outflows. And that has created a little bit of a variance on this product.

Avinash Singh:

Okay. Thank you.

Moderator:

Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha:

Thank you for the opportunity. So, see, in the VNB walk, the 410 basis points, that is with respect to assumptions, can we attribute largely to the opex? Or you have revisited some assumptions with respect to persistency and mortality also and that is getting reflected in the margin compression. That's my first question.

And the second question is that mostly annuity has done well for you because of the new product launch. And honestly, one of the largest contributors to you compared to peers, around 10% of the total APE. So maybe this product remains a focus area, and I believe this was driven by proprietary channel. Then when this product has been margin lower than the company average, which is around 24.5, then this product does well, are you still confident that the margins what you are reporting today are going to hold up for the subsequent years or not? That's the point. And lastly, one, if you can give an exact number of how much ICICI Bank contributed for FY2024 in APE in terms that will be useful? Those are my questions.

Dhiren Salian:

So, the 4.1% negative that is due to operating assumption changes is, of course, because of expense ratios. That's a short answer to that.

In terms of the product that you mentioned the annuity product which is the GPP Flexi with Benefit Enhancer. Again, the margins of this are not low. Please understand that.

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Just because the commissions are trailed down does not mean that the margins are low on this product.

Sanketh Godha:

My question was Dhiren whether the

margins are better than the company average or lower than the company average?

Dhiren Salian:

Yes, they are.

Sanketh Godha:

They are better than the company average.

Dhiren Salian:

Yes, they are better.

Sanketh Godha:

Okay. Fine. And if you can spell out the ICICI Bank number?

Amit Palta:

Yes, ICICI Bank contributes a very similar number right through the year. They were close to 12% to 15% is what the range month-on-month. Some months are better, some

months are lower. Eventually Q4-FY2024 because of protection is doing very well and with increased demand on unit linked, it was relatively higher in comparison to what we have seen in ICICI Bank in first 9 months.

Sanketh Godha:

So, sir, I can work at 13.5 kind of number for the entire year, right?

Amit Palta:

Yes, you can work on that on the retail side.

Dhiren Salian:

As we indicated, we're looking at about ₹80 to ₹100 crores a month, it's broadly where it is at. Like Amit also mentioned depending upon the quarter or the environment can be slightly higher or lower depending upon how unit link does.

Sanketh Godha:

Got it. That's it from my side. Thank you so much.

Moderator:

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The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani:

Yes. Mostly my questions have been answered. Just one clarification I wanted on the mortality and mobility variance of FY2024. Sorry, maybe I didn't understand it is the same amount of negative variance that we saw in the COVID year of FY2021. So probably, if you can help me understand where exactly this that big an impact comes from. I understand you're saying that it is one of those incurred but not reported claims. But if you can help us obviously understand it a little bit better.

Dhiren Salian:

Shreya, you can't correlate those two periods. Yes, this is an IBNR -related element, and this is largely we have seen from our group credit side.

Shreya Shivani:

It's on the group credit business?

Dhiren Salian:

Yes.

Shreya Shivani:

Okay. So, is this coming from group credit business within this year or historical years?

Dhiren Salian:

It's over the whole book. It's not just this year 's.

Shreya Shivani:

Okay. Over the period. Okay.

Dhiren Salian:

Yes. As we spoke of earlier, we still see positive variances if it were not for this provision that we held on IBNR.

Shreya Shivani:

Got it. So should we expect our pricing on group credit business to the end customer allowed to change because of...

Dhiren Salian:

Not at this moment. We believe this to be transient. And we'll keep assessing this and keep a close watch on where these businesses end up, but at this point no change to pricing.

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Shreya Shivani:

Okay. This is it. Thank you.

Moderator:

Thank you. The next question is from the line of Supratim Datta from Ambit Capital.

Please go ahead.

Supratim Datta:

My first question is I'm trying to understand this 4.1% operating assumption change in the margin. What proportion of this would be due to a higher commission versus fixed cost absorption because your growth in cost this year was higher than the APE growth . If you could break that up that would be very helpful. And that's the first one.

Next is, this year the cost growth was higher than your APE growth and next year how should we think of it as what kind of cost investments are you planning? And so, given that this year we have seen significant investments, should we see a slowed down next year and some bit of leverage flows into the margin? That's the second question. And lastly, you have given stock options. Just wanted to understand what are the

threshold for exercising those stock options? What metrics are these stock options based on? And what we would need to hit for vesting of those stock options? That would be helpful.

Dhiren Salian:

Supratim, the operating assumption change as we spoke of is due to expense rat

io,

difficult to call out what proportion comes from commission and what proportion comes from opex. You've seen the overall costs go up by about 20% and that has impacted the overall unit cost.

One other thing to also note is that we believe that this entire redesign of the commission structure in this transient year I think has been largely complete. So going forward, in terms of where the commission rate should be, we believe them to be largely stable or depending upon the channel and product.

Now how do we expect the outlook into the coming year. With this commissions being stable, essentially all that we'll be able to work with is the operating expenses which we believe we should be in a position to calibrate based on our growth in a much more considered fashion as compared to the previous year.

So technically we do not want to lose any operating leverage on this, any operating leverage that we gain we want to invest that back into the business. We do not want to stop our investment going forward because they are going to be the building blocks of growth into the coming years.

You had a question on the stock option?

Supratim Datta:

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Yes.

Judhajit Das:

So, these are grants to employees that we make, employee stock options and employee stock units. We have a scheme approved by the Board. So as per the new requirements we are required to do the secretarial practice to inform the exchange. So, I guess you're referring to that. So, these are regular grants we've been making for the last few years.

Supratim Datta:

And is there any requirement for the vesting so you would need to take a certain threshold or certain growth certain profitability for the vesting or there is no such threshold for vesting?

Judhajit Das:

So, there are certain vesting requirements for the employee stock units as part of the scheme. And ESOP you only make money when the stock price is above the grant price, and these are granted at exercise. The exercise prices are the yesterday's market price.

Dhiren Salian :

Supratim, one other supplementary to the point that you raised on commissions. From our understanding of the market, we believe that our commission levels are actually lower than those of our large peers. That is something that we have understood. The way it sets out is because it's not just the commission in play, it's essentially the entire package that you provide to the distribution partner, be it in terms of the product, be it in terms of the process; commission is one element of it.

You've heard us speak about various enablers that we had launched through the year, things such as same-day commission, they've got the entire IPru Partner Stack which enables you to provide a full 360 view of the customer through the distribution partner. It also enables us to penetrate the partner's base to a much greater degree with the use of analytics. And the entire picture that we present is that we would like to be the most partnerable life insurer.

Supratim Datta:

Got it. Thank you.

Moderator:

The next question is from the line of Pankita Srivastava from ABSLI. Please go ahead.

Pankita Srivastava:

Sir, I wanted to understand what is the new business premium generated in credit life.

And if you can let us know the breakup between the other partners and ICICI Bank?

That's my question, sir.

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Dhiren Salian:

Credit life, we have broken down the mix. Yes. So, credit life was ₹602 crores of APE for

the year. This is there on Slide #59.

Pankita Srivastava:

Okay. And also, if you can just throw some light on the partner's breakup from ICICI Bank and the other partners?

Dhiren Salian:

Yes. We discussed that in the context of a previous question. ICICI Bank roughly in range about ₹80 crores to ₹100 crores a month through the year.

Of course, the number depends upon the current environment. If unit linked does well, then the number can be north of that. U

unit linked does not do well, it end up being a little

lower. So, to that extent, I think it's been fairly stable through the year. But anywhere in the range of 12% to 15% of retail APE.

Pankita Srivastava:

Okay. Thank you, sir.

Moderator:

Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth.

Please go ahead.

Madhukar Ladha:

So, first on the IBNR provision. So, of ₹282 crores is this coming largely from the GTI business or which sort of protection business is contributing the retail protection, credit life or the GTI business? That's my first question.

Second, on overall retail business growth so Q4 -FY2024 we've seen a pretty good number coming month-on-month. Should we expect sort of similar run rate going into FY 2025 or how should we look at growth in terms of industry or private life insurers retail premium growth? So, in context of the industry, how should we sort of think about your growth?

And in your operating assumption changes, you mentioned it's largely because of expenses. Are there no other sort of changes there relating to mortality, morbidity assumption changes? I just wanted to sort of clarify on that as well?

Amit Palta:

So going forward on FY2025 momentum adjusting for seasonality, I believe that for all the capacity creation that has happened over the entire last financial year, I think the interplay of products, a few channels where the investment was done, and the capacity

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improvement will play out well for us. So, we are fairly confident on the momentum that we have built going forward into FY2025 year-on-year.

So, exit of this year is on a very different foundation in comparison to where we were last year. This gives us confidence that what you witnessed in Q4 -FY2024 is only the beginning and probably from here we will look good from here. Like I mentioned for the interventions on product, new projects, capacity improvement which has improved drastically, I think it can play out well for us in FY2025.

Madhukar Ladha:

What would be sort of your target with respect to sort of industry growth. You would have some number in mind in relative to industry growth?

Amit Palta:

Yes, related to industry you made my answer very simple. Since you asked me related to industry, we are intending to do an alpha. So, what we delivered in Q4 -FY2024 is what we intend to do going forward quarter-on-quarter.

Dhiren Salian:

So, Madhukar, on your other question in terms of where is that IBNR count, it is from the credit life business. And you asked another question on the operating assumption change. It's a bunch of small, small things around persistency around mortality, morbidity. Anyway, it's all ₹70 crores at the end of it.

Madhukar Ladha:

And one final question on the ICICI Bank channel. So now you have a ULIP product which has largely trail commissions. You have an annuity product which is also largely trail commission. So, you seem to be creating bouquet of products which probably ICICI Bank would sort of look more favourably towards. Is there any conversation happening on those lines where the bank may be more amenable to selling these set of newer products or are you sort of planning towards that over the next 6 months, 8 months, we'll launch more of these products, and these will then be part of the ICICI Bank channel. Is that the thought process?

Amit Palta:

First of all, choice of products we as a part of our partnership philosophy, we leave it with

our partners to decide. They have their own priorities. They may look at a few products at various points in time and they choose to select those products as part of their overall bouquet of services.

So, I will not comment on what goes on because it's an evolving situation. Every quarter, we take stock as to what we want to do and how we want to progress. Specifically on these trail-based products, we are looking at constant insights from

the customers as to

what they are assessing, what they're looking at as alternate options, even outside life insurance business.

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And hence, we are trying to address the core customer demand, core customers need on investment and building savings over a long period of time. And to address that core long-term investments or long-term savings is where we have created this product, which is closest to the customer's world view.

And from there, then it is up to the distributor who is closest to that customer to make this product available. That's where the choice of distributor comes in. So we stay true to the customer. We create a proposition which is most meaningful to them. And then we make an offer to our partners to see whoever has access to the customer, they pick it up. That's why the diverse distribution, not every product will get picked with every distributor. It also depends upon their priorities as to what they want to do and where they see synergy. So that's what my answer is on the products.

For all new initiatives, new products, new process interventions that we did, not everything was meant for every distribution partner. That's the advantage as well as a consequence of running a very diversified distribution. Our job is to create products, our job is to understand customers and then make it available. And depending upon partner priorities, they may pick few, or they may drop few.

Madhukar Ladha:

Got it. Thank you and all the best.

Moderator:

Thank you. The next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

Gao Zhixuan :

Thank you so much for opportunity. Just wanted to follow up on the margin again. I want to understand because the first half and the second half margin is quite different. So, you advised us to look at the full year margin. So, I just want to understand, and I understand the mix because the mix will be volatile quarter-to-quarter, but if I just look at Q4-FY2024 margin, and we assume that business mix doesn't change going forward. How does the margin move up?

What are the levers for the margin to move up towards the 24% -25% kind of margin level? As you mentioned, we thought we won't see commission restructuring or payout increase further deteriorate from here. We won't see operating leverage further deteriorate from here, but that doesn't seem to suggest that without business mix change, margins should move up from what we see in the second half or the fourth quarter level, so to understand that?

Dhiren Salian:

Gao, thanks for the question. I think the right way to look at margin is to look at it from the full year perspective. During the years, there are certain assumptions that we take in terms of the unit cost based on the full year's business delivery, then that gets trued up

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as we get through to the end of the year. So, I think the appropriate way to look at it is to look at the full year margins.

From here on, we spoke of margin is not a core KPI for us, we're looking at growth of absolute VNB. However, there can be positives and negatives to the margin, depending upon the way the product mix evolves. That is one way that we could look at the margin moving up or down. Retail protection growth has done well through the year. If that continues and we're able to leverage upon that, we should be able to grow margins. The group term business, which had declined through the year, if it stabilizes, that can become a support, credit life growth will also help positive margins.

Of course, there can be a downside in terms of unit linked growing faster. But then, like I said, end of the day, what we're looking for is growth in absolute VNB. If the mix stays the way it is, as I spoke of earlier, with the commission restructuring behind us, we believe we should be able to stay where we are. So, expense unit cost, that we had to take on

during the year, I think is largely behind us a

t this point.

Gao Zhixuan :

Thank you so much.

Moderator:

Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain:

Hi, everyone. Good evening. Sir, firstly, if I heard it correctly, you mentioned that your commission rates are lower than the larger peers. Is that correct? And if that's so, do we see any further pressure on commissions coming through because we want to be in sync with the market rates on commissions.

Secondly, from a growth perspective for next year, you mentioned that we've been investing in channels, and particularly, I was just more interested in the non -bank partnerships where you closed a lot many partnerships in last year. Now if those are to fructify and resulting to a stronger top line growth, won't we have a significant leverage coming in from those businesses, which could drive up margins? Or do you expect the momentum in these partner tie -ups to continue?

And lastly, from a broader across pan -India strategy. Now with the ticket size of ■ 5 lakh plus, we're going through a tough time, do we expect more granular growth and you would invest into doing the Tier 2, Tier 3, some numbers on tier wise breakup and growth. And does the Tier 2, Tier 3 kind of come at a lower margin versus the Tier 1? These are my questions. Thanks.

Amit Palta:

This is Amit. Let me take your question. First of all, you mentioned whether our commission rates are actually lower than some of our peers. We don't believe in

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speculation actually. We have visibility to 27% of our business, which we do through multi -insurer. Hence, we have a fair amount of conviction on making the statement that we are definitely not the market leader on this. So, our commissions are definitely lower than the peers where we are operating together in some of our multi -insurer partnerships. That is something for sure we can say. Rest assured, we don't speculate. Two, on the new partnerships you mentioned that we have added some 200 -odd partners over the entire year. See, this is a process that we have been following for the last quite a few years. So, some part of our distribution outcome that you saw in FY2024 also was contributed by partners who were added in FY2023. And FY2022 also partners went through the learning curve and started contributing. So, it happens in cycles. So, every partner comes, goes through a learning curve that adds to the operating leverage and starts giving us the bottom line. So, this is something which is an ongoing process, not just in non -bank partners, but even in our proprietary distribution that happens where you build capacity in year one and it starts playing out over a period of year two, year three. Once the maturity of the distribution happens, both our employees as well as the advisors, move up the learning curve and start contributing over a period of year two, year three.

So that is something that we are quite confident. I think for capacity that we added for the last two years, it has started playing out well because some of the models that we have created on building capability have held us in good state in H2 -FY2024. It was based on that confidence that we had given the guidance of 10% growth in Q4 -FY2024. I'm very happy to state that what we invested on capacity turned out and we managed to double our productivity from Q3 -FY2024 to Q4 -FY2024 by virtue of the leverage that we got through capability models, which started giving us returns going forward.

On your last question that you mentioned about ■ 5 lakh plus business becoming a challenge. Well, it was a challenge in Q1 -FY2024, Q2-FY2024 because there was a period when the alternate solutions were still being explored, and there was a period where demand, I will not say, was compressed, it got deferred. But however, with buoyancy in markets, more than ■ 5 lakh business actually came back, so putting together,

participating as well as linked business & annuity , more than ■ 5 lakh business on a stand -alone basis in quarter three actually grew last year. So, I don't think that issue remains the number of options available for an affluent customer who is willing to invest more than ■ 5 lakh are anyways limited. So, in unit -linked products, you still have the best tax solution.

So, from that perspective, even on Pension platform, there are product categories which

give the best and the most optimal tax solution on a high-ticket size as well. So, I don't think that will get impacted. It was a low quarter one, quarter two, impact was obvious because a lot of the demand in quarter one, quarter two was also preponed in the last quarter of last year. So, I don't think more than ₹ 5 lakh is going to be a challenge. At the same time, your point on going retail and granular is, of course, taken. This is something that we will continue to work on. Of all the distribution that we have, whether it is agency or through bank partners, or through non-bank partners, we are fairly represented in Tier 2 and Tier 3 markets already. Right. So, to that extent, typically, the composition of individual customers that you find in Tier 2, Tier 3 markets are different.

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So probably you will have more mass and more mass affluent in comparison to affluent in a smaller market.

And otherwise, life insurance product that piece is quite simple. Eventually, it is a life stage and the income that you earn decides what you buy for the goals that you have in life. So, from that perspective, product contours don't change from one market to another. It is the composition of customers that changes from market to market.

I think we are well placed in terms of overall category of products that we have available in our bouquet. And hence, we can cater to Tier 2, Tier 3 markets, any upsurge in demand that we have witnessed. And we have distribution partners who are representing these Tier 2, Tier 3 markets fairly across banks, non-banks as well as our agency distribution.

Prayesh Jain:

My question was more on like if you go granular, have you kind of priced in the mortality or morbidity or persistency, which could be really different between Tier 2, Tier 3 and if you have to go down further. The mortality, morbidity, and persistency can be really different?

Amit Palta:

Absolutely. In fact, in the opening address, Anup mentioned that we do run an analytics-based propensity to lapse and propensity to longevity and risk model on our new business model. So, at the time of acquiring a new policy or selling it to new customers, the policies go through that rigour of identifying as a potential lapse or a claim at an early stage and we'll go through an extra due diligence process for that.

The reason why our persistency is also improving quarter-on-quarter, the last few quarters now is largely on account of this model that we have deployed, and the early gains are already visible in H2 -FY2024. So, to that extent, I think Tier 2 or Tier 3 market. While mortality is priced as per the profile of the customers, but from the process that we are put in at time of onboarding, I think we'll be able to eliminate ourselves from the profiles which are not desired.

Dhiren Salian:

So just to add to that, from industry level studies, we understand that the mortality in the Tier 2, Tier 3 cities will be higher than that of Tier 1 cities. That is something that we are very cognizant of as we step into those areas. We've also seen some numbers in terms of where the persistency are. They typically are lower. And those are things that one should take into account, as you mentioned beyond Tier 2, Tier 3.

Prayesh Jain:

Okay, that's helpful. Thank you.

Moderator:

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Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh:

Good evening. Sir, two q

uestions from my side. First, if I look at your Q4 -FY2024 non-linked savings business. And if I suppose the one-offs in the base, it seems to be down around 25%, 30%, while you mentioned that from the Q3 -FY2024 onward, the high-ticket par and ULIP starts to revive on a year-on-year basis and assuming trends continue in the 4Q. Can you give some colour on what led to this sort of moderation in the non-linked savings business in Q4-FY2024 except the one-off?

Second, on the 27% of the business, which is noncore, non-proprietary, or multichannel, as you call it, can you shed some colour on what gives you confidence that the commission payouts have stabilized? Is it like you're seeing trends across other players or other insurers present in those channels? Are there EOM levels kind of all used up such that they cannot really kind of compete moving into the next year?

And in line with that, you also mentioned that you are seeing counter share improvement at this multichannel partners. At least for the top four, five partners in this multichannel networks, could you give some colour on the counter share improvement, if possible?

Dhiren Salian:

So Dipanjan two points. One, when you look at Q4-FY2024 product mixes, yes, the non-linked has not done so well, but to some extent, I think annuity has stepped up in that period and supported that. That's something that we have seen in Q4-FY2024. I'm missing a bit your second question on this.

Dipanjan Ghosh:

Yes, the second question was on the...

Dhiren Salian:

On the commission rates, see, these have been broadly stable over the last couple of quarters. We've spoken about this at the end of last quarter as well where we have seen some stabilization come through. But I think as we have now exited quarter four, they are fairly certain that at this point, the commission rates seem to be stable. Of course, it all depends upon how the environment evolves. But by and large, there could be some changes at the margin, but we don't expect any large-scale movements from here on.

Dipanjan Ghosh:

Sure. If I can just on the counter share across some of these multichannel partners, if you can give some colour on that?

Amit Palta:

Yes, I wish this information was available in the public domain, and I could share with you because this is one number which is informally tracked very closely. All I can say is

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that for the business growth that we witnessed in multi-insurer distribution both in banks as well as non-bank partnerships. We have not degrown as much as the overall space. And partner by partner, we have seen our share actually growing up. However, since this number is not publicly available, I can't quote that at this point.

Dipanjan Ghosh:

Just one follow-up on the first question. On the product mix, you mentioned that annuity has picked up and you've done well on that. But can you split it between, let's say, if you take the guaranteed return, low ticket, or the par low ticket, has that reported a positive growth or is that also lagging? Because from a medium-term perspective, while the high ticket, you mentioned you remain assertive on that, but at least on the mass market low ticket, I'm just taking cues from the last few questions. Is that segment growing if you can share some positive understanding on that?

Dhiren Salian:

So Dipanjan, by and large, if you look at the margins, I think when you look at the rates that are being offered all the way through Q4-FY2024, I believe, by and large, when people have held them steady, they have been suboptimal relative to what they were in the previous quarters. I think the other interesting part is that once the year has gotten through, we have seen a correction in rates on the non-par side for most companies in the first 15 days of this month itself.

So, there will be some stabilization on the margins for non-par will happen into the coming year. But

I'd say, when we look at more than 5 lakh customer or a more affluent customers, I think we have not lost them because we've been tracking that customer segment across all lines of business. So, while those who are not amenable to buy non-par product has actually switched off and bought participating as well as unit linked product. So, to that extent, as Amit also pointed out to the second half of the year, we have not really lost those affluent customers.

The growth in the less than 5 lakh ticket size broadly has been more around the participating when you look at the non-linked space. The switch out has happened from non-par into participating at this point.

Dipanjan Ghosh:

Got it. Thank you and all the best.

Moderator:

Thank you. The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick:

Hi, sir. Thanks for the opportunity. I have one question. You mentioned about alpha over industry. So what products are expected to deliver that alpha for us, given that protection

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will normalise and let's assume ULIPs also can normalise in a steady market, will it be annuity and non-par in FY2025?

Amit Palta:

See, very difficult to envisage which specific product line. As a manufacturer, we will continue to focus on creating multiple options and keep working through research in understanding customers' worldview and trace change in preferences. So, we keep manufacturing products which we believe is meaningful, which we are picking up as feedback from customers. And then it is up to customers to give us the momentum.

So for us to decipher at this point in time which category of product will really drive growth, we are quite capable of creating multiple products across categories, which is making us confident that no matter what the environment would be, I think we have a product for every environment and at the same time, in every category, whether a customer has a low-risk appetite, medium-risk appetite or a good-risk appetite.

I think we are fairly comfortable in catering to any consumer segment irrespective of what happens in the market. But to put our finger on one category, it is very difficult in the beginning of the year.

Ajox Frederick:

Okay. I'll flip it. Channel-wise, which channel can deliver like above average industry growth? I'm assuming you are taking a 15%...

Amit Palta:

So, like I told you, against the 12% retail APE growth that you witnessed in the company, our proprietary distribution grew in excess of 20% in Q4 -FY2024, so our direct distribution grew at 20% + in Q4 -FY2024. Our agency business grew at 28% in Q4-FY2024 against the company growth of 10%, against the private insurer industry growth of 2%. So obviously, proprietary is where we will look at investing further and we'll see how it grows.

Ajox Frederick:

So, industry is expected to grow somewhere in the range of 13% to 15%. That's what you're expecting at this point in time?

Dhiren Salian:

Difficult to put a call on the industry, but I think we're fairly clear where we want to be, it will be an alpha over the market.

Ajox Frederick:

Sure, sir. That's it from me. Thanks.

Moderator:

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Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe:

Thanks for taking my question. I'm looking at Slide 19 of your presentation, essentially the EV walk and trying to understand what are the operating assumption changes that we are making?

Dhiren Salian:

So, Nischint, we picked this up earlier as well. There are a variety of small changes that have happened. At the end of it, it's ₹ 70 crores. It's not really material.

Nischint Chawathe:

Sure. And just to re-clarify, on the VNB margin movement, the minus 1.5% is essentially the business mix, which is probably a shift between ULIP and non-linked. Is that the way to think of it?

hink of it?

Dhiren Salian:

Everything put together, we've had a drop in the group term numbers as well. So, everything put together is what has contributed to the business mix.

Nischint Chawathe:

Sure. And 4.1 % is purely higher expenses and higher payouts?

Dhiren Salian:

Yes, that is the expense ratio.

Nischint Chawathe:

And why is the economic assumption change negative?

Dhiren Salian:

These are yield curve changes. So, as we mentioned in the earlier call, there has been competitive pressure. Most participants have held on to rates through the year that has led to reduction in spreads on the non-par and annuity side.

Nischint Chawathe:

That comes under the economic assumption change?

Dhiren Salian:

That's in the economic assumption change .

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Nischint Chawathe:

Basically, it 's the IRR pressure that we 're talking about, right, IRR putting pressure on this?

Dhiren Salian:

Yes, you got that right.

Nischint Chawathe:

Okay. And finally, just on this VNB contribution when we look at . When we try to calculate segmented VNB margin, it looks like the heavy lifting of this margin contraction is all in the savings non -linked portion. Protection margins and savings linked margins are probably held on or maybe even expanded a little bit. So, is my reading, right? And why is it just reflectin g in one segment?

Dhiren Salian:

In one segment, which is the non -linked savings, that 's again the inter -se mix that you see between par and non -par.

Nischint Chawathe:

Okay, got it. And sorry, just one final one. If I look at the channel mix, if you look at bancassurance and try to see the ban cassurance mix, I think in last FY 2023-24, ULIP ratio has actually been stable, while for all the other channels o r everywhere else in the industry, we have seen ULIP going up. You mentioned that ICICI Bank continues to push ULIP. Does it mean that the other banks have significantly slowed down in ULIP or probably doubled up on non -linked savings in this year?

Amit Palta:

Yes. So let me just do a small correction. Actually, ICICI doesn't push unit-linked products. As per strategy, unit-linked product is available on the shelf if there was to be a customer demand. They offer unit-linked products. So, it's not something which is really pushed. And as far as unit-linked products being sold in other bank partners, you are right. This is not a category of product which is understood well in smaller markets.

And a large number of bank partners have presence in smaller markets, semi -urban and rural markets where the preferred choice of product is actually not unit-linked. So that is the reason when you look at 43 other bank partners, apart from ICICI Bank and Standard Chartered, there has been relatively moderate growth on unit-linked business in these partners.

Nischint Chawathe:

Got it. Thank you very much. Those were my questions. All the best.

Dhiren Salian :

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Thanks, Nischint.

Moderator:

Thank you. The next question is from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh:

Thanks for the opportunity. I wanted to ask the margins on the protection business are actually not risen in terms of how much the fall has been there in group term. So what explains that? Have the margins on the individual protection and the credit life contracted in this year over the previous year because last year we were at 72% for the full year, this year we are at 75%?

Dhiren Salian:

So, it's a little difficult to break down some of these new businesses because they're coming from multiple sources. And by and large, you can look at one average rate for that particular type of business, but it's actually an agglomeration of multiple par tners that we tied up with, especially when you look at the credit life side.

So all -in-all, put together, difficult to put your finger on what has been the big change, but it's been broadly stable across

the period. So, what we lost in terms of APE, in terms of group term, we've been able to make up on retail to that extent, along with credit life. So, it's a mix of all. It's hard to put a single answer to it.

Raghvesh:

And also, the ticket sizes on the protection business have increased. So is it, ROP is coming in at maybe lower margin from the individual protection. Is that a good understanding?

Dhiren Salian:

No, that's not the right way to look at. ROP is still roughly about 15% to 20%, has been through the year and since the time that we started. But again, the way that we're looking at ticket sizes, this could be a function of the underlying policy term that we are selling towards, could be a function of the customer segment that we're going after. So, it's a mix of multiple things that come over there. Beyond that, it's just there's really nothing that has changed across in any large degree.

Raghvesh:

Okay. Thanks. A final question on the ULIP margin themselves. So last year, we saw the margin degrow by around 290 bps because the product itself had degrown. This year, again, we are above the FY20 22 levels, but still the margins have not increased meaningfully. So, is the term of the products lower now, what explains this flat margins?

Dhiren Salian:

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To some extent, whatever elongation that we have made in the term would have been offset by unit cost changes on the linked side as well.

Raghvesh:

Okay. Thanks a lot for the answer.

Moderator:

Thank you. The next question is from the line of Aditi Joshi from JPMorgan. Please go ahead.

Aditi Joshi:

Yes, thank you for taking my questions. I have a couple of very quick questions. So, the first one is, can you please share the business mix across Tier 1 versus Tier 2, Tier 3 series, and growth rate differential between these? And the second one is if you are able to share the growth number in the number of lives insured or the number of customers for the full year 2024, that could be helpful?

And lastly, on the Slide 21, when you look at the sensitivity analysis, the sensitivity to, let's say, changes in 100 basis points in the reference rate has moved up a lot between FY2023, FY2024, so can you please explain why is this so? Yes, this is all. Thank you.

Dhiren Salian:

So, we haven't made public split between Tier 1, Tier 2, Tier 3. I think for us, given that we run a very, very diversified distribution, we are dependent upon our partners to be able to expand into their territories, be they be corporate partners or agency and direct. So, we're not looking at expansion on its own. Essentially, we're looking at expansion through our partners. What's within our control, of course, is more around direct where we've got our own offices, and we're expanding within those segments. Agency is another area that we could expand, but then that would be slightly slower to that extent. I don't think looking at Tier 2, Tier 3 at this point is pertinent.

Let me pick up your third question, which is around sensitivities. Yes, sensitivities have gone up to some extent when you look at VNB. But if you look at the book, i.e. on EV, it has not really changed too much. Some of the sensitivities on VNB, which are interest rate driven are essentially things that can be reversed by just changing rates to non-par products and annuity products. The one that has, let me say hurt, has been on the expense side, which has impacted the sensitivity from the previous year to this year. But as unit rates become stable into the coming year, I think we'll have less of that impact coming through.

Aditi Joshi:

And just following up on the second question, it was on the growth in the number of customers for the full year 2024, if you are able to share that number?

Dhiren Salian:

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Total number of policies this year has been flattish with about 3% growth when you look at it for the full year. We've got about 587,

000 policies that we wrote in the last year versus 571,000 in the previous year.

Aditi Joshi:

Okay. But that is a number of policies, right? So, I guess or the reason I'm asking is just wanted to understand that the growth is coming from acquiring new customers or you

selling more policies, let's say, more than two or three policies per customer. That's what I wanted to ask.

Dhiren Salian:

Like the previous year, part of this comes in from upsell business, which we are quite strong at. And there's also a large portion of it comes in from new customers to this. We haven't split out this metric.

Aditi Joshi:

Okay, got it. Thank you.

Moderator:

Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha:

Good evening. Thank you for taking this follow up. One thing, if I look at your channel mix, the annuity contribution in the agency channel has done quite well. So, we see a very good pickup over there. So, I wanted to get a sense, is this because of the new trail linked product? Or is there something that is happening there?

And second, just coming back on the higher provisioning, higher IBNR provisioning. I didn't understand what really necessitated this higher provision in credit life. Are we seeing less reported claims, abnormally less reported claims or what is happening there? Why do we suddenly require this higher provisioning?

Dhiren Salian:

So, to take your first question, Madhukar, yes, you would have seen the annuity grew across agency as well as direct. That's very clearly the new product that we have launched, but again, given that this is built on a trail model, especially when you're looking at intermediaries, this will be picked up only by a very few given that it is a trail-based model and there is limited upfront. So those smaller distributors who may require a higher commission rate just to fund legacy of working capital issue will not pick this up. Coming to your second question in terms of IBNR, we've seen some delay in claims that are coming in from the group credit side, which is where we have kept our provision at this point. Like I said, this is temporary. This is just a delay that we're seeing at this point, we evaluate this as it goes by.

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Madhukar Ladha:

But if there is a delay in claims that you're seeing, then that should be part of your normal provisioning itself, right? That should then get covered in your normal provisioning. You should not require an additional provisioning, right? I'm sorry, I'm probably dwelling a little bit more into this.

Dhiren Salian:

You normally would keep an IBNR on this just to cover claims that could have occurred but not intimated yet. And we are seeing this in a part of the portfolio, and we kept it towards that largely.

Madhukar Ladha:

Okay. Thank you.

Moderator:

Thank you. The next question is from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma:

Hello sir, Thank you for this opportunity. In this quarter, we have seen the annuity segment ramping up very rapidly, primarily by agency channel. So, what kind of persistency are we building in since this is 100% return of premium product. What kind of persistency are we building in while calculating the margin? That's my first question.

Amit Palta:

If you ask me as a customer, if you were to look at this product, the proposition is not about taking the money back. The proposition was about taking back fear of crisis away. In case customers was not capable for any crisis, not being able to make subsequent premiums, the fear of losing the principal may have presented certain set of customers from investing in life insurance kind of product. So, it was this insight that we were working on.

Otherwise, if the customer was to take his money away after 2 years or after 1 year, he tends to lose GST and the opportunity loss that h

e may have if he were to invest it into a fixed deposit also. So, I think from a customer perspective, we believe that persistency will have no impact of what we have in a regular annuity range of products. So, we have not factored anything adverse in the portfolio at this point in time.

Shobhit Sharma:

Just a quick follow-up on this thing. We have sold this via agent. We have seen that in the ULIP after 5 years, we have seen surrenders going ramping up rapidly after end of 5 years. So how are we preventing. So, we have built in the trail-based payouts, but how are we going to restrict that surrenders going forward after 1 year or 2 years down the line.

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Amit Palta:

First of all, surrender as a concept in ULIP is available after 5 years. On annuity surrender as a feature, it doesn't exist. And annuity the core reason for you to buy annuity is to get income for life long. So, to take money away after 5 years, it doesn't help the customer because the gains will be very minimal. And we don't believe customers will get anything by taking the premiums away after 5 years. So, what you see as the behaviour on unit-linked business will be very different in comparison to what we envisage in this category of product because the money would not have grown because it's not a market linked product.

Shobhit Sharma:

The second question since we have revised our unit cost assumptions. So, we have seen investments impacted by our VNB margins. Does this not have an impact on our embedded value? Does it not impact a value of existing business?

Dhiren Salian:

No. So this has come through on the new business that we have written and that is where the VNB is lower.

Shobhit Sharma:

Okay. So that means there is no impact on the value of inforce policy?

Dhiren Salian:

On renewal resumption, there has been a small change, but it is not material.

Shobhit Sharma:

Okay sir, thank you. That's it from my side.

Moderator:

Thank you. The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav Jain:

Hi, good evening. Thank you for the opportunity. I just have 2 questions. One is in terms of capacity expansion on the proprietary channel, is it fair to assume that we are broadly done there? And if yes, then from here, if the growth is ahead of industry, should we not expect some operating leverage to kick in, which is a follow-up from the previous question also. And should we not expect the operating leverage to kick in and help us improve the VNB margin closer to the other listed peers. That is first.

Second, how are you looking at the regulatory landscape for the industry and this is on the backdrop of a recent media clip, which was raising questions on mis-selling, etc. for the industry?

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Amit Palta:

On your question on agency scale up, I think on proprietary channels, both agency as well as proprietary sales force, we intend to continue investing and whatever upside that we have seen by virtue of having invested in building capabilities, shortening the learning curve, I would like to reinvest the gains from it back into expanding business.

And we would like to step up on this course for a longer period to build our franchise for a longer 4 to 5 year period and build sustainability and growth. As I mentioned, Gaurav, building sustainability and creating an alpha by virtue of investing in proprietary is a stated objective, and that is something that we want to stay on course.

Gaurav Jain:

Second was on the regulatory landscape, sir?

Dhiren Salian:

If your question is around some of the mis-selling complaints, I think we're fairly clear that wherever we find some of these complaints, we would take strict action against those because clearly, that's not in the customer interest. All our distributors, I believe, are on the same page in terms of delivering value to customers and the idea is to be able to improve persistence

on a year-upon-a-year as you have seen us deliver on.

Gaurav Jain:

Got it, sir. Thank you and all the best.

Moderator:

Thank you. Next follow -up question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe:

Hello, thanks for taking my question again. What would be your dividend payout policy from here on? Is it going to be similar to the current levels? How should we think about it?

Dhiren Salian:

So, our dividend policy is disclosed on the website, it's at 30%. But the Board assesses dividend ratio for the year based on the market conditions based on what has been the delivery of PAT as well as the solvency expectation into the coming years.

Nischint Chawathe:

So otherwise, it should be closer to 30% is what you are saying?

Dhiren Salian:

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The policy is set at 30%, but of course, that gets assessed year -on-year by the Board.

Nischint Chawathe:

Perfect. Thank you very much.

Moderator:

Thank you. The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh:

Hello, thanks for the follow up. Can you just explain a bit understanding on the GAAP profit, not for the quarter, for the full year, how the back book surplus development has been and how the new business strain has moved because, profits are low level and flat year -on-year . Just if you could help us how back book surplus emerge and the new business strain ?

Dhiren Salian:

Yes. So, the back book is definitely throwing up surplus, but at the same time we have the new business strain. I think the challenge we're looking at Indian GAAP is amortisation of expenses. It doesn't really give a true picture of how the profit should emerge. I think let's just move to IFRS. Hopefully, that comes out soon. We know we're part of Phase 1. We are just awaiting the regulations to be notified. That would give you a better sense of how profit would emerge.

Avinash Singh:

Yes. But I mean if you can just help like what if at all, what is the year -on-year full year number basis growth in terms of back book surplus, even if you don't want to quantify the new business strain part, at least how the back book surplus, I think if you can just see the absolute quantum for two years of growth.

Dhiren Salian:

So, it's not out yet, we look at discussing at a separate time then, Avinash.

Moderator:

Thank you. The next question is from the line of Mohit from BOB Capital.

Mohit Mangal:

Hello, thanks for the opportunity. Just one question is in terms of the sensitivity. So, I wanted to understand, I mean, a 10% increase in acquisition expenses results in around 18% decrease in VNB. That number was 12% in FY20 23. Similarly, the mortality rates as well, I think there is a substantial percentage in VNB in FY20 24 as compared to FY20 23. If you can just explain why this has increased, it would be helpful.

Dhiren Salian:

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So, Mohit, the first thing is that the way we express our sensitivities in percentage change in VNB. That may not be the same kind of metric used across some other players. So, do look at those numbers with that lens on . When you look at FY 2023 to FY20 24, yes, when you look at the acquisition expenses, it has gone up, that primarily is because of the higher unit cost that we have in this current year. And therefore, that has had an impact on sensitivity.

When you look at mortality, morbidity, it has gone up because of the higher share of protection in the new business. Again, I'm referring to VNB margin, VNB changes not the EV changes, EV changes are broadly steady across the year. But in the VNB, the mix of retail protection is much higher, and that has led to the higher sensitivity.

Mohit Mangal:

All right, thanks and wish you all the best.

Moderator:

Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Anup Bagchi for closing comments.

Anup Bagchi:

Thank you for joining everyone. We will just continue on building the foundations for creating a sustainable business. I think a lot of heavy lifting we have taken this year. And next year, we'll continue on the path of just building the current momentum up and creating a sustainable situation. Thank you.

Moderator:

Thank you. On behalf of ICICI Prudential Life Insurance Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Safe harbor: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: Aug 2024

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at

www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837 July 30, 202 4

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter ended June 30, 202 4

This is further to our letter dated July 8 , 2024, and July 23, 202 4. The Company had hosted an earnings conference call with investors and analyst on Tuesday, July 23, 2024 , at 7:00 p.m. IST , to discuss the performance of the Company for Q1-FY2025 .

Please find attached the transcript of the 'earnings conference call' for Q1-FY2025 . The same is also made available on the website of the Company.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair

Company Secretary

ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited

Earnings conference call

Quarter ended June 30, 2024 (Q1-FY2025)

July 23, 2024

Anup Bagchi

Good evening and welcome to the results call of ICICI Prudential Life Insurance Company for the quarter ended June 30, 2024.

I have several of my senior colleagues with me on this call, Amit Palta, who heads Distribution, Brand, Marketing and Products; Dhiren Salian, CFO; Judhajit Das, who heads Human Resources, Customer Service and Operations; Deepak Kinger, who handles Audit, Legal, Risk and Compliance; Manish Kumar, Chief Investment Officer; Souvik Jash, Appointed Actuary; and Dhiraj Chugha, Chief Investor Relations Officer. Let me take you through the key developments during the quarter before moving on to discuss the Company's performance:

We held our 24th AGM over video conference on June 28, 2024. All items specified in the AGM notice were approved by the Shareholders of the Company. We express our sincere gratitude to Mr. Ramachandran, who has retired from the position of Chairman of the Board of Directors effective June 30, 2024. Mr. Sandeep Batra has been re-designated as Chairman with effect from the same date.

I am also pleased to inform you that Mr. Suresh Vaswani has been appointed as an additional Independent Director effective July 4, 2024, subject to the approval of the Shareholders. Mr. Vaswani is a highly experienced leader in global technology and IT services. He is recognized for effectively building, scaling up and transforming businesses, and serves on the board of various public and private companies.

On the regulatory front, we welcome IRDAI's efforts to increase insurance penetration by improving the customer's value proposition for non-linked products. It will lead to an improvement in the surrender value in case of early exits and comes into force effective October 1, 2024. We believe that such customer-centric changes will boost the industry's long-term growth.

As you are aware, even before the revised surrender value norms came into force, we had launched ICICI Pru GPP Flexi with Benefit Enhancer, which provides customers the option to receive 100% money back of premiums paid any time. The commission structure in this product is more level based, while keeping the overall lifetime payment at a similar level. The product has been well accepted in the market segments where it was launched.

We have also experimented with a trail-based

commission on the ULIP platform where again we have seen acceptance by distributors in the market segment where it has been launched. We believe that by aligning the interest of all the three stakeholders, namely customers, shareholders, and distributors, we will be able to absorb any impact that might come due to the change in Regulations.

We continue to work on process innovation in line with our objective to become the most customer and distributor friendly life insurer. 85% of our policies have been issued using digital KYC, and 48% of our policies were issued on the same day for savings line of

business in Q1-FY2025. Notably, we are also the first life insurer to pay out commissions on the same day to our distributors.

Our focus is on building customer trust by enhanced coverage and superior claim settlements. Our AUM is over 3 trillion, and we cover 98.4 million lives for 35.1 trillion total in-force sum assured, as of June 30, 2024. Claim settlement is the moment of truth

for any insurer, and we have an industry leading claim settlement ratio of 99.2% for FY2024, with an average turnaround time of 1.3 days for settling non-investigative claims.

Our customer-centric efforts have been recognised by various industry platforms. The list of awards won during Q1-FY2025 is presented on Slide 39.

Now let me talk about the key performance highlights:

■ We have delivered RWRP growth of 46.8% year-on-year in Q1-FY2025, outperforming both the private and the overall industry for the third consecutive quarter in a row.

■ In line with our focus on proprietary channels i.e., agency and direct together have delivered 54.0% APE growth year-on-year in Q1-FY2025.

■ On the product side, annuity and linked business grew strongly by 135.2% and 78.3% year-on-year in Q1-FY2025.

■ The overall Company APE grew by 34.4% to ■ 19.63 billion, and number of policies increased by 15.1% year-on-year in Q1-FY2025.

■ 13-month persistency stood at 89.7%, and 49-month persistency stood at 70.7%.

■ The Value of New Business grew by 7.8% year-on-year to ■ 4.72 billion. With an APE of ■ 19.63 billion, margins stood at 24.0%.

■ Lastly, our business growth and profitability has been delivered with risk and prudence and is exhibited in our strong and resilient balance sheet.

To summarize, we will continue to offer the right product to the right customer and deliver it through the right channel. With customer centricity at the core of everything that we do, we will continue to work on our strengths, that is product leadership, extensive distribution network, and business excellence, aided by the building blocks of people, digitalisation and analytics. With the strong business fundamentals, our endeavor will be to deliver sustainable VNB growth with our efforts pivoted towards balancing business growth, profitability, risk and prudence.

Thank you, and I will now hand it over to Amit to take you through the business updates.

Amit Palta

Thank you, Anup. Good evening, everyone. I will be talking about performance updates for Q1-FY2025.

Let me start with premium growth, which is presented from slides 10 to 12. As highlighted by Anup, our market-leading performance is continued in Q1-FY2025 for the third consecutive quarter in a row on the back of our innovative and comprehensive suite

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of products, distribution strength, robust technology, superior customer service, and strong risk management architecture.

Our total APE grew by 34.4% year-on-year to ■ 19.63 billion, and retail APE grew by 42.2% year-on-year to ■ 16.66 billion for Q1-FY2025.

Agency business APE grew by 61.6% year-on-year and contributed 29.4% to overall APE and 34.6% to retail APE in Q1-FY2025.

Direct business APE grew by 40.6% year-on-year and contributed 15.2% to overall APE and 17.9% to retail APE in Q1-FY2025.

Together, agency and direct distribution now contribute 52.5% of our retail APE mix in Q1-FY2025 and we will c

ontinue to invest in our proprietary channels to drive the business growth further.

Bancassurance business APE grew by 33.6% year-on-year and contributed 28.8% to APE mix.

Partnership distribution APE grew by 24.9% year-on-year and contributed 11.5% to APE mix and group business APE grew by 2.8% year-on-year and contributed 15.1% to APE in Q1-FY2025.

To ensure our products are delivered extensively, it is our continuous endeavor to deepen our partnerships, which is presented on slide 37. We continue to build capacity and have added more than 12,000 agents during Q1-FY2025 spread across geographies. We have tie-ups with 43 banks with access to more than 21,500 bank branches and 1,150 + non-bank partnerships with an addition of 47 non-bank partners during Q1-FY2025.

Contribution from linked savings product to overall APE increased from 38.8% in Q1-FY2024 to 51.4% in Q1-FY2025 on account of customer preference shifting towards unit products from non-linked products. In this category, we have recently launched 'Protect n Gain growth' which offers differentiated value proposition to our customers preferring ULIPs and comprehensive life, accidental death and accidental disability cover.

Non-linked savings contribution to overall APE decreased from 27.7% in Q1-FY2024 to 16.8% in Q1-FY2025. In this segment, we have seen an increase in the customer's

demand of immediate liquidity products.

Each company has different products across participating and non-participating segment to cater to this demand. In the par category, our flagship product, 'Gold' caters to immediate income need of the customer. It continues to deliver a very strong growth for us.

Our annuity business contribution increased from 6.2% in Q1-FY2024 to 10.9% in Q1-FY2025. Within annuity, we continue to witness a tilt towards regular premium annuity over single premium annuity.

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The overall protection APE stood at ₹ 3.55 billion and contributed 18.1% to overall APE in Q1-FY2025. Retail protection business grew by 1.8% in Q1-FY2025, with the number of policies growing by 6.7%. On a two-year basis, retail protection APE has grown at a CAGR of 28.3% for us. Retail protection continues to be one of our focus areas, and we expect a strong growth trajectory going forward.

Credit life business continues to do well in line with the strong credit growth in the economy as we continue to add partners and introduce propositions aligned to their various lines of business

Coming to Group term business, it is a yearly business which comes up for renewal on an annual basis. Therefore, if you also include the renewals, our Premium is actually flat. We understand this segment well and will underwrite business only if it matches our risk reward expectations.

Our focus on data analytics to mitigate insurance risk at onboarding stage has led to 71% reduction in cases with higher propensity for fraud and early claims for savings policies.

Overall, I am very pleased with our performance in Q1-FY2025. I would like to reiterate that we have been undertaking various initiatives over the last two years on various building blocks of the business to strengthen our fundamentals across products, distribution, and processes. The results you see now are the consequence of the consistent work we have put in over the last few years, and not an outcome of some short-term initiatives.

With a diversified and innovative product portfolio, extensive distribution network, and customer-centric initiatives aimed at delivering best-in-class customer journey and superior claim settlement, we endeavor to deliver sustainable VNB growth through business growth. Thank you.

Dhiren Salian

Thanks, Amit. This is Dhiren. Good evening. Now let me take you through the financial metrics.

The VNB for Q1-FY2025 grew by 7.8% year-on-year to ₹ 4.72 billion. The VNB margin stood at 24.0%. The relevant comparison of Q1-FY2025 margin is with FY2024 margin, as that

captures the impact of all assumption changes done at March 31, 2024.

The movement in margin is primarily on account of product mix shift. While quarter-on-quarter, the overall product mix may vary, given customer preference, the wide range of our distribution partners spread across geographies with access to varied customer segments will always help us sustain a balanced product mix.

Coming to expenses. Our overall cost to TWRP ratio stood at 32.6% in Q1-FY2025. Our cost to TWRP on the savings line of business has shown a marginal increase and stood at 19.2%. We monitor cost ratios for the savings line of business separately. Our

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objective is to bring efficiency in the savings line of business while we continue to focus on growth in the protection business.

We will continue to invest in creating capacity, greater digitalisation, and improving brand awareness in order to deliver sustainable VNB growth.

Moving to other financial metrics. The Company's PAT for Q1-FY2025 stood at ₹ 2.25 billion, an increase of 8.7% year-on-year. Our solvency ratio continues to be strong at 187.9%. Our AUM is over ₹ 3 trillion, and we cover 98.4 million lives for ₹ 35.1 trillion total in-force sum assured at June 30, 2024.

Thank you, and we are now happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee : So, I had, sir, first question is on the cost side. So, if you could

give some color on, you know, why the cost-to-TWRP number has gone up? And also you had mentioned in the result release that there is a ₹ 446 crore impact on policy liabilities because of some allocation methodology changes that you have undertaken. So, I just wanted to check whether, you know, what is the reason for that, what changes have you taken, and whether that is already in our VNB assumption, or should we expect that to flow in any upcoming quarters? So, if you could give some color on that? So, that is my first question.

Second is on the agency side, if you could give some further cuts on which product agency is selling and given that annuity growth has been very, very strong, whether agency is driving that, which product is seeing some traction, whether it is the product where we have a trail commission kind of a structure? So, if you could highlight? And lastly on the impact of the surrender value regulation, how you are seeing that? How should we see that and what to expect on VNB and in your strategy? Yes, sir, that would be my question.

Dhiren Salian: Hi, Swarnabha. This is Dhiren. Coming to your question on cost-to-TWRP, I think you should note that the cost-to-TWRP for savings business is roughly at about 19%. So, that's broadly stable. The larger increase that you see in the cost ratio is primarily on the group side. If you recall, April last year is when the new commission guidelines came into effect. Quarter one last year was subject to the effect where we were still working through our commission guidelines. A large portion of that is now being seen on the Group side, which is visible in terms of the overall cost ratio. And that's stable at this point from quarter to quarter, sequentially.

Coming to your other point on the expense of management change that we had done, that primarily is a change around the expense drivers. IRDAI requires us to disclose if there is a change in expense drivers. It has been done for a specific segment of expenses such that we are able to allocate them more appropriately for that line of business. This

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doesn't really have any material impact on the VNB at this point. The larger impact, as we had disclosed, is on the statutory liabilities.

In terms of the surrender value regulations, Anup spoke about it. We have already had experience across a couple of products. We

have tried out a trail commission structure or level commission structure. As we have always said, we will look at a win-win-win situation for customers, distributors, as well as us, as we modify our structures into the coming quarter.

Amit Palta: So, coming to agency business, your question on the reasons for success in agency, as you know that agency overall has delivered a 61% growth for us in Q1-FY2025. It is a combined effort of initiatives taken on distribution, capacity, capability and products.

So, while products have played an important role and in alignment with our overall strategy of trying out a trail-based commission product on ULIP platform and 100% money-back feature launched by us on the Annuity platform, both these products did extremely well with agency and we are very happy that large part of our distribution on the value side really aligned to this organisation objective of long-term customer investments product portfolio. And hence, they were very happy with the deferred or a level commission structure that we designed for them and they have done exceedingly well both on trail-based commission product on ULIPs, as well as on annuity range of products.

The rest of the product performance has been in line with what we have witnessed with other channels as well. On immediate liquidity feature, which has been quite in demand in the market today through our participating product called Gold, they have been able to deliver quite a decent growth for us on an overall basis.

But like I mentioned, the product was only one element of growth that we witnessed in agency. It was also about capacity that we built by almost 20% over Q1-FY2024, and also the increase in productivity that we witnessed by having invested enough on building learnings and cutting the learning curve and converting our capability architecture to support them to deliver better productivity. So, we have seen productivity right across various cohorts of employees as well as various segments of our advisors.

Moderator: Thank you. Our next question is from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: So, on the VNB margin side, first thing that I wanted to understand was that how do you allocate costs across quarters? Do you assume a similar cost across quarters or is there a cost loading in the later quarters? That would be my first question. Secondly, in the fourth quarter, or in FY2024, you had indicated that there was a change

in operating assumption. Now that had a negative impact on the VNB margin. Can you let us know what has been the impact from that in this quarter? That would be the second question.

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And the third question was that from 1st October, there is going to be a shift towards a new product design in non-par segments due to the higher surrender charges. Could you let us know what kind of impact from that do you expect on margins and how are you looking at mitigating that?

And finally, on the group protection side, could you give us a breakdown of what is your credit protect versus what is your GTI? You know, after several quarters, this category seems to be growing. Just wanted to understand what is driving the growth in this category.

Dhiren Salian: So, Supratim, Dhiren here. From a cost perspective, as we look at VNB, we look at forecasted expense of cost for the full year. Absolute cost, obviously, when you look at from a cost to premium perspective will be higher in the first quarter, and you will get an operating leverage as you look through the coming quarters. What we do is we look at a build out of cost for the full year, and we factor that as part of our expense setup.

At quarter one, as you look at the margin, the reason why I told you to look at full year numbers is because whatever assumptions that we have had, primarily which were around the expense impact that we had taken at the end of last year, that's been built i

nto full year margins, and therefore it is more relevant to look at Q1-FY2025 movement from the full year numbers, rather than Q1-FY2024.

The group business, we haven't broken that out. We do that on a yearly basis, Supratim, across group credit as well as group term.

Amit Palta: So, broadly on group protection, as you know, there are two elements of our group protection business. One is credit life, which is through our bank and NBFC partners. And second is group term, employer-employee businesses.

Broadly, when you were to look at credit life business, I think that this business has been almost growing twice the rate of credit growth in the banking setup. So, there we are quite happy with the progress of the 27% and 28% growth that we have on the credit life business and that is largely on account of new partner additions that we are doing consistently. And also we are exploring various opportunities with our partners to align differentiated propositions across various lines of businesses of theirs. So, both have led to us managing our growth quite significantly and creating an alpha.

Coming to group term business, now this is little different because we have been actually in this business for very long. We understand this business. We laid out our entire relationship structure to reach out to large corporates, the organised sector to offer this group proposition. And we have done very well over a long period of time.

Now, incidentally, since we have the largest share of this business, we do see that this business being a one-year business comes up for renewal every year. While we are persisting with 85% to 88% of our old customers to come and renew with us, but incidentally 12% to 15% of the business that doesn't get renewed and gets renewed with any other competition insurer is counted as a new business.

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So, from that perspective, the way we look at our group business is new deals, new corporate deals, plus the business that we renew. And both the deals, if we were to look together, I think our total premium has been quite similar. However, the growth has been relatively subdued because of very, very competitive practices. So, that's what is my view on the group term and credit life business.

Dhiren Salian: And Supratim, on your question on surrender value impact, I think the old set of products don't matter anymore and they will cease to exist beyond 30th of September. As we have mentioned earlier, the focus for us is to align all three stakeholders, customers, shareholders and distributors. And we believe that we will be able to absorb any impact that might come about due to the change in regulations.

As we also spoke about, there are experiments that we have done along two sets of products and which have met with very reasonable success in the market statement that we have launched. As we look at what happens beyond 1st October, I believe the market will switch to some degree towards some of these products.

Supratim Datta: And just one follow-up question. So, have you seen any increased competition in the credit life business in the recent months? Because one of your

competitors indicated that competition in that segment has increased. So, are you seeing similar kind of impact?

Amit Palta: No, see, I have to still come across a distribution segment or a customer segment where we are not facing competition. Competition is common right across the customer segments and credit life is no different. So, to that extent, there will always be an action across product lines. We are in a competitive environment, and you see insurers present in most of these businesses, may not be the same insurer present everywhere, but we have competition across all segments.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Congratulations for delivering a good set of growth numbers over here. Sir, my qu

estion is again on the margins itself and 24% margins, while the quarters of 50% mix coming from ULIP is quite good, going ahead, two questions over here, is there any artificial limit that we maintain on the product mix on the ULIPs or is it just going to be dependent on what is the flavor of the season and what is selling more?

And second is this 24%, I mean, one can expect this to continue for another quarter, but after once second half starts, that is after October begins, where should we see the trajectory? If you could give us some numerical, some numbers around it, maybe 50 bps contraction, any numbers that you can help us with on where would this 24% be in third quarter or maybe nine month or FY2025, that would be very useful.

Amit Palta: So, on products trajectory, I will speak about, and I will ask Dhiren to talk about VNB trajectory. See, on products where the mix will eventually move and what is the targeted mix, these are the questions we have answered at various point in time, that our focus over years has been about ensuring that we stay relevant irrespective of what the economic environment is around us.

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So, when the markets are good, we are happy to serve with unit linked products. When markets are tilting towards guaranteed products, we should be ready with and have the products available with us. And hence, lot of time and energy and capacity has been deployed to create options and create choices across platform of products and make it available to the customers depending upon the prevailing economic environment.

So, we actually don't look at a targeted product mix. But yes, we do look at margin maximization initiatives within product lines and that could happen by increasing the tenure of the policy and looking at riders which adds value to the customer as well as to the company and by looking at sum assured multiples over the premium that you can get customers to be convinced on to drive a higher profitability for us.

But for every step that we take towards profitability within the product line, what is sacrosanct is something which has to add value to the customer. So, whether a longer tenure or whether riders or whether increasing sum assured multiple, all three elements you will see adds value to the customer. So, as long as it adds value, we will be more than happy to let customers choose what is the most relevant depending upon the economic environment.

On the VNB trajectory, I will ask Dhiren to explain.

Dhiren Salian: Hi, Shreya. So, on the VNB trajectory, I think it is still a little too early to call, primarily because of two fronts. One, the products are still in a development phase at this stage and conversations with our distributors are still live at this stage. So, until these come to an end, it is a little difficult to identify where the margin would be. But as we mentioned before, fundamentally what we are trying to do is to align interests of all three stakeholders, customers, shareholders and distributors and we want to create a win-win-win situation out of this.

Moderator: Thank you. The next question is from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.

Ravi Purohit: Sir, I have a more fundamental question in the sense, when I look at our reported profits, when I look at our reported net worth, right, it gives you a number of return on equity of some 8%, right? Of course, we understand a lot of expenses get booked in year one and income is spread over a longer period of time.

But just like health insurance companies have started kind of indicating what are their IFRS-based numbers and ROEs, can you help understand what is ICICI Pru Life Insurance businesses through normalised ROE of the business, right? Is it like if all those accounting norms were to be changed, would our economic profits be 1,500 crores today on a net worth of 11,000 crores or if you could just indic

ate some ballpark to understand and evaluate, you know, what's the real true economic profit of this company or business? Dhiren Salian: So, Ravi, you are perfectly right. ROE in the current Indian GAAP doesn't make too much sense. The true ROE will start to emerge when we move to IFRS. We are awaiting instructions from the regulator as to when we could move to IFRS. There are a set of conversations live, but we are still waiting for notification on this.

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I think it would be sufficient to say that we expect to have a release of capital based on the regulation that we expect coming out of IFRS. But it's too early to figure out what these numbers would be. In the current context, given that we are still working with the Indian GAAP, we are looking at VNB and EV and ROEV is the more relevant metric at this point to look at from a return perspective.

Ravi Purohit: But if you could just do an exercise, I mean, if this was a case study and if you were actually doing a study and trying to assess, just to give some ballpark range also, not even like a pinpointing thing that, you know, health insurance companies have gone to the extent of actually reporting both the P&Ls and ROEs. But let's say even if you are not able to do at least some ballpark range, would that kind of not help investors kind of make some sense of the reported numbers, as though the reported numbers are absolutely like no connection with the true economic power of the business, which we are never able to assess in that sense?

Dhiren Salian: Yes, you're right, Ravi. I think at this point, we work with ROEV. It's a little easier to do on the health insurance side, given that they are shorter-term businesses. But in our case, the nature of the business is quite different, and it is long-term. So, until we get to IFRS, it will be really difficult to call out these numbers.

Ravi Purohit: Thanks a lot.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Couple of questions. Firstly, just a clarification on the budget. There have been some calculation changes with respect to expenses that can be identified and does that impact our tax rate in any form? That is one. Second is on the surrender charges. You know, you mentioned that you will create a balance between all the three stakeholders.

So, is it fair to assume that the returns will go down, commission structure obviously are changing, and for that matter even VNB margins could be hit? And within that agency you mentioned that moving to trail has been quite successful, but with your Bancassurance or your corporate partner, corporate agents, would you feel that a claw back would be a better option and how the kind of negotiation? Yes, this is my question.

Dhiren Salian: So, right now, Prayesh, from the budgetary aspect we are not seeing any material impacts onto us. So, on the surrender aspect, I think we have been able to demonstrate that there is a segment of distribution who are looking at picking up level commission products and that essentially we are not losing margin in these sets of products, and we discussed that in the previous call as well.

The very fact that the pickup has been quite good in segments that we had launched this in, gives us a great deal of confidence that you can actually manufacture products that create a win-win for all the stakeholders. So, that's the direction that we are going around.

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Yes, our conversation with our Bancassurance and other partnership distributors are live and these are some of the offerings that we would take to the table as we have conversations with them and figure out what the right commission structures would be, which create value for all parties.

Amit Palta: In fact, just to add here, actually Bancassurance partners or non-bank partnerships CABR that we have, they contribute ~ 23% of our business. So, remaining

part of our business is mostly proprietary apart from ICICI Bank which as you know focuses on protection and Standard Chartered Bank, which also is single insurance. So, our multi-insurance business that you are talking about actually forms only 23% of our business and there also we are in discussions. Some of them, select partners have picked up our 100% money back on a level commission kind of a structure. So, we will see how discussions span out, but eventually that is not an as large an issue and that is probably an advantage of having a proprietary distribution contributing almost 55% of our retail business.

Dhiren Salian: Just to add to that, Prayesh, if you look at the entire non-linked mix, we

are looking at about a 20% mix and even within that you are looking at par and non-par. So, actually the impact onto us is quite muted compared to what the rest of the industry may be at.

Moderator: Thank you. The next question is from the line of Vinod Chandra Kailash Chandra AG, who is an individual investor. Please go ahead.

Vinod Chandra/ Kailash Chandra AG: I just have one question. What is our Q1-FY2025 ending embedded value?

Dhiren Salian: We have not disclosed that to market yet. We do that half a year, once in every half year.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, a couple of questions from me. One, your bank channel has done quite well. There is a growth of about 33%/34% of that. So, what's driving the growth? Some color on how ICICI Bank has done? Are we still in the 80 to 100 crores type of range? Or is there any sort of pickup of the new businesses there?

Second, you mentioned about the 446 crores expense allocation methodology change, which has resulted in policy liabilities coming down. Is this more like expenses getting allocated to par policies, which is sort of helping this?

And also, finally, on the annuities side of the business, annuities seen a very good growth, whereas protection on a year-over-year basis, retail individual protection is very muted.

So, I wanted to understand what's wrong, what's not working with protection, and what sort of growth should we be looking at for the year, and what's actually doing very well for annuities, and how we are able to grow that piece of the business so well? So, those would be my questions.

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Amit Palta: Yes, thanks, Madhukar. I will take your questions pertaining to distribution. So, I will start with ICICI Bank. So, ICICI Bank is now stable, like we have maintained even in our previous earning calls as well. ICICI Bank is consistently at around 100 crores kind of top line. But what is very heartening is that they have been creating a delta on retail protection very well. So, they are doing well on retail protection. And this is a choice that they have made. And we are quite happy with the outcome on retail protection, specifically on ICICI .

On banks, other than ICICI Bank, our growth has been close to around 31%. So, 31% growth is what we have actually delivered on banks other than ICICI Bank and Standard Chartered Bank. We look at ICICI Bank and Standard Chartered Bank as businesses which are only with ICICI Prudential. So, what is driving our growth in those bancassurance channels is actually again multi-fold.

You know, we have invested in creating a seven-block enablement framework called 'Partner Stack' to help our bank partners grow end-to-end right from opportunity identification to choosing value propositions which are unique to their customer segments, then investing hugely on capability building on offline, online channels, then doing a network digitisation, creating integrated sales processes, investing in demand generation and then through onboarding process and policy lifecycle management, we have completely been able to integrate our business with their banking end-t

o-end, and

I think that is what has been able to give us the alpha on growth over a period of time. So, it is not necessarily only price or commercial considerations. It is also the investment that we have done through our sheer hard work and our presence in these shops over a long period of time now.

Coming to on product, your comment on annuity, you are right, we have done very well on annuity and within annuity, we actually chose customers at 50 years of age as a huge opportunity because we thought that large number of customers less than 50 were still investing in life insurance, but there was an opportunity where customers would start investing for their retirement subsequently. And to reach out to this customer segment, we have segmented our distribution to see where and who has access to these customers, and then came out with this product which has a differentiation of 100% money back, which basically takes the crisis away from the minds of the customer, and they can without any fear buy a life insurance product without having apprehension of losing the principal in case he was to lose his ability to pay premiums later. So, annuity was a natural success which we have already spoken.

On retail protection, see if you look at a longer time frame, two-year time frame like you will see a CAGR of around 28%/29% growth on retail protection. Now both our own online business as well as our web aggregator business has been a significant contributor to our retail protection business and the consequence of that also in that

channel is extremely competitive nature of business because extremely competitive platform that they operate on.

So, in between, there are few price considerations, few interventions done by us, few interventions that competition did on pricing and specific sum assured bands where we were very strong. I think we saw some impact on a short-term basis which has been

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corrected now and we are quite confident that absolute business will come back once again.

But good part is that since this business will always remain volatile, it is important to keep investing in proprietary channels, keep building capability to sell protection through them. ICICI Bank is already doing very well on retail protection. And like the way what the agency has done on the overall top line, we are very confident that they will become significant on retail protection as well.

So, while we'll stay invested on online channels where there is a natural disadvantage of very stiff competition, but I think we will reduce our volatility by improving capability through our proprietary channels.

So, we are not very worried. This is an interim phase. Practically, we will handle it. And we are quite confident with the focus that we have and new products which are there in pipeline on retail protection. In the later part of the year, you will see growth coming back.

Dhiren Salian: So, on the expense of management policy change that we spoke of, within the quarter, the expense reallocation has actually given some relief to par. So, it has not loaded the par book at all. In fact, the 446 crore that you referred to, does not have any par impact.

Madhukar Ladha: And one final follow-up. To maintain this VNB margin of 24%, what is sort of the full-year growth that you have built in in your assumptions? Because you work on unit cost method for the year, right? So, that would at least give us some idea on how to think about margins versus our sort of projections on APE growth.

Dhiren Salian: So, Madhukar, I think we have built out a fairly decent growth in this current financial year, with, of course, looking at how the product mix will evolve. As we would do at every quarter, we would reassess where we are in terms of how expenses are evolving and how the top line also moves in that direction. So, we'll keep coming back to the market every quarter and let you know how that's headed.

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rator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: A couple of questions. The first one, more sort of a near term. Of course, you have touched upon this point many times. On the retail protection, I mean, is sort of your growth in line broadly with the market? And also going forward, the growth, will it be kind of driven by volume or the ticket sizes? I mean, any sort of a pricing action, because the media was reporting very recently that there are kind of scenarios where, you know, leading life insurer taking price hike in this business So, I mean, the outlook on sort of the volume growth and the pricing action. That's one.

Second, more from a medium-term a bit of I would say jumping on, as, I mean, IndAS lead to sort of some release of capital or like a scenario being overcapitalized, so what would be sort of alternate available for insurer like you in terms of optimising your capital allocation? I mean, what to do with the surplus capital, whatever preferred option that

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regulatorily that you will be allowed, I mean, to take out that capital or do something else?

Dhiren Salian: So, Avinash, in terms of protection pricing, this is a continuous process. We keep looking at where we are in the market space. We keep looking at various segments. We look at how the emerging trends are in each of them from the risk and a profitability perspective and we keep taking price actions in specific cohorts.

So, I know there are some media reports that have spoken about the various price rises, but this is the nature of the industry. I am sure other companies would also be taking similar actions along that front.

With respect to IndAS, IFRS I think we will have to allow that to come first. It's a little difficult to estimate what would happen and what could potentially happen with the release that comes into network. little difficult for us to say at this point.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: See, our growth on individual APE has been very strong around 42%

for the quarter. Just wanted to understand how you are looking at the full-year number and honestly, the growth was largely driven by proprietary channel around 53% for the quarter. Whether this number with base increasing is sustainable? How do you see the number to play out from full-year perspective? That's point number one. And if growth remains as strong as it was in Q1, then given our solvency at 187%, will it be sufficient, or we would also plan to do a sub debt to fund the growth if the growth sustains at the current level? So, that was my first question.

And if I understood you, Amit, properly, you said ICICI Bank is just 100 crores for the quarter which means that ICICI Bank would have declined by 49 odd percentage and other channels would have grown materially in the quarter. That's the way I need to understand it which includes StanC Bank.

And lastly, Dhiren, just hypothetically, you can choose to prefer to answer, but suppose the current product mix remains true for second half and then likely impact on the margin in absolute bps term or percentage terms for the second half because of the surrender rules, it will be great if you can give a directional quantification on the margins or you can otherwise tell me to what extent you need to claw back to make sure that margin doesn't get impacted?

Dhiren Salian: Sanketh, we are not able to get you. Can you just repeat the last part?

Sanketh Godha: The last part I was trying to ask is that if the current product mix what you have reported in Q1-FY2025 remains true for second half of the current year when the surrender rules becomes live, what is the likely impact on the margin, assume your projected cost in the margin remains true for the full year and suppose or you can otherwise tell me how much cla

w back you need to do to make sure that the margin will remain at the similar level what you have reported assuming the product mix remains at the current level?

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Amit Palta: Sanketh, let me first clarify, Sanketh, your colleagues are also there in the call. Let me clarify. ICICI Bank I mentioned 100 crores on an average in a month, they are at that level, plus or minus 5% or 10%. It keeps happening. Growth numbers are only an outcome of what happened last year. So, within that 100 crores kind of a rate, they are doing much better on the choice that they have made, which is protection. So, protection is growing definitely quite consistently month-on-month. On overall top line is what I mentioned on a monthly basis.

Second question on sustainability of growth that you witnessed in Q1-FY2025, see, when we delivered an alpha growth in quarter three last year, we gave a guidance of 10% growth in Quarter four and we are very happy that we delivered that. And that happened not because what we did in Quarter four got us the results in Quarter four. That was on the confidence that investment we did over a period of few years was at the point of starting to deliver outcomes for us. So, to that extent that fundamentally doesn't change. I will not comment on outlook on what we will do in Quarter two, but we will draw our confidence from what we have done over the period of last two to three years. After that I leave it for you to read how consistent and sustainable will be the growth from Quarter one.

By the way, after delivering an alpha in Quarter four, what you see now is the growth number. So, there is a consistency of performance from Quarter three to Quarter four and now Quarter one. Now, over to Dhiren.

Sanketh Godha: But just on this sub debt, okay, maybe Dhiren can answer that one.

Dhiren Salian: So, the question on sub-debt is always available and we keep assessing whether we need any help on solvency from time to time. We discuss with the Board and if we need to, we will go down the track as well. As you know, we already have 1,200 crores of sub debt on our book.

Sanketh Godha: Dhiren, my question was if the current growth rate maintained, then will it become inevitable for you to raise sub-debt?

Dhiren Salian: Those are actions that we will evaluate when we get there, Sanketh.

Sanketh Godha: On margin, if you can...

Amit Palta: There will not be any impact on margins because of surrender guideline changes from 1st October, Sanketh, if you can look at product mix slide, you will note that that side of business is only 17% of our portfolio. So, at a 17% of portfolio, the impact on margins that you see today, you can back calculate and see though we don't really visualize anything happening on demand, like I mentioned, we want to stay true to the customer proposition and want to manage with other two stakeholders, which is manufacturers and the distributors. I don't see demand going away anywhere. So, in that scenario existing 17% mix, even if it gets impacted by 1% or 2%, will not have an impact

on the overall company.

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Moderator: Thank you. The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Firstly, sir, what is the share of trail-based or level commission products in our APE today?

Dhiren Salian : We have not called that out, Nidhesh. It has been launched in a specific segments and it has done quite well there.

Nidhesh: Secondly, the growth in annuity has been very, very strong for last two, three quarters. So, can you give some detail on what is product structure on the annuity side which is driving such high growth for us and how are we hedging that product?

Amit Palta: So, you can actually get in touch with us offline and we can detail out the product contours. You can consider for yourself and your family as well, but yes, it is feature packed and the biggest feature of course is to take the fear away from

the minds

of the customer of losing principal if he were to lose ability to pay his subsequent premiums. Apart from that also, it is very feature-rich, and we believe that annuity is a great opportunity to be unfolded. It's only a beginning. I guess, we will only get stronger from current levels.

Nidhesh: And from a hedging perspective, it's fully hedged.

Amit Palta: It's fully hedged, yes.

Dhiren Salian: We have been very, very tight about our hedging program. We do this on a very, very rigorous basis. Whenever we have launched all our non-linked products as well as annuity products, we have ensured that they have been fully hedged.

Nidhesh: So, this product is a regular pay annuity, right?

Dhiren Salian: Yes, the larger portion of the annuity business right now is a regular pay annuity. We do have a sizable single pay annuity as well.

Amit Palta: In single premium, as you know, for last four, five quarters has been relatively muted because of multiple options available whether it is bank deposits. So, this trend is kind of continuing this year as well on single premium platform.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.

Aditi Joshi: It's Aditi here from JP Morgan. I have two questions. So, firstly on the product side, on the non-linked segment, can you please help us understand that within that segment, split between par and non-par, so what was the reason for a weakness in that product segment?

And secondly, on the other partnership channel, it's still not majority portion of the business is coming from there, but see that in FY2024, we have added some significant number of new distribution partners in that segment. So, in that segment among the all

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channels have delivered a strong double-digit growth but still lower than the other channels. So, going forward do you think that there might be some growth pick up in that segment? These are my questions.

Amit Palta: Firstly, on distribution, if you see their growth being relatively lesser than other channel is largely on account of the choice that this distribution segment has made on prioritizing businesses other than linked. As you know that market forces positive sentiment in the market really got tailwind going for unit-linked products. Incidentally, unit-linked products form a very small proportion of partnership distribution space.

So, within the space that they are operating, I guess they have delivered quite a decent growth of 25% or so, but yes because they have not participated as much on unit-linked business, their growth is relatively lower to others.

Your second question was about participating.

Dhiren Salian: So, roughly about two-third, one-third is where the par, non-par split is actually, and the decline that you see in the non-linked product line is because of the stress that you have seen in terms of volumes of the non-par product.

Aditi Joshi: And is there a reason why we had seen some weakness in the non-par? And going forward, what is your sense where this product line will go ahead?

Dhiren Salian: So, I think, Aditi, the market buoyancy has been a big factor in this. You know, our principle has not been to set out product mixes but to drift where the customer demand is. Very clearly you have seen the market buoyancy affect positively the growth in the unit-linked segment and that's grown about 70%/80%. So, clearly we have seen some customers gravitate towards the unit-linked product, which is a great product in

this environment.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: If I look at Slide 10, you know, which is essentially the channel wise breakup, partnership distribution is around 11.5% and in the call you mentioned that partnership as in multi- insurance partnership is around 23%. So, that effecti

vely

means that the balance sits in bancassurance.

Amit Palta: So, what I mentioned, let me clarify. I mentioned that multi-insurance banks and partnership distribution, which is 100% multi-insurance, both put together are 23%-odd. So, you are right. Outside this 11.5% mix, the remaining you can count it as banks who are multi-insurance partnership for us.

Nischint Chawathe: Which is essentially other than ICICI Bank and to some extent Stan C Bank.

Amit Palta: Yes, ICICI Bank and Stan C Bank, yes.

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Nischint Chawathe: And in terms of the product mix in these channels, is there a substantial difference between partnerships and the proprietary channels? The product mix?

Amit Palta: Yes, product, see, product mix, of course, even within banks, every bank's product mix is very different from each other. So, these are the choices that our partners make. We only align and ensure that the resources are provided by us both in terms of products as well as people to build capability and systems to integrate our processes with them and give them a seamless distribution and customer experience. That is common. Otherwise, the choice of products and prioritisation of the customer segments where they want to offer our products is entirely our partners.

By the way, what you see as our product mix at a company level, not even a single channel has that product mix. What you see is the sum total product mix of all the channels put together which gives you a view on ICICI Prudential. Every partner is different. Very difficult. One or two here and there, you may see likewise distribution players who may have similar mix, but there is no player who has a similar kind of product mix.

Dhiren Salian: Nischint, full-year numbers in terms of channel wise product mix are there in Slide 60.

Nischint Chawathe: Yes, sure. I was just looking at the quarter. And finally, have you given any guidance on growth for the year? Because I missed some part of the call.

Dhiren Salian : No. Our idea is to be able to work sustainably and to look at delivering an alpha over the market.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: So, just a few questions from my side. First, you know, going back to the cost by TWRP ratio, especially for your savings business, now what I understand is, your ULIP mix during the quarter has been substantially higher. Despite that your cost by TWRP has been stable or maybe marginally up. So, just wanted to get some colour on product level cost by TWRP within the savings business and how that is stacking up. Second, have you seen any margin level changes ex of the cost impact or the operating assumption impact? Has there been any margin level change because of the sub-segment or sub-product mix change within respective product segments?

And lastly, if I heard correctly did you mention that ICICI Bank and StanC Bank growth was around 31%? I just wanted to get that number rectified.

Dhiren Salian: No, we didn't put that number out, Dipanjan. This is on the growth number. So, coming to your other questions, so the answer to your cost to TWRP increase lies of course in the redesign of the commission guidelines that was started last year but had its effect through quarter two and quarter three of last year as well. So, as we are in

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quarter one of this year, we have the full impact of that available, which is why you see this cost increase.

We have not seen too much of a margin level change, but these are elements that we are working with especially in terms of delivering value to customers. As Amit spoke about improvement in terms of longer tenure which tying with the customers' goals that have been set, adding riders along the way which makes a lot of sense from a protection perspective for the customer as well.

So, these are some of the actions that we are having on the ground. They d

o help a little

bit in improving margin at the segment level and that's what we will continue to work on.

Dipanjana Ghosh: Dhiren, just on the cost part, I mean, if I understand your fourth quarter cost by TWRP for the savings should have been anywhere ballpark around 14%/15% sort of a number, and I while I understand that fourth quarter is high on volumes and this quarter is like 19% despite ULIP mix thing like almost 8%/9% higher than fourth quarter.

So, adjusted for the higher ULIP mix which probably gets offset by the higher volume that you see in fourth quarter, should one expect the exit run rate for Q4-FY2024 and Q1-FY2025 to be similar in terms of the payout across different savings products?

Dhiren Salian: Yes, if you assume the product mixes to be steady. There are multiple elements at play, but one of the big element is going to be the product mix.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Anup Bagchi for closing comments.

Anup Bagchi: Thank you everyone for joining. Have a good day.

Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: Nov 2024

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Energy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at

www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

October 29, 2024

General Manager
Listing Department
BSE Limited,
Phiroze Jeejeebhoy Tower s,
Dalal Street,
Mumbai 400 001 Vice President
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza',
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and half year ended September 30, 2024

In continuation to our letter(s) dated October 8, 2024, October 9, 2024 and October 22, 2024, t he Company had hosted an earnings conference call with investors and analyst on Tuesday, October 22, 2024 , at 7:00 p.m. IST , to discuss the performance of the Company for H1-FY2025 .

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for H1-FY2025 has been displayed on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair
Company Secretary
ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Half year ended September 30, 2024 (H1-FY2025)
October 22, 2024

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Anup Bagchi

Hi, good evening and welcome to the Results Call of ICICI Prudential Life Insurance Company for the half year ended, September 30, 2024.

I have several of my senior colleagues with me on this call: Amit Palta , Chief Products and Distribution Officer; Dhiren Salian , CFO; Judha jit Das, Chief Human Resources and Operations; Deepak Kinger , Chief Risk & Governance Officer; Manish Kumar , Chief Investment Officer; Souvik Jash , Appointed Actuary; and Dhiraj Chugha , Chief Investor Relations Officer.

Let me take you through the key developments during the quarter before moving on to discuss the company's performance:

ICRA and CRISIL, the domestic rating agencies, have reaffirmed the rating of our existing **₹12 billion** subordinated debt program as [ICRA] AAA (Stable) and CRISIL AAA/Stable respectively.

The Board at its meeting today has approved raising additional capital by issuance of non-convertible debentures of upto **₹14 billion** , in the nature of subordinated debt instruments in one or more tranches , over the next 12 months , on a private placement basis. The additional capital raise will further augment the solvency position of the company and aid the ongoing business growth.

I am also happy to share that our available to sell products have been redesigned in line with the new product regulations, keeping the interest of customers, shareholders, and distributors in mind. Impact on customer benefit has been minimized, except for where necessitated due to the yield curve changes. On the distributor front, we have been working on the various propositions, such as claw back of commission on non-persistent policies, progressive commission structures, and reduction of commission. Discussions with partners are still ongoing, and we believe that these will evolve.

We have been leveraging our experience of level commission structure in GPP Flexi with Benefit Enhancer and trail-based commissions in Platinum product in these conversations. The impact on the C

company is also mitigated through a combination of measures by offering longer -tenure products, higher sum -assured product multiples, and increasing rider attachments. We believe that such customer -centric changes will boost the industry's long -term growth. For us, the comparatively lower share of non -linked products in our business mix, existing experience of GPP Flexi Benefit Enhancer and Platinum gives us confidence that the impact on our profitability due to the change in surrender value norms will not be material.

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During the quarter, we also introduced the “3C framework ” to deliver the sustainable VNB growth. The presentation detailing the framework is available on the exchanges and the Company's website. As a Company, customer centricity has been at the core of everything that we do. We aim to deliver superior customer value through our core competency of comprehensive product suite with seamless onboarding and sourcing via diversified distribution network and best -in-class servicing and claim settlement. People, technology, and analytics are the three catalysts that help us utilize the true potential of our competency and improve the overall customer experience. We believe that the “3C framework ” of Customer centricity, Competency, and Catalyst will help us deliver sustainable VNB growth by balancing business growth, profitability, and risk and prudence .

- We delivered RWRP growth of 33.9% year -on-year in Q2 -FY2025 and 39.2% year -on-year in H1 -FY2025, outperforming both the private and overall industry over the last four quarters. With this, we have gained 1.1% private sector market share on RWRP basis to end at 10.3% in H1 -FY2025.
- Our focus segments, annuity and retail protection grew by 99.5% and 17.2% year -on-year respectively, while linked business grew by 54.5% year -on-year in H1 -FY2025.
- In line with our proprietary channel, Agency and Direct, together have delivered 45.7% APE growth year -on-year in H1 -FY2025.
- The overall APE grew by 26.8% to ■ 44.67 billion and number of policies increased by 12.5% year -on-year in H1 -FY2025.
- 48% of policies were issued on the same day for the savings line of business in H1 -FY2025. Notably, we are also the first insurer to pay out commissions on the same day for our distributors.
- We continue to deliver on our claim promise with leading claim settlement ratio of 99.3% in H1 -FY2025, settled with an average turnaround time of 1.2 days for non -investigated individual claims.
- Our 13th month persistency stood at 89.8% and 49th month persistency stood at 69.9%, a testimony to our customers' continued trust in us .
- VNB grew by 4.2% year -on-year to ■ 10.58 billion in H1 -FY2025 . With an APE of ■ 44.67 billion , the margin stood at 23.7%. Embedded value grew by 19.4% and stood at ■ 460.18 billion in H1 -FY2025.

Our business growth and profitability have been delivered with risk and prudence and is exhibited in a strong and resilient balance sheet. We continue to be the highest rated Indian insurer as per the two leading ESG rating agencies. We successfully retained our “AA” ESG rating from MSCI, which also makes us one of the top -rated life Insurer in India. We have also been conferred with awards in the areas of digitalisation, customer service, and claim management by various industry platforms. Our complete list of awards won during Q2 -FY2025, is presented on Slides 53 and 54.

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Thank you, and now I will hand it over to Amit to take you through the business updates.
Amit Palta

Thank you, Anup. Good evening, everyone.

Now let me talk about the business performance for H1 -FY2025:

Our total APE grew by 26.8% year -on-year to ■ 44.67 billion, and retail APE grew by 32.7% year -on-year to ■ 38.27 billion for H1 -FY2025 . Contribution from linked savings product to overall APE increased from 42.4% in H1 -FY2024 to 51.6% in H1 -FY2025 on account of customer

preference shifting towards ULIP products from non -linked products given market buoyancy. Non -linked savings contribution to overall APE declined from 26.6% in H1 -FY2024 to 18.1% in H1-FY2025 .

The overall protection APE stood at ■ 7.76 billion and contributed 17.4% to overall APE in H1 -FY2025. The retail protection business grew by 17.2% in H1 -FY2025 and 30.7% in Q2-FY2025 on year -on-year basis. Credit life segment has done well as we continue to

add partners and introduce propositions aligned to the various lines of businesses of our partner.

Coming to the group term business, there has been a continued and significant trend of price reduction in this area, largely attributable to increased competition. As a long-time player in the industry, we possess a deep understanding of this market, and our underwriting strategy remains focused on selecting businesses which meet our defined risk-reward expectations.

Annuity business contribution increased from 6.2% in H1 -FY2024 to 9.7% of overall APE in H1 -FY2025. Protection and annuity are our focus segments which together constitute 48.2% of the new business premium and we expect it to continue doing well.

Agency business APE grew by 51.1% year-on-year and contributed 30.4% to overall APE and 35.5% to retail APE in H1 -FY2025. Direct business APE grew by 36.3% year-on-year and contributed 15.5% to overall APE and 18.1% to retail APE in H1 -FY2025. Together, Agency and Direct business contribute 45.9% to overall APE and 53.6% to retail APE in H1-FY2025. We will continue to invest in our proprietary channels to drive business growth further.

Bancassurance business APE grew by 30.0% year-on-year and contributed 29.1% to APE mix. Partnership distribution and group business contributed 10.6% and 14.3% respectively to overall APE.

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We continue to build capacity and have added more than 29,000 agents during H1 -FY2025 spread across geographies. We have tie-ups with 45 banks with access to approximately 22,000 bank branches and more than 1,200 non-bank partnerships. To summarize, our product, process and distribution are completely aligned with one goal, that is to deliver value propositions to our customers. We continue to focus on improving customer experience through technological and digital integration in our day-to-day processes. We strongly believe our '3C framework' elements comprising of Customer Centricity, Competency and Catalysts will play a crucial role in delivering sustainable VNB growth by balancing business growth, profitability and risk and prudence.

I will now hand it over to Dhiren to talk you through the financials.

Dhiren Salian

Thank you, Amit. Good evening. Now, let me take you through financial metrics.

The VNB for H1 -FY2025 was ₹ 10.58 billion. Given our APE of ₹ 44.67 billion, the resultant VNB margin was 23.7%. The relevant comparison of H1 current year margin should be with the FY 2024 margin as it captures the impact of all assumption changes done on March 31, 2024.

The movement in margin is primarily due to two factors.

- One is the shift in the underlying product mix towards unit-linked on account of the continued market buoyancy and the decline in the non-participating business. While quarter-on-quarter, the overall product mix may vary based on the customer preference, the wide range of our distribution partners spread across geographies with access to varied customer segments will help us sustain a balanced product mix.
- Second, on the macro-economic front, over the past few months, G-Sec yields have declined. Given the product changes necessitated in Q2-FY2025 due to the new regulations, we had limited ability to align rates in our non-linked and annuity portfolio in line with the market movement in G-Sec yields. Starting October, we have started aligning product rates with prevailing G-Sec yields.

Coming to expenses, our Cost to Premium

stood at 22.0% in H1 -FY2025. Cost to TWRP

stood at 29.4% in H1-FY2025, which came down from 32.6% in Q1-FY2025. Our Cost to TWRP on the savings line of business stood at 17.9% in H1 -FY2025 which has come down from 19.2% in Q1-FY2025. Our objective is to bring efficiency in savings line of business while we continue to focus on growth in protection business. We have been investing in people, technology and process improvements and the increase in cost

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towards these elements should be seen from the point of view of investments that we have made in our capabilities rather than pure operating expenses that will deliver operating leverage in the future.

On the other financial metrics:

- The Company's Profit after tax for H1-FY2025 stood at ₹ 4.77 billion, an increase

of 5.8% year -on-year.

- Our Embedded Value grew by 19.4% year -on-year and stood at ₹ 460.18 billion at September 30, 2024.

- Assets under management stood at ₹ 3.2 trillion, and our solvency ratio continue to be strong at 188.6% on September 30, 2024.

Thank you. We are now happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Swarnabh a Mukherjee from B&K Securities. Please go ahead.

Swarnabh a Mukherjee : So, three questions from my side. First I wanted to understand a little bit, how to read this, how the margin development has been in the first half. So, just wanted to compare the margin which you had in first quarter and in first half and if I look at the product mix, that is broadly similar across these two time periods. Also if I look at your cost ratio, which you have disclosed, this has kind of remained broadly stable . Infact, I think EOM ratio has improved marginally as well. So, I just wanted to understand that from Q 1 to H1, what is the factor that is driving the margins down or so whether it is a factor of that individual product level, some moves have happened due to designs, etc. So, if you could highlight on the same.

Secondly, on the channel side, I wanted to understand a couple of things. One is on the partnership distribution channel. So, that is still showing weak trends. So, what is the challenge there and does credit life get counted here or is this particularly the retail product and if that is the case, then what could be the reason why this weakness that is there?

And also regarding the channels, wanted to understand how ICICI bank's premium development is playing out with it, is it still at a similar level. Yes so these are my questions sir. Thank you.

Dhiren Salian: Thanks, Swarnabh a. This is Dhiren. Let me pick up your first question on quarterly movement. Part of the movement is actually the underlying mix itself. You would have seen that unit link ed, while it has been steady, there is movement across in the non -linked segment. Participating has done better than non -participating, and that

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has had an impact in terms of the overall margin flow. In addition to this, there are elements around the yield curve that we had expressed earlier , where given the fact that we had the product changes that had to be done in this current quarter, we had limited ability to change the rates. Of course, starting October, we have started realigning these rates.

The overall margin change as you see is quite negligible, Swarnabh a. It's marginal movement across the quarter.

Swarnabh Mukherjee : Just one follow up, Dhiren. Can you split or give us some color on the par, non -par split in the non -linked portion?

Dhiren Salian: Yes, roughly two -third is the par, one -third is non -par. Give, take. Over the course of the period, we have got a little more par than the non -par as compared to the previous periods.

On your second question on partnership distribution, this is retail business. This doesn't include credit life business.

Amit

Palta : Yes, on partnership distribution, first of all , this partnership distribution over the period of last 4 to 5 years has been delivering CAGR growth of close to around 20% for us very consistently. And what we see as a trend is temporary in nature. As you know that systemically we saw a much larger prop ortion of business coming from unit -linked products and typically partnership distribution is where you see prioritization done on non-linked business . So they technically did not have the tailwind which was available to the rest of the businesses because they prioritize non -linked savings business, that's one. Two, we are quite diversified in the kind of partnerships that we have. And hence, few months or few quarters, you may have performance volatility in one or two partners, but that is fine with us. We are adding new partners. We have added 90+ partners within H1-FY2025 , which is added to our overall width of distribution. And we believe that after the surrender guideline changes settling down and markets normalizing with other businesses picking up, pa rtnership distribution will come back on track overall.

Coming to ICICI Bank premium levels, ICICI Bank is now quite consistent at ₹ 100 crores - ₹ 110 crores on a monthly basis. So, they've been quite consistent. The growth may vary depending upon what the growth was in the previous year 's quarter, similar quarter.

Their focus has been on protection and annuity and on the protection side of the business, they are growing quite significantly. But on the overall topline, they are quite

consistent at ` 100 crores - ` 110 crores level. So, there's no change in our o rgani sation strategy when it comes to bancassurance with ICICI.

Swarnabha Mukherjee : Okay, that's very helpful, Amit. So, just one quick follow up. So, in the new scheme of things, in this new surrender value, post this regulation has come

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through. Now, given that, if ICICI bank is steady, then the 27% growth in your banca is largely driven by the non -ICICI partners. So, just wanted to understand the contours of the conversations in terms of commission payouts, how do you see that panning an d can there be a possibility that our payout levels can change due to how the competition is would also be having terms with those distributors. So, if some color on that would be very helpful?

Amit Palta : Yes, so we have been conversing with our partners . First of all, I really acknowledge that most of our partners are quite understanding of the situation and the philosophy behind this entire regulatory change. And the unanimous understanding with the partners is to ensure that we try to protect and get the best for the customers, and we are working with our partners to work out various models, which could be around clawback of commissions , if paid in full or deferred commissions, or even reducti on in commission in certain products, where to protect customer interest, that is the only option available. All those options are being explored, and I'm sure over the period of next couple of weeks, we should be able to take it to closure. But the good news is that most of our partners are quite receptive to the idea of protecting customer interest and keeping proposition paramount. So, from that perspective, we are quite comfortable.

Moderator : The next question is from the line of Prithvish Uppal from Elara Securities. Please go ahead.

Prithvish Uppal: So, firstly, just wanted to understand on the annuity side, I think one of the competitors had highlighted that there are some concerns around the pricing. So, we reported a good set of numbers in annuity. So, what is the outlook for this segment given where the competition is? So, that is the first part.

The second part would be related to the group protection. So, here, there has been degrowth, so is this purely credit life driven or there is some element of group term also and has the pricing

environment for group term improve d?

And third question would be around ULIP . At a product level , has the margin profile of ULIPs increased given the higher share of sum assured that companies have been selling. So, to that extent, would that have also had some impact in terms of negating the margin decline on account of the ULIP mix increasing? So, t hese are my three questions.

Amit Palta : Yes, so I will start with annuity. See, it's on a base of last year . We did not have Benefit Enhancer as a proposition. You remember, last year towards the last quarter, we launched our Benefit Enhancer as a proposition with a belief that customers who had apprehensions about buying a life insurance product on annuity platfo rm, which typically is a segment whose age is more than 50 years, was not buying insurance because of the apprehension of losing principle in case he was to not buy or not be ing able to pay premium for second year. So, that opened up a lot of customers coming and

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buying annuity business, annuity products, who were probably earlier not buying. So, that segment opened in quarter four, and that trend continued in quarter one as well as quarter two. In absolutes, in fact, quarter two did even more than what we delivere d in quarter one. Incidentally, on the base of last year, we did not have Benefit Enhancer as a proposition, which is very different. So, in comparison, you will say that the growth is good, but that growth was largely impacted with the new product introdu ction that we did in January and March. On rates, we were just comparable to the market, not that we were any different in terms of pricing. So, it was less of pricing, more of the uniqueness of product, which actually got this growth delivered for us. Tha t's on annuity.

On group protection, you're right, if we were to split it, credit life on a non -MFI side is doing fairly well for us. MFI, all of us know kind of challenges that we have on disbursement. So, there is a bit of an impact in quarter two. The quarter one numbe rs were okay. Group term is where we have seen pricing pressure. Like I mentioned in my opening script as well. On the sum assured side, we have started growing now on the group protection, group term. However, on premium, because of pricing pressure, it h as delivered a little bit of a degrowth for us. So, that's how group protection combine d between credit life and group term is showing a relatively muted growth. That's largely an account of credit -life MFI business as well as group term business.

Third question on ULIP. You mentioned rightly that typically, if a consumer preference is tilting towards ULIP, one of the ways of maximizing margins is either selling a longer - tenure products, two - attaching riders and increasing sum -assured multiples, three - to start with, sell a high -sum-assured product , and fourth is about just ensuring that you have the same getting delivered in a composite manner. So, all this leads to maximisation of unit -linked product 's profitability. This is a journey that we have been following for the last couple of quarters. And that is something that we want to believe that within the line of business where the margins are relatively low, these three steps on longer tenure, high sum assured multiples, and better rider attachments will help us maximize margins within the category.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions. So, first is on the net commission that I can see from the P&L. Either you look at H 1 and you look at Q 2, there's a very sharp jump and we thought there was a sharp jump which already happened last year. So, even on that there is a very sharp jump over there. So, we wanted to understand what product segments, what channels, what is driving that. And second on the VNB margins, now we closed first half at 23.

7 % and assuming we continue the same run rate of 20% to 25%

APE growth. Where do you see the second half margins landing up? Should we expect 50 basis points or 70 basis points cut from the current H 1 margins in the H 2? Or how

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should we look at the margins? Or you can just give us an outline on how to look at the margins for the full year FY 2025?

Dhiren Salian: Hi, Shreya, Dhiren here. So, the commission rate increase, if you recall, quarter one last year is when we started implementing the new set of commission across partners. Quarter one was quite low to that extent, but these commission structures started to get implemented over quarter two. And they got into full force in quarter three, which is why, as you look at H1 to H1, you will see an increase of commissions across the two periods. So, they're not directly comparable. I think if you look at it sequentially, you'll start to see that commission rates are broadly in line at a product level. That's the reason why on a year -on-year, it looks quite elevated. But you would also note that we have been able to look at non -commission expenses, we are starting to see the decline there as well.

On your second question on VNB margin, do we have a forecast? No, we don't have a forecast. We are not guided by VNB margin. We are looking at growth in absolute VNB. Based on where the customer opportunity is, and you've seen this in this particular half year, and actually over the last nine months as well, the market buoyancy has led to an increase in the unit -linked product. We are quite happy to take part in the opportunity, quite happy to serve our products to our customers in the form that they would like. There are no artificial f retters that we'd want to put in terms of product mix by itself. And therefore, we would let the customer's choice dictate where the final margin lands up because that would be where the product mix ends up at.

Shreya Shivani: Yes, but I was asking more from the point of view, when, what timeline do you think we will get clarity about the margins from the new surrender value product? I know that it's only 20% of the mix right now, but even on that product segment, are we any time close to getting a clarity about how the commission structures will be finalized, and how the margins for those products will look like?

Dhiren Salian : So, I would expect the commission structure conversations to continue through this quarter. We have already had initiated conversations and come to conclusions with some of these partners. But we still have space in terms of closing the conversation. I expect that the market will settle over this particular quarter in terms of the commission structures. As we said, the way that we have been approaching this problem is to ensure that it's a win -win situation for all three parties involved. We are quite mindful of the fact that one cannot take away the customer's return, and therefore some of the changes that you've seen in the IRRs have been necessary only due to the yield curve changes. The conversations with distributors are on the three lines that Amit also spoke of , deferment of commissions, progressive commission structures, clawback of commissions where required , and of course, where needed, we have actually proposed reduction in commissions. My sense is it will take this quarter to settle down because I

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believe the entire market is having this conversation. So, let's see how that evolves,

Shreya.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: My first question is on the growth side. So, we have now seen for quite a few quarters that growth on the agency side and direct channel have been fairly strong. Just wanted to understand from here, what gives you confidence that you can sustain this growth? And I'm not talking about the next quarter or two, but if I'm

looking at it

from a two to three year horizon, what gives you confidence that this growth can sustain, particularly considering that in post the surrender charge regulations, commissions could actually go down, particularly in the agency or in a non-ICICI bank channel. So, that could be my first question.

The second one was on the variable annuity piece. Now this has been one product which the regulator has allowed through the new product regulation. Just wanted to understand that this is a product that you're looking at launching and how would you be hedging the risk in this product, if you could give us some color on that. And that would also be very helpful. Thank you.

Amit Palta: Yes, so coming to consistency that you spoke about on the Agency, Direct business, as well as non-ICICI business, as you can see that Agency and Direct business, we have been speaking on the investment in capacity that we have been doing for last 2 to 3 years now very consistently, both in terms of people that we have deployed, capability that we have created, the formal learning architecture that we have institutionalized now, both for our people as well as for the entire capability framework that we have created for our advisors, as well as our employees both in proprietary as well as agency. It's something which has taken very long for us to put up a very strong and robust process. It gives us a belief that what we created over a period of 9 to 18 months on the capability side will really stand in good state for us in holding on to our growth, specifically in these two. And not just this, we are also looking at going very granular and not looking at a strategy which is only at an apex level. The strategy has been now created at a micro market level and as you know that India is very, very diverse. Every market is different and unique. And the effort is to go and understand local, unique markets, which we call micro markets and create strategies which are unique. And hence we believe that with heterogeneity of micro markets that you have in India, there will always be an opportunity area which will play out and deliver growth for us, because not all markets are similar. So, I think the heterogeneity of our strategy at the micro market level and the learning capability that we have created will hold us in good stead. And apart from that, even in our proprietary distribution channel which we call it as proprietary sales force, direct sales force, we are seeing a good traction. In the alternate

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sources of businesses that we are opening and few experiments that we are doing which gives us good confidence that we will continue to grow on that front.

On other partnerships, multi-insurer partnerships, of course, the paramount will be that eventually the revenue objectives of our partners whether corporate agency or brokers or banks will actually be driven by their own internal objectives of continuously working and innovating ways and means of reaching out to untapped markets within their customer segments. So, to that extent, we will be not following one strategy to stay on path of growth. We will be governed by the strategy that will be chosen by our partners. And I'm sure revenue growth is as important to them as it is to us. So, we will be governed by different strategies by different partners. We don't want to have our strategy to decide what we want to do. We would rather get our partners to decide what they want to do to maximize their revenues. I'm sure with the sensitization of revenues, the growth will be protected by doing things differently and reaching out to untapped markets.

Dhiren Salian: Supratim, on your second question on variable annuity, I think that's a great opportunity. But frankly, at this point, we don't have a product. We continue to explore what are the structures that we could put in place to provide this product to our customers. And again

, we'd also have to evaluate what are the hedging strategies one would have to take as you create these products. So, at this point, this is still work-in-progress. We don't have a product ready at this point.

Supratim Datta: And I have just a few follow-ups. One, Amit, could you clarify how many advisors have you really added over the last 2 to 3 years? And how many do you plan to add going forward? And, Dhiren, if you could give us some clarity on what would be the negative carry impact from the NCDs that you plan to launch in the second half. That

would be very helpful.

Amit Palta: So, on adding advisors, there is a focus on not just adding licensed advisors to our base, which actually has grown by almost 60% in H1, but also to look at distinct profiles of advisors who can give us access to specific customer profiles for whom we are designing our products. So, it is actually when you create products, you have customers in mind, and then you search for the right profile of distribution to get your product available to the right distribution set. So, I think not just will we grow on the number of advisors that we license, but we also endeavour to reach out to the right profiles to give us access to the customers most appropriate for our products. So, that is one area where we have really invested. And quite a few profiles have been successful in terms of acquisition and licensing. And we continue to work on that path and see how it progresses.

Dhiren Salian: So, over the last 2.5 years, I think we have added over a lakh of agents. So, that is the first number that comes to mind, can check that and come back.

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On your question on what kind of carry do we have on the sub -debt, it's going to be very, very marginal. It's not something to worry about.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha : Just a couple of them from my side. First, can you quantify the impact of not readjusting the IRRs on the non -par products in Q2? So, that could give us some sense of what the more normalised margin in Q2 and first half would be?

Second, our renewal premium continues to sort of lag and is just growing at about 3% plus we are also seeing continued outflows, so can you give us some sense of when this actually stops? Yes, those would be my two questions thanks.

Dhiren Salian: Hi Madhukar, so yes, there was an impact partially because of the yield curve in the second quarter. It is small, but it did have a part to play as it moved across the quarter. But as you look from Q1 to H1, you see that the margin movement actually been quite negligible. That's one. The second point that you raised in terms of renewal premium being much subdued relative to the new business, that's right. There are two elements to this. One is that we do have some of our policies which are of a longer tenure, typically 10 years and above, which are now hitting the point of maturity, where, of course, these are in some sort of planned outgo. So, those are coming into the fore at this point, policies that we would have sold back in 2013, 2014, which are now exiting the book. In addition to this, the unit-linked book, some of the larger numbers that we had done in FY 2018-19 is now hitting the 5 -year plus mark where you could say given the release of the lock -in and the fact that markets are running at this levels, some customers may choose to exit the policies either completely or partially. That's creating an outflow to that extent. What are we doing about this? Obviously, the longer the policy stays with us, the better for us from a company's perspective. One of the products that we had launched is the Platinum product on the unit-linked side, which has a trail commission format. The idea being that there is skin in the game for both the distributor as well as the customer to continue as well as

that gives us the benefit of a longer tenure and potentially higher margins there. So, these are some of the structures that we are evaluating and we also put in place in terms of elongating the stay that we have with customers. But of course, there could be points in time where given where the markets are, some customers may choose to book profits.

Amit Palta: Also just to add, as you know that we were going through a recalibration in our distribution strategy and we were walking that path of diversification on channels, we did have an impact on our growth over a period of last 3 to 4 years. So, the year prior to 2022, we did have a relatively muted growth area. So, that muted growth phase has led to relatively lower renewal premium coming through now. That also is the third

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element which is impacting overall renewal premium growth, apart from what he has mentioned.

Dhiren Salian: And now as the growth has started to pick up over the past few years, we should start to see improvement in the renewal premium over the next few years.

Madhukar Ladha : Right, and just as a follow up, I remember that in Q4 last year because of these, you had gotten a negative sort of persistency variance in your EV walk and one of the reasons was obviously the ULIP, right and increase in mass surrenders, given that this seems to have continued into this year. So, do you expect a higher sort of impact, I

mean, another negative impact coming through in this year as well? Has that been accounted for in your EV calculation for first half? And what is your economic variance? Can you give me that number? What is the positive economic variance in first half?

Dhiren Salian: One quick correction, Madhukar, it wasn't mass surrenders. We had just seen elevated surrenders. It wasn't mass surrender. So, as you compare H1 to H1, surrender rates themselves have dropped, but of course the eligible book itself is much large and therefore you would have seen an absolute volume go out. This experience we continue to monitor and eventually expect the ULIP persistency to come towards the long-term average.

In any case, we will reassess at the end of the year, and if we need to, we will take an assumption change. But like I said, H1 to H1, we are seeing lower surrender rates. There is a marginal variance that we see, but that's not large at this point, and we will continue to watch through to the end of the year.

Amit Palta: So, in fact, let me also add to it that if you were to look at only persistency, whether 13, 25, 37, 49 months, actually it is quite best in class when it comes to unit linked products.

It is only the design of the product which allows liquidity after five years and good markets has led to an impact on the renewed premium collection. So, persistency wise, it should not be construed that ULIP has a problem on persistency. It is best in class for us when it comes to persistency. So, we don't have any problem on persistency.

Madhukar Ladha: And on the economic variance, can you quantify that?

Dhiren Salian: We have not broken that out this time. We do that at the end of the year, but there is substantial economic variance.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.

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Aditi Joshi: Just a couple of questions. If I look at the presentation and page 67, you have specified the reference to September 2024. So, we try to assume that you have taken some cut in the economic assumptions and that could likely impact the EV movement in some way.

And second question is related to the yield movement that you have mentioned that it has had some impact on the margin profiles. Now, when we look at the non-linked product category, it has been somewhat weaker. So, I just wanted to understand a bit more from you as in which particular product category has been affected by that movement in the yield curve. Is it

fair to assume that some impact has been seen on the annuity level margins as well? Yes, those are my questions. Thank you.

Dhiren Salian: So, taking your second question first, yes, the impact of the yield curve has been felt on the non-par as well as the annuity product line. That's true. Now, on your first question that you pointed out, see, we are on the IEV method. So, whatever is the risk-free at that point in time at the end of the period, that's what we will take into account. So, yes, while you see the yield curve move, the second column is what we are now factored into the current EV.

Aditi Joshi: You have mentioned somewhat substantial amount of economic variances, but any comments on the operational variance that you are able to make for the first half EV movement?

Dhiren Salian: So, we break the entire EV Walk at the end of the year. That's what we normally do. So, we will take that into account then.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just on the new commission structures and discussions with the partners that is ongoing, while you know the business is on, so the current commissions are being paid in the previous structure itself and which would basically mean that the margins in this quarter in Q3 could be impacted to that extent in this quarter? That would be my first question. And the second would be what is the experience in the new product structures in the October month so far with respect to YoY growth or any product mix changes that you could highlight? Those are my two questions.

Dhiren Salian: Prayesh, Dhiren here. So, the new commission structures have been in place for some distribution partners, and we continue to have conversations with some other distribution partners. They'll anyway be effective for the entire quarter, so I don't expect a material negative from that perspective coming through at all.

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So, in terms of October, 20 -21 days of October, we are not seeing any fundamental shift in our product line. It's broadly the same kind of trends that we had seen in quarter two that continues into the early part of October. But again, October and November are festival months, sometimes a little difficult to call, but let's see how that progresses. But nothing dramatic for us to call out at this point.

Prayesh Jain: No sudden jerks in terms of declines or nothing of that sort, right?

Dhiren Salian: No, not out of line.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two questions from my side. First, if I look at your non-linked savings growth, that has been quite weak. It was down 10% and 15% in Q2 and H 1. And this seems to be a tad lower than some of your private peers. And also, you mentioned that in the second quarter, it was more skewed towards par over non-par. So, the question over here is in case, let's say, ULIPs were to go through some sort of slowdown in the second half, how do you think some of the par and non-par products will see traction from a going concern basis?

And my second question is if I look at your Cost-to-TWRP ratio for the savings business and again you give the first half and first quarter number but my assumption would be that the second quarter Y-o-Y increase in cost-to-TWRP for the savings business would be higher than the Y-o-Y increase in Q 1 despite the fact that ULIP mix increase Y-o-Y was relatively lower in Q 2 compared to Q 1. So, just wanted to get some sense of the payouts till the quarter and also how do you see it incrementally?

Amit Palta : Yes, so the first question pertaining to non-linked business, as you know that unit linked product was typically the consumer preference in buoyant markets. That is something which was quite visible. And we anyways don't insist on any specific product preference

when it comes to distributor making a choice.

From that perspective, we actually saw customers relatively choosing lesser of non-participating guaranteed products in comparison to unit linked as well as participating products. But, let me also highlight that participating and non-participating is something that all of us understand very well. But what is being currently sold in the market is the customer's demand for easy liquidity in the product. As you know that most of the products sold in the life insurance industry are not liquid.

And the proposition that has really emerged over a period of last year and a half in the industry is about offering liquidity in the form of immediate income, which was the option available both on participating as well as non-participating products. Different

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companies have taken different calls. Some companies have offered this proposition on a participating platform. Some companies have offered it in the non-participating platform. So, we incidentally offered this proposition on the participating platform. So, participating platform has delivered good single-digit growth for us, although of course not in line with the unit linked growth.

And second, when you also look at growth, you know that typically, investible surplus is generated with customers who are higher in age, and that segment, we also have annuity placed in the guaranteed space. So, if you want to combine non-participating business along with their annuity, then sum total growth is not very way off from the industry trend.

So, you need to look at non-linked savings in conjunction with annuity performance, because eventually the customer segment is similar with investible surplus and has opted for annuity products with us. So, looking at all together, it is not very way off from the market.

Dhiren Salian: Dipanjan, on your second question on cost ratios, if I understood it right, the overall cost ratios have increased, but when you look at the savings line of business, the increase is quite small. Evidently, the higher cost ratios do come in from the protection line of business, which is also more margin accretive. So, quite happy to have that on board, despite the higher cost ratio. And what we want to do is do more of the protection business, of course, which does add to our VNB, not taking away the opportunity that exists in the market.

Dipanjan Ghosh : So, completely agree. I just wanted to understand that while it has increased marginally in the savings business, but also your ULIP mix has gone up significantly, both Q 1 and H 1. And I would assume that some of these products, because ULIPs have lower margin, maybe your payouts also you would be relatively more conservative in that. So, despite that, the ratios have increased. I just wanted to get some colour on the market competitiveness

Dhiren Salian: I think the way the ratio gets computed is actually cost with the TWRP which also takes into account renewal. So, if you look at the cost ratio growth, cost growth versus topline growth, you see that top line is ahead of cost. But because renewal numbers are weak at this point, 3% to 4%-5%, that is what impacts the cost ratio adversely.

Dipanjana Ghosh: Your fourth quarter last year, ULIP growth was quite strong, also the base was low. Now on this base and given the current market conditions, and again, I typically understand that you kind of don't push your products just about the customer demand, but this confidence of sustaining the 22% -25% sort of a growth trend that we have been seeing in the second half?

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Amit Palta: See, the proof of the philosophy that we have been staying true to for a very long period now. It's my request to you to trace back our few quarters' performance in last few years and you will see that whenever consumer sentiment shifted towards products other than unit linked product, in those quarters our

ULIP mix had actually

dropped to close to around 40 odd percent. So, whenever there has been a shift in consumer preference, our portfolio has actually reflected that. It's just that you have to trace back in which quarter it happened.

One of the quarters which I can recollect is that of FY2023, when there was entire scarcity built and there was a demand for specific kind of products. And also in between, we saw a lot of volatility in markets and that was typically in FY2020 -2021. That volatility led to a demand for participating and non-participating products picking up and our product mix reflected exactly that.

So, we are quite confident that if ULIPs there is a slowdown, though I truly believe that long-term story on India equity is still quite strong. And we have a mature set of customers who are investing with full knowledge on ULIP kind of products. But even if there is an impact, I guess we have all the bouquet of products available with us, which can stand the test of any change in the market environment.

Dhiren Salian: Dipanjana, if you look at our new business mix, about half of it comes in from unit linked, 30% comes in from non-linked and 20% comes from protection. Now, this is no way reflective of the amount of time and effort that we spent from a product development perspective. We are quite aware that there are various segments of the business that have got differential product propositions that need to be made available to them. And we spend adequate time with them because we are able to reach these customers through our diversified distribution network.

And each distribution network requires a different set of products to be able to cater to their customer pools. So, the amount of time that we spend is not reflective of the outcomes in terms of APE. We do spend adequate time making sure that our propositions on the par, non-par and annuity side are in line with what the market offers. So, if there is a swing away from unit linked, we have got propositions in the non-linked space which cater to customers and we should be able to take advantage of the opportunity there.

Moderator: Thank you. The next question is from the line of Gaurav Jain from ICICI Prudential mutual fund. Please go ahead.

Gaurav Jain: A couple of questions from my side. One is, if you can share a little more update on this ULIP Platinum as a product as to for the total ULIPs sold, how much came from this product?

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Second is for H2, what are the new launches that are lined up and in which segment of the business will the launch be?

Amit Palta: So, first on Platinum, see first of all, like I mentioned, not every partner picks all products. So, different partners prioritize products, and Platinum also has been prioritized by certain distributors of ours, which is mostly agency and some part of a direct distribution. And there is a proposition here because with trail commissions being built in the product design, customers tend to see much lower cost in the initial part and then eventually see a value getting accreted through the commissions over a longer period of time.

But if you ask me, there is a fair number of customers in the fair mix of unit linked products where customers are still choosing our regular unit linked products, because we do believe that long-term investment, if one were to do in unit linked products, they are quite beneficial if a customer was to stay invested for 11 years onwards. So, from that perspective, not that everything is moved to Platinum kind of products, but there are

certain category of distributors, certain category of customers who have prioritized products which have different structure . But yes, it has definitely got newer customers to come and start buying life insurance products.

On the second part of new product launches, this is one regular exercise that we keep doing. So, that's another process. Almost eve

ry quarter, we have either added new products or new features in our existing products. So, that process will continue. And we will keep you informed as and when we have new launches scheduled in the coming time.

Gaurav Jain: And to follow -up on Platinum, sequentially will we see month -on-month growth , and are we seeing activation across partners or growth here? I mean, I just wanted to understand, the products we launched , should we expect it to become a meaningful chunk in quarters down the line?

Amit Palta : It will remain stable, like I said, Gaurav. At a Company level, from a strategy perspective, we don't have a bias for any specific product. We are only creating options. Eventually, customers and distributors pick up what they find is most suitable.

Like I mentioned, long -term unit linked product if a customer were to stay invested for 11 years, 12 years, 15 years, is as good as Platinum. So, some customers may be comfortable with a clear line of sight of making premium payments for 10, 15 years, and they still find existing ULIPs as attractive. So, we don't have a bias. We leave it for customers. We manufacture products , we pick up insight s from the customer, we create it, put it on table, and then let the distributor pick it at the site.

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So, from that perspective, what product affords is what we make it as part of our distribution commission. So, we pay what we can afford, rest the choice is entirely with the distributor. So, it will remain sustainable. It will remain one of our significant propositions. And we will see how it evolves.

Gaurav Jain: Just a question on solvency, Dhiren. If we raise this ■ 1,400 cores sub -debt , how much will the solvency increase to? And will we still have room for the sub -debt to be raised or will this be the final sub -debt that can be raised given the equity that we have?

Dhiren Salian: So, Gaurav, if we raise the ■ 14 billion, that should increase the solvency roughly 20%. This is the cap that we have hit at this point. Based on how the numbers span out, then maybe we could look at raising the sub -debt additionally, but that of course depends upon what the underlying share premium etc. is. At this point this is the cap. So, we have got ■ 12 billion on board, ■ 14 billion is what we can raise additionally and that contributes to 20% of solvency.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equity. Please go ahead

Nischint Chawathe: In the Banca business, what is the share of, you know, single insurer partnerships? You know, I think, last time we had mentioned that, ICICI bank and I think in one more foreign bank, you are the single insurance company.

Amit Palta: So, 25% of our retail business is ICICI Bank and Standard Chartered Bank put together, 25% of the retail business, not inclusive of a group. So, of the retail business it is 25%.

Nischint Chawathe: Sure, got it. Just a little bit on VNB growth target, because I guess that's the key focus now. How are we looking at this growth target for the year?

Dhiren Salian : So, we are looking to grow. We have got decent growth for half year, 25% plus on APE . Continue to build upon that growth through the year, Nischint. But of course, one needs to be aware that there are regulatory changes that have happened in this current quarter. And then of course, the unit linked has done quite well in this market environment. But like I said, we will take whatever opportunity is available to us. whatever the customer wants to buy, we will make that available.

Nischint Chawathe: So, the focus is essentially on, I mean, is it kind of APE and a VNB target, or is it sort of more on an overall VNB growth target?

Dhiren Salian : At the end of the day, it's all going to come to absolute VNB growth.

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Nischint Chawathe: Okay. And which you are saying kind of sustains at around 20%

plus?

Dhiren Salian : We haven't put out a number, Nischint. We will do as much as we can.

Nischint Chawathe: And just finally, a couple of changes that we make on the distribution side. And I know it's early days and take a couple of months to stabilize. But generally, what is the success rate of some of these changes in structures on deferments or kind of trail commission structures, etc. If you could give some qualitative color on this in terms of how do you see the offtake evolving over time? And is it more with the larger distributors or smaller distributors? If you could give some qualitative color on that would be useful.

Amit Palta : Yes, so see, like I mentioned as an answer to the earlier question that our partners are quite understanding of the regulator's position on the change in guidelines. And they're quite receptive to this proposal of these options that we spoke about, which is claw back or a deferral across categories of products. So, it could be that different category of products may have a different proposition on claw back or deferral. So, it does have an impact on cash flows. So, probably smaller players in corporate agency and broker, you may see that business model will have to be evolved into growing the overall top line to manage for any impact due to persistency gaps. But we do believe that partners with better persistency will probably have least impact of these changes. So, from that perspective, different partners, different fabrics and different combinations will evolve and we will see how it pans out. But one thing is clear, that we have to work towards expanding the overall market through different propositions and look at compensating for whatever impact is on revenue on account of lapsed policies. So, that is something which will really emerge. We would not know how it will evolve, but at this point in time for the changes that we have been discussing, most of our partners are very receptive.

And this entire philosophy of good for customer and fair to shareholder as well as fair to distributor is something which is really understood well. And it has not been as complicated as it has been made out to be. I think partners have been extremely forthcoming in accepting this proposal as a new way of distributing life insurance going forward. And we truly believe that eventually it will convert into a good outcome for the customer.

Nischint Chawathe : That includes banks and the larger partners as well?

Amit Palta: Yes, of course, banks as well as anywhere where we have multi -insurance partnerships. So, in fact, proprietary distribution specific to agencies, we have already implemented changes. And in banks, anyways, we have only 20-22% of our business

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coming from multi -insurer corporate agents , brokers and banks. So, to that extent, we will be impacted. Rest, I guess, mostly it is in place.

I just want to keep repeating that eventually non -linked business is only 20% -25% of our business. So, from that perspective, exposure to the product categories where commissions will undergo a change is much lower impact on us.

Nischint Chawathe : True , but you would be looking at changing the structures or kind of having more kind of trail -based structures, I guess across product lines. I mean, that's, I guess, the new way to look at things.

Amit Palta: For that, we did not wait for surrender guidelines. We actually have been doing it for now almost two years.

Nischint Chawathe : I'm not connecting the two.

Amit Palta: So, that's as a philosophy, we do believe that deferral is the right way of doing it and promote long -term contracts with customers. So, from that perspective truly on philosophy, we have no disconnect. We have already experimented in the past. And that gives us the confidence that we will be able to tide through this phase as well. So, as a philosophy, as a strategy, we have a lot of conviction in deferm

ent as a process to

manage overall profitability, overall outcome for the customer, as well as for the shareholder.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS Securities. Please go ahead.

Neeraj Toshniwal: On Credit life, one of your peers reported and mentioned that there's been some slowdown because of lower disbursements to NBFCs , while we have seen good growth in the quarter. So, what different we are doing here, just to get some sense how the growth is looking for us?

Amit Palta: So, credit life slowdown, like I mentioned in the opening script as well, is largely on account of business in the MFI segment, for a reason which is well known in public domain. On the business being done through non -MFI partners, there we have seen quite a robust growth. So, we don't see any slowdown happening on that front. So, that is how it is indicated. So, overall business, if you were to look at, credit life growth

did come down in quarter two, but largely on account of slower disbursements in MFI as a segment. So, otherwise non-MFI looks okay. It is completely aligned to the credit growth. It moves in tandem. What we try to do to create an alpha over general credit growth in the industry is to work in that hardworking model of increasing attachments and opening new lines of businesses with every partner of ours. And also in to the extent of adding new partners, which we have done it, we continue to do it. We added another

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10 partners in quarter two as well. So, to that extent, addition of new partners, opening new business lines with our existing partners, we have had great relationships with them. So, that is something which is going to help us in creating an alpha over the industry credit growth. Otherwise, industry credit growth, 1% to 2% plus minus is something that we are quite confident of, and rest alpha, like I mentioned is going to be about existing customers and new partner addition.

Neeraj Toshniwal: Q4 exit margin, at the time of March we did mention that should be the overall margin for FY25 as well, and given the changes in surrender, some impact out there in product mix change. What is the margin trajectory we should be working within the H2 going ahead given, how do you see the product mix evolving from here and the competitive intensity landscape changing from here?

Dhiren Salian: Neeraj, we haven't given a margin guidance. What we had seen was look at full year margins as you look at quarter one and quarter two. And that has been the relevant point of comparison. Yes, you are right that there are a set of changes that are coming through on the non-linked space in terms of the surrender value regulations. But as we mentioned, there are ways in which we are looking at contracting the impact. And these will evolve over the course of the next couple of months and into the rest of the year as well. So, there is no margin guidance to that extent. We are seeking to grow absolute VNB, and we will continue our endeavors on that, bringing up every product line that makes sense for the customer and we will offer whatever the customer wants.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Anup Bagchi: Thank you everyone for joining the call. Have a great evening.

Safe harbor: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking

statements. These risks and uncertainties include,

but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: Feb 2025

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at

www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

January 28, 2025

General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower s,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and nine months ended December 31, 2024

In continuation to our letter(s) dated December 27, 2024, and January 21, 2025, the Company had hosted an earnings conference call with investors and analyst on Tuesday, January 21, 2025, at 7:00 p.m. IST, to discuss the performance of the Company for 9M-FY2025.

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for 9M-FY2025 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair

Company Secretary

ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Nine months ended December 31, 2024 (9M-FY2025)
January 21, 2025

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Anup Bagchi

Good evening and welcome to the results call of ICICI Prudential Life Insurance Company for the nine months ended December 31, 2024.

I have several of my senior colleagues with me on this call: Amit Palta, Chief Products and Distribution Officer; Dhiren Salian, CFO; Judhajit Das, Chief Human Resources and Operations; Deepak Kinger, Chief Risk & Governance Officer; Manish Kumar, Chief Investments Officer; Souvik Jash, Appointed Actuary; and Dhiraj Chughra, Chief Investor Relations Officer.

Let me take you through the key developments during the quarter before moving on to discuss the Company's Performance:

Our Independent Director – Mr. Dileep Choksi, has retired effective December 26, 2024, having completed his second term of appointment. We would like to express our gratitude for his guidance during his tenure.

During the quarter, we raised subordinated debt of ₹ 14 billion, thereby strengthening our solvency to 211.8% at December 31, 2024. Recently, the Company has approved the proposal to invest up to ₹ 100 million, not exceeding 10% of the share capital in Bima Sugam India Federation. Bima Sugam is one of IRDAI's initiative to achieve the objective of 'Insurance for all' by 2047. Bima Sugam aims to create and operate a centralized marketplace of insurance products and services.

Customer-focused products continue to be at the core of our business strategy. During the quarter, we launched industry first women's health plan 'ICICI Pru Wish' and an increasing annuity variant of GPP Flexi. Amit will subsequently cover the new product launches in detail.

Now, let me talk about the "Key Performance Highlights."

- We delivered RWRP growth of 31.4% year-on-year in 9M-FY2025, outperforming both the private and overall industry over the last five quarters.
- Our endeavor is to continuously create an alpha on business growth over the

industry.

- APE grew by 27.2% to ₹ 69.05 billion in 9M-FY2025.
- The number of policies increased by 14.4% year-on-year in 9M-FY2025

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outperforming the private industry growth of 8.7%.

- Our focus segments, Annuity APE and Retail Protection APE, grew by 81.7% and 24.2% year-on-year respectively in 9M-FY2025.

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- In line with our focus on proprietary channels, Agency and Direct together have delivered 37.9% APE growth year-on-year in 9M-FY2025 and contributes approximately 55% to our retail APE.
 - Our 13th month persistency stood at 89.8% and 49th month persistency stood at 69.2%, a testimony to our customers' continued trust in us.
 - We continue to deliver on our claims promise with claim settlement ratio of 99.3% for 9M-FY2025, settled with an average turnaround time of 1.2 days for non-investigative individual claims.
 - VNB grew by 8.5% year-on-year to ₹ 15.75 billion in 9M-FY2025. With an APE of ₹ 69.05 billion, the margin stood at 22.8%.
 - Our business growth and profitability has been delivered with risk and prudence and is exhibited in our strong and resilient balance sheet.
 - We continue to be the highest rated Indian insurer as per two leading global ESG agencies by virtue of our 'AA' ESG rating from MSCI and 'low risk' rating from Sustainalytics.
 - Our customer-centric initiatives have also been recognized by awards in the area of digitalization, customer experience, learning and development and claims management by various industry platforms. A complete list of awards won during Q3-FY2025 is presented on Slide No. 52 and 53.
- To summarize, we will continue to offer the right product to the right customer and deliver it to the right channel. Our 3C framework of Customer Centricity, Competency and Catalyst will help us deliver sustainable VNB growth by balancing business growth, profitability and risk & prudence.
- Thank you. And I'll now hand it over to Amit to take you through the Business Updates.

Amit Palta

Thank you, Anup. Good evening, everyone.

We continue to improve our product propositions to cater to the evolving needs of the customers. There's a growing need of women-centric protection products, and to cater to the same we have launched an industry first women's health plan 'ICICI Pru Wish', offering fixed lump sum for critical illness and surgeries. This plan ensures adequate financial support during treatment and recovery period and creates a safety net for the family. Moreover, the premium is also fixed throughout the coverage term, which could range up to 30 years.

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In Protection segment, we launched 'iProtect Super', a term plan which offers a unique feature of premium break whereby a customer can choose to defer payment of premium by 12 months while keeping an active life cover. This feature is a beneficial option for the customers with fluctuating income who may want to take a break from premium payment due to other financial commitments for a certain period.

We also launched an industry first variant of GPP Flexi which offers increasing annuity income every year, thereby safeguarding retirement income against inflation.

In ULIP segment, we launched 'ICICI Pru Signature Assure' which offers goal-based savings through waiver of premium, family income support in case of uncertainty and maturity benefit thereby safeguarding the investment objective of the customer.

Let me talk about the business performance now for 9M-FY2025:

APE grew by 27.2% year-on-year to ₹ 69.05 billion, and retail APE grew by 28.5% year-on-year to ₹ 57.53 billion for 9M-FY2025.

Linked business grew by 49.8% year-on-year and its contribution to overall APE increased from 43.1% in 9M-FY2024 to 50.8% in 9M-FY2025 on account of customer preference shifting towards ULIP products given the market buoyancy.

Non-linked savings business excluding annuity declined 17.4% year-on-year and its contribution also declined from 26.8% to 17.5% in the corresponding nine months this

year.

Group Funds business grew by 102.5% year -on-year in 9M-FY2025 . C

ontribution from

Group Funds business increased from 3.7% last year to 6 .0% in 9M-FY2025 . This business is typically lumpy in nature.

Protection APE grew by 6.9% year -on-year and contributed 16.9% to APE in nine months period. Retail Protection business grew by 40 .0% in Q3 -FY2025 and 24.2% in 9M-FY2025 on a year -on-year basis.

In Credit Life business, we have witnessed some slowdown due to ongoing challenges in MFI industry. Non -MFI business continue s to do well. In this segment, we continue to add partners and introduce propositions aligned to the various lines of businesses of our partners.

Group Term business, as we highlighted previously as well, continues to be impacted due to increased competition. However, we have been able to increase our depth of market coverage as seen in the growth in number of deals, lives covered, and sum assured during the quarter. As a long -time player in the industry, we have a deep understanding of this market , and our underwriting strategy remains focused on selecting businesses which meet our defined risk -reward expectations.

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Annuity business grew by 50 .0% in Q3 -FY2025 and 81% in 9M-FY2025 on a year -on-year basis. Its contribution increased from 6.2% in nine months last year to 8.9% of APE in nine months this year.

Protection and Annuity are our focus segments, which together constitute approximately 42% of the new business premium and we expect it to continue doing well.

We have a well -diversified distribution mix. Agency business APE grew by 41.3% year -on-year and contributed 30.2% to overall APE and 36.2% to retail APE in 9M-FY2025 .

To improve productivity of our advisors, we had launched 'ICICI Pru Edge ' , a comprehensive advisor stack which enables them to focus on revenue generating tasks instead of administrative activities. Advisors using 'IPru Edge ' have exhibited an increase in productivity.

Direct business APE grew by 31.6% year -on-year and contributed 15.3% to overall APE and 18.4% to retail APE in 9M-FY2025 . We will continue to invest in our proprietary channels to drive business growth further.

Bancassurance business APE grew by 26.3% year -on-year and contributed 27.7% to APE mix in 9M-FY2025 . Even within banca channel, our business is well diversified amongst various partners.

Partnership Distribution business grew by 2 .0% and contributed 10.1%, while Group business grew by 20.9% and contributed 16.7% to APE mix in 9M-FY2025 .

We continue to build capacity and have more than two lakh agents spread across geography. We have partnerships with 46 banks and access to more than 22,500 bank branches and 1,250 non -bank partnerships.

We will continue to focus on improving customer experience through tech and digital integration in our day -to-day processes. Approximately 50% of policies were issued on the same day for the savings line of business in 9M-FY2025 . Notably, we are also the first insurer to pay out commissions on the same day to our distributors.

Our product, process and distribution are completely aligned with one goal, that is to deliver value proposition to our customers. All these initiatives together will help us achieve our core objective of increasing the absolute VNB while delivering value to our customers.

I will now hand it over to Dhiren to talk to you through the financial update for 9M-FY2025 .

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Dhiren Salian

Thank you, Amit. Good evening. Now, let me take you through the financial metrics .

- APE for Q3 -FY2025 grew by 27.8% year -on-year, while the expenses increased by 10.7% year -on-year .
- APE for 9M-FY2025 grew by 27.2% year -on-year, while the expenses increased by 19.8% year -on-year.

Our cost/premium stood at 19.8% and cost/TWRP stood at 27.8% in 9M-FY2025. Our

cost/TWRP on the savings line of business stood at 16.8% in 9M-FY2025. Our objective is to bring efficiency in savings line of business while we continue to focus on growth in

the protection business. We have been investing in our capabilities, i.e., people, technology and process improvements which will help us deliver an operating leverage into the coming years.

The VNB for 9M-FY2025 grew by 8.5% year -on-year to ₹ 15.75 billion. As you are aware, our focus has always been on growing absolute VNB and margins are primarily an outcome of the product mix. The margin for 9M-FY2025 stood at 22.8%. The movement in margins is primarily on account of the shift in the underlying product mix.

The Company's PAT for Q3 -FY2025 grew by 43.6% year -on-year to ₹ 3.26 billion and PAT for 9M-FY2025 grew by 18.3% to ₹ 8.03 billion.

Our assets under management stood at ₹ 3.1 trillion and our solvency continued to be strong at 211.8% at December 31, 2024 aided by the ₹ 14 billion sub debt fund raise that we had done.

Thank you. And we're now happy to take any questions that you may have.

Moderator: We will now begin the question -and-answer session. The first question comes from Pankita Srivastava from Aditya Birla Capital. Please go ahead.

Pankita Srivastava: Hi, team. I can see a sudden spike in the group fund numbers. So, if you could just shed some light on the reasoning for the same?

Dhiren Salian: Yes, we had a spike in group fund numbers in this quarter. Group fund is typically lumpy in nature and it's a good business, we do make money off it and we're happy to pick it up.

Pankita Srivastava: What has been the business for credit life?

Amit Palta: So, credit life business for us actually has grown by 8% and this contributes close to 38% of our overall protection business. You know our protection is close to 16.5%

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of our overall APE and 38% of that is credit life. And within credit life, 45% of our business is MFI and remaining is non -MFI.

Moderator: The next question comes from Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: So, couple of questions. The first one, again, regarding the products composition and margin, I do understand, I mean the buoyant equity market or demand, but I mean, do you have any sort of a product mix in mind, I mean, given that last year this non -linked product has already seen a kind of a re take from the high base of FY 2023 and yet it continues to decline in the mix and given the cost structure of the ULIP is not really the profitable one and that is why the margin continues to sort of go down. And if my understanding, of course, you choose not to disclose, but typically, having an idea about composition of non -linked in par and non -par also gives us idea around margin, that is where again if I see correctly, it looks like that the non -par side has rather again slowed down sharply versus par and that all contributing to this margin. So, if you can just help us understand the product strategy and if you can just sort of provide some colour between this, that par, non -par and also the idea on the kind of a group fund business, why to do it particularly it is coming at a such a wafer -thin margin at least it appears? That's one. The second part is around product. So, you launch this 100% kind of zero surrender value product even before this new regulation came. So, how has been the experience so far and has there been kind of again related to that, any changes in assumption or something that has led to kind of a margin resetting this quarter? I'm asking this question in the backdrop of what had happened last year quarter because you had to kind of adjust certain assumptions that led to margin drop. So, these are my two questions.

Dhiren Salian: So, let me pick up some of your questions before I hand over to Amit. So, one, if you look at the trajectory of the product mix across the quarters and I think we should call this out also, a large portion of the group funds also needs to be clubbed along with the Unit Linked when you look at the overall margin profile. So, when

you look at

that you'll see that for the quarter, you've got nearly 60% of the business that comes in from Unit Linked plus Group Funds. Now when you overlay the overall margins, you'll find that you're broadly in line with the number that we have reported for the nine month period. So, that should explain how the margins have moved broadly in that direction. Yes, we discussed what the split between par and non -par numbers are; they're roughly in the range of about 60:40. We discussed this last time as well. It ranges somewhere between 60:40 to 66:33 in that range. So, that should give you a sense of how the

numbers have been moving. We are clear that we don't want to put any artificial fetters as to how much business we want to do from a particular line, because as we have reiterated over and over again, our focus is not on the margin, the focus is to grow absolute VNB. And what we're very clear on is we want to offer the products that customer s' demand. Now in this current environment, customers have chosen the unit

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linked product and we have got a variety of offerings within the unit linked products which customers have picked up even in this quarter as well. Clearly, we are not ones who are going to say no towards a particular product line. What we need to be very cognizant of is we have to build our cost structures to be able to support products that customers demand. Now, what you'll also notice is that when you look at the trajectory of cost from Q2 to Q3, there is a sequential downward movement. It's part of the work in progress that we have been doing even while we continue to make investments in technology, people and brand. So, you're putting all of this together and that's why we're looking at how the VNB movement is for the nine months period.

Avinash Singh: And there is no operating assumption changes or anything that had up, I mean it is just a product mix, no assumption changes that is kind of having any bearing on margins ?

Dhiren Salian: No, we haven't taken any assumption changes. Typically, we'll do that at the end of the year. We will review all assumptions at one shot. Of course, we have updated some of the expense forecasts that we see for the full year.

Avinash Singh: Quickly, just a follow up. I mean, again, I understand on the retail side, but that's okay, what customer bought , you want to sell the product, but why do this group funds business if it is like a ULIP , because group fund is not loyalty ? So, that's one. And a second also is on the cost because you raise the point. If I look at the savings cost to TWRP, YoY again, it's a very marginal increase, but given the kind of volume growth coming and also product mix shifting towards ULIP more even this year, one expected some bit of a decline here. So, what's going on?

Amit Palta: Let me just close that group thing. I think you're asking this question for the second time. See, group business is part of our proposition that we give to our institutional clients, and it goes as a composite package both for what you do to the funds which are managed by the corporate for their employees, which we categorize as group funds. And in the same breadth, we look at the group term as another proposition that goes as part of the overall employee benefit solutions. So, it is not a separate effort being made for a category of product. It is an institutional set of customers where we are catering to what they need as a composite offering from group funds as well as group term perspective. And by the way for the same set of team members and for the same cost structure, group actually adds to the incremental profits. As you know that we don't go by really a margin percentage but with the same effort, with the same coverage, if we are able to get group funds alongside group term, we absolutely don't mind and margin is not the consideration, the absolute profit is what group funds adds and we a

re very

happy to take that.

Dhiren Salian: Yes, just to reiterate that Avinash, we are not seeking to get a margin outcome. We're looking to grow absolute VNB and to that extent that group funds brings profits on the table, we are happy to take that. To get your other question on cost,

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actually, if you look at the differential at H1 between what was then the cost ratio last year and the cost ratio this year, and if you look at the differential between the cost ratios at nine months last year to this year, you will find that the gap has reduced. That's also part of the point that I spoke of earlier in terms of the sequential decline in cost, which is roughly about 10%. Amit, do you want to pick up the annuity?

Amit Palta: Yes. So, you also spoke about the non -par and guaranteed range of products. See, when we look at non -par products, we either want to look at it as non -par and annuity together, because both are guaranteed propositions for the customers, or we look at overall non -linked savings business together in one bucket and we don't really differentiate between a participating and a non -participating product. We do understand that with current interest rates prevailing and what is available in the market on fixed deposits from banking systems are quite attractive. So, naturally, we did not find anything as an aberration when the demand we saw slowing down on our non-participating products. At the same time what we really saw was cash flow as a benefit being really taking precedence, customers really valuing liquidity in the long -term

insurance products and we offered that liquidity feature in one of our par guarantee products. So, our par guarantee products, the flagship product within par guarantee range, which is ICICI Pru Gold, has been doing very successfully. So, from that perspective, there is no bias towards non-participating products. Overall, as a base, we are very happy to take care of the liquidity demand which we are seeing in the market. And annuity as you know from 6% mix to 9% mix this year means that we are catering to that demand in age segment which is relatively 50 plus where a customer is closing towards his retirement. So, that means, I think on the overall portfolio basis, liquidity demand is taken care of and customers nearing retirement is taken care of through an annuity. So, I don't think we are missing out on any demand which exists, and which is not being catered to.

Dhiren Salian: In fact, Avinash, we had seen this challenge even over the last year where single premium really wasn't going well from an annuity perspective, which is why we had introduced the regular pay annuity which is the product that you just referred to, and that has done quite well since the time that we introduced this in January last year. That has been a big driver of this demand on the annuity side and that's an opportunity that we saw and we took advantage of it.

Moderator: The next question comes from Nischint Chawathe from Kotak Institutional Equities. Go ahead.

Nischint Chawathe: I was just curious if I have to sort of look at your VNB ex of the group funds business, how would that look like, if there is some pointer to this, if you could help us? And if I really try to look at your cost/WRP for the savings business, again, ex of the group business, looks like the ratio has gone up over the nine months period?

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Dhiren Salian: So, I don't want to call out the margin on the group funds business. There is money on the table and we're quite happy to take that. Obviously, it's going to be smaller, but we're quite happy to put that on the table. But even otherwise, when you look at the cost and look at the ratios, we still see a decline from a quarter-to-quarter perspective, and we keep working at this. And as I mentioned earlier, the idea is to be able to reset cost structures based on the products that we're selling and which

is again

based on the customer demand.

Nischint Chawathe: No, I understand that. Obviously, we discussed that the share of ULIP has gone up and despite that I think we just discussed saying that the cost ratio has probably not gone down as much. So, if I kind of try to adjust that with the group funds business, which typically comes at negligible cost, probably the ratio looks a little adverse. I think that's the point I'm trying to make.

Dhiren Salian: Not really, Nischint. I think one also has to recognize that one of the biggest components of Opex is going to be employee cost and we're not a hire and fire Company. So, we will adjust our cost structure and we'll keep working at it systematically and therefore, which is why you're seeing this overall cost number moved down from Q2 to Q3.

Nischint Chawathe: On the first question if you could give some texture on how should we think about the VNB at a product level ex of group savings?

Dhiren Salian: Broadly similar to what we had closed earlier.

Moderator: The next question comes from Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions. So, I wanted to understand the agency channel for most of the year done quite well in terms of the growth that's been coming through, in the third quarter or if I look at the nine months, that channel has been doing quite well in terms of matching up with how the banca channel has been going. How many agents have we added in the quarter or in the nine months? What are some of the key changes are we making over here? As this channel becomes open architecture, which is proposed in the insurance amendment bill, how will we manage with those changes that come through? Second is on banca channel. There was a lot of noise around the mis-selling bit. Have you seen any change in the way our banca partners were behaving, were there anything mis-selling that were going on, any color that you can give to us on that would be useful?

Amit Palta: See, I'll start from agency. Sorry, your voice was not very clear. So, I'm just assuming what you asked. So, correct me in case you want me to answer anything incremental. I heard you ask about what is working in agency. See, the agency has been chosen as one of the key focus areas for us over a period of last few years and we have spent time in building capacity both physically as well as on processes on skill building

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and that is something that is now starting to play out. And over a period of last nine months or so, we have been able to see a growth on the new advisor licensing which is quite reasonable at 50% plus growth. And then as you know, apart from new advisor licensing, which anyways contributes little to the overall top line, it happens over a period of time. A lot of time has been spent in looking at building skill on the retail side of our advisors and very happy to state that more than 25% to 30% of our advisors activation is what we witnessed over a period of the last nine months and that is largely on account of digital enablement that we have done for our advisors. We launched advisor stack through an app called 'IPru Edge', which has been adopted very well with our value set of advisors and the productivity enhancement that we have seen specifically on value advisors has gone up to the extent of 37% over what it was when they were not using the app or even in comparison to advisors who are not currently using that app. So, I think that has really held us in good stead. Apart from that, I think the learning academy right from our own employees to the advisors is something that is again working well for us. Overall productivity increase with the entire agency base has gone up by almost 10% to 12%. And all this is by of course doing a lot of ground-up activity and breaking down the entire process beyond relationship management to having a very strong digital sales process of tracking sk

ill levels and then monitoring and certifying over a period of time.

So, it sounds all very logical and very simple, but this is something that with rigorous over a period of last one and a half to two years what we have been able to eventually achieve. And of course, I want to speak about the fact that segmenting our advisors basis on the access that they have on the customer segments that they're catering to has actually held us again positively. We today have a fair hang of which set of advisors have access to, what profile of customers, which allows us to build skills specifically for product propositions which are most meaningful for the advisors, which is drawn from the access that he has from his natural ecosystem. So, it's not that everybody has been asked to do everything. It is all aligned to the customer access that they bring into ICICI Prudential. I think very segmented capability building, skill building and not doing everything to everyone has been the fundamental reason why we have been able to see this result. So, we are quite confident that we'll continue to add capacity, we will continue to add depth in leadership, depth in frontline management with people who have spent enough time in agency and build it over a period of next 6 to 12 months timeframe.

Shreya Shivani: On the open architecture, do you see that as net positive or more disruption would come in the agency channel once they're open?

Amit Palta: First of all, it is not something which is entirely in our control. It is a decision best left to the regulator to decide. But if you were to ask us today intuitively, I mean, with the experience that we have in agency, it's a business which is very different in comparison to what you would typically see in a mutual fund kind of business where also there is a multi-manufacturer distribution existing. It's a very high intensity business, lot of training, capability building, skill building is required and also advisors tend to gain a lot when they enhance productivity with a particular manufacturer. So, that exercise

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means that even if the multi-insurer architecture was to come, how many will exercise that choice of trying it out with multiple manufacturers is something that is yet to be experienced and seen. I believe that category of products are available with almost any insurance company. Today, products are copy-able, anybody can manufacture anything. So, from that perspective, product differentiation from company-to-company doesn't exist. It is all about the capability of how you manage advisors, how you build skills. I think from that perspective, I truly believe that advisors tend to gain aligned to one set of people in the organisation to really accelerate their overall productivity. But anyways, it's too early to comment right now. We will wait and watch and see how it pans out.

Shreya Shivani: My second question was on the banca. Any change you have seen after the regulator's comments, etc., is ICICI Bank still doing `1 billion per month kind of a number?

Amit Palta: So, I understood the ICICI Bank question. So, ICICI Bank has been stable like what we have been maintaining every quarter. Their focus is in protection line of business. They are doing fairly well on protection. And their numbers are stable. The YoY growth keep differing depending upon what was there in the base. But I think we're very happy with the overall focus on protection, overall focus on sum assured and I think, there, the growth from ICICI Bank channel has been quite good. From other bank perspective, I could not understand your question. If you could just repeat that?

Shreya Shivani: Some comment made by the regulator and the finance minister on mis-

selling in banca channels. Have we seen any changes happening at the distributor end in terms of processes to curb mis-selling?

Amit Palta: See, first of all, mis-selling is not something

that we have ignored ever. We

always want to focus on mis-selling and improving it all the time, irrespective of what the guidelines come eventually. So, the persistency I believe is a good, fair measure of the quality of sale that you do and there I think we are improving very regularly and every year we are actually showing an improvement in persistency and that is the best outcome that you can expect from a quality of sale. Otherwise, our effort on improving quality all the time, not just with banca, but with every channel will always be there, right. So, to that extent, specific to banca, I don't see trends any different from what we see at an overall Company level. So, I don't have to do any way, comment on specifics about banca on that front.

Moderator: The next question comes from Supratim Datta from Ambit. Please go ahead.

Supratim Datta: My question is I understand that you have a VNB growth target, but looking ahead into the fourth quarter or FY 2026, you already have a high APE base after the growth that we have seen over the first three quarters of FY 2025. So, could you help us understand that how would you be going forward drive this VNB growth because would it be driven by getting into more products like group funds, expanding those and

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hence the margin could be lower, but the top line would continue to grow at a similar rate, would that be the strategy? Also, on the VNB side, while we have been growing the VNB now, if I look at it on a two-year basis, you are still below where we were in FY 2023. So, by when do we plan to go back to those levels or what would be the pathway back to that level because what is happening is we are growing the top line, but the margins are still weaker than what we used to post than and what your competition is also posting. So, just if you could give us some clarity on these two things that could be helpful? And on the third bit, what I wanted to understand is on the zero surrender product. Now you launched it in January. So, there is around three weeks of data. So, what are you seeing in terms of surrenders, are you seeing anything different from what you have already budgeted for, if you could give some color on that? For this product, are you anyways building in higher surrenders in your assumptions or are there surrender assumptions similar to your regular annuity products? If you could help me with these points that would be very helpful?

Dhiren Salian: So, let me go one-by-one. With regard to our annuity products, yes, it's a little about three weeks over a year since we launched and frankly we have not seen any adverse trends at this point, because again, our belief is that this product has been bought from the perspective that the customer wants to take an annuity. And that is the way it has been sold with our distribution as well. So, for the customer to walk away with just the premium at this point is really not a win-win situation for him. Because in any case there is going to be an opportunity loss that the customer would be taking, as of course the GST loss that he would be bearing. So, clearly it would be a little out of pocket for the customer to walk away now. The objective of the plan that we had brought out was to be able to build a corpus such that an annuity can be taken and we believe that's how it is being sold at this point. Nonetheless, we have our eyes and ears open, and we'll keep watching out for any trends as we can pick it up. But at this point we have nothing to report. The surrender expectations built in are anyway quite miniscule in line with our other products as well.

Amit Palta: I just want to add here, Dhiren. When we launched this product, it was based on the insight that we picked where customers had large sums, but they were not willing to commit for a long-term commitment on premiums, believing that if there was to be a crisis, then the principal may get

lost. So, this product has actually taken away that anxiety, taken away that anxiety of losing principle in case crisis was to hit. So, if that was the purpose, and if we were to route this product through distribution, who was aligned because we did a level commission with our distributors, then I think this product was meant to manage and take the fear away from the customers mind which was crisis, and that doesn't give the reason for a customer to surrender just because the feature is available. And liquidity requirement at this point in time, so liquidity is something which we don't see has emerged as a big requirement and hence surrender experience has been not something which is conspicuous at this point in time. So, there is no change in

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the assumption that we have taken, and the customers have welcomed that and it has helped us build our annuity franchise.

Dhiren Salian: Coming to your earlier question on what are we looking at for Q4, frankly, as we had mentioned to you last Q4, there are a series of multiple items that we have on the table and that of course is a natural consequence of the fact that we have got a very well diversified distribution network. So, there is not going to be one big lever that I can point. There are going to be multiple levers that we have on the table that we have set out. And like we'd done for every quarter, these are the elements that we are putting in play and we will see, some of them will work, some of them may not work, but we believe on balance. We should be able to deliver some alpha on the market and that is what our endeavour would be. For the last five quarters, we have got some alpha, the idea is to be able to continue the alpha over the market into the coming quarters as well. And again, focus very clearly is on absolute VNB that we want to drive. Margin is an outcome for us.

Supratim Datta: What is the path back to the FY 2023 level VNB because two years out, we are still below that, so how do we go back to those levels?

Amit Palta: FY2023, the context was very different and what you were experiencing as a demand from customer during FY 2023 was very different in comparison to what you see today. So, comparing it to the environment which is not relevant today is a difficult question to answer to be honest. Dhiren, do you want to add?

Dhiren Salian: Yes. So, very clearly we took a hit last time. We did not have the growth and that actually impacted the overall margins and therefore the VNB. Now we have worked beyond that from the first and second quarter of last year to start to deliver growth slowly but steadily from Q3 onwards and that is what our endeavour will be. Because at the end of the day, when we have to look at delivery of VNB, it has to come from delivery of APE. And as you can see for the past few quarters, we have been working at it and we have been able to deliver some bit of alpha over the market. Slowly and steadily, we will build this back, no doubt about that.

Moderator: The next question comes from Manas Agrawal from Sanford C Bernstein. Please go ahead.

Manas Agrawal: Sorry to go back into margins. Just wanted to understand and confirm. You said product level margin was stable. This is slightly contrary to what we're seeing with peers where they are seeing better rider uptake and therefore better margins on the ULIP side and they have repriced to adjust for interest rate movement and therefore non-par margins have also improved. So, if the product margins are stable, why this delta relative to peers and if you are saying product margins are stable, then the entire movement in margins on a sequential basis or YoY basis coming only from mix, is that the right way to think about it? I will also squeeze in on margins. Is there any impact from surrender value?

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Dhiren Salian: So, very, very limited impact on surrender value. We really don't have that kind of a b

ook as our peers. As I spoke of earlier, a large portion of our non-linked savings is in participating business and not in the non-par space. That's where the larger impact would have been seen. On product level margins, they are broadly the same as where we have seen from the previous periods. We of course are working at improving product level margins in terms of rider additions as well as elongating term and some of the actions that we have spoken of is starting to bear fruit at this time.

Manas Agrawal: So, we have not cut customer IRRs in line with interest rates. Is that accurate?

Dhiren Salian: No. We have repriced our non-par plans in line with the yields at October. The last time that we had made these changes was at April. So, in the intervening quarter we did not have the chance to do that because we had to update it for surrender value regulations as well. But in October, we did update the IRRs in line with the yields. But in any case, the share of non-par for us is quite small in our overall mix.

Moderator: The next question comes from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a structural question as to how do you think or what would be the factors that will kind of shift the product mix for the industry, the way it has been shaping toward ULIPs and reducing share of non-par, what will kind of drive this mix back towards something like a non-par and lower from ULIPs? The markets have been weak in the last few months, but is there any evidence that impact is visible in terms of ULIP demand? So, any thoughts how do we see this, what would be the macro factors that can drive this shift in mix?

Dhiren Salian: So, Prayesh, if your question is what can drive the demand up in non-par, I think you'll have to look at the shape of the yield curve and favorable moment of the yield curve will be the one that will create an opportunity to be able to provide this product and get the demand up over there. What we are seeing in the market is that Unit Linked has got a great appeal and we continue to provide products in that space which are favorable for both the customer as well as the Company. And very clearly, we are not the one to throttle demand and we want to work at improving the quantum that comes through on that.

Prayesh Jain: And just a clarificatory question. The group funds business, would there be any element of protection there? No, zero, right?

Dhiren Salian: No, it's savings.

Amit Palta: No, no, group funds is purely savings, it's managing funds for our clients.

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Prayesh Jain: So, basically it will have a lower margin compared to your general ULIP product, right?

Dhiren Salian: Yes, it'll have a lower margin than general ULIP product.

Moderator: The next question comes from Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi: Just a question regarding annuity product, which is growing rapidly. Can you please confirm the margin of this product as in was there any repricing been done for this annuity product as well in the October as you did for your non-par? And just on the commission structure, again, if I can ask the distributor commission structure, especially the broker and MFI channel, so is it more like a trail-based commission structure, any restructuring being done there?

Amit Palta: Coming to commission structure change subsequent to 1st October surrender guidelines changes that have been executed. I think our options that we have worked with our partners is either deferring commissions or claw-back of commissions or reducing commissions. So, different partners have agreed for different structures, different models. It also had to be aligned with what their OpeX requirement was, what their business models are. So, more than 95% of our partners, we have closed the arrangement, the revised structures and whatever is pending is something very small, I think also

will get over in the next couple of weeks' time. So, from that perspective the commission structures have been completely aligned with the change in surrender guidelines.

Dhiren Salian: Just to reiterate, the way that we're approaching this surrender value guidelines is that to ensure that the impact to customer is minimal. What we have passed on in terms of price changes has been largely in line with the change in the yields on the market. With our distribution we have offered these three mechanisms that Amit just described, which is reduced commission or a claw-back or a deferral of commission, and as he pointed out, most of these conversations have now started to come to close. We didn't get your first question that you had raised. Your line was a little patchy. If you can repeat that?

Aditi Joshi: First question is related to the repricing of the annuity products. So, just wanted to confirm that similar to non-par repricing did you also take up IRR cuts let's say in the annuity products as well around the October month?

Amit Palta: Yes, the pricing of non-par, annuity, all those products linked to G-Sec yields were all corrected effective 1st October, something that we could not do in Q2, it was corrected as we got into this quarter.

Moderator: The next question comes from Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

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Madhukar Ladha: So, just again coming back on VNB growth actually. So, this year we're seeing like so far 27% growth year-over-year on APE. Despite that, the VNB growth has just been about 8.5%. We have been investing in the business and still I would have expected a slightly better operating leverage to play out and the VNB growth to be stronger than this. We had also been guiding earlier in the year that sort of mid double-digits is the VNB growth that we are targeting. So, in that context, our VNB growth is significantly lower than our target. I mean the first question is what is happening then? Is the variable cost of acquiring the business so high, the commission element in total cost is so high, that's what is keeping contribution levels down and not helping VNB grow? And two, then for the year, how much VNB can we grow? And then over the medium-term, what sort of VNB growth should we be looking at? When do you

think operating leverage will start playing out for you?

Dhiren Salian: So, one, Madhukar, VNB growth of about 4% for half year, we are now at about 8.5% for nine months. So, clearly we're seeing an upward trend in that. You're right, the top line growth was 27%. But what you would also notice is that the mix shift has also happened more towards unit linked which has got a lower margin. So, that explains how we're working at a 8% to 9% VNB growth for nine months. The view that we want to take from a medium-term perspective is to work towards mid-teens. No doubt about that. And we are working at it for quarter-to-quarter. As you can see from H1 to nine months, there has been a positive improvement.

Madhukar Ladha: But then is that the right way to think about operating leverage, is the other thing that I had in my mind, like when you look at cost/TWRP that going up, is it that the commission cost or the variable cost of acquisition it's just been very high?

Dhiren Salian: So, if you look at the Opex, Madhukar, you are starting to see this come down and most of when you look at the overall cost, they are also down quarter-to-quarter. So, we are actively working at containing costs and making sure that we are working to the products that we are selling and the suitability of the cost structure to those sets of products. So, this is obviously work-in progress. We'll continue to work at it while we continue our investment in specific areas such as technology as well as people and brand. So, this is work-in progress that we are working at, at this point and I'm sure the results are going

to come through.

Madhukar Ladha: Just in one of the questions you mentioned that 38% of the total protection was group protection and that has grown about 8%. That would mean the credit protection is down about 12% year-over-year. Is that correct?

Amit Palta: Yes. So, group protection being down like is quite well known for the stress that we see on MFI business. And largely it is because of disbursements getting lower, which has impacted credit life side of the business taking a hit in Q3. So, to that extent, yes, share of credit life business in the overall protection actually has come down on account of challenges which are well known in the industry.

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Madhukar Ladha: That's mainly the MFI industry. No other sort of change in that.

Amit Palta: On non-MFI business, it has been happening quite good. So, I think the slowdown that you see is not a stress that we believe. So, I think it is something which is well factored and we are aware of why it has happened. So, from that perspective, we don't see that as a challenge. Once the cycle reverses, we are quite happy that we will get a positive momentum. So, I think we are well aligned to get adjusted to the changing cycle all the time. So, there is a positivity. Recently we have seen some numbers reversing. There is a positivity on non-MFI business already visible. Hopefully, with the outlook expected to get positive over the next couple of quarters, we are well present across all our MFI partners to come back to the original share of credit life once the business reverses.

Moderator: The next question comes from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just going back to one of the previous questions, if I just look at the margin, you mentioned that on a sequential basis adjusted for the group funds business margins are almost stable. If I do sensitivity and let's say assuming that there is no change in margins of group funds business between 1H and 3Q, even if you assume zero percent change in margin on the business, it seems that the other segments there have been at least a 60, 70 basis points decline between 3Q and 1H. Firstly, is that a fair assumption and to start with the group funds margins were similar across quarters?

Dhiren Salian: No, I don't think that bears out.

Dipanjan Ghosh: Second is on your ULIP segment. Would it be fair to assume that the momentum is holding on even during the current quarter?

Dhiren Salian: Yes, that's right. At least the early days of this quarter.

Moderator: The next question comes from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Amit, you launched a new variants of every product, whether it is annuity, health or protection and features to the customers look to be better compared to the existing plain vanilla version what you have. So, is it fair to say that given the benefits are little better to end customer, will these products will have on cumulative basis in margin better than the existing or it will be lower? And I just want to understand given since the launches, whether the contribution of these products have, I don't know when exactly they were launched, because from that perspective I just wanted to understand how the trends are in this particular product and whether it will support the growth in fourth quarter, which invariably to some extent is higher for you?

Amit Palta: Before you move on to second question, which product are you talking about ?

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Sanketh Godha: I'm referring to the new annuity product which you launched, linked or protection plan where you have a premium break and a health plan. So, these products typically are more customer -friendly compared to the current versions what you have. So, I'm asking from that perspective, given you are giving more benefits to the customer, that is the margin profile of these products will be better than the existing one or broadly similar?

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Dhiren Salian: Sanketh, in short, we are not looking at a margin drop. We are pricing them to be margin -neutral.

Sanketh Godha: Second is just a data keeping question. You typically disclose ROP Protection APE. This time I don't see it in the PPT. If you can quantify the number, it will be useful?

Dhiren Salian : It's small. I think for the nine months it's roughly in the range of 15% to 20%. It's broadly been there.

Sanketh Godha : It was 63 crores last year. So, is it broadly there or its 15% growth on that one?

Dhiren Salian : I'll come back. I don't have the number right now with me.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over for closing comments.

Anup Bagchi: Thank you very much for joining the call. Have a great evening.

Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These forward -looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof .

Call: May 2025

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

April 22, 2025

General Manager
Listing Department
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001 Vice President
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza',
Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and year ended March 31, 2025

In continuation to our letter(s) dated March 19, 2025, and April 15, 2025, the Company had hosted an earnings conference call with investors and analyst on Tuesday, April 15, 2025, at 5:30 p.m. IST, to discuss the performance of the Company for FY2025.

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for FY2025 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair
Company Secretary
ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Year ended March 31, 2025 (FY2025)
April 15, 2025

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Anup Bagchi

Good evening and welcome to the results call of ICICI Prudential Life Insurance Company for the financial year 2025.

I have several of my senior colleagues with me on this call, Amit Palta, Chief Products & Distribution Officer; Dhiren Salian, CFO; Judhajit Das, Chief Human Resources and Operations; Deepak Kinger, Chief Risk & Governance Officer; Manish Kumar, Chief Investment Officer; Souvik Jash, Appointed Actuary; and Dhiraj Chugha, Chief Investor Relations Officer.

Let me take you through the key developments during the quarter before moving on to discuss the Company's Performance:

I am pleased to inform you that Ms. Anuradha Bhatia has been appointed as an Additional Independent Director effective March 12, 2025, subject to the approval of the Shareholders. Ms. Bhatia is an ex -member of National Company Law Tribunal, Mumbai and a Retired Principal Chief Commissioner of Income Tax.

Product innovation has been a core focus of our business strategy. We continue to build on our legacy of innovation to meet the evolving needs of the customers. With 'ICICI Pru GIFT Select', a non -par guaranteed income product, being the latest addition to our portfolio. One of the key differentiators of the product is the increasing income feature making it a quasi -inflation hedge. Amit will subsequently cover it in detail.

Now let me take you through the performance highlights :

- APE grew 15.0% year -on-year to **₹ 104.07 billion** in FY 2025.
- We delivered a strong RWRP growth of 15.2% year -on-year in FY2025. Our endeavour will be to continue delivering on business growth.
- Total premium grew by 13.2% year -on-year to **₹ 489.51 billion** in FY 2025.
- Retail new business sum assured grew by 37.0% year -on-year to **₹ 3,324.49 billion**.
- Our 13th month persistency stood at 89.1%, and 49th month persistency stood at 69.5%.
- We continue to deliver on our claims promise with a claim settlement ratio of

99.3% for FY2025, with an average turn around time of 1.2 days for non-investigated individual claims.

- Cost/ premium ratio improved from 18.2% last year

to 18.1% in FY2025.

Cost/TWRP for savings line of business improved from 15.8% last year to 15.4% in FY2025.

- VNB grew by 6.4% year-on-year to ₹ 23.70 billion in FY2025. With an APE of ₹ 104.07 billion, the margin stood at 22.8%.

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- PAT grew by 39.6% year-on-year to ₹ 11.89 billion in FY2025.
- Embedded value grew by 13.3% year-on-year to ₹ 479.51 billion on March 31, 2025. RoEV was 13.1% for FY2025.
- Our AUM grew by 5.2% year-on-year to ₹ 3,093.59 billion on March 31, 2025.

We have been conferred awards by various industry platforms. The complete set of awards won is presented on Slides 58 and 59. We are particularly delighted with the outcome of the independently conducted industry Net Promoter Score survey where we were ranked the "Best Life Insurance Provider in India" for the third consecutive year in a row by Hansa Research.

To summarise, we will continue to offer the right product to the right customer and deliver it through the right channel. Our products, process, and distribution are completely aligned with one goal, that is to deliver value proposition to our customers. Our 3C Framework of Customer Centricity, Competency and Catalyst will help us deliver sustainable VNB growth by balancing business growth, profitability and risk and prudence.

Thank you. And I'll now hand it over to Amit to take you through the business updates.

Amit Palta

Thank you, Anup. Good evening, everyone.

Let me start by giving you an update on the product landscape.

In a dynamic macroeconomic environment, there could be spells of market volatility like the one that we have seen over the last couple of months. In such situations, customer preference tends to shift to products that offer guaranteed returns while ensuring wealth preservation. Through the addition of GIFT Select in Q4, we strengthened our guaranteed portfolio to cater to this shift in customer preference. It offers the benefit of guaranteed income that customers can customise as per their life goals and cash flow requirement. This product witnessed strong traction within days of launch and helped us offset the impact of market volatility witnessed in the linked business in Q4 to a certain extent. The non-linked business grew by 13.8% year-on-year in Q4 -FY2025. The growth in the non-linked business reflects our capability to read the market sentiment, swiftly shift product mix between segments, and also demonstrate the agility of our distribution channels to support us during such transition phases.

Further, within our linked segment, we have been increasing the proportion of products which are not only aimed at wealth creation, but also offer goal protection, high sum assured, and comprehensive benefits for nominees. Such products are less impacted by market volatility, thereby insulating our linked portfolio to a certain extent.

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On a full year basis, linked business grew by 28.5% year-on-year and contributed 48.3% to APE in FY 2025. Non-linked savings business declined 5.6% year-on-year and contributed 21.2% to APE.

The annuity business grew sequentially by 41.5% in Q4 over Q3. While on year-on-year, we witnessed a decline of 57.8% in Q4 of FY2025. As you may recollect, we launched a product offering 100% money back of premium in Q4 last year ahead of the introduction of surrender value regulations. This product was well accepted by the market, resulting in annuity segment delivering the year-on-year growth of more than 250% in Q4 last year. Thus, the decline this year is due to the high base of the previous year. However, the contribution of annuity continues to be greater than 8% of overall APE.

Retail protection grew strongly by 25.1% year-on-year in FY 2025. In the credit life business, the MFI segment was impacted due to continued challenges in the MFI industry. We expect some pressure to continue in the MFI segment in coming quarters as well. Non-MFI segment c

continues to do well, and we have been able to sustain the overall credit life business at a similar level to the previous year.

The group term business was impacted due to increased competition. As a long-term player in the industry, we have a deep understanding of this market, and our underwriting strategy remains focused on selecting businesses which meet our defined risk reward expectations. The overall protection APE grew by 7.4% year-on-year and contributed 15.7% to APE in this financial year.

Group funds more than doubled over last year and contributed 6.4% to APE. This business involves managing funds for gratuity, leave encashment, and superannuation, and is typically lumpy in nature.

Moving on to channel-wise growth and contribution.

Agency business APE grew by 14.2% year-on-year and contributed 28.9% to the overall APE in FY 2025. Direct business grew by 17.0% year-on-year and contributed 14.4% to the overall APE in FY 2025. Together agency and direct, that is our proprietary channels, constitute more than 50% of the retail APE mix in FY 2025.

In Q4, we saw a decline in proprietary business primarily because of two factors: one, the high base of annuity in the previous year and second, customer preference shifting away from ULIPs.

- High base of last year Q4 annuity business was primarily driven by proprietary channels, specifically agency.
- Beginning FY 2025, the market sentiment shifted towards ULIP products. Agency channel was very agile to shift gears and grew faster than the Company on the

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back of high ULIP sales up to 9M-FY2025. As markets became volatile in Q4, customer preference started shifting away from ULIP products.

- Owing to the high annuity base of the previous year and ULIP business declining in the current year, Agency channel got impacted in Q4, thereby registering a decline.

It is also noteworthy that Agency channel was quick to pick up the latest non-par product 'GIFT Select' launched in Q4. Historically also, if you look at the last five years since FY2020, the channel has demonstrated the ability to shift its mix between ULIP and non-linked savings business depending on the prevailing macro environment. Therefore, we believe this decline is a short-term transition phase and we will continue to invest in our proprietary channels to sustainably grow the business.

Bancassurance business APE grew by 18.2% year-on-year and contributed 29.4% to the APE mix in FY 2025.

Partnership distribution business declined by 3.2% year-on-year and contributed 10.9% to the APE mix. However, this business on a sustainable basis has delivered a four-year CAGR of 18%. As you are aware, a large proportion of business this year was from ULIP sales, while the Partnership distribution business is non-linked dominated typically and thus, they did not have the tailwind which was available to the rest of the channels. Also, we continue to strengthen our Partnership distribution channel and have added more than 200 partners in FY 2025.

Group business grew by 24.6% year-on-year and contributed 16.4% to the APE mix in FY2025.

As you can see on slide 10, we have a well-diversified distribution mix. We continue to build capacity and have more than 200,000 agents spread across geographies. We have partnerships with 48 banks and access to more than 23,000 bank branches and 1,300 non-bank partnerships. We will continue to focus on improving customer experience through tech and digital integration in our day-to-day processes. Approximately 50% of our policies were issued on the same day for the savings line of business in FY 2025. Notably, we are also the first insurer to pay out commissions on the same day to our distributors.

With customer centricity at the core of everything that we do, we will continue to work on our strengths, that is product leadership, extensive distribution network, and business excellence aided by buildi

ng blocks of people, digitalisation and analytics. All these initiatives together will help us achieve our core objective of increasing absolute VNB while delivering value to our customers.

I will now hand it over to Dhiren to talk you through the financial update for FY 2025.

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Dhiren Salian

Thank you, Amit. Good evening.

Let me start with VNB, which is shown in slide 15 .

VNB grew by 6.4% year -on-year to **₹ 23.70 billion** in Financial Year 2025, and the VNB margin stood at 22.8%, which was at a similar level at 9M-FY 2025.

From slide 16, you can see that the movement in VNB margin from FY 2024 is primarily on account of the shift in the new business profile and assumption changes.

In the FY2025, the market buoyancy led to growth of the linked portfolio, which has a lower margin profile compared to the Company average.

Within the non -linked portfolio, we also witnessed a shift in product mix towards the par business. Further , in the protection portfolio, the MFI segment of credit life business was impacted by the ongoing challenges faced by the MFI industry. As mentioned in our earlier calls, we have been working towards improving the profitability of each line of business through increasing policy term, sum assured multiples, and ride r attachment. Our retail policy term from savings line of business has increased from 19 years in FY2024 to 26 years in FY2025. Our retail sum assured has grown strongly by 37% in FY2025. The impact of the shift in product mix, change in customer segments, and the effects of repricing done during the year was a positive 2% as shown in the new business profile in slide 16.

Now the higher ULIP mix also results in lower expense affordability. Along with other assumption changes which I'll explain in the EV section, it has resulted in a margin contraction of 3.3% which is shown under the operating assumption changes. The balance 0.6% impact on margins was due to movements in the yield curve. As also shown in slide 16, the EV grew by 13.3% year -on-year from **₹ 423.37 billion** at March 31, 2024 to **₹ 479.51 billion** at March 31, 2025.

Our Embedded Value Operating Profit (EVOP) for FY2025 is **₹ 55.34 billion**. The breakup of EVOP as shown in slide 17 is as follows :

- The unwind contribution for FY2025 is 8% of opening EV.
- The VNB of **₹ 23.70 billion** is 5.6% of the opening EV. The unwind and VNB together constitute 13.6% of the opening EV.
- During the current year, we have strengthened our operating assumptions, which has led to a negative movement of **₹ 2.54 billion**. As you may recollect, last year, we had shown a mortality variance due to higher expected claims incurred but were not reported in the group business. We continuously monitored this variance

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through out the year, and we have now aligned our long -term mortality assumption.

- We continue to see an improvement in the Company level persistency and our persistency variance is positive.

Consequently, the RoEV for FY2025 stands at 13.1%. The total economic and investment variance is a negative **₹ 0.24 billion** due to the shift in the yield curve and equity market movements. The sensitivity details have been provided in slide 18.

Our VNB and EV have been reviewed independently by Mil liman Advisors LLP and their opinion is available in the results pack submitted to the exchanges.

Now back on slide 13, our total premium grew by 13.2% while our expenses increased by 12.6% for the full year. Notably in Q4, our total premium grew by 11.1% while our expenses decreased by 2.1%. Our Cost/TWRP on the savings line of business improved from 15.8% in FY2024 to 15.4% in FY2025.

I would like to highlight that the cost ratios have been improving quarter -on-quarter, and we will continue to work towards aligning a cost structure commensurate with the product mix. The Profit after Tax for FY2025 was **₹ 11.89 billion**. Our AUM stood at **₹ 3.1 trillion**, and our solvency ratio i

s strong at 212.2% as on March 31, 2025.

This concludes the financial performance section. Over to you, Judhajit .

Judhajit Das

Thank you, Dhiren. I'll be sharing the salient aspects of our ESG journey. We are pleased to share that we continue to retain the highest ranking in the Indian insurance industry as per two leading ESG rating agencies. We are also delighted to share that during Q4 of this year, we received the 'Platinum Award ' for ESG report for 2024 and the Vision Awards organi sed by the League of American Communications Professionals.

I will now share the key highlights under each of the ESG focus areas.

Environment : As part of our overall efforts to reduce the carbon footprint, we have adopted green energy across various branches. We have also received the LEED Platinum Certificate, which is a green building rating for the company's headquarters,

and IGBC Platinum Green Building Certification for one other branch and we shall continue our efforts to reduce our carbon footprint.

On the Responsible Investing side, we are a signatory to the UN Principles for Responsible Investment (UNPRI). We have started annual reporting on responsible investing activities, and we shall continue to remain committed to promote ESG factors in our investment decisions.

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On the Employee side, our gender diversity ratio has improved from 27% to 30% of women employees in this calendar year. On the community aspect, our goal is to increase financial inclusion to specially designed micro insurance products targeting socially and economically weaker sections. And we have now covered 73.7 million lives as of March 31, 2025. Our 13th month persistency ratio is at 89.1% and is one of the highest in industry. This year we settled more than 3.7 lakh retail and group claims with the overall claim settlement ratio at 99.8%.

On the CSR front, through ICICI Foundation, we have trained 1,200 underprivileged youth for skill development and supported 50 cataract surgeries and 360 underprivileged cancer patients.

Governance: Our Board has a majority of independent directors enabling the separation of the Board's supervisory role from executive management and the representation of women directors on our board has increased to 20%. I would like to reaffirm our commitment once again to create a culture that embraces sustainability and goes beyond goals and targets.

Thank you. We are now happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Yes. Good evening. Thanks for the opportunity. A few questions. The first one is on this operating assumption changes. If you can provide some more sort of colour that in terms of expenses, persistency, mortality, morbidity, where sort of assumption has kind of changed that is leading to a sort of a n impactful numbers on particularly VNB margin. That is particularly because if we see, I mean, in the variance experience this year in most of the parameters, your operating variances are positive. So, what has led to this kind of assumption changes going toward these conservatives that is leading to this kind of pressure on your margins as well as embedded value and ROEV also has 0.6% negative impact from this. So that's one.

Second is coming to the capital and strategies there. So, one thing, of course if I see in embedded value, the required capital has declined. I mean, for a growth company or in a growth environment, of course, the required capital would be a function of product mix. But generally, I mean, it is kind of rare to see a reduction in required capital in a growth market. And on that front, I mean, your solvency is now, of course, was 192% beginning of the year. Now we have also this sub debt and all. So, at 2

12%. So, what is the strategy

or idea behind raising the sub debt when your solvency is comfortable anyway without having not raised this sub debt? I mean, I'm mindful of the fact that the carry cost would be very limited, not that great. But at the end of the day, you had enough solvency capital.

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So, the second question basically is what is leading to the decline in required capital and why this sub debt?

And thirdly, I mean, if I may again, on the partnership channel, so of course you have a long tail of partners, but definitely there will be a few meaningful ones. So, what is leading to sort of this a bit of a growth struggle there, particularly is it something to do with the product environment or is it to do with something like the new surrender value or like what is driving that? Because this question becomes important to kind of forecast the growth particularly next year because this MFI side struggle on credit life will continue at least for H1. And if the partnership business does not fire, then of course the growth is under question. So, these are my three questions, thanks.

Dhiren Salian: Thanks, Avinash. Let me take a couple of them and then I can hand over to Amit. Your first question is on operating assumption changes. If you recall last year, we had seen a large negative variance in mortality. That is one of the components that has gone into this operating assumption changes at this point. You see our philosophy has been that if you start to see some variances and there are negative variances, then we would like to correct them as quickly as we can. We hadn't seen that through most

of last year, but we saw that at the end of the year. And as I mentioned in the call, this is something that we have continuously monitored through the year and have taken corrective actions in terms of strengthening of assumptions. So, what you see now with the negative operating assumption of ₹ 2.5 billion roughly, with the positive variances that you see across the other line items, we believe we have been able to cover for what we see at this point in time.

Coming to your second question, which is in terms of our capital strategy, yes, you are right. We raised ₹ 14 billion in Q3. That roughly contributed about 18% to 20% of our solvency. And across the quarter, you have seen the solvency being broadly steady. Now, you also have to keep in mind that about four and half years back, we had raised ₹ 12 billion sub debt as well, which has a call option coming up in November 2025. So that is something that is in our minds as well, whether we need to call it at November. And then if we need to, we could re-raise it. The choices will depend upon how RBC gets implemented and the timeline for implementation of RBC, which you are aware is a discussion that is there in the industry. We are not sure of the final contours of the RBC. And therefore, we are not aware of any potential releases of capital that may come about. Once you've got some degree of certainty in it, we'll be in a position to determine whether we need to re-raise it, or we would let it lapse once the ₹ 12 billion has been called back. So, in anticipation of this is why we had raised the ₹ 14 billion. Coming to your question on partnership distribution.

Amit Palta : I will take it from here. Thanks, Dhiren. On partnership distribution, first of all, let me share that it contributes to 11% of our overall distribution APE. And while I understand that the growth is relatively muted in this channel, and largely it is on account

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of them not participating enough in the tailwind which was available in the first half of the year, which was, as you know, unit linked business was supported with positive market sentiment. And typically, partnership distribution channel focuses more on the non-linked side of business, so they could not capitalise on the tailwind which was there in the ecosystem. That was

one of the reasons why the overall growth for the year looks muted.

Second, of course, there was a kind of adjustment subsequent to change in surrender guidelines where the entire industry was adjusting to the change. And third, from our perspective, we were very happy to say that the business which is of top focus to us, which is protection, there, our mix of protection in partnership distribution actually went up from 15% in the previous year to close to around 20% this year, which means that the business which is of top priority to us, the re, partnership distribution significantly added value. So, this is where I thought that I should also bring in context that if you were to look at three-to-four-year period, this is one of the distribution channels which has consistently delivered growth. And on a CAGR basis, if you see they have contributed to around 17% to 18% growth over the last three to four years. So, I believe that now with an environment which is more volatile and the demand for guaranteed products may come back again, and now with their strengths that they have now on protection alongside, I think they will come back, and I would like to look at FY25 as only a transitional phase.

Avinash Singh: One just, mean, if any discussions currently are happening or talk on the banca or regulation regarding bancassurance or parent bank. I'm aware of the fact that for you it's not a big deal, but any discussion at the industry level, regulatory level happening around the banca because there has been a lot of noise last year?

Dhiren Salian: No, Avinash, we are not aware.

Avinash Singh: Thank you. All the best.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Yes, hi, sir. Thank you so much for the opportunity. So, my first question, again, on the operating assumption, in part, I wanted to understand, EV, as you highlighted, is related to mortality. Wanted to understand on the VNB part what has been the reason? What I got was maybe due to the cost structure going to ULIP, but if you could give it a little bit more granular detail, that would be very helpful. That is the first question.

The second one is, if I were to think about the growth expectations for FY 2026. Now, in FY2025 for nine months, we have a very high base. We had very strong growth for the first nine months and also in January. So, if I were to think about it, should we expect a

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base effect playing out in FY 2026, at least in the first half? What would be your comments here to do that? And also, in terms of VNB growth, the absolute VNB growth, should we expect to grow it faster than the APE growth that we should see going forward? And if yes, what would be the levers of those?

Dhiren Salian: Thanks, Swarnabh a. On the operating assumption question that you raised, yes, part of it that we discussed in the EV walk has come through from some of the mortality changes that we had to do. Within the VNB also, there will be some element that comes from the expense affordability, which is what we discussed earlier in the comments as well. Given the fact that there has been a shift towards unit linked, that does create a little bit of an expense affordability from a margin perspective.

Coming to your second question in terms of the growth factor, yes, Amit explained in detail what happened in Q4. Now, one of the things that comes about from the market linked product is that typically whenever there is volatility, then you do have a little bit of a pipeline disruption. But I believe as there comes some steadiness in the markets, we are able to build that pipeline back. The other thing that we have also in the unit linked are a variety of other features and benefits that we've added. So, it is not just a plain vanilla unit linked product anymore. There are additional riders which provide bene

fits

for customers, which we think can take away some of the market effects. Along with that, we do have higher sum assured unit linked, which also offers benefits that are different from a plain vanilla unit linked. So, from that perspective, I do believe that we have got some degrees & levers that we have built within the unit linked base itself. And most of this has started to come through over the second half of last year and more towards Q4. So, from that perspective, while yes, the base does look steep when you compare Q1 to Q1 going forward, but our endeavour would be to continue to build upon the numbers that we have and build growth on top of that.

On your third question on VNB, of course, the endeavour is to be able to grow VNB ahead of the APE. And that's what we will continue to work towards.

Swarnabh a Mukherjee: Just one follow up on the first question. So, if I look at your overall cost structure, I think largely even in the savings line of business also we have improved as well as when I look at the cost/total premium, it is around 18.1 versus 18.2 last year. So, in terms of the drag related to cost due to ULIP, I just wanted to understand, would there be any other parameter from which we can decipher that and I mean, how to look into it because this was, I think, it was slightly something that is difficult to estimate beforehand. So just wanted your help regarding that.

Dhiren Salian: No, you are right, Swarnabh a, difficult to estimate from the outside. But as we have given you some perspective, the unit linked product does have lower affordability and the shift in the product mix does create stress if the expense growth is ahead of what could be afforded within the product mix. The other thing that you'll also see, I would like to mention from a perspective of the underlying business that we have.

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There is a great deal of focus on driving the protection component within all product lines. You can see that the number come through in our retail sum assured growth of about 37% year-on-year for the year. So that is another area that we are focused on. So, while we do have the core savings chassis, we are in a position to also increase the protection component within that.

Swarnabh a Mukherjee: Right, got it. Yes, very helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Yes, thank you for the opportunity. I have two questions. First is on growth. I'm harping on this again and again, but we have challenges in the credit life segment. ULIP will remain challenged, a) because of the high base and the markets being volatile. Even with the non-par product, we are in a declining rate environment where the attractiveness of a 6.5% IRR product versus a 6% or a 5.5% product IRR, we know the difference of that. So, I wanted to understand on a high base of FY25, what would be a realistic number to look towards for growth for FY26? That's my first question. In that, if you can also answer, will group funds continue to be structurally higher for us? Because you know, earlier you used to do about ₹ 3 billion or so of group funds. Now you are doing about ₹ 6-7 billion. So, will that continue to be higher or is it a one off this year? That's the first question.

Now the second question is from your EV walk. There you've given that the persistency and other variance, the number is ₹ 0.17 billion. But in the footnotes, it's written that persistency was ₹ 0.73 billion. So, something in the other variance has been a big

negative, right? Can you help us understand what has gone negative over there and any details on that that would be useful. Thank you.

Dhiren Salian: Shreya, let me just pick up the last one. You are right, the persistency and other is positive of about ₹ 17 crores and there's a negative that you see in others. Others essen

tially a set of small items that are residual within the EV walk. In any case, it is not a very large number at the end of it.

Shreya Shivani: What is it usually? Just for understanding what are these line items basically?

Dhiren Salian: These are the residual components that will be left after accounting for persistency, expense and mortality. So, these will be some minor modeling elements that come through.

Shreya Shivani: Oh, got it.

Amit Palta : So, on growth element, just a few facts I would like to share that you spoke about linked business being challenged in the last quarter and will remain volatile and

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also guaranteed products not remaining as attractive in a downward interest rate scenario. So let me just share with you some numbers on Q4. Linked business while from expected levels, it was lower but against the correction that you saw in the market, our decline was a very low single digit on a linked business specifically in Q4, despite markets being corrected so much. And it's largely on account of the investment that we have done over the entire of last year in strengthening our unit linked proposition beyond just an investment product. So today it is powered with high sum assured, it is powered with good riders, rider choices that we have offered to the customer and very strong and compelling nominee benefit propositions which are very, very comprehensive in nature.

That share of ULIP is now close to around 10% to 12% of the overall ULIP that we witnessed in Quarter 4. So, we are quite confident that this proportion within overall ULIP, which is isolated from market vagaries, will hold us in good stead as we go and start this year. This is something which was not available last year beginning.

Two, some of the things that you spoke about on interest rate correction that may happen. To start with, we'll take it step by step because it is very difficult to envisage as to when the movements will happen, at what point in time during the year. Our job is to keep manufacturing products which are suitable for all varying dynamic economic environments. So, depending upon what customers decide to choose, we should have that available on the shelf. So, like single premium annuity business which was impacted for a large part of last year, because of fixed deposit rates being very attractive, did see a pickup in February and March when this volatility happened and there was a flight to safety on simpler guaranteed kind of products during that phase.

And third, where I'm very confident is that retail protection has remained very, very stable from growth perspective. So, the retail protection is quite steady, which is more than almost 37%, 38% of our overall protection business. Non -MFI side of credit life business also is very stable. In fact, it is growing at a good double -digit growth, close to around 20%. It's only the non -MFI part, which is 40% of our credit life, which has got impacted, which we believe that couple of quarters down the line.

Dhiren Salian: Sorry Amit, that is MFI section that got impacted.

Amit Palta: Yes, non -MFI grew at a healthy rate, but MFI was challenged, which I believe a couple of quarters down the line will follow the trend, whatever is there in the industry to pick up. So, I think we'll take it step by step. We'll see how economic environment emerges. I think we are very confident on the propositions available and our ability to serve our customers irrespective of any changes in the environment that we witness.

Shreya Shivani: Thank you. That's very useful. Did you mention that in the credit life, the MFI segment is about 40%. Is that correct? Sorry, there was a disturbance.

Dhiren Salian : So, MFI had not done too well over the quarter three and Quarter 4.

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Shreya Shivani: Okay, fine. But it is now at 40%. That reading is right?

Dhiren Salian : Yes, broadly.

Shreya Shivani: And just the las

t bit on group funds. Will we structurally keep it high at

₹ 6 to ₹ 7 billion or can it be very volatile just to work for our modeling purpose?

Dhiren Salian : Sorry, can you repeat that question again?

Shreya Shivani: The group funds business in your product mix, right? Historically, every

year you used to do between ■ 2 to ■ 3 billion of that, right? This time it is much higher. It is about ■ 6.6 or whatever.

Amit Palta: So, see I tell you, we have fair coverage. We have invested in our institutional side of business for a very long time. So, we are present everywhere across our employee benefit propositions as well as group fund. So, this is lumpy at times. We get large lumpy deals, at times it works out, at times it does not. So, when it comes, we are happy to take it. And if it doesn't, we won't lose our sleep on that.

Dhiren Salian: Shreya, this is lumpy business. Difficult to predict how it would forecast into the future. But there's money on the table, so we take it.

Shreya Sivani: Sure, very useful. Thank you so much. Just one feedback. You guys used to give the absolute VNB by product segment in your 4th quarter presentations. I couldn't find that in the PPT this time. It used to be very useful, so please do keep sharing that going ahead. Thank you.

Dhiren Salian: Sure.

Moderator: Thank you. The next question is from the line of Zhixuan Gao from Schonfeld. Please go ahead.

Zhixuan Gao: Thank you so much, congratulations on your good set of results. So, we just follow up on the V NB. Do you mind? Do you have that handy and do you mind sharing that with us?

Dhiren Salian: No, Gao, we don't have that in the deck. So, there was anyway context to this. We had introduced that split when we were largely unit linked and we were just growing our protection business. In the current context, as you've seen, the product mix by and large stable across linked, non-linked, annuity and protection. Of course, year-to-year, there are some minor variances. We don't see the relevance of the disclosure at this point. In any case, the market doesn't split it in that form.

Zhixuan Gao: Got it. And sorry to go back to this again, FY 2026 growth outlook. I know things are a little volatile, but if I look at the 4th quarter it is -5% and you have previous

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participant pointed out that the next nine months is high base. So, from a broad range-wise, should we realistically expect a single digit kind of growth or any level that you can guide us towards?

Dhiren Salian: So, Gao it is very difficult to forecast growth. We don't give guidance, but our endeavour is to be able to grow, given the fact that we've got a fairly diversified distribution mix and we've got a fairly diversified product mix. As Amit also explained in the opening comments, our channels have been able to nimbly switch between types of products depending upon the environment. We don't impose any specific threshold in terms of how much specific types of business can be done. And we allow the channels to nimbly switch across from one product line to another depending upon the environment. The whole idea being that you should be able to take part in any opportunity that comes across to you while delivering growth. And that is going to be our endeavour.

Zhixuan Gao: And just to go back to the EV walk on the operating assumption changes, first of all, you said that part of this is mortality assumption changes, do you mind to quantify how much of that? And also, what are the other large items that is contributing to this?

Dhiren Salian: So we mentioned this earlier, we had seen that large mortality variance last year, which is one of the big things that we have taken into account as we have set out our operating assumptions this year.

Zhixuan Gao: Okay, the ■ 2.5 billion. How much of that is pertinent to FY 2025? Just to double check.

Dhiren Salian: So, most of it, actually not, it

'll be split between FY 2024 and FY 2025

mostly, primarily because this is from the group line of business, group credit line of business and group term. So that is all that we had seen from a delay perspective.

Zhixuan Gao: So, the actual FY 2025 V NB, which is ■ 23.7 billion, so we have to deduct some of that from these ■ 2.5 billion of operating assumption changes?

Dhiren Salian: No. FY2025 VNB factors in assumption changes done on account of mortality. We've not quantified how much of operating assumption change in VNB is due to mortality variance.

Zhixuan Gao: Okay, I understand. Thank you so much.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thanks a lot for the opportunity. My first question is on the operating assumption bit. Just wanted to understand that given you had already made an

adjustment last year, why didn't you change the assumptions at that point itself? And why did you have to wait for FY 2025 to make that adjustment? If you could give us some colour on how you think about this, this would be very helpful given we have been seeing some bit of negative either operating variance or operating assumption change over the last two years?

My second question is on the cost bit. Now, in the initial opening remarks, I think Amit mentioned that the investments will continue. But if growth is slowing down and you are already seeing a fair bit of cost buildup over the last two years, then in that case, there could be significant operating leverage if the cost growth remains at current levels going into next year. So how do you manage that investment versus operating deleverage? If you could give some colour on that? And lastly, you had launched the zero-surrender annuity product last year. I wanted to understand how has the surrender experience has there been till date. Thank you.

Dhiren Salian: Hi Supratim, so the way we think about operating assumption changes is to understand what are the kinds of variances that we get and whether we have a view on these variances being sustainable at that level or they would tend to mitigate. So, at the end of last year, we weren't certain. We had seen delays in the claim reporting in group lines of business, specifically on credit lines. And that is what we saw at the end of the year which was at a negative of roughly ₹ 2.88 billion. Now, as we monitor this experience through the year, we've been able to ascertain what are the kinds of strengthening that we need to do in our underlying assumptions. And that is what you now see resulting in the overall negative ₹ 2.54 billion. Having taken those assumptions on board, what you see are minor positives across the variances this year. So, as I mentioned, we believe we've been able to capture most of it. And that is the reason why we see these positive variances. Of course, the reason why I cannot give you a definite answer is because we will keep monitoring this as time goes by. And our philosophy on this is to be able to catch variances as early as we can and then take them into account as part of our assumption changes.

Supratim Datta: Got it. And will this ₹ 2.54 billion completely go to the FY 2025 VNB?

Dhiren Salian: No, I answered that question. It's across the book so it's little difficult to quantify what portion of which year.

Supratim Datta: Got it.

Dhiren Salian: Coming to the question on cost, what you can observe is that we've been able to manage our cost ratios sequentially over the last couple of quarters. And you are right, it is for us to be quite calibrated as we look at growth into the coming year. That is going to be a fair big component because we wouldn't want to get into an operating deleverage situation. And that is going to be an endeavour, very clearly.

Coming to your question on the benefit enhancer. See, one of the things that we've done with

the benefit enhancer last year is deferred commission. So, there is no real reason for customers to be able to or any customer to actually ask for the money back just because they are looking at some sort of a return. Because all they are getting actually is the money that they've paid. Of course, they are going to lose the GST component top of it. And the fact is the distributor also has got his commission deferred across the board. So, whatever we have, we have built it as part of our assumptions, and it's baked in at this point.

Supratim Datta: Got it. And Dhiren you have highlighted the commission rate. So, there have been articles indicating that the regulator has been talking about, you know, have expressed their unhappiness with how commissions have increased across both general and life insurance. I just wanted to understand how as a company is ICICI Prudential looking at it and how are you looking at normalising commissions because there has been commission increases that ICICI Prudential has also seen in the last one and a half years. So wanted to understand, how you are looking at it as a company as well. And that's my last question. Thank you.

Dhiren Salian: Yes. Supratim, so the idea is to actually look at overall costs. So, while we've been able to respond to the market in terms of increasing commissions where relevant and do that in a stepwise fashion, what we've also done is take steps to be able to reduce our opex cost elements as well. So, if you look at the overall cost base from FY2024 to FY 2025, that overall cost has gone up by about 12% to 13%, where we've seen the topline grow at 15%. So, we are quite cognizant that while there may be some

expense increases along the commission line, and we calibrate that in line with the market, we will have to ensure that our residual opex has got some sort of a decrease such that we are able to keep our overall expenses under control.

Supratim Datta: Thanks a lot.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. Just a couple of questions. Firstly, on the VNB walk, you have given a positive impact of VNB from product mix of about 200 basis points. If you look at your product mix, ULIP share has gone up, protection has gone down, group fund has gone up. So where has this benefit come in from? That would be my first question. And second, last year you had taken a ₹ 2.88 billion hit of mortality and morbidity variance in your EV. And that was again with respect to this business, what you spoke about in the assumption changes. Now again, you have taken about ₹ 2.3 billion. We are talking about almost a ₹ 5.1 billion hit of this underwriting or mortality experience which is at worst. Is it like everything is factored in or we can expect some more changes? How should we look at this? That will be two questions.

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Dhiren Salian: Yes, Prayesh, just a quick correction in what you said. What you saw last year was a variance of negative ₹ 2.88 billion. What you see this year is a negative ₹ 2.5 billion of assumption changes, which essentially is multi-year variances built into it. So therefore, when you look at the current set of variances, it's positive across other line items of persistency, mortality, and expenses. Seeing those positives, what we believe is we've been able to take into account all that we have been able to observe out of our portfolio so far. Otherwise, you would not have ended up with the positive variance. That's your second question. On your first question, yes, so the business profile that you see as positive, factors the shift in the product mix, which as you rightly pointed out would have been negative given the shift towards unit link and of course the drop in MFI. But as we've mentioned, we've been working towards improving the underlying profitability of our portfolio through

increasing policy terms, sum assured multiples and rider attachment. Like I mentioned, the overall retail sum assured has grown very strongly by 37%. So, what you now see is the impact of the shift in the product mix that's again countered by the effects of repricing and the underlying profitability that we've built into it. And that has resulted in the positive 2%.

Prayesh Jain: And within that, that's where your VNB mix helps us to understand the profitability of each of the product segments. So, it would be great if you could reshare that because that helps us understand your product profile even better. So that would be helpful if you could share that. Thanks.

Dhiren Salian: Noted, thanks.

Moderator: Thank you. The next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.

Aditi Joshi: Yes. Thank you for the opportunity. Just a couple of questions. Firstly, in the VNB margin walk, we have this impact of economic assumption change of minus 60 basis points. And I think we have already repriced some portion of the non-participating product in the last year. So just wanted to understand like the reason behind it. The reason I'm asking is that when you look at your EV sensitivity to reference rates, it gives you a positive sensitivity. I understand that it's mostly related to the discount rate as we are using the market consistent embedded value. But just wanted to understand like when we take both of these two under consideration at the same time, it's still a negative impact on the VNB margins, if you can help understand like what all factors are playing here? And second on the persistency side, more on the longer-term cohorts, there seems to be somewhat decline. Is it mainly from the COVID years and going forward shall we expect that to improve? Yes, that's all. Thank you.

Dhiren Salian: Yes, Aditi, the economic change that you see in the VNB walk is largely on effect of the yield curve. Now, technically, we should be able to reprice every month. Unfortunately, that itself is a challenge that one cannot execute. So, to the extent that we were unable to reprice, and we had seen that in the first half of the year, because we

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had to make all the changes due to the surrender value guidelines, we were unable to reprice some of our interest rate sensitive products through most of the year. But this element at the end of the day is small. It's about 0.6%, which is a function of how the yield curves have moved through the year and the pricing of the products at various

points in time. Coming to your question on persistency, I think you believe you are referring to the 61st month. A large portion of the portfolio that sits in the 61st month is unit linked, where we've been able to get our customers to continue staying in the product even though they are not paying premiums. There's something called a cover continuance option, which allows the customer to continue to enjoy the benefits while they are not making the premium payments. So that, while it is value accretive to the company because we do earn FMC of the funds that are resident with us as well as the residual mortality elements, it does show up as a minor negative in persistency.

Aditi Joshi: Okay, got it. Just one follow up to my question, my first question. On the Slide 69, you have shared the reference rates and it has been broadly in the shorter tenors going slightly downwards. So just wanted to understand that the NBV margins that we have reflected in the earlier slides, it's basically adjusting these reference rates, right? Post adjusting these reference rates and then economic assumption and downward revisions. So, it's a combination of both?

Dhiren Salian: Yes, so the VNB margin does take to account the reference rate movements through the years. The sensitivities that you see are effectively built on the reference rates that you see at March 31st towards

the end of the year. One of the interesting parts that you see from the reference rate is that it has become far steeper than what you had seen at the end of last year.

Aditi Joshi: Okay, thank you.

Moderator: Thank you. The next question is from the line of Umang Shah from Banyan Tree Advisors. Please go ahead.

Umang Shah: Yes. Thank you. Thanks for the opportunity. One question was with respect to the annuity product that we launched in Q4 of last year. Now, I understand that this year's Q4 would have a higher base. But could you explain why there was a decline on a year-on-year basis for full year FY25?

Dhiren Salian: So, Umang, last year when we had introduced the product, we actually had a lot of ATL support along with our new product thrust. So effectively, we had a very high base. In fact, in Q4, it was roughly about 20% of the business was coming in from the annuity. But as you look at through the year, that has stabilised and it's come more closer towards the 8% mark. So, on an incremental basis, we still do in the range of 8% towards annuity. But when you compare it year-on-year, you do see this base effect come through.

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Umang Shah: Sure. And sir, we have become quite active in the group fund space. Any reason why we picked it up in FY 2025? And if possible, what is the range of VNB margin that we earn here?

Dhiren Salian: So, Umang, we have been very active in all group lines for many years now and we have been picking up group funds wherever available. As Amit also explained, this is the set of superannuation funds that are available in the market. This does have lower margins relatively, but there's money on the table and we are quite happy to take it.

Umang Shah: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. Can you share the approximate share of ICICI Bank in your APE for FY 2025?

Dhiren Salian: Yes, Nidhesh, it's roughly in the range of 14% -15%. It's been broadly steady through the year.

Nidhesh Jain: Okay, so it has now stabilised and is growing in line with the company?

Dhiren Salian: Yes, it's broadly stable, Nidhesh, through the year.

Nidhesh Jain: Sure. Second question is on VNB margin walk again. So, the unaffordability because of ULIP, that should be a part of a new business profile, right? Because if ULIP share is going up, then that is a product mix change and not the assumption change. Or you have changed the unit cost assumption for ULIP and non-ULIP and that's why you reflecting it in operating assumption change?

Dhiren Salian: Yes, under the IEV, we are supposed to reflect all costs at the end of the year. So, if there is an update to the expense unit cost, then that gets reflected under operating assumption. Unlike other formats where you could work with the long-term cost and show an expense variance, under the Indian embedded value you can't do that. So, you have to reflect all costs at the end of the year and true them up. So, if there is a change in your unit cost that gets reflected in the assumption changes.

Nidhesh Jain: Okay, so but you have not changed the long-term unit cost assumption. It

is just that FY 2025 the costs are high. So that's why for that...

Dhiren Salian: No, Nidhesh. Under the IEV, there is no concept of long-term unit cost.

Nidhesh Jain: Okay. So basically, the way to understand is that ULIP margin in FY25 is lower than ULIP margin of FY24, that's the way to understand it or?

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Dhiren Salian: No, that's not. That's not the way to understand it. It is just that whatever expenses that we have, we have reflected that within the VNB walk itself under the operating assumption. Not all of it is expense, but yes, we reflected whatever we had.

Nidhesh Jain: But we have not changed any expense assumption. It's just the experience of FY 2025 that's

reflected in the VNB walk?

Dhiren Salian: That is right. Given the fact that the mix had shifted towards unit linked.

Nidhesh Jain : And EV walk assumption change is entirely because of mortality?

Dhiren Salian: So, EV walk has got other components within it, but this numbers largely explained by mortality.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: Thank you for taking my questions. Just two quick questions. Number one, I think as an answer to one of the previous participant's questions, you mentioned that in that operating assumption variance, there is some component of FY 2025 VNB as well. Is my understanding correct? And if that is the case, then to some extent would it be fair to say that that 22.8% VNB margin is slightly overstated and hence going into FY2026 that should come off just, not taking into account any other change, but just on a like -to-like basis?

Second question would be just on an overall growth. I know we always aim for VNB growth and we were sort of targeting about a 15% VNB growth in the beginning of the year, but we have ended up just about 6% to 7% VNB growth. Retail APE growth has been around 11%. Can we get some sort of realistic expectations for retail APE growth going into FY 2026 that will be very useful. Yes, those would be my two questions. Most of my other questions have been answered.

Dhiren Salian: So Madhukar, let me clarify for the other participants also on the call.

When we take the operating assumption changes for the current year as part of the EV, this reflects all known experience that we have at this point. So, when you look at the walk that you see currently, the VNB margin that at the end of the day accounts for all of these adjustments as well. Having made those adjustments, what you are seeing residual are small positives around persistency, mortality and expense. So, to say at this point that we would see something negative coming through, I don't think is correct. To the extent that we know and we have been able to see, we have reflected that as part of the assumptions. I hope that clarifies that point.

The second bit around retail business, for this year we've seen retail grow quite strongly. One of the challenges that we came across during the year was on the credit life and specifically on the MFI side where we saw declines and this is something that is not

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within our control. This is what the environment is at. This has been well discussed in other forums and to the extent that while the MFI business may be soft for the coming quarter or maybe further, we do not have any control over that. What we will do is we will work beyond that and will be able to build other lines of business.

Madhukar Ladha: Given your retail APE growth is 11%, right? It's the group APE which has driven the total APE to 15% growth. So that's where I'm coming from.

Dhiren Salian: No, actually, if you look at Slide 9, you can see that retail APE is at 13.3% which takes along with group, it takes the overall APE at 15%. If you look at the retail APE number, that's at 13.3%. RWRP does have an element of modal business in it, but this is the number that you compare when you look at year -to-year.

Madhukar Ladha : Yes. Got it. Thanks.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala : Yes, thanks for the opportunity. A couple of questions. One on VNB margins. So your report on embedded value results have given a breakup of VNB for savings and protection separately, so we can calculate the protection and savings VNB margins. It seems like in the protection segment, the margins have come down significantly this year, despite not much change in the mix of protection that you have been able to record in terms of APE. So just wonder

ring what is the reason for such a significant drop almost from a 75% to a 55% VNB margin on the protection side. And the second question is your sensitivity to reference rates on VNB margin seem to be significantly higher than some of your peers as well. And, you know, as of last year, you were giving sensitivity to VNB and it seems like almost 100 bps reference rate change, changes the VNB by 15% point for you roughly. So, what are the products that are driving that and are we doing something to reduce the sensitivity? Thank you.

Dhiren Salian : Yes, Rishi, if you look at the reference rate change to VNB, frankly, this precludes any management action. So, we discussed this earlier also on a different question, we would be in a position to reprice it. Sometimes you are not in a position to reprice it every month, but the idea is to be able to catch up and reprice this at every possible opportunity. So, to the extent that we are able to catch this repricing, we are in a position to correct whatever gaps that we see in terms of the margin outflows. So, while yes, you are right, this number does look fairly steep. But in some form this does get caught at every point. So, some of the changes also to the other question in terms of the protection margins are largely around the updates that we have done on the mortality which have flown through. But a large portion of the business again is on the group side, which we'll continue to look at pricing as time goes by.

Rishi Jhunjhunwala : So, protection, these are the sustainable margins from here on?

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Dhiren Salian : Sorry, can you repeat what you said?

Rishi Jhunjhunwala : Yes, I was asking that the FY 2025 protection VNB margins, are these the sustainable margins going forward?

Dhiren Salian : See, we would expect these margins to improve as time goes by, and we've got an opportunity to correct these via pricing actions that we have on the ground.

Rishi Jhunjhunwala : OK. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Good evening sir. A few questions from my side. First, if I look at your 13th and 49th persistency on the non-linked business, on a Y-o-Y basis there seems to be a good amount of decline. If you can shed some colour on that. Second on the non-par you mentioned that while growth has recovered in the 4th quarter, if I look, let's say on a two-year basis and compare with March '23, even excluding the one-off which you had mentioned at that time of around ₹ 5 billion, there is actually a decent high single-digit CAGR decline on a two-year basis also. So, what gives you confidence that this segment should really pick up on a low base going into the next year? And lastly, going back to the question of the previous participant, is it fair to assume that ex of the credit life business, the other segments like retail protection and also maybe the credit life business, the margins have seen some amount of moderation? So those are my three questions.

Dhiren Salian: So, on your question on non-par, yes, through the year, this had declined. But what we've seen in Q4 is a resurgence of non-par primarily on the back of the GIFT Select product that we had launched there. And given the current economic conditions where things are a little volatile, we believe this would be a product that would do well in this set of market conditions. With regard to your question on persistency, there have been some changes, yes, some minor drops that we've seen in terms of persistency, but that's largely around certain segments which we will look at correcting as we go through the year.

Dipanjan Ghosh: Sir, the question on protection margins, subsegment wise, they have been stable or kind of seen some change, ex of group term?

Dhiren Salian: No, so on the retail side, we are holding margins on the protection side.

Dipanjan Ghosh : So then one data keeping question, would you like to specify the non-par mix? I mean, normally you give a broad range for the year?

Dhiren Salian : Yes, so roughly for this year Q4, we're at about 50-50, thereabouts, we're 55-45 on the par side in Q4.

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Dipanjan Ghosh : Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: Congratulations on strong set of numbers. So broadly I wanted to understand the ULIP margin bit. So of course, you have not given it out this year. But the assumption is that as the volume growth has been much stronger in this year, 15% growth, the

margins should have come up from the levels which we saw in the last two years. So if we assume something like a similar growth for the next year, somewhere around 15%, do our margins further improve on the ULIP bit, if you can give that even quantitatively?

Dhiren Salian : So, the margins on ULIP are slightly higher than that they were last year. But a large portion of that does come about based on the features and riders that we have attached as part of the products. So, as we continue to attach more of them, we should be in a position to improve the underlying profitability of that line of business.

Raghvesh: And this attachment, we have actually started much towards the end of Q 3 and beginning of Q 4. So, the next year, we should see the full impact?

Dhiren Salian : If we are able to sustain the momentum, it should help. And that will be our endeavour.

Raghvesh : Yes, of course.

Dhiren Salian : Sorry, Dipanjan, I think I misspoke on Quarter 4, and this is pointed towards Dipanjan, Quarter 4, Par, Non-par has been roughly half-half. Just a quick data keeping item there.

Moderator: Thank you. The next question is from the line of Prakash Sharma from Jefferies. Please go ahead.

Prakash Sharma : Thank you. Just two quick bits. One, is the steepening of yield curve positive from doing the business in the non-par side? Last year practically everything was around, you know 7.2 to 7.3 now, it's like 6.6 to 7.5. So, does it allow you better flexibility to do non-par at better margins? That's first question.

Dhiren Salian : Yes. So, Prakash, it does allow flexibility, but of course it is depending upon the environment and we've been in position to correct our prices or update our prices based on how the market also evolves.

Prakash Sharma : And any comments around the distribution related regulations, both on bancassurance and the amendments to the act on agency?

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Dhiren Salian : None at this time, Prakash.

Amit Palta : We have not heard anything on that front till now.

Prakash Sharma : Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Thank you for the opportunity. There is an observation. If you see the 4th quarter, the non-commission cost has meaningfully come down compared to what you usually report in 4th quarter compared to third quarter. We saw that kind of phenomenon probably in COVID year. So, this significant cost cutting, especially in the employee cost has also played a meaningful role for margins to hold up to nine months number. I just wanted to check whether this cost, what you reported in the 4th quarter is a new normal or is it a sustainable number going ahead to look from margin perspective? That's my first question.

And the second question was just maybe wanted to check is that, this assumption change which you have spoken about, I don't know whether I might have missed it this is largely a reflection of non-retail protection business, right? So, in the retail protection business, are there any meaningful assumption changes or it is largely related to non-retail protection business?

Dhiren Salian: So, let me take

a second question first. Yes, the assumption changes can largely be explained by the group side of business, which is the non-retail side. Coming to your other question on cost ratio, rather than look at the split between commission and non-commission, the idea is to be able to manage the overall cost ratio put together. The endeavour that we will have is to keep our overall costs in line with the product mix and therefore the affordability that we are able to generate out of this. And we would like to keep this as low as possible while of course continuing to invest in areas that we think give a strategic advantage, such as IT digitisation, as well as supplementing channels with the feet on street where required.

Sanketh Godha : Okay, but this cost is a sustainable cost, what you delivered in 4th quarter?

Dhiren Salian : The idea is to be able to keep costs under control across the quarters as well.

Sanketh Godha : Okay, I got it. And lastly, this new non-par product somehow has cannibalised into your regular pay deferred annuity, zero surrender product. So that's probably one of the reasons which led to a muted growth in annuity. So, there is a bit of cannibalisation among the products to some extent?

Dhiren Salian : No, we don't believe so. These are two different lines of business. The annuity product is targeted more towards a person who is nearing retirement, the regular pay annuity, which would typically be a 55 plus. A single pay annuity would be targeted at a 60-60 plus. Whereas the Gift Select would be targeted at a much lower age.

Amit Palta : Also, this annuity product that we launched last year, prior to that, our annuity mix used to range between 4% to 5%. So even now, after having stabilized the momentum that we got last year Quarter 4, we are still at 7% to 8%. In fact, 8% is what we delivered as an annuity mix. So, annuity is holding on its own. And like what Dhiren mentioned, it is more appealing to customer who's nearing retirement. Whereas Gift Select is targeted for relatively younger customers looking at that product for his own consumption needs and hence he looked at liquidity as one of the features which appealed to them. So very, very different products.

Sanketh Godha : Got it. Dhiren, one more thing. If your contribution of MFI or group protection comes off because that's where your assumptions have been a little off. So, if large part of the protection in subsequent years is driven by retail, then this 54% -55% margin what you reported in the current year should go back to those 70s level or even irrespective of the product mix the new normal is somewhere around 55 % in the protection business?

Dhiren Salian : No, as we are able to correct some of the pricing actions on Group as well, we should be able to bring this up.

Sanketh Godha : Okay, got it. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal : Yes, thanks for the opportunity. So the first question is on the agency counts. If I look on a gross basis, we had about 60,000 agents that were hired. But on a net basis, if I look, it was just 20,000. And so basically 40,000 agents were out of the system this year. And even if I look at last year, this number was around 35,000-36,000. So, is it right to assume that 35,000 to 40,000 agents would not be a part of the system every year, no matter how much we kind of hire?

Dhiren Salian: So, Mohit, the idea is that we would like to add productive agents, but the reality of the market is that most agents in India start off being part-time and then they graduate to full-time. So given the set of training architecture that we have deployed, both for our frontline as well as for agents, as well as the targeted approach that we have in terms of product training, we believe we should be able to get far more productiv

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agents as time goes by and as these training programs become embedded within our systems. Now, this is in terms of how agents get added and the count of 60,000 that you pointed out is going through these training programs through last year as well as into

the coming years. Now, the reduction of agent comes about from agents who have not really been performing and we take a fairly long view of it. Typically, agents who have not generated any business for four years, five years, they are the ones who come onto the deletion criteria. Because we do believe to give agents sufficient amount of time to be able to be productive and add to the topline of the company. There is no reason for us to be, because all of our agents are on a commission basis, there's no reason to be able to cut them off as quickly as possibly a year or so. So, some of the agent count deletion that you've seen are from agents who haven't performed for the last few years.

Mohit Mangal : All right, understood. My second question is in terms of repricing. So have we done any repricing on retail protection front over the last one year, say for a sum assured greater than about a ₹ 10 million or something ?

Dhiren Salian : So, Mohit, repricing does come about through the year. Whenever we see some segments that we would like to update prices, both up as well as down, we do that through the year as well. So, there isn't a single point where we take a big step change, but we would rather do this in segment and across the year.

Mohit Mangal : Understood. That's very helpful. Thanks, and wish you all the best.

Dhiren Salian : Thanks, Mohit.

Moderator: Thank you. The next question is from the line of Manas Agrawal from Sanford C. Bernstein. Please go ahead.

Manas Agrawal : Two questions, one on the economic variance that we've reported. Can you split this into debt and equity? I assume debt could be positive and equity would be negative, but correct if I'm wrong. And the second question is, can you help understand ballpark, what is the contribution of 80C to Q4 or March sales? Because if I just look at

the numbers for March trendline over time, it does seem to be a non-trivial amount.

Dhiren Salian : So Manas, 80C has not really been a big drive for us for many years now. Even when we had gone to IPO, when we had a large number of cases that were coming on the Unit Linked side, the ticket sizes of these products have been typically in the range of ■ 150,000 to ■ 200,000. Even now, when you look at the breakup of ticket sizes, that is part of our pack towards the end, you will see that with these sets of ticket sizes, the kind of, let's say the kind of reliance that customers would be taking towards 80C would be extremely small. I cannot rule out that people would not be taking advantage of this for 80C. But when you are looking at ■ 150,000 to ■ 200,000 ticket sizes, the expectation is that they would have covered these up through other investments. And they are using this essentially to be able to save for the long term and towards goals that they have set out.

Manas Agrawal : Thank you, And on the first question on economic variance?

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Dhiren Salian : So this is split across both debt and equity. Let me just get back to you on that one. I don't have a break up at this point, Manas.

Manas Agrawal : But directionally when rates have gone down, the debt should be up. I think you said that it's both negative.

Dhiren Salian : No, it's countered by both.

Manas Agrawal : Okay, I'll await details and maybe take it offline.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS Securities. Please go ahead.

Neeraj Toshniwal : So, if I add back the assumption change, operating assumption to your protection VNB, the normalised protection margin will be 70%, so it would be much lower than last year. Would it be right to say that the overall protection ma

rgin

specifically has gone down and what is the right number we should be working with as you mentioned that there will be some pricing improvement, so it won't stay at 55% .

Dhiren Salian : So, Neeraj, we will work at bringing the protection margins up back to last year's levels. That will be our endeavour.

Neeraj Toshniwal : Yes, but even if I claw it back, it would be more than 70%. It won't go to 75%, which you have seen earlier. So maybe you can look at the average of last three years, because it includes variances of earlier years also. So that is about 67%. So wouldn't that be the correct way to looking at it, because it's not just one year which is impacted here, know, assumption change?

Dhiren Salian : Yes, the pool put together and it's fair to look at 60% to 70%.

Neeraj Toshniwal: Okay, that is one thing. Second, of the operating assumption in the VNB margin of 3.3%, can we call it out how much is from mortality and how much is from expenses?

Dhiren Salian : We've not called it out. Like I said, the large portion of the operating assumption change can be explained by the update to the group side mortality.

Neeraj Toshniwal: So, what is the normalised or maybe the fair question is what is the next year in terms of obviously you are seeing faster growth that you know probably looking at growing faster than APE, can we have some insight into how much APE growth can we actually you know built through next year?

Dhiren Salian : Neeraj, very difficult to call into next year given the current volatility and the environment conditions. However, I think if you were to look at a medium-term perspective, I think we should be able to build in a range of 13% to 15 % APE growth

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definitely as an industry and we would like to outperform on that perspective. But over the shorter term, quite difficult to call.

Neeraj Toshniwal : That is helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference call to Anup Bagchi for closing comments.

Anup Bagchi: Thank you everybody for joining and have a great evening.

Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' et c., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact

of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward -looking statements to reflect events or circumstances after the date thereof .

Call: Aug 2025

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Energy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

July 22, 2025

General Manager
Listing Department
BSE Limited,
Phiroze Jeejeebhoy Tower s,
Dalal Street,
Mumbai 400 001 Vice President
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza',
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter ended June 30 , 202 5

In continuation to our letter(s) dated July 10 , 2025, and July 15, 2025 , the Company had hosted an earnings conference call with investors and analyst on Tuesday, July 15, 2025 , at 2:45 p.m. IST , to discuss the performance of the Company for Q1-FY202 6.

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for Q1-FY202 6 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair
Company Secretary
ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Quarter ended June 30, 2025 (Q1-FY2026)
July 15, 2025

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Anup Bagchi

Thank you. Good afternoon, and welcome to the results call of ICICI Prudential Life Insurance Company for the quarter ended June 30, 2025.

I have several of my senior colleagues with me on this call. Amit Palta – Chief Products and Distribution Officer; Dhiren Salian – CFO; Judhajit – Chief Human Resources and Operations; Deepak Kinger – Chief Risk and Governance Officer; Manish Kumar – Chief Investment Officer; Souvik Jash – Appointed Actuary; and Dhiraj Chugha – Chief Investor Relations Officer.

Let me take you through the key developments during the quarter.

We express our sincere gratitude to Mr. Dilip Karnik, who has retired from the position of independent director, effective May 9, 2025, having completed the maximum age of 75 years as prescribed by the IRDAI regulations. We also held our 25th AGM through our video conference on June 27, 2025. All the items specified in the AGM notice were approved by the Shareholders of the company.

Now let me provide the business overview.

The Indian economy has gone through uncertain times over the last couple of quarters with challenges in micro finance sector, tariff wars and geopolitical events. This has led to volatility in equity markets and has impacted the market sentiment in general, specifically discretionary spending. The life insurance industry was also impacted and grew at a slower pace in Q1 -FY2026, delivering 5% year-on-year growth in retail weighted received premium as compared to 20% growth in the previous year Q1. ICICI Pru Life grew at a very high pace in Q1 last year, delivering a 47% RWRP growth, primarily led by strong linked business on account of buoyancy in the equity market and a unique product offering in the annuity segment. Thus, this year's Q1 was impacted by both external factor in the form of uncertain market environment, an internal factor being a very high base of last year.

On the other hand, we have witnessed a surge in the non-linked segment as customer preference started shifting towards guaranteed products, given the volatility in equity

markets. Additionally, the retail protection segment continues to witness strong momentum as the product by its inherent nature, is not much dependent on the market environment. Amit will talk about the market movements in detail. Now the key performance highlights for Q1 -FY2026:

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- APE declined 5% year -on-year to ■ 18.64 billion, and retail APE declined by 9.2% year -on-year to ■ 15.12 billion. The 2 -Year CAGR for both stood at approximately 13%.
- Retail NOP grew by 2.6% and new business sum assured grew by 36.3% year -on-year, led by strong growth in protection businesses. Retail new business sum assured grew by 31.5% year -on-year.
- Total premium grew by 8.1% year -on-year to ■ 89.54 billion.
- Our 13 -month persistency stood at 86%, and 49 -month persistency stood at 69.8%.
- We continue to deliver on our claim promise with leading claim settlement ratio of 99.6%, with an average turnaround time of 1.1 days for non -investigated individual claims.
- We remain focused on improving customer experience . 54% of our policies were issued on the same day for the savings line of business.
- Cost to premium improved by 280 basis points to 21.2% in Q1 -FY2026.
- VNB for the period was ■ 4.57 billion . With an APE of ■ 18.64 billion, the margin stood at 24.5%.
- PAT grew by 34.2% year -on-year to ■ 3.02 billion.
- AUM grew by 5.1% year -on-year to ■ 3.2 trillion as on June 30, 2025.

Risk management is an integral part of our ecosystem with a focus on right selling, right sourcing and right onboarding . Our robust risk management architecture is exhibited in our strong and resilient balance sheet and our solvency ratio stood strong at 212.3%. We have received recognition from various industry forums, affirming our customer -centric approach being embedded in every step of our business. The complete list of awards is provided on slide 49. With customer centricity at the core of everything we do, we will continue to work on our strength, that is product leadership, extensive distribution network, and business excellence, aided by building blocks of people, digitali sation and analytics.

On the cost front, we continue to work towards aligning the cost structure, which is commensurate with the product mix. All these initiatives together will help us achieve our core objective of increasing the absolute VNB, while delivering value to our cus tomers.

Thank you. And I will now hand it over to Amit to take you through the business updates.

Amit Palta

Thank you, Anup. Good afternoon, everyone.

As mentioned by Anup, the uncertain external environment led to consumer preference moving towards guaranteed products from market -linked products as wealth

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preservation takes precedence over capital appreciation during such times. As a result, non-linked savings business grew by 20.8% year -on-year, while linked business declined by 13.6% year -on-year in Q1-FY2026 .

Contribution from non -linked business increased to 21.5% and linked business mix declined to 46.8% of APE. In spite of this market volatility, 2 -Year CAGR for our linked business still stood at robust 24.1%.

There continues to be a category of customers who still take a long -term view and demand linked products irrespective of short -term volatility. Therefore, to further enhance our linked portfolio, we have launched 'Smart Insurance Plan Plus ', which offers affordable wealth creation with a premium as low as ■ 1,000 per month. We have also been increasing the proportion of linked products which are not only aimed at wealth creation, but also offer goal protection, high sum assured and comprehensive benefit for nominees.

Protection business grew by 15.2% year -on-year in Q1-FY2026 and contributed 21.9% to APE. The strong momentum in the retail protection business continued with 24% year -on-year growth. To further capitali se on this momentum, we recently launched 'iProtect Smart

Plus ', a protection plan, which offers flexibility to customers by providing them a choice to opt for premium break , and convert regular premium policy to a limited pay policy. The product offers an immediate death benefit on claim registration, there by catering to the family's liquidity needs in the time of distress.

In credit life business, we continue to witness a slowdown in the MFI segment in line with the challenges in the MFI industry. We expect a recovery in MFI space gradually over the coming quarters. Overall, credit life business, that is MFI and non-MFI together, is at a similar level as the previous year.

Group term business has grown year-on-year. As businesses continue to scale and the number of employees increase in the economy, this segment should also grow over the long term. Our strategy remains focused on selecting businesses which meet our defined risk-reward expectations.

Annuity business declined 53.3% year-on-year in Q1-FY2026 on a very high base.

Annuity does continue to be a focus area. Annuity CAGR for the last 4 years stood at 15%. Specifically, in this quarter, we are starting to witness an increasing shift towards single premium annuity, partly driven by the drop in fixed deposit rates. Group funds business grew by 53.7% year-on-year and contributed 4.4% to APE. This business is typically lumpy in nature.

Moving on to the channel-wise growth and contribution.

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Proprietary channel, which includes agency and direct, declined by 18.1% year-on-year in Q1, and contributed 38.5% to total APE and 47.4% to retail APE. The decline was primarily due to high annuity base of the previous year, and the shift in consumer preference away from ULIP products, which contributed heavily to the channel business. Over the last few months, these channels have been agile enough to pick up non-linked products. Historically, they have demonstrated the ability to shift product mix from ULIP, and non-linked savings business depending on the prevailing macro environment factors.

The 5-Year CAGR for our proprietary channel is 19% for Q1-FY2026. This demonstrates the channel's ability to deliver continuous growth across varied business cycles.

Therefore, we believe the decline in Q1-FY2026 is transitional, and we will continue to invest in our proprietary channels to sustainably grow the business.

Bancassurance business declined by 2.1% year-on-year and contributed 29.7% to APE in Q1-FY2026. 2-Year CAGR for bancassurance stood at 14.4%.

Partnership distribution business grew by 6.6% year-on-year and contributed 12.9% to APE mix in Q1-FY2026.

Group business grew by 18.9% and contributed the same 18.9% to APE mix in Q1-FY2026.

Our distribution mix is provided on slide 9. We strongly believe that well-diversified distribution is one of our biggest strengths. Today, we have more than 240,000 agents spread across geographies, 49 bank partnerships with access to more than 23,500 bank branches and 1,350 non-bank partnerships.

As we continue to deepen our channel distribution and penetrate further into micro markets to get more access to varied customer profiles, our ability to shift between product segments, depending on the prevailing economic environment should become even more seamless. We believe this will help us deliver sustainable growth, irrespective of the market environment over the long term.

I will now hand it over to Dhiren to talk to you through the financial updates.

Dhiren Salian

Thank you, Amit. Good afternoon, everyone.

Now let me take you through the financial metrics.

The Value of New Business (VNB) for Q1-FY2026 stood at ₹ 4.57 billion, and the VNB margin stood at 24.5%. The relevant comparison of Q1-FY2026 margin is with the full

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year 2025 margins, which were at 22.8%, as that captures the impact of all assumption changes done on March 31, 2025. The movement in margin is largely on account of

the

shift in product mix towards non-linked from the linked business as customer preferences shifted towards guaranteed products and a higher mix of protection business.

Coming to cost. Since last year, we have taken various cost optimization initiatives to have a leaner cost structure, and at the same time, align it to the emerging product mix. We have already started witnessing the benefits of some of these initiatives as we have now seen improvement in our cost ratios.

Our total premium grew by 8.1%, while our expenses declined by 4.4% in the current quarter. This led to an improvement in Cost to premium ratio by 280 basis points year-on-year to 21.2%. The Cost to premium for savings line of business improved by 270

basis to 14.1%.

We also continue to work on improving product level profitability through increasing sum assured multiples, longer tenure policies and increasing rider attachments. We believe that as we see improvement in our APE growth, both our cost optimisation and profitability improvement initiatives should enable us to sustainably grow VNB over the long term.

Moving to other financial metrics .

The Company's profit after tax for current quarter stood at ■ 3.02 billion, an increase of 34.2% year -on-year, primarily due to lower new business strain coupled with higher investment income from Shareholder investments. Our assets under management stood at ■ 3.2 trillion, and our solvency ratio continues to be strong at 212.3% at June 30, 2025.

Thank you, and we are now happy to take any questions that you may have.

Moderator : Thank you very much. We will now begin the question -and-answer session.

The first question is from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Yes. So, we are just trying to understand a little bit on the margins front. And if I just look at the increase in protection share between the last year and this year, and apply the 50% odd margin for this business, which was, I guess, reported towards the end of last year. Even then you should probably have had a much higher expansion in the overall margin. So, I was just trying to see if there's a way to reconcile these numbers.

Dhiren Salian : Nischint, Dhiren here. I think if you apply the full year product margins, you will get to what we are seeing at this point, by and large. There will be some minor movements that will be there such as some yield curve adjustments, et c., but you will get to this number.

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Nischint Chawathe : But if I look at just the protection level margin, there's almost like a 400 basis point rise in protection, right? And if I just look at the protection level margin, you should have got the Y -o-Y expansion in margins. So, I was just wondering whether I am missing anything.

Dhiren Salian : Yes. But it's beyond just the protection, right? You have linked, you have non-linked also. So, you have to take that into account, Nischint.

Nischint Chawathe : Again, and arguably, the linked business margins would be lower than non -linked, right, so...

Dhiren Salian : That's true. Yes. But you still get there. We have a group funds also that comes along the way. So, when you do the multiple , you will find that it broadly comes to this level. There will be some minor differences, which roughly will be about yield curve movements.

Nischint Chawathe : Sure. And what explains the sharp decline in the agency business?

Amit Palta : See agency business was really supported with the market buoyancy last year, and they had grown in excess of ~70% last year in first quarter. And that was supported, of course, through unit -linked product as well as a new annuity product that we had launched last year, and both these products did fairly well in the agency channels.

Those were the only two things because the underlying demand, while it saw a shift towards guaranteed products, the average ticket size, as you know, is relatively higher

that you experience when it comes to unit -linked products. So, that is the change, which is the underlying demand environment. Otherwise, the core fundamentals of agency still remain the way it has been for last so many years.

So, we are focusing mostly on licensing new advisors, adding on width , getting more advisors to participate, and ring -fencing our value contributors who have been part and parcel of our agency business for a very long time.

So, Nischint, fundamentally, you acquire new agents, you license them, you build in capability, you ring -fence , create programs, do a digitisation, take the administrative work away from advisors, and power them with applications like 'iPru Edge ' that we did exclusively for them, do differentiated propositions. All that work has continued even in Q1. Nothing has taken a backseat. It's just that the underlying demand environment was different in comparison to what it was last year. So, nothing fundamentally wrong, it is just that we have seen agency transitioning from one kind of environment , selling a category of product to a different category very well over the years. And this is just one of the transitional period.

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Nischint Chawathe : And on the bank side, where the business is more or less stable , I think there's a minor decline that there, the product mix remains the same? Or is there any change as well?

Amit Palta : Yes. So, bank also, as you know, that 50% of our bancassurance is ICICI bank , which is overall contributing to 15% of our overall business. And as you know, that ICICI Bank has made a choice of focusing on protection and annuity range of products, apart from unit -linked business, which is sold over the counter. So, unit -linked business because it has been generally impacted over the entire Q1 was expected to impact the ICICI Bank as well. So, that has contributed to a relatively flattish growth.

Nischint Chawathe : Yes. And just one final question is, if I look at the AUM growth, which was, I think, up around 5% year -on-year, probably could have been flattish year -on-year, but for the MTM gains on the equity book. So, I am just curious, in your view, when do you see the AUM growth kind of accelerating? Or do you see this as a concerning trend?

Dhiren Salian : So, not a concerning trend. See, market movements obviously not within our control. What we have been working at is to ensure that we get new business, and we continue the business that we have on our book as well. So, as long as that continues, the renews continue to grow, you will have a natural increase in the AUM, and then the MTM adds on top of that.

Nischint Chawathe : Yes. Because there is a small decline in persistency as well for, I think, the first and the last bucket.

Dhiren Salian : Yes. So, minor decline in persistency in the first year 13 -month bucket. Actually, if you look at it from the previous year, which is June 2023 numbers, it is broadly at the same levels. There are some product channel combinations that we have to work at, and work on these cohorts to improve the persistency.

Nischint Chawathe : And even the 61st level ?

Dhiren Salian : Yes. 61st actually is a regulatory change. There is additional time that is now available for both linked and non -linked policies. There is no requirement to foreclose any of these policies. And that's what's impacted the metric marginally.

Specifically on the unit -linked , customers can now continue to keep the policy with us. Even as they don't pay premiums beyond the sixth year in cases that they have difficulties, and they continue to enjoy the cover. From our perspective, when the policy stays with us, we do enjoy the F MC. So, it's still value accretive to hold on to that.

Nischint Chawathe : Got it. Thank you very much. Those were my questions. All the best.

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Moderator : Thank you. The next question is from Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : Good afternoon. Thanks for the opportunity. Two questions. The first one is on this persistency drop . Yes, if you look at June 2023, June 2025 are flat, but there is a kind of a decline versus last year. Is it that particular full capital return pension product that you had launched, is that, surrender or higher surrender in that product, particularly impacting this? And if that is the case, will there be a visible negative operating variance impact this year from that, higher surrenders in that? So, that's question one.

Second is on broadly on mortality trend. If you were to kind of exclude the Covid delta wave impact, do you see in a similar customer profile, the geographic and demographic profile, do you see any sort of change or deterioration in mortality trends in the last 6, 7 years. Of course, Covid delta wave quarter was a very, very exceptionally high sort of mortality. But in normal course of business, do you see for a similar economic and demographic strata, any sort of a change in mortality profile over the years? Thanks.

Dhiren Salian : So, Avinash, Dhiren here. Let me pick up the mortality trend question. See, outside of Covid, I don't think there has been too much of a shift in mortality. I think fundamentally, one has to understand that mortality does not shift very, very quickly. It's a slow -moving trend. And yes, while there will be commentators who will talk about improved longevity, improved health conditions, these do come about and impact mortality over a much longer tenure.

So, by and large, I think whatever we see on to our portfolio is a function of our processes and the way that we bring customers on -board. You may have noted in some of our slides, we have spoken about a lot of our models in place, which help us manage the onboarding process, which identify potentially poorer profiles in terms of mortality. And then we have a process by which we are able to understand what the customer profile and see if that's relevant for the product that we have offered.

So, this set of activities actually have resulted in some of our early claim numbers dropping to as much as 21% of overall claims, and you have seen that steady drop across the years. So, this is the kind of work that we have been doing to ensure that at least

when you look at claims, whatever could potentially be a very loosely put, a fraudulent kind of the claim, those are being controlled right upfront. Whereas, of course, over the long term, the underlying profile itself will play out. That's on the question on mortality. In terms of persistency, one other element that also does impact the 13th month is that if you recall back in March 2023, which was the last month when the tax regulations were changing. What we have seen is that particular month does actually have a heightened persistency. Now that would have played some part as the numbers have gone up to

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June 2024 numbers that you see of 89%. And as that has washed off, you do have it reverting to a more normalised level from the past few years.

Outside of this, there are channel and product mixes that like I said earlier, that we have seen some challenges on, that we will work at improving in these cohorts.

Avinash Singh : Yes. So, you are not seeing kind of any unusual thing in the surrender that may have impact on operating variances at this point?

Dhiren Salian : No, from the end of FY20 25 till now, I think it's a little too early. We'll wait and watch this as it goes by.

Avinash Singh : Okay. Thank you.

Moderator : Thank you. The next question is from Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Hi. Thank you for the opportunity. One thing I wanted to check, in the non-linked savings growth that you have delivered, can you give us some colour on what was the growth between par, non-par, some indication of which segment has scaled up faster? That's my first question.

question.

My second question is on the cost ratios now that your annual report and all public disclosures are out. I just wanted to check that does your non-par segments absolute cost of FY 2025, was it in breach of the EOM guidelines? I know the EOM guidelines are not applicable in FY 2025, but just wanted to check.

And an adjacent question to that is, when you talk about cost optimisation, can you help us understand what all initiatives are being taken on that front? Thank you.

Dhiren Salian : Hi, Shreya, so if the first question was in terms of the colour on non-linked savings, then roughly, at this point, we are looking at about 50-50 in terms of the par-non-par mix. Amit also pointed out that in these last couple of quarters, we have seen an improvement in growth for the non-par products, given obviously the environment that you have seen. So, that has actually done quite well in this particular quarter. So, now the whole non-linked savings portfolio looks like a 50-50 between par, non-par roughly.

In terms of our cost ratio that you spoke of the expense of management. I think we are well within the expense of management at an overall basis, both for non-par as well as the par lines of business.

What are we doing around cost optimisation. There is actually a variety of things that we have done. We continue to invest in manpower right now. Obviously, the idea is that

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where we need to have investments, we will continue those investments in terms of people. But by and large, what we have also tried to do is to understand what are the additional work that we do within our operations and look at cutting that out.

So, overall, when you look at the cost, you will find that it's actually has been steady and then declining as you look at this particular quarter.

Shreya Shivani : Right. But like if you are continuing to invest in and add manpower, I am not sure I understood where are we realigning.

Dhiren Salian : So, there will be realignment of manpower along the way. So, if you have channels where you do need to invest, you will continue to invest in those. Where we don't need to invest, we would move out of those.

Shreya Shivani : All right. Got it. And just one follow-up question. When you sell these products like the ULIP plus Protection product, which has done quite well for you, so how are the premiums reflected in our product mix table? Do you show that in ULIP. I don't understand that, bit of it is shown in protection, bit of it is shown in the ULIP line item. How do you show that premium?

Dhiren Salian : Rider attachments will be part of the base product. So, it will show up in specific line of business.

Shreya Shivani : So, it will show up in ULIP products, right, because protection is the rider, correct?

Dhiren Salian : So, if a ULIP product has been sold with the rider, then the entire premium of ULIP and the rider would be shown under ULIP component. What you see under protection and specifically retail protection are term plans. And if there are riders that are attached along with the term plan, they will show up over there .

Shreya Shivani : All right. All right. Understood. Thank you so much. This is it from me.

Amit Palta : We have attachments on non-linked products as well. So, that shows in the non-linked savings product.

Shreya Shivani : Got it. Understood. Thank you so much. Thank you.

Moderator : Thank you. The next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Thank you for the opportunity. I wanted to understand, again, this annuity piece a little better. So, if I add back the annuity premium what you did last year Q1 and to the current quarter number, assuming flat growth, your APE would have

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shown a marginal growth. So, which means that somewhere there has been a significant cut in the annuity business, which is clear from the numbers. Is it largely because

you

incrementally have reduced the exposure to the regular pay zero surrender charges product.

And I just want to understand the ■ 100 crore business what you did in the current quarter is predominantly single premium, just to avoid maybe persistency risk with respect to the annuity business. That's my first question.

Dhiren Salian : So, Sanketh, year after year, the underlying business are slightly different between product lines. So, even when you look at ULIP, the underlying business itself does change a bit. Specifically on the annuity, what we have seen in the environment right now, and we discussed this in the opening comments, there has been a drop in the FD rates, that has made single premium a lot more attractive. The challenge last year or most of last year was that the sticker price when you walk into a bank for FDs was fairly high. And hence, there was no offtake for any single premium product, whether it be an annuity or otherwise.

What you have now started to see in this quarter, is that an uptick in terms of single premium, primarily because when you see the sticker price as the FDs come down, these products have now started to become a little more attractive. And that's the kind of growth that we are starting to see at this point.

Sanketh Godha : But, Dhiren, the regular pay and single pay, we can understand, but a regular pay should grow on its own, right, irrespective of what the interest rate environment would be. Single pay demand coming back is an addition to the growth. But regular pay, just significantly declining . Just wanted to understand whether there is a product issue or not in that sense.

Dhiren Salian : No product issue. All products are available on the shelf, Sanketh. But see what happens is that we also have a non-par product, which was introduced earlier in the year. So, for a customer who is probably at the 50, 55 age bracket, there is an ample choice between either locking money into a regular pay annuity, where you will have an annuity payment later when he moves into retirement phase, or he could look at a structured format that's there within the non-participating plan. So, for that kind of a customer who is in the 50 to 60 age bracket, these two products are available, and they are quite attractive in terms of IRRs for the customer. So, there can be a swing between these two.

Amit Palta : Yes, Sanketh, actually, the underlying benefits that customer looks for, we call it annuity or we may call it whatever is the regular income and consistency of income and guarantee of income. Now that gets fulfilled with various categories of products like what Dhiren mentioned. And since we launched this new guaranteed product only

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towards the end of financial year last year, so there was natural traction of a new product. So, there was a pick up there. And hence, we were very happy with the fact that we are addressing the benefit, and the need of the customer. Sometimes it gets fulfilled through regular premium annuity, sometimes through GIFT Select, but broad underlying benefit is guaranteed income.

Single premium you rightly mentioned, is an opportunity. We saw a large portion of ■ 100 crores that you saw was single premium, because of the shift in interest rates in fixed deposits.

Sanketh Godha : Okay. So, lastly, if this regular pay annuity will slow down for

subsequent quarters because of the dynamics change within the products, and also because of the single premium, is it fair to say that for the first 9 months or rather till December, because the base will be there, you might report a similar kind of growth, like 0% to 5% or 0% to minus 5% kind of a growth for the next 2 quarters, and then we can see uptick happening in the fourth quarter?

Dhiren Salian : Sanketh, a lot of it also depends on the way the single premium picks up. We have seen enough commentary in the market in terms of downward pressure on

FD

rates. When that happens, then suddenly will find that the single premium annuity is far, far attractive. So, let's see how the market would take this.

Sanketh Godha : Got it. And can you give cost ratios on TWRP which you usually used to disclose. This time we don't have it in PPT. If you can tell the numbers, it will be great.

Dhiren Salian : We can give you the numbers, Sanketh, it's computable also, but the point is if the market is now working on Cost to premium, so we said we would rather align to Cost to premium. We have held the cost to TWRP metric for quite a while, but quite clearly, the market wants to work on Cost to premium. So, we thought it is better to align and give you comparatives that are easier.

Sanketh Godha : Okay. Perfect. That's it from my side. Thank you.

Dhiren Salian : But even otherwise, on the cost to TWRP, you will see a decline in the metric.

Sanketh Godha : No, actually I was more keen to understand the savings part. So, that's the reason, because that's a difficult number to calculate, that's why.

Dhiren Salian : No, we can have our conversation offline how to compute, that it's possible.

Sanketh Godha : Okay. Okay. Sure. Thanks.

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Moderator : Thank you. The next question is from Swarnabh a Mukherjee from B&K Securities. Please go ahead.

Swarnabh a Mukherjee : Yes. Hi sir, thank you for the opportunity. So, my first question is to understand the margin movement. Just if you could give some broad color on how it has been between, say, the product mix led sales? Any impact of, say, cost absorption? And thirdly, any impact of any economic parameter movement that is there? If you could give a highlight of that, sir.

Dhiren Salian : Hi, Swarnabh a. So, largely, when you look at the product mix that prevailed at the end of full year 2025 and the margins that were prevalent at full year 2025, and look at how the mix has evolved into the current quarter, you should be able to broadly explain the margin movement. There will be, of course, minor round-off issues that will come about from economic assumptions of yield curve, et c. But that is the smaller component of it. The larger component will anyway be explained by the product mix.

Swarnabh a Mukherjee : Right, sir. So, wanted to understand that since this quarter, we saw degrowth in terms of the APE numbers, so what is the role of expense absorption in terms of the VNB going forward? Because product mix, we definitely understand that the mix has improved significantly in terms of high-margin products. But in terms of the expense absorption, were we anticipating this kind of outcome in premium, and hence we had in our initial estimate kind of baked in a lower number? And if that is so, then for the remaining part of the year, would we also kind of continue to see such a trend? So, that is what I wanted to understand.

And secondly, I think we see that in the presentation that the yield curve estimates have been changed for the reference rate at June 30th this year. So, just wanted to understand what is the impact on that? I think the sensitivity is there to the income movement. Some quantification or broader color would have been very helpful.

Dhiren Salian : Yes. From a cost perspective, there will be a marginal impact within the margin, but by and large, what you have also seen is a variety of cost control measures that have actually resulted in cost being broadly in line with how the APE moved.

So, again, this is early part of the year. We, of course, didn't plan for a negative slide. We planned for growth, and our endeavor is to get back APE growth. So, at this point, we are not building any material downfall as such in the cost ratios.

In terms of the yield curve, yes, you have seen the shift, but I think more than a shift, there is a twist which is there. When you look at sensitivities, they are built on parallel shifts of the yield curve. So, you will

I have some perspective of how the sensitivities of yield can move, but because it's a twist, it's a little difficult to compute it from the outside.

Swarnabh a Mukherjee : Okay. Sir, just a follow -up on this. So, when we calculate the eventual blended reference rate, what I see is that with that twist also, I mean, the delta between, say, Indian government bond yield curve and our numbers, the delta at different points, basically at the shorter end is smaller and at the longer end is fairly higher. So, just wanted to understand if you could give some contours on how we arrive at the reference rate at a broad level.

Dhiren Salian : Arriving at the ref rate is off the yield curve at 30th June 2025, and then bootstrap .

Swarnabh a Mukherjee : Okay. And does the reference rate in any way also take in any impact of equity expectations there, depending on the asset mix. This is only on the fixed income side, right?

Dhiren Salian : Yes. Correct.

Swarnabh Mukherjee : Okay, sir. Understood. Understood, sir. And just the last one on the direct channel, the degrowth is mainly because of ULIP?

Dhiren Salian : Yes, the direct channel has a large component of ULIP which is available in our annexure for the full year FY2025 . Large component of the business actually is from the ULIP side. And you have seen the slowdown in ULIP over this quarter given the market volatility and that's impacted the direct business.

Swarnabh a Mukherjee : Okay. Understood sir. Very helpful. Thank you so much, and all the best.

Moderator : Thank you. The next question is from Supratim from Ambit. Please go ahead.

Supratim Dutta : Thanks for the opportunity. My first question is on the guidance or the target that you have previously had of delivering an alpha over the private life insurance growth. Now is that a target that you hold for FY 2026 end? And another part to that question is, if that's true, then going forward over the next 9 months, how do you see growth playing out, considering that ULIP demand may remain soft, and regular annuity premiums are unlikely to go back to the similar levels of FY 2025. So, just wanted to understand what would result in the growth inflection here? And then potentially if we could see that growth inflection happening.

Two, from the cost point, Dhiren you mentioned that you are realigning costs, but you don't see a significant decline in the cost investments that are happening. So, in that case, is the cost assumptions that we have made for FY 2026, building in APE growth for the next 9 months or is that not the case? If you could give us some colour, so that we understand how the cost will play out for the next 9 months, that would be very helpful.

And lastly, given all the noise around your annuity product and the persistency in that product, would it be possible for you to give us some comparison about how the 13 - month persistence in the annuity product has played out this year versus last year? Those are my 3 questions. Thank you.

Dhiren Salian : Supratim, the endeavor on growth, obviously, is to keep building on it and try and deliver an alpha over this. Specifically, when you look at it from a very short -term perspective, let's say, a quarter, there will be base effects that come into play. And as Amit also articulated, we have seen a very high growth in Q1 last year, upwards of 35%. And now as you look at this year, when you look at the 2 -year CAGR, it is broadly in line where the market has been. But having said that, the idea, of course, is to build on the top line, and that will help deliver VNB in a sustainable fashion. So, no, I am not looking at a decline for the next 9 months.

Having said that, therefore, I am also not looking at it from a cost ratio that will work with the decline. We are looking at building on growth, and that's the endeavor that we will continue to do along the way.

I think what's also important for

you to also note that, as we have been speaking about this over the past few quarters, we have been adjusting our costs in line and coming closer to where the growth numbers actually are panning out. So, we are building a lot more control over where the costs have been, and we will continue on this endeavor into the coming future also. We have not called out any product -specific numbers, Supratim.

Supratim Dutta : Not a problem, Dhiren. Just one follow -up there. I do understand then that for the next 9 months, you are expecting growth to recover. What would result in that growth recovery, given the ULIP demand remains flat and potentially the regular premium annuity demand also remains flat to down. If you could help me understand

that, that would be very helpful.

Amit Palta : Yes. Hi Amit, this side. See, first of all, on the unit-linked products, what we have witnessed over last 6 months or so is a bit of volatility and markets eventually after this volatility also did recover to a very reasonable level to the extent of being higher than where it was, say, in December, January. So, typically, what we have witnessed in the past is that when the markets recover, a lot of affluent customers don't rush back to unit-linked products immediately, because they virtually go through a relief phase, where just the state of happiness of having recovered from the market itself pushes them to take a pause, and take a conservative view on their investments for a short period of time. So, with core fundamentals of the market being where it is for the country and India demographics still remaining young, I don't think this volatility and uncertainty on unit-linked products and these events are going to stay for very long. So, at some point in

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time, unit-linked products will become meaningful once again, and you will see that demand coming back.

At the same time, guaranteed products continue to remain very attractive at this point in time, near to medium term, while the ticket size, typically in a wealth conservation from the same customer you may not get to the extent of unit-linked products, but through width of our strategy by getting more people to contribute, more advisors to contribute, we will try to compensate average premium being lower in comparison from non-linked savings business. So, we want to compensate from there.

So, our growth, from a channel perspective, it will come from width. And from a product perspective, it will be quite balanced. I do believe that our outlook on unit-linked is not very conservative going forward. I think it is at some point in time towards the second half, you will see buoyancy coming back.

Supratim Dutta : Got it. Understood. That is very helpful. Thank you.

Moderator : Thank you. The next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Yes. Hi. Just a couple of questions. Firstly, does the cost in any way get influenced by the channel mix that we had in this quarter, and that as the agency kind of picks up, do you think that the cost could be kind of on the increasing trajectory in the remaining quarters?

And second question would be again on margin trajectory. Now that you have just mentioned that ULIPs could kind of pick up in the second half, do you think that we are at the peak of the VNB margins for this year? Or do you think that the margins can further expand from here in the remainder of the fiscal?

Amit Palta : On the margin thing, let me just talk about it since I mentioned about unit-linked, coming back at some point in time. See, Dhiren spoke about the fact that entire cost initiatives, as an answer to a separate question, where cost initiatives have been aligned to the kind of product mix that we anticipate getting delivered through our channels. So, if the demand is towards the category of products, we try to flex our cost in alignment with what that product category can afford.

gory can afford.

So, if that is the approach, we really don't want to artificially tinker with the demand and impose our own requirements. So, we will follow the demand. We'll see where it goes, and allow ourselves to look at our current initiatives, flexing our costs to adjust to the demand that we witnessed from the customer. So, from that perspective, we will continue to focus on absolute VNB. And margin expand or shrink, actually, we have no comments to make, because it will all be driven by demand, and the demand leading to

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a category of products and then our ability to flex our cost in adjustment to the product, which is demanded in the scenario.

Dhiren Salian : So, Prayesh, we don't have a margin guidance, and our endeavor is to grow VNB in absolutes, and that's what we will endeavor to get done. In terms of your first question of whether agency will create an additional cost, I don't think so. That's not how we have structured the channel.

Prayesh Jain : Thank you.

Moderator : Thank you. The next question is from Aditi Joshi from JPMorgan. Please go ahead.

Aditi Joshi : Thank you for taking my question. Just one question from me. So, you have stated in your initial comment that some weakness was seen in the MFI channel. So, just if you can help us understand like how to quantify that impact. So, if you are able to

highlight the share of the MFI channel in the distribution mix? And what is the product mix which usually typically comes through that channel? And if this channel picks up in, let's say, 1 or 2 quarters, then what improvement in the sales number should we be expecting? That's all. Thank you.

Dhiren Salian : So, Aditi, the MFI business is a credit life business. So, we have attachments on to loans that are disbursed by MFIs. And you are well aware of the stress that the MFI loan disbursements have been facing over the last 9 months to 1 year now. Since this is an add-on product from our perspective, whenever the market recovers on the MFI business, we should be able to take advantage of this wave. So, the only product that we sell to MFI is the credit life product.

Aditi Joshi : Yes. So, this is pure credit life, right? Nothing else in there?

Dhiren Salian : Yes.

Aditi Joshi : Okay. Got it. Understood. Thank you.

Moderator : Thank you. Next question is from Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha : Hi, everyone. So, would it be fair to say, obviously, product mix has improved a little bit towards protection, but the cost ratios have come down. Is a good part of the margin expansion, because of cost ratios coming down across product lines, because both for protection and savings lines of business, we are seeing cost ratios come down.

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And if yes, then do we see this to be sustainable even at a larger scale, to giving some sense of how stable and sticky this margin is. Some comments around that, that would be helpful. Thanks.

Dhiren Salian : So, 2 points on the margin, Madhukar. One, we don't have a margin guidance. Our focus is on growing absolute VNB. That's one. You've heard us say this before also. The second part to that is in answer to another question earlier, where how has the margin come about, largely due to product mix. There are some elements at the of the margin computation, which would be attributed towards yield curve and some degree of how the expense ratios are.

Very clearly, the cost effort that we have been doing over the past many quarters is what has resulted into this kind of a outcome that you see. Fundamentally, we believe this is sustainable, and we will continue to work on this. The idea very clearly is that cost optimisation is fairly important, because a large portion of our business is still the savings business, and that's what will continue to give us an advantage into delivering on a higher profitability within that segment. So, that's the way we would

like to work at that.

The focus clearly is on absolute VNB.

Madhukar Ladha : Got it. That's helpful. Thanks.

Moderator : Thank you. The next question is from Muskan Agarwal from Svan Investments. Please go ahead.

Muskan Agarwal : Hi, everyone. My question was, as we can see the agency and the direct channel year-on-year growth has like decreased. So, is there any guidance like how do the management see that going forward? Like will the trend continue or it will improve? Or are there any efforts like that will be taken from your side to revive the same?

Amit Palta : Like we mentioned in the answer to an earlier question as well that the large base of last year, which was in excess of ~70% or so for agency has made the current number look what it is looking right now. So, we expect this base effect to start getting normalised as we go deep into the year. Otherwise, we are quite happy with all the investments that we have done in these channels.

And nothing has come in the way of us investing in these channels. They continue to be our priority channels. And we are focusing on width of our distribution, which is spreading ourselves across geographies, across advisors, across more and more employees to contribute to our business. And while we are tiding through this buoyant market environment, which has led to an adverse impact of ULIP business. So, ULIP was relatively a higher proportion of our business in these 2 channels last year, so which has been impacting the overall growth this year because of relative volatility.

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Muskan Agarwal : Okay, okay. Understood. Thank you.

Moderator : Thank you. Next question is from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Hi, good evening, sir. Just two questions from my side. One, in terms of the ULIP trajectory, if you can for the quarter or maybe incrementally for the initial half

of July, how has been the direction? Let's say, June versus May or May versus April in terms of the ULIP trajectory, how things are shaping up? Or in terms of incremental ULIP queries, do you see kind of any sort of pickup out there?

Second, in terms of the non-linked savings business through non-ICICI Bank banca channels, any sort of color? At those non-ICICI Bank banca partners, is counter share or wallet share of non-linked savings higher than your overall business? And how has been the growth in some of those channel partnerships?

Amit Palta : So, ULIP trajectory looks like it is very similar to what we have witnessed in the first quarter. So, let's see how it goes from here. It's very difficult to anticipate when, though the general outlook is that it should improve some time. But at this point in time, we have not seen demand picking up like the way it was last year.

On the second question on non-linked savings business through bank partners other than ICICI Bank. Yes, the products are being made available, and they are there at the counter. We don't publish any information pertaining to share of the shop. It's all about a product being made available at the partner shop on the terms which are a win-win for both us as well as the partner. So, at times you win, at times you lose, at times you get more, at times you get less, but it all gets levelled out.

We are fairly well placed with our partnerships. Now all the partnerships are very long ones. So, barring a few ups and downs in between, I think our job as a manufacturer is to make the product available. And there is no category of savings business, which is not available now with us. So, we have the ability to compete across categories of products. And depending upon the time and the environment and the call taken, the share will go up and down.

Dipanjan Ghosh : Got it. And just a follow-up on this. How is the product pipeline stacking up for the next 9 months?

Amit Palta : In the product pipeline savings, protection and annuity there's nothing that

is beyond this. Within this, we have been continuously innovating, talking to our customers, understanding their needs, seeing needs evolving, and it is something which evolves. So, otherwise, rest of the details are something that's very difficult for me to divulge in the open call. So, that's something which is always a work in progress. We keep working on it. There is quite a bit of innovation we have done across 3 categories

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of products. And hopefully, we will keep coming out with newer propositions over a period of next 9 months. But it is difficult to really spell out as to what is there in the pipeline.

Dipanjan Ghosh : Sure. Thank you, and all the best.

Moderator : Thank you. The next question is from Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal : Thanks for the opportunity. So, I have got 2 questions. The first is in terms of the retail protection. So, we saw a good amount of growth. So, assuming that the pricing has not changed. I was just trying to understand that have we sold more policies with similar sum assured or similar number of policies with higher sum assured?

Dhiren Salian : The former more policies, sum assured are broadly the same.

Mohit Mangal : Okay. Okay. Understood. And secondly, in terms of, we have done partnership with 49 banks. Just wanted to understand, is it more concentrated or is it like well diversified across? If you could just throw some color on that?

Amit Palta : Yes, it is quite diversified. Actually, we have a very deep presence in semi-urban, rural locations also through some of our partners who have a very strong presence in these markets. So, by virtue of these 49 partnerships, we have been able to reach out to virtually every corner of the country.

And it's quite diverse. It's not concentrated at all when it comes to concentration of our business. It's just that we have to balance out both the growth as well as the quality of business, because as you go deep into markets, smaller markets, and get into mass customer segments, lower affluent customer segments, you tend to come across challenges on persistency kind of metric, which is more to do about the affordability that our customers may have in these smaller markets.

So, the challenges are different, but that's largely because the customers that you acquire and the geographies that you sell, have a profile of customers, which is very different. So, that's the other side of having these 49 partnerships. But otherwise, we are not concentrated. We welcome scale from these, but this scale comes with micromanagement or over-management of quality of business, quality of profiles that we onboard with us.

Mohit Mangal : Understood. Thanks, and wish you all the best.

Moderator : Thank you. Next question is from Parth from Millennium. Please go ahead.

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Parth : Hi. Most of my questions were answered. One clarity on the 13th -month persistency issue. You mentioned that due to the tax changes, the customers who entered then are showing some leaving trend. So, can we consider this as transitional in nature, and we can see improvement in these trends in the coming quarters? Thank you.

Dhiren Salian : Parth, we spoke about the March 2023 book. That does have elevated persistency. But outside of that, things have reverted back to what they were 2 years back. We will have to watch out how this pans out, specifically, like I said, there are some product channel cohorts that we are seeing some stress on, which we will work at correcting along the way.

Parth : Okay. Thank you.

Moderator : Thank you. Next question is from Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Hi, sir. Thanks for the opportunity. Just 2 data keeping questions. Can you share the data on ICICI Bank APE share for the quarter and credit life APE share in overall APE for the quarter?

Dhiren Salian : ICICI Bank is roughly about ₹ 100 crores per month, t

here's no material

change to that. Credit life, we normally do at the end of the year, Nidhesh.

Nidhesh Jain : Okay. Sure. Thank you.

Dhiren Salian : If you still want a rough thumb rule, it's broadly split 1/3rd between retail protection, 1/3rd in credit, and 1/3rd in GT, roughly speaking.

Nidhesh Jain : Okay. For the quarter, in APE terms, right?

Dhiren Salian : Yes.

Nidhesh Jain : Okay. Thanks. That's it from my side.

Moderator : Thank you. The next question is from Shobhit Sharma from HDFC Securities. Please go ahead.

Shobhit Sharma : Yes. Hi sir, thanks for the opportunity. Sir, my first question is on the regrouping, which has happened on the new business side for the Q1 -FY2025. So, can you help us understand what has led to that revision? Because I can see overall new business revised downward by 5%. There is a downward revision in the single premium by 12 -odd percentage, and the first year premium has been revised upward by 7%. So, that's my first question.

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Secondly, on the rider protection side. So, you mentioned that premium is currently classified in the respective product category. So, can you help us understand what would be the retail protection number if, instead of that 7.5%, which you reported, what would be that number if that rider protection would have been classified in that segment?

And lastly, on the growth side, on the 12 -month rolling basis, your IRNB growth has been very suboptimal. It has been 3 -odd percentage versus the private life insurance growth of 11%. So, how should we think about it going forward?

Dhiren Salian : So, Shobhit, when you look at growth, specifically when you look at 2 -year CAGR, I think that 13% odd is well in line with most of where competition is. Obviously, our endeavor is to be able to grow ahead of competition. This has been one quarter where we had a sufficiently large base impact coming through from the past quarter. Coming to your second question in terms of rider, see, the rider premium actually is a smaller component of the share of the base premium. So, we don't call it out specifically what is the rider component out of it. But what we have done very clearly is put the rider premium as part of the base product itself. So, when you look at each line of business, you will see it as base plus rider within that.

Shobhit Sharma : Dhiren, just a follow -up on this. So, can you help us understand how much is the attachment ratio of these riders .

Dhiren Salian : We have not called out that number, Shobhit. No, we have not called out that number. Because in a lot of cases, when we also do sell a product, the product is also sold with that particular rider to be able to meet that specific need of the customer. So, it's not just an addition of the rider. It's a packaging of the overall proposition. And therefore, the rider forms an integral part of the proposition to the customer.

Shobhit Sharma : Okay. Okay. And on the regrouping side, sir?

Dhiren Salian : Yes. So, this was on the group OYRT business. The requirement was to split it into first year and renewal. That's what happened in the group business from last

year. Last year, everything was packaged under the single premium. This time, we split it as new business and renewal, which is what's required, and that's what you see as the change in the financials.

Shobhit Sharma : Okay. Thank you. Thanks for this.

Moderator : Thank you. The next question is from Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain : Hi, just one question from my side. Group protection has seen some growth this quarter year -on-year. Can you help us understand, is it group credit backed or group

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term backed? And where are you seeing this recovery and how sustainable you think group protection can be for the entire year?

Dhiren Salian : So, Gaurav, yes, credit life is flattish. MFI is down. Non -MFI is up. And GT, of course, is up.

I trust that clarifies, Gaurav.

Gaurav Jain : Yes. And GT tends to be what quarterly phenomena, deal based or...

Dhiren Salian : No, it's not a quarterly phenomenon, Gaurav. See, we are present in the group term space all through the year. If you compare year -to-year, you might see some lumpiness. It depends upon how competition is behaving at that point. In case they get too aggressive about pricing, we are fairly clear because we would not want to write it as a negative margin. We are fairly clear that knowing the underlying mortality in the relevant industry, we will take a call whether we are able to make money or not. And in such instances, we would walk out of that deal.

Amit Palta : So, Gaurav, it is the group fund business, which is lumpy and may see a bit of a volatility quarter -to-quarter. Group term is fairly granular. The only thing is group term is a 1 -year auctionable product. So, in between a few quarters, you may experience some shift in growth patterns, because of some partner or some insurer being aggressive on pricing. But broadly, if you have distribution, if you are reaching out to the clients that we have done over a period of last so many years, and if we are present in every deal that is happening, it is fairly granular. And the number of deals involved in this top line has been quite a few. We don't report number of deals, but number of deals are quite many. You can virtually see them as retail deals in the corporate setup.

Gaurav Jain : Got it. Thank you.

Moderator : Thank you. The next question is from Samant Singh from Phillip Capital. Please go ahead.

Samant Singh : Yes. So, just on return on premium products, there is a sharp fall around more than 30% this quarter. So, do you see this as like consumer preference is shifting away from return of premium products? Or is it like a temporary thing and you plan to launch new products going ahead, and sort of bring it in line with the previous quarterly numbers that we did? So, any colour on that, the return on premium products?

Amit Palta : So, on this return of premium protection product, I guess, you are talking about. See, this is also part of an evolution journey in protection. At the time when all the insurance companies were investing in creating awareness, one of the insights picked was that protection products do not give anything in return. And to address this insight and to reach newer customer segments, return of premium product made a lot of sense.

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So, I think there is nothing specific that we had done. The product is very much available on our shelf. But I think customers are learning about pure protection more and more, and they are seeing value. And from affordability perspective, since pure protection fits in well and customers can opt for a much higher cover for the same premium, we have seen a shift in demand towards pure protection. However, that product still remains on the shelf. It's not that product is not on the shelf.

Samant Singh : So, you are saying that the consumer preference is shifting away from return on premium towards more pure, okay.

Amit Palta : Yes. We have seen, because the options are available to virtually every customer. You can choose to go for return of premium, you can choose to go for pure protection. But as you know, the premiums required are much higher for the same sum assured. And hence, from affordability perspective, pure protection is understood well. And customers are willing to buy protection as a good expense than to worry about not getting anything in return. So, I think that is something, that is our sense that it's a good news that pure protection is evolving.

Samant Singh : Yes. Thanks, and all the best.

Moderator : Thank you very much. That was the last question in queue. I would now like

to hand the conference back to Mr. Anup Bagchi for closing comments.

Anup Bagchi : Thank you very much for joining the call

I. Have a good day.

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ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Energy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at

www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

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General Manager

Listing Department

BSE Limited,

Phiroze Jeejeebhoy Tower s,

Dalal Street,

Mumbai 400 001 Vice President

Listing Department

National Stock Exchange of India Limited

'Exchange Plaza',

Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and half year ended September 30, 2025

In continuation to our letter(s) dated October 6 , 2025, and October 14 , 2025 , the Company had hosted an earnings conference call with investors and analyst on Tuesday, October 14 , 2025 , at 3:30 p.m. IST , to discuss the performance of the Company for H1-FY202 6.

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for H1-FY202 6 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair

Company Secretary

ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Half year ended September 30, 2025 (H1-FY2026)
October 14, 2025

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Anup Bagchi

Good afternoon and welcome to the results call of ICICI Prudential Life Insurance Company Limited for the half year ended September 30, 2025. I have several of my senior colleagues with me on this call, Amit Palta - Chief Products & Distribution Officer; Dhiren Salian - CFO; Judhajit Das - Chief Human Resources & Operations, Deepak Kinger - Chief Risk & Governance Officer, Manish Kumar - Chief Investment Officer, Souvik Jash - Appointed Actuary and Dhiraj Chugha - Chief Investor Relations Officer.

Let me take you through the key developments during the quarter.

We welcome the Government's landmark GST reforms aimed at making life insurance affordable and accessible. With GST exemptions, customers enjoy substantial savings on premiums, making life insurance policy more accessible across income groups. The reform supports deeper insurance penetration, especially in the underserved markets, aligning with the IRDAI vision of Insurance for All. As a significant insurance company in the country, we have ensured that the benefit of GST exemption is passed on to the customers. We believe these reforms will usher in growth and be value accretive for all the stakeholders, including our customers, our distributors and our Company. We remain confident of leveraging this huge opportunity with our strong brand, product innovation and well-diversified distribution with cost efficiencies to deliver sustainable business growth and aid our objective of growing the absolute VNB.

On the regulatory front, Shri Ajay Seth has been appointed as the IRDAI Chairman with effect from September 1, 2025. We believe IRDAI and Life Insurers will continue to work towards increasing insurance penetration and achieving Government's goal of 'Insurance for all by 2047' under his new leadership.

We are pleased to inform you that Mr. Samit Upadhyay and Mr. Naveen Tahilyani have been appointed as Non-executive Additional Directors representing ICICI Bank and Prudential respectively with effect from

from September 13, 2025, subject to Shareholders' approval. Both come with rich experience of serving in senior leadership positions in the insurance industry. We express our sincere gratitude to the earlier representatives, Mr. Anuj Bhargava from ICICI Bank and Mr. Solmaz Altin from Prudential, for the guidance received during their tenure.

Now, let me talk about H1 -FY2026 business overview .

Indian economy faced significant headwinds on account of intensifying geopolitical tensions, sanctions and tariff wars in recent times. In spite of all the challenges, the Indian economy continues to show strength and move forward. Similarly, life insurance sector was also impacted and grew at a slower pace of 2% RWRP growth as compared to 21%

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growth in previous year H1. The long -term growth outlook for the insurance industry, however, continues to remain intact.

The key highlights of our H1 -FY2026 performance are as follows :

- Total premium grew by 9.2% year -on-year to ■ 212.51 billion.
- APE for H1 -FY2026 was ■ 42.86 billion, a decline of 4.1% year -on-year on a high base of 26.8% growth in previous year H1. The 2 -year APE CAGR stood at 10.3%.
- Retail protection APE grew by 10.8% year -on-year, and retail new business sum assured grew by 17.2% year -on-year.
- Total new business sum assured grew by 19.3% year -on-year.
- Our customer -centric approach is reflected in the strong 13 -month persistency ratio of 85.3% and claim settlement ratio of 99.3% with an average turnaround time of 1.1 days for non -investigated individual death claims.
- Cost to premium for H1-FY2026 reduced by 280 basis points to 19.2%. Cost to premium for savings line of business also reduced by 280 basis points to 12.7% in the same period.
- PAT grew by 26% year -on-year to ■ 606.01 billion.
- VNB for the period was ■ 10.49 billion and VNB margin stood at 24.5%.
- Embedded value grew by 9.7% year -on-year and stood at ■ 505.01 billion as on September 30, 2025.
- AUM stood at ■ 3.21 trillion as on September 30, 2025.

With customer -centricity at the core of everything we do, we continue to work on our strengths that is product leadership, extensive distribution network and operational efficiency. On the cost front, we have been undertaking various cost optimisation initiatives to make our cost structure leaner and aligned to the product mix demanded by our customers. All these efforts along with the conducive environment provided by the Government and the Regulator make us well positioned to deliver sustainable business growth with profitability in the future.

Thank you and I will now hand it over to Amit to take you through the business updates.

Amit Palta

Thank you, Anup. Good afternoon, everyone.

Let me start with the product performance .

The non -linked savings business grew by 11.9% year -on-year in Q2 -FY2026 and 15.6% in H1 FY 2026 as customers prefer to invest in non -par products to lock in high yields in the declining interest rate scenario. Linked business declined by 8.6% in Q2 and 10.7% year -on-year in H1 this year on a high base of 40% growth in Q2 and 54.5% growth in

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H1 last year. 2-year CAGR for linked business stood at 13.1% in Q2 and 17.4% in H1 this year.

Overall protection business was almost flat year -on-year in Q2 FY 2026 with ■ 4.19 billion of APE done during the quarter. For H1 FY 2026, the overall protection business grew by 6.7% year -on-year. Retail protection business grew by 2.4% year -on-year in Q2 this year on a high base of 30.7% growth in Q2 previous year. For H1 -FY2026, retail protection grew at a healthy rate of 10.8% year -on-year.

With the recent changes in the GST regime, the retail product will become more affordable and attractive for the customers. There exists a huge protection gap in the country and we believe this move will help the life insurance industry to narrow down the gap.

The credit life business

growth has been impacted primarily due to slowdown in the MFI industry. With reforms being undertaken to spur business growth, we expect credit life business to gradually recover over the coming quarters.

Group term business has grown year -on-year. We expect this business to continue to

grow over long term, and our strategy remains focused on selecting businesses which meet our defined risk-reward expectations.

Annuity business declined by 46.8% in Q2 and 50.1% year-on-year in H1 this year on a high base of 73% growth in Q2 and 99.5% growth in H1 previous year. Annuity CAGR for last 4 years stood at 11.9% in H1 -FY2026. Within annuity, we continue to witness demand for single premium annuity products as fixed deposit rates declined. Group funds business grew year-on-year by 87.5% in Q2 and 74.6% in H1 this year. While this business is typically lumpy in nature, it is value accretive to the Company.

Moving on to the channel-wise growth and contribution.

Proprietary channels which include Agency and Direct declined by 18% year-on-year both in Q2 and H1 -FY2026. It contributed 39.2% to total and 47.7% to retail APE in H1 -FY2026. The decline was primarily due to the high ULIP and annuity base of the previous year wherein the proprietary channels had grown by 40% in Q2 and 45.8% year-on-year in H1. 2-year CAGR for the channel stood at 9.2% in H1 -FY2026. These channels have been agile enough to pick up and deliver strong growth year-on-year in non-linked products this year. The 5-year CAGR for our proprietary channel is 15.6% for H1 -FY2026. This demonstrates the channel's ability to deliver continuous growth across various business cycles. We believe the decline in these channels is transitional and we will continue to invest in our proprietary channels to sustainably grow the business.

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Bancassurance business was almost flat in Q2 and H1 this year. The channel contributed 30% to APE in H1 and 2-year CAGR for the channel stood at 13.7% in H1 -FY2026.

Partnership distribution business grew year-on-year by 23% in Q2 and 14.9% in H1 this year. The channel contributed 12.7% to APE mix in H1 -FY2026. Group business grew year-on-year by 20.7% in Q2 and 19.8% in H1 this year. The channel contributed 17.9% to APE mix in H1 -FY2026.

Our distribution reach is provided on slide 24. We strongly believe that well-diversified distribution is one of our biggest strengths. Today, we have more than 2.45 lakh agents spread across geographies, 50 bank partnerships with access to more than 24,000 bank branches and 1,400+ non-bank partnerships.

To summarise, we will continue to offer the right product to the right customer and deliver it through the right channel. With GST reforms, we anticipate volumes to go up, the early signs of which are already visible as we have witnessed increased traction from our customers both in terms of leads and conversion of leads. As we deepen our distribution channel and penetrate further into micro-markets to get more access to varied customer profiles, our ability to shift between product segments depending upon the prevailing economic environment should become even more pronounced and seamless. We believe this will help us deliver sustainable growth irrespective of the market environment over the long term.

I will now hand it over to Dhiren to talk to you through the financial update.

Dhiren Salian

Thank you, Amit. Good afternoon, everyone.

Let me start with an update on subordinated debt. The credit rating firm ICRA has reaffirmed the rating of our existing ₹12 billion and ₹14 billion subordinated debt program as [ICRA] AAA (Stable). Further, the sub debt of ₹12 billion that we had raised 5 years back in November 2020 is due for the first call option in November 2025 and as approved by the Board, we will be exercising the call option. Our current solvency ratio is at 213.2% and even after the exercise of the call op

tion, our solvency ratio will remain

well above the regulatory threshold of 150%. Additionally, we have approval from the Board to re-raise the ₹12 billion through sub-debt. Depending upon the business requirements and market environment, we will look at that subsequently.

Now, let me come to the changes in GST. Since input tax credit on individual business will no longer be available to life insurance companies, there will be some implications on the existing book and new business profitability of companies. On the existing book as disclosed earlier, our estimated impact is at about 1% on Embedded Value. To mitigate the impact on new business profitability, we have multiple levers such as

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renegotiating commissions with distributors as well as continuing to optimise operating expenses.

Here, you will note that we have been seeing reduction in cost ratios across the quarters. In H1-FY2026, we saw a reduction in cost to premium ratio by 280 basis points year-on-

year to 19.2%. The cost to premium for savings line of business also reduced by 280 basis points to 12.7%. So, overall while GST input tax credit being disallowed might have some short-term impact on profitability, the opportunity arising from the same in terms of market expansion is quite large. Our focus has always been on growing the absolute VNB and all our efforts will go towards the same.

Now, let me take you through the financial metrics .

The VNB for H1-FY2026 stood at ■ 10.49 billion and the VNB margin stood at 24.5%.

The relevant comparison for H1 margin is with the full year 2025 margin which was at 22.8% as that captures the impact of all assumption changes done at March 31 , 2025.

The positive movement in margin is primarily due to a higher mix of protection and non - par business, improvement in product level profitability through increasing sum assured multiples, longer tenure policies and increasing rider attachment, some favorable movement in yield curve which was partly offset by estimated impact of GST on both commissions as well as operating expenses related to new business.

Moving to other financial metrics .

The Company's profit after tax for H1-FY2026 stood at ■ 6.01 billion , an increase of 26% year -on-year that is primarily driven by higher investment income from Shareholder funds. Our Embedded Value grew by 9.7% year -on-year and stood at ■ 505.01 billion at September 30 , 2025. Within the Embedded Value, the value of in -force business grew by 18.1% year -on-year to ■ 377.61 billion. Our AUM stood at ■ 3.21 trillion as on September 30, 2025.

Thank you and we are now happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Hi. Good afternoon. Thank you for the opportunity. I have two questions.

My first question is, I am just trying to understand how the GST announcement on 15th August and eventual implementation by 22nd September impacted your business for the second quarter. So, usually your September month tends to be about 30% -40% of your second quarter APE . Historically, that's how it has been. So, if you can help us with some numbers to understand how much of a steady state volume of Q2 got impacted because

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of this GST announcement and then eventual implementation. In terms of how much volumes got impacted, was it the entire 30% -40% got impacted or after 22nd September, you could, you know, a lot more got booked back so the impact was not that high. That's my first question.

My second question is on your persistency, 13th month , 61st month trends. In the last quarter, you had explained how certain products and channels have impacted the 13th month trends. Plus, the March 2023 book was a very solid book. So, that's why year -on-year basis things look weaker on the persis

tency side. So, can you help us understand,

the trends don't seem to be improving. Is there some sustained challenge which is going on? That's my second question.

And also, I wanted to, there's another third question that I wanted to ask. It's on the agency channel and you have just given an explanation on your distribution channels. But if you can help us understand that apart from this transition away from ULIPs a nd the annuity products that they sell a lot more, is there anything else that is troubling them? And are these channels going to seem further troubles or challenges as we start renegotiating our commission structures with our distributors going ahead? So, those are my three questions. Thank y ou.

Amit Palta: Hi. Amit this side. See, on the impact of GST, well, to an extent, you can say that retail protection, which was anticipated to have the impact on GST before it was eventually announced, we did experience a bit of a slowdown in Q 2 up till the day it was announced in the month of September. But apart from that, from the day of announcement to 22nd, you can say that there was a bit of confusion in terms of customers willing to wait for a few more days to eventually come and express their interest from 22nd onwards. They would not lose much by waiting for seven days. But we really can't quantify as to how much the impact would have been because last 7 -8 days after the GST exemption came into play, business did pick up. It's very difficult to quantify as to how September got impacted adversely. For us, it has been not as skewed as you just mentioned, 40% of the Q2 in September is not the trend that we have witnessed at least. So, to that extent, it has been quite decent, reasonable sequential growth that we have experienced from July to August, August to September. So, from that perspective, I guess I have answered your question.

On persistency, there has been a notification on why FY2024 is probably the right time for us to compare our current levels of persistency. As you know, the last year persistency was impacted positively because of a very high proportion of non-linked savings business, which was done during tax scarcity days. And hence, there was a positive bump in terms of persistency that you would have seen last year on 13th month. So, on that base, yes, the Y-o-Y looks a little bit of stress. But however, if you were to compare it with the year before, then it is almost in the same range. So, to that extent, we do not

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see much of a disturbance or much of a disequilibrium on persistency perspective. It is just that it is now coming back to the normalised level.

On agency, well, like what we have said in our opening remarks, largely the impact of a very high base of annuity and the fact that markets were very supportive for our unit-linked business. You know that we have always done very well in a buoyant market with a very strong portfolio that we have in ULIP. And we have a large number of our advisors who have a very strong ULIP customer ecosystem. And that ecosystem tends to wait while the markets are volatile and large amount of upsell that happens by the advisor sales force does take a backseat at the time when markets are volatile. So, not much to read beyond these two things, which is the impact of a very large base on a newly launched product of annuity last year and unit-linked product, which was doing very well last year. And now, it has kind of sobered down. So, from that perspective, but we are confident in the years gone by, we have seen agency as being very nimble to move from one category of products to other. It is just a transitional phase, probably H1 because of the base, it reflected more. I think it should settle as we go deep into the year.

Shreya Shivani: So, just to follow up on that, as we do renegotiation on our commission structure, etc., should we expect the channels, particularly agency and even the other

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channels to continue seeing some sort of disturbance in Q3? I mean, it feels like a repeat of last year when we were renegotiating things due to surrender value regulation changes. So, should we expect a little bit of turbulence to continue into Q3?

Amit Palta: It is not a turbulence; it is just a discussion. Both our distributors are quite, it is in open domain that there is an increase in cost of doing insurance business because of input tax credit going away. So, at this stage, we are in negotiations, not just with advisors, but with all our partners and we are trying to find a middle path to see how our absolute production goes up and we are still able to deliver absolute commission earnings for them. However, it is still a process right now, which is WIP, you can say, and it will take some time before it settles. Right now, we are still in the discussion stage.

Shreya Shivani: Got it, understood. This is very useful. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of MW Kim from J.P. Morgan. Please go ahead.

MW Kim : Good afternoon and thank you for taking my question. So, I have two questions regarding the mid-term industry outlook, and also the Company's product strategy.

Firstly, when you observe the development of the insurance market across the emerging countries, it is clear that government and regulators aim to expand the insurance sector and to provide a stronger safety net within the system. As a result, industry-friendly policies are often introduced. However, in recent years, we have observed a series of regulatory tightening based on my observation. So, the question perhaps would be,

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looking ahead over the next five years and projecting toward 2047, what do you see the key government policies that could drive strong revival in the industry growth?

Secondly, regarding the product margin outlook, the Company already mentioned several issues and things, but broadly, I believe that the insurance companies are essentially the manufacturer and now, I believe that several product strategies might be under the consideration and also the management mentioned in previous questions. Could you please share a bit more detailed management insight on the product design and margin outlook in context of the ongoing regulatory changes and managing the macro development? Thank you.

Dhiren Salian: Hi, Kim, this is Dhiren. Thank you for your questions. I think the first question that you put up is, how do we see the government and the regulator look at developing the insurance market in India. So, actually, if you look at what's been happening over the last few years, there have been a series of regulatory measures which have opened up the market in terms of ease of doing business. So, by and large, you have seen the regulator move from, more towards a principle-based regime and

therefore giving companies a lot of flexibility to be able to respond to market in different ways, depending upon their strengths and the positions that they hold. I believe that is the position that the government will also continue to take as well as with the new regulator in place, the Chairman of the new regulator in place. I think that is a direction that they would continue to push on. Very specifically, when you look at the most recent change, which is on GST, very clearly that's a positive. Well, of course, there is a short-term impact, as I mentioned earlier, on the manufacturer. But I think net-net, this is going to be a much bigger positive than most other actions that have been taken in the past. Because very clearly, at one level, with 0% GST, this elevates insurance, life insurance and health insurance from being just any other service to that of an essential. So, clearly, in the government's mind, this is a very important step that has happened. And I think it's up to us, the manufacturers as well as the ecosystem to get

together to be able to

take advantage of the growth that should come our way. As Amit also mentioned, we have seen some green shoots come through since the time the new regime has come about in terms of GST and it's up to us to be able to capitalise on that opportunity.

Whatever little impact that we have to take at this point, these are short-term in nature, and I think we should be able to override this.

But that, of course, comes to your second question as to how do you think we can override these. Very clearly, there are a set of levers that are available. One, very clearly, is a conversation with distribution on how we could look at sharing some of the costs.

Because very clearly, as Amit also pointed out, the hit is very real. And we have to be in a position to be able to come to some understanding with our distribution.

The second element is around operating expenses, where there will be some element of GST increase due to the ineligibility of the input tax credit. And in that light, you will also

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note that we have been working very hard on managing our cost ratios. You have seen the results come through this quarter also as well, 280 basis point improvement. And this is an effort that we will continue in. While, of course, there may be some short-term increase as we go through the rest of the quarters, purely because of the GST ineligibility coming through. But I believe the work that we have been doing on improving cost ratios will help us as we go into the coming quarters as well. And product mix for us is, I mean, we have said this before, product mix for us is a function of where the customer demand is. We have seen that earlier as well, when unit-linked did very well, we did not stop it. When the markets were turbulent and there were certain geopolitical challenges that had come about, guaranteed products did very well. We were able to offer products on the guaranteed side as well. So, our perspective on product mix is that we continue to be agnostic of that product mix. Therefore, the next point is that how will you manage your profitability? That comes about by ensuring that your cost ratios as well as your costs are in line with the kind of products that you sell. Given that a large component of our business is savings business and the core profitability driver of savings business is managing costs, that is an area that we will continue to keep working on.

MW Kim: That's very clear. Thank you so much.

Dhiren Salian: Thanks, Kim.

Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Hi. Good afternoon. Thanks for the opportunity. A couple of questions I have. First one, again, continuing on the cost reduction part. I mean, just wanted to understand if these cost reduction measures are sustainable, particularly in the backdrop of whatever sustainable growth we aspire. I mean, will this kind of cost reduction have no bearing on that growth? And if you can help with some sort of numbers, is this kind of cost reduction also coming because of rationalisation of headcount, if you can provide the year-on-year sort of a headcount changes? So, that is my first question.

And the second one is more on understanding this EV more particularly when I am looking at the ANW and VIF. There is a kind of, on slide 15 you have this. So, if I were to look at the March-September, March and now again, September, there is a huge volatility in terms of where ANW is moving. So, like last March to September, there's a huge jump. Then September to March is broadly stable. And then again, from this March to September, this is going down. So, if I were to look again from the gap network to ANW typically adjustment, there is a reasonable amount of MTM generally. So, is it kind of these movements happening because of the yield movement or some equity related? And is there some kind of a,

if at all, any impact of this GST related impact on EV going on in this ANW here? And if you can also confirm that, okay, the 1% kind of impact on EV from GST you have taken in this H1 number? Thanks.

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Dhiren Salian: Thanks, Avinash. Okay, let me address your ANW question. You're right. A large portion of this is a yield curve movement. And that's fairly significant in the period. Coming to your other question on cost ratio movement, see, frankly, this is work that has been going on. You cannot turn around cost ratios in a day. Because if you were to do that, then you would have probably gotten into an emergency situation. The key point is that you have to be able to support the business with the relevant costs, as well as the initiatives that you have to take and the investments that you have to make towards it. So, it is not something that you can turn around on a dime. This is a piece of work that we have been doing across multiple quarters now and you're starting to see the benefits of that come through. Clearly, one of the ways that you can look at it is in terms of identifying very, very closely what are your discretionary spends. And you put in a very, very sharp focus on identifying which of these are really relevant for today and which ones you can actually kick forward to.

The other bit in terms of people is very clearly, rather than focus on headcount, it is reallocation of our employees and people forced into the areas which have got the biggest bang for the buck. That is something that we had done earlier in the year, as well as in the previous quarter and this gives us the best value out because you are looking at not getting rid of people, we are clear about that. It is about reallocating people to where they are able to generate the maximum value for the Company.

The third component, which is not very well spoken of is actually on the core operating expenses, which is operations, where you are looking at creating capacity, increasing digitalisation. This becomes a very big winner along the way. And if you look at our pack towards the later pages, you will see a variety of initiatives that we have taken which help you give a perspective of how we have been able to improve operating efficiency. Last and not the least, brand awareness is important. While most of our focus in terms of brand cost has been more below the line and digital in nature, this is something that helps cement the position of the Company in customers' minds. So, it is not one activity, it is a variety of activities, things you have to do continuously to be able to deliver value on this. Having said that, like I mentioned earlier in response to Kim's question, as we get into the new era, given that we have got GST input tax unavailability, it will from our optics perspective create a short-term bump up in cost ratios as we get into the next quarter. That is something that we have to be aware of. But like I said, the elements that we have in terms of looking at granularly at all of the elements of operating expenses, we have been paying very close attention to this and determining which are the ones that we need to carry through into the coming quarters, such that we are able to sustainably deliver topline as well as VNB.

Avinash Singh: Now, if I were to look at H2, so in H1 of course, the GST hit has come for a very limited time and also the favorable bond yield moves have helped. But at the same time, you did not have enough time to take managerial action. Now, looking into H2, when you can take managerial action, but the GST input tax credit impact is going for

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the entire time period, both offsetting for the GST impact and you taking actions, is it fair to assume you will be able to sort of nullify the impact of margins if the product mix were to stay as it is?

Dhiren Salian: So, that will be our endeavor, Avinash. But like I also mentioned, there are multiple lev

ers that we will have to pull. One is, of course, renegotiating commissions, two is going to be Opex optimisation. Now, having done all of that, I do not think they will all come to a close in the coming quarter because as Amit also mentioned, these are ongoing discussions. And also in response to what Shreya had pointed out earlier, like the surrender value changes that had happened last time, these sometimes get protracted over a period of time. But I think the core focus for us as a Company has been on absolute VNB. So, I am not looking at margin, we have always been looking at absolute VNB delivery that we can get done in the period and what we are attempting to do is to take advantage of the positive news that we have got on GST to be able to drive higher volumes. That should be in a position to help us make good any potential short-term loss that we have on margins.

Avinash Singh: Thank you.

Moderator: Thank you. Our next question comes from the line of Swarnabha Mukherjee

from B&K Securities. Please go ahead.

Swarnabh a Mukherjee: Thank you for the opportunity. I have three questions. So, first to understand the VNB development this quarter or maybe in terms of absolute VNB or in terms of margin, whichever you would like to give some idea on. So, I just wanted to understand that this particular quarter, if I look at the product mix, vis-à-vis the product mix of first quarter, assuming that the product designs would be broadly similar between the quarters, I can see that the mix has moved in the direction of products where VNB accretion or the margin accretion might be lower, so towards linked and group fund. So, the segments where we have seen maybe ramp up is retail production. So, I just wanted to understand that our ability to keep the VNB more or less stable despite such larger categories coming up. Is this only on the back of retail protection and non-par or is there anything else to read into that? Has there been a major change in the product designs which have led to that? So, that will be the first question. Or in a different way, if I were to look at the margins between the quarters remaining flattish, how does the product mix explain that? And also, if you could highlight the par-non par mix during the quarter, so I can understand how much non-par quantified. Also, is there an impact of the GST input tax credit we could not take for the sales of the last eight days? What is the impact of that in this margin profile if you could also highlight that? That would be very useful. Second, in terms of the persistency drop that is there, going forward and for this current quarter, is there any change of persistency assumptions expected in our VNB calculations? So, is that already baked in the margins, or should we expect it some point

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going forward? If you could help understanding the same? And lastly, Sir, I did not understand the reason that you highlighted in terms of yield curve movement leading to the change in ANW and VIF. So, if you could explain why the impact of that would be different from March 2025 while ANW went down, VIF saw a very strong growth in a period where our new business growth was not that strong. So, if you could highlight why there is this different direction within the impact or is there any other factor to look into? And those will be my questions.

Dhiren Salian: Sure Swarnabh. So, let me pick up in the reverse order. The ANW point fundamentally is around the MTM on the debt and the duration of the debt that we hold in our part of ANW. So, large portion of it is explained just because of the MTM of debt. The second thing is on persistency.

Swarnabh a Mukherjee: Sorry to interrupt. I mean, if you could also highlight the reason for strong growth in VIF, that would be also very helpful.

Dhiren Salian: The VIF growth if you want to explain is largely explained by way of unwind as well as VNB additi

ons and some bit will come because of some economic variance. Those are the three large components that come as part of it.

Swarnabh a Mukherjee: Sure, understood.

Dhiren Salian: Now, persistency, Amit also explained this. Well, I think the right threshold to look at is two years back because it does not have the period of March 2023. But having said that, there are a variety of product and channel combinations that we need to be able to take certain additional action on and that is in progress. So, as now, when you look at it across, when you look at from what numbers that were disclosed at last quarter to now, we have been broadly stable. But the efforts are on all the teams to improve on persistency and we hope to be able to recover whatever loss that we have through the year as well in most cohorts.

Now, you had a question on the VNB right? And I explained that earlier as well. I mean, the positive movement in margin is largely due to one of these four factors. One is the higher mix of protection. So, if I look at what the full year protection mix was to where it is now, there is a significant movement up.

The second bit is in terms of the share of non-par business. And given the fact that we had launched a product in January this year, January 2025, that has started to become a larger portion of the traditional book. So, even at this point, it stands at about 50:50 roughly in terms of the par to non-par, whereas earlier it used to be the ratio of 2:1 for the par to non-par share of the traditional business.

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The second thing is in terms of underlying product level profitability, and this is something that we have been speaking about multiple quarters, where we are looking at increasing sum assured multiples, longer tenure policies, and of course, increasing rider attachments. So, this factor has started to play out now and that is helping us improve

underlying product profitability. Third is in terms of the favorable movement of the yield curve across this period, that helped a bit. And the last is another offsetting impact that we have. What we have done is in terms of GST, we have taken an estimated impact of the GST disallowance on both the commissions as well as operating expenses, whatever is relevant for this half year. We have taken that hit onto the new business that we have reported for this period as well.

Swarnabh Mukherjee: Right. Would it be possible to give some quantification of how much was that impact for this quarter or first half?

Dhiren Salian: So, see the problem is that may not be relevant for the quarters going forward. Hence, I would refrain from getting into that exact quantification there. But we have to whatever extent that we could see the impact of GST, we have taken that on board at this point for the business that we have done.

Swarnabh Mukherjee: Okay. Understood. This is very helpful. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Vinod Rajamani from Nirmal Bang. Please go ahead.

Vinod Rajamani: Thank you for the opportunity. I had a question related to GST, two questions actually related to GST. So, given the reduction on individual life policies, how will you treat the impact within the embedded value framework? Specifically, will the benefit flow through the expense variance or the operating assumption change line in the EV waterfall. That is the first question on GST. The other is that since group products remain taxable with input credit eligibility, is there a plan to kind of balance the trade-off between retail and group? Because on group business, you will get that input tax eligibility. So, how do you see the interplay between group and retail playing in the future? So, these are the two questions.

Dhiren Salian: Hi Vinod, thanks for those questions. On the first one, that will be an assumption change. It will not be a variance, it will be an assumption

change, which we

will disclose at the end of the year. And essentially, whatever expenses are directly attributed to retail business, you cannot really set that up directly against group business. Theoretically, it might make sense to say that I will play one against the other. But, practically, it is not possible because those two business lines are different, the distribution lines are different, the products are different. So, you cannot really play one against the other. Theoretically, on excel sheet does make sense, but practically, it becomes quite difficult. But at the end of the year, any case, depending upon the total

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quantum, that will show that as part of an assumption change. And that is the right place to put it because that is going to be an impact of the GST change on to the way the business model will carry on into the future.

Vinod Rajamani: Understood. Thank you.

Moderator: Thank you. Our next question comes from Niraj Kumar from HDFC Life. Please go ahead.

Niraj Kumar: Hello. Okay. So, my question is the GST claim which we are getting and it will increase the cost. So, how we are discussing the commission structure? And is this discussion also with the agency where we will reduce the commission for agents as well?

Dhiren Salian: Yes, we are in the process of renegotiating commissions with all of our distribution. This conversation is on at this point.

Niraj Kumar: Okay. Fair enough.

Moderator: Thank you so much. And our next question comes from the line of Neeraj Toshniwal from UBS Securities. Please go ahead.

Neeraj Toshniwal: Hi, everyone. So, on my first question, I think on 61st month persistency, we are still yet to understand why it is contracted, if you can help with that? And the second question is, on the input tax credit, I think you have mentioned that you're not quantifying at this point. But on a year-end basis, are we looking to have some impact on our book or it will be totally transient? What's our view? And if you can also guide and help with possible product mix, we will be focusing here on new launches we will be having to drive the growth and output on annuity because that has been a bit of a laggard till now. So, that will be helpful. Thank you.

Dhiren Salian: Sure. Neeraj, the 61st month persistency, I think we have discussed earlier as well. That's due to a definition change, which allows for policies to be on the book, even though for both unit-linked as well as traditional, they are required to continue on the book, even if they are not premium paying. That's a technical definition that has caused the drop in persistency there.

Now, the second question that you mentioned is on the impact of the GST on the Embedded Value. That will be an assumption change that we will put up at the end of

the year. We had given you an indicative number as part of our disclosures. That was for the FY 2025 Embedded Value. And we had given an indicated number. But of course, depending upon how much, when this comes about, how we are able to manage this impact, the full impact of that will be disclosed at the end of the year. So, in terms of products, I think our philosophy has been to make sure that the entire product suite is available, we keep them refreshed at all points in time, be they on the unit-linked

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platform, be it on the par as well as the non-par platform, as well as the protection platform and annuity platform. So, everything is live and in tune with the market. We continue to make new introductions. We carry a set of pages as part of our pack also, which talk about what are the new introductions that we have during the period. So, you will continue to see us work at providing different propositions for customers. I think it'll be a little premature for me to talk about all the products that we will bring out over the next six months. But we have had a couple of product launches in this quarter

itself already.

Neeraj Toshniwal: And in terms of, given we have a benign base now, how should one think about, will we be having growth in line with industry, or how do we think will be towards the second half, one should think about?

Dhiren Salian: Difficult to put a number on this, Neeraj, but very clearly, as you rightly pointed out, H2 is more benign than H1 for us. So, given that we have put in a lot of underlying, the underpinnings of the business are far stronger, much more robust, I believe we should be able to deliver some decent growth into the coming half year. Additionally, given that the GST notifications have also come about, reforms I believe are expected to spur growth. Like I mentioned, we are starting to see some initial pickup, early signs are visible. We have seen that both in terms of our website traffic, which suggests that there is a demand in customers, as well as some degree of conversion also has improved. So, I believe we should be able to take advantage of the reform that the government has put out to be able to deliver growth, not just for us, but I believe the industry should be able to take advantage of this as well.

Neeraj Toshniwal: Thank you and all the best.

Moderator: Thank you. Our next question comes from Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: Hi, thank you for taking my question. Most of the questions are already answered. I just have one data keeping question. So, can you let us know what is the mix of ICICI bank channel in the total banca? And secondly, while you answer that, so expecting some improvement in growth in the second half, my question is that, if we are not able to, let's say, achieve the growth which we had expected in the starting of the year, will that impact our VNB margin as well because it's based on our expected cost absorption? Just those two questions. Thank you.

Dhiren Salian: Thank you. So, on your first question, the ICICI bank has been stable at the 100 crores per month range. It broadly stays there. That's not so much of a change in the share of ICICI bank as part of our retail mix.

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Second, of course, the way that we have architected the business, I think we are quite confident to be able to deliver on growth. As I mentioned earlier in response to Neeraj's question that the H2 base is quite benign. We do have a favorable bump up that's coming out of the GST reform as well. So, I believe we should be able to deliver on growth in the second half.

Kushagra Goel: Sure. Got it. That is all. Thank you.

Moderator: Thank you. Our next question comes from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes, thank you for the opportunity. Dhiren, the ₹ 505 billion EV what we have reported, it doesn't have that 1% negative impact in the numbers, right? Or it is already incorporated in that ₹ 505 billion what we reported in H1?

Dhiren Salian: Broadly with the impact of this GST on the existing book to the extent that we know has been factored in as part of the declared VNB. The full walk, we will do that at the end of the year.

Sanketh Godha: Got it. Understood. And the second thing, Dhiren, is that when we report our margins, we report it on estimated cost. So, the 24.5 % what we are reporting is still based on that estimated cost or we have already incorporated that GST input credit negative impact already in the 24.5 % what we reported now?

Dhiren Salian: Yes, we have taken in what we know of GST into the 24.5%.

Sanketh Godha: Got it. And maybe one more thing, just wanted to understand that GST typically, in my view, will impact largely two products, individual protection and ULIPs. So, individual protection, till the time you don't take a price hike, it will have an implication. But ULIP seems to be a permanent damage. So, when you speak about renegotiating commissions, it is predominantly a ULIP phenomenon or you will do across the

products. And whether you have headroom in RIY to take that impact of ITC to still maintain the margins on ULIP. So, just wanted to understand this renegotiation bit along with the product level negotiations, what you are trying to have?

Dhiren Salian: Okay, so Sanketh, then let me put some facts on the table. See, the impact of GST input tax credit disallowance is felt most on non-par. And if I am looking at the savings line of business, and I look at the severity on the margin impact, it will be highest on the non-par. It will then come through to unit linked, which will be of small impact. And then par, of course, is a very, very small impact because it cycles through the fund. And at the end of the day, will go back and impact the customer bonuses and Shareholder portion of the bonus. This is the order of priority. So, the reason why the entire industry is renegotiating commissions with distribution is primarily because of the

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varied impact that it has based on the mix that they carry. So, protection is another element. Of course, it has an impact on protection, no doubt about it. Protection in that sense will behave like a non-par because it will carry through completely to the Shareholder, any impact that you are not able to manage with the distribution. So, your order in terms of severity is going to be around non-par and protection, then to a very small degree on unit linked and a very, very small degree on participating.

Sanketh Godha: But in non-par, probably you can change the IRR if you want to renegotiate that, I mean, it's to mitigate the impact. So, is it fair to say that?

Dhiren Salian: If you want to take away customer benefit, that's a different position, Sanketh.

Sanketh Godha: Okay. Got it. And lastly, this banca slowdown, what we are seeing in the first half, though the base was not meaningfully very high last year, is it largely because of the IndusInd bank channel where probably Hinduja's has taken a little lion market share or it is in general weak demand in the banca channel?

Amit Palta: See, bancassurance is 30% of our business. Last year, growth was close to 30% and this year is flattish. So, ICICI Bank is half of 30, which is 15%. And remaining 15% is fairly distributed. You took an example of IndusInd Bank, but we have other bank partnerships as well. And it is a fact that in a multi-banca partnerships, you will have different ecosystem challenges with different partnerships at various points in time because of the cycles or unique challenges with some partnerships. But that is part of the game. That's how things operate in multi-distribution network. So, to that extent, I cannot single out any one unique issue contributing to overall banca flattish performance. All I can say is 30% growth last year was quite significant. And that business has remained flattish now. So, on a 2-year CAGR basis, it is still 13.5% -14% of growth that we have seen. And again, we need to also be cognizant of the fact that some of our banca partnerships like ICICI Bank has predominantly focused on protection and unit-linked business. And typically, unit-linked business does well in a buoyant market. To that extent, that also had an impact. So, that's what I have to say.

Sanketh Godha: Okay. Understood, Amit. So, maybe, Dhiren, can you tell on that RIY headroom which I asked you, whether we are at the threshold on most of the products what we sell or we have a still headroom to maybe if you want, we can navigate the ITC issue?

Dhiren Salian: No, we have some headroom.

Sanketh Godha: Perfect. Thanks, Dhiren.

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Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi, everyone. First question, from a persistency perspective, is it in line with your assumptions or it is lower than your assumptions?

Dhiren Salian: So, Prayesh, there are certain pocket

s that are lower than assumptions

and that is what our endeavor will be to bring them back up towards the end of the year

so, that there does not remain a variance.

Prayesh Jain: Got that.

Dhiren Salian: Secondly Whatever is residual, we will take that as part of the assumption change at the end of the year.

Prayesh Jain: Got that. Secondly, you mentioned that on VNB front, you have in your estimated cost workings, you have already taken the GST hit that whatever kind of comes through, right, the input tax credit not being available. So, in that sense, in case the product mix and everything remains stable, is it fair to assume that your profitability on VNB margins will not take a hit going ahead because of GST?

Dhiren Salian: So, we have taken the hit for H1 business. Now, if towards the latter half of the year, which is all through Q 3 and Q 4, we are unable to adjust based on those levers that I spoke of, that particular H2 portion of the business will have an impact. But like I said, these are, from our perspective, we believe these are short-term impacts. So, whatever we see on margin, we hope to be able to cover that up by way of additional demand and absolute VNB, we should be in a position to therefore garner. That's the way we are looking at it, because we think that this is really going to be a big driver for business into the future.

Prayesh Jain: Okay. And another clarification, you mentioned that in the EV, you have taken the hit only on the VNB, which is on the new business, or whatever you have written so far in the first half on the GST cut. But on the back book, the impact is yet to come on the EV that you have reported, right? Is that the fair assumption?

Dhiren Salian: No, we have taken the impact on the EV as well. But like I said earlier, whatever we know, we have taken an impact on to the EV as well, the EV walk that we will disclose at the end of the year.

Prayesh Jain: Okay. And last question, any changes to the IRRs that you have done on the non-par side just to mitigate or just to kind of adjust to the yield curve, whatever has happened in the last three months?

Dhiren Salian: No, we haven't made any updates to the IRR of our non-linked products.

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Prayesh Jain: Got that. That's helpful. Thank you so much.

Moderator: Thank you. Our next question comes from Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. First question again is on GST, based on your experience of previous such instances, and your discussion with distributors, how much impact do you think you will be able to pass on to the distributor in the near term? Will it be 50%, 80% or 100% will be passed on to the distributor?

Dhiren Salian: Thanks Nitesh. But it's a difficult call for us. I think what I can point you towards is the last set of such large scale conversation that had happened a year back in terms of surrender value, where we have been able to effectively move to a win-win situation for all parties involved, the distributor, the Company, and most importantly, the customer as well. So, that is the lens in which we will continue to operate, that the customer gets a fair deal. We are in a position to find a mid-ground between the distributor and us. In the short term, very difficult to call, because these are ongoing negotiations at this point. I believe the entire industry is in this set of conversations. When it comes to conclusion, we will be in a position to talk about how much finally comes through. But the key position that we have been making to our distributors is that these increased volumes that we expect, that should be clearly value accretive to distributors, because end of the day, the commission percentage is not really the number people focus on. I am sure every individual distributor, whether they are individuals or corporate are really interested in the absolute revenue that they are able

to garner on their P&L. And

we believe that if the industry comes together, along with the ecosystem, we should be able to make a big success out of these reforms that the government has put through.

Nidhesh Jain: Increased volume on protection is anticipated, but on savings business, because the impact is not very significant and quite invisible, do you see increased volumes in the savings business also?

Dhiren Salian: Yes, we see it on the savings business as well, because see, within the unit-linked, if you look at the benefit illustration, you should start to see a uptick in terms of the returns that you make at the standard fund growth values. Very specifically, you will see this in terms of both traditional businesses as well, both traditional businesses, which is par and non-par. Non-par, you will see uptick in IRRs, because very clearly, what the customer should ideally be looking at is the total amount of money that goes out of their pocket, which is the base price plus GST. So, now that the GST is no longer applicable, the base price itself is going to give you a better return.

Nidhesh Jain: Sure. Second question is on retail protection. There also we are seeing that the growth has slowed down, specifically in quarter two. So, anything specific to highlight in this quarter?

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Dhiren Salian: Good, you made that point. I think Q 2 for us last year was a fairly strong base, and we had grown at 31% in Q 2 last year. So, against that base, this minor growth number clearly is something that I think we should be able to go past that into the coming quarters. Very clearly, I think the underlying are quite strong. So, in terms of absolute numbers that we have been generating quarter on quarter, that's been on the uptick. We saw very strong growth in Q 1 as well, 20% plus growth in Q 1. But given that last year, Q2, we had a very, very strong growth number. I think against that this falls a little short. But this does not in any way mean that we are seeing a shortage in demand. Very clearly, as I pointed out earlier also, we are seeing a lot of demand come through on our website, which is largely protection oriented. We are seeing a lot of customers come through and ask about retail protection. And now with the GST cut being applicable, protection suddenly is 18% cheaper.

Amit Patla: Also, Nidhesh, since this GST thing came into play from 22nd, we actually saw a bit of a surge towards the end of the month. And as you know, that protection is typically a longer process for issuance as it involves for medical. So, logins at the back end of the month also had an impact on the issuance numbers. Plus, like it was even before the discussion, before the announcement was made, it was expected to have a GST waiver for protection range of products, savings was announced subsequently. So, I can't rule out, of course, I can't authenticate that, but there could be a slowdown a little bit in Q2 in anticipation of change in price or change in benefit from 22nd onwards. So, these are the two reasons I would just like to add apart from the base effect that Dhiren spoke about.

Nidhesh Jain: Sure. And the last question is a slightly longer -term question. What we have seen is that whenever we have seen a growth slowdown, we have tried to tackle it through cost focus, focus on cost, etc. While in that process, I don't know how are we thinking about long -term investments, because if we are curtailing costs and have a lot of focus on cost control, at some point in time, your focus on investment for longer term will get impacted. When you are cutting your discretionary costs etc., the focus from the management team will be more on controlling costs rather than investing from a longer -term perspective. So, why we are worried too much about near term profitability, one year margins, and why don't we try to sacrifice near term margins and build investment which will

give you much more sustainable growth from a 3 to 5 year perspective?

Dhiren Salian: Yes, it's a fair question. I think your point is, if I were to summarise is that, are you cutting into the muscle? And I think the answer to that is clearly no. Because what we have been doing is ensuring that there is further alignment of our resources to where we are able to drive value. Now, be that in terms of reallocation of our organisation structure, reallocation of our people into more productive areas. Along with that, we have looked at greater degree of digitalisation. And as I mentioned in response to a question earlier, there is a set of pages at the back which talk about how we have been able to improve productivity across all parts of the business, more notably in operations and now

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more in terms of the sales as well. So, the idea is that if you're in a position to deliver on the underpinnings and make them stronger and stronger. And very clearly, one of the things that we have continued to invest in, and you can see that as part of our disclosures as well, we have not stopped investing in technology. That continues. I think that will become a game changer as you look at the coming quarters and the years ahead. I hope that answers your question.

Amit Patla: Nidhesh, I just wanted to on a lighter note share with you that investment at times has been construed as only the cost incurred on people, on branches, on physical infrastructure. But also, I would like to give you a new dimension, different dimension of investment, which is on the complete strategic outlook. So, the outlook for us has now gone micro market, understanding local markets with the same resource you can actually deploy in high opportunity markets, understand the customer fabric, deploy your distribution, which has access to those customer segments. And there's been an approach which is very, very different, doesn't call for a cost or an investment from a rupee perspective, but it has a lot of mind investment when it comes to investing for future. So, we have not fallen short on any such investment in terms of our lateral thinking

on strategy. And at the same time, when it comes to some of the outcomes that you see on digitalisation, that number itself will reflect that on technology, we have not fallen short on investment over a period of last few years. So, this is just something that I would like to add to what Dhiren mentioned.

Nidhesh Jain: Sure. Thank you. That's it for my side.

Dhiren Salian: Thank you, Nidhesh.

Moderator: Thank you. Our next question comes from Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha : Hi, thank you for taking my question. See, most of my questions have been answered. Again, coming back on topline growth. So, far, we have had the high base impact. But going into second half, do you think, growth will be much stronger?

And, we have been down about 8% on individual APE. What sort of a number should we be looking at, you know, from a full year perspective? Given that now, you know, you are more confident of growth coming in with the GST cuts also. So, some sense around that will be helpful. Also, on the VNB margin will be helpful, I think this question was asked earlier also that what, in terms of how much of the ITC impact, will we be able to pass on to the distributors or to the other sort of cost centers, other partners? And how long do you think will it take for the margins to sort of normalise for you as a Company? So, yes, those would be my two questions.

Dhiren Salian: So, Madhukar, in response to your first question on growth, as rightly pointed out that we do have a much more benign base into H2 of the year. That was

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relatively normal. We had about 8% growth in H2, whereas H1 was 25% plus last year. So, you're right, we expect to be able to build on this growth into the second half of this year. You will also

notice that our APE in September was flattish, despite most of the business all coming in towards the later part of the month, post the GST implementation. And also in the month of September, what I can let you know is that the linked business has now started to come back to growth. This is at one level what you're seeing on the underlying business. Second, we discussed GST and the impacts and we clearly believe that there is a lot of demand that can come through. This again responds to multiple questions that we have discussed where we expect demand to come through in the short term as well as over the longer term. Early signs are visible. Like I said, the website traffic has increased and we are starting to see some improvement in conversions as well. Now coming to your second question in terms of the impact on to VNB and when we should see some normalisation. This is 14 days into this quarter, early to call. I think through the quarter, we will get some sense of how the entire ecosystem comes together. But like I'd mentioned, I think it's fairly important to be able to keep the customer benefit on top. I think that's one of the clear reasons why customers buy our products and believe in the product that we offer. It's for the rest of the ecosystem which is the manufacturers as well as the distributors to find common ground to be able to deliver value to both.

Madhukar Ladha : Just one follow-up. See, it's been less than a month also with the GST cuts. In this three to three and a half week period, how much of the impact have we been able to pass on? I mean, I know it's a difficult thing to ask and for you to answer as well. But some sense of what has happened over the last three and a half weeks? How much of the ITC that you estimate have we been able to cut? How much of the thing have we been able to pass on to the distributors?

Dhiren Salian: No, nothing has been passed on to distributors yet. As Amit also mentioned, this is a set of renegotiations that are on at this point. Nothing has come to close.

Madhukar Ladha : Okay. So, right now, like the old terms stand and then whatever you decide, you will take a retrospective change then. Is that the way to think about it?

Dhiren Salian: See, these are multiple conversations. So, as and when they close, we will be able to take that impact, Madhukar. Same playbook that we had when we had the surrender value regulations last time. So, nothing different from that.

Madhukar Ladha : Got it.

Moderator: Okay. Thank you. Our next question comes from the line of Nischint Chawathe from Kotak. Please go ahead.

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Nischint Chawathe: Hi, thanks for taking my question. Just on the MTM loss, I believe that you said that there is some investment variance in the EV walk. But I mean, if I look at the 10-year G -sec, there's hardly any movement during the last 6 months. So, I am just

curious, what would be the reason for that?

Dhiren Salian: So, that's just a reference point, Nischint, that we provide. Again, this depends upon the tenure of your underlying liabilities. So, if you note that it's been quite steep into the later part of the curve, these play out differently depending upon the average tenure of each of your liabilities.

Nischint Chawathe: Sure. And maybe this is a little more academic question. But, I was looking at your P&L statement. And I was just curious, if there is going to be some ITC loss, which line items should it affect? I know there's practically no impact in this quarter, but which line items, it would affect or it would have already affected?

Dhiren Salian: So, the way we represent this input tax reversal, which we continue to have for the last few quarters and few years as well, is that we reflect across each and every element of our Schedule III expenses.

Nischint Chawathe: So, this should have some kind of an impact on change in actuarial liability, which is point number 16?

Dhiren Salian: Yes, to the extent that the GST input tax reversal comes through. But if you're looking at your P&L, then each of these Schedule III items will be inflated going forward to that extent that we get the reversal.

Nischint Chawathe: So, I am just trying to say that the actuarial liability that you have reported kind of assumes that adjust the reserves for ITC losses I believe is what it is. And probably that gets reversed as you probably have some discussions with distributors. So, you probably assume that, look, there is no discussion with distributors or whatever, other stakeholders and there is an ITC loss. And that is adjusted in the change in actuarial liability and probably that gets reversed over the next quarter as we negotiate. Is that a fair reading, it gets reflected maybe further quarter. For the renewal book, right? I am talking about the renewal book.

Dhiren Salian: Yes, to the extent that we know we have factored that as part of the reserves.

Nischint Chawathe: And have you assumed any renegotiation in this or have you assumed that?

Dhiren Salian: No.

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Nischint Chawathe: Okay, so if anything, I mean, there could be some reserve release only in the later quarters, because, assuming that you probably have a middle path with the distributors, right now we assume that there's nothing and this is the P&L.

Dhiren Salian: Yes.

Nischint Chawathe: And if I look at it optically, the earnings are not distorted. I mean, there's no significant impact on earnings because of this. That's a fair reading or maybe there was something and that got set off.

Dhiren Salian: Yes, you're right.

Nischint Chawathe: Okay, sure. Thank you very much.

Moderator: Thank you. Our next question comes from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hello. Good evening. Just two questions from my side. One is when you're having this incremental discussion with the distribution fraternity in terms of realigning the commission structures, I just wanted to get some sense of across different channels, what is sort of accommodative stance being taken by different cohorts, like, for example, between proprietary or partnership distribution or banca? I mean, which channel partners do you think would be more accommodative in this discussion? And second, just a data keeping question, if you can give your credit protect growth for the quarter on an APE basis?

Dhiren Salian: So, Dipanjan, the conversation with our distribution is on at this point. I think it'll be premature for me to put some view of that. It is going to be difficult to say anything at this point. Let it come to a closure. Then I think we will be in a position to talk about it. In terms of credit life, we still continue to see declines in the MFI portion. But what I can tell you is that the sort of decline that we have seen in the earlier periods that has started to reduce. We are hopeful that as the MFI industry at large starts to pick up on growth, we should be able to capitalise on that as well.

Dipanjan Ghosh: I am sorry, just one small follow up. I mean, in line with the product mix, would it be fair to assume that non-par for the first half has grown at more than 50% - 60%? I mean, given that the mix has changed from two-thirds to almost equal weightages?

Dhiren Salian: Yes, I am not hinging on the number that you're specifying, but it has seen very decent growth. For the full year, I think it was roughly about 2:1 on the par to non -

par. We are now broadly at 50 -50 on the par to non-par. So, you can back compute.
Dipanjan Ghosh: Got it. Thank you and all the best.

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Dhiren Salian: Thank you.

Moderator: Thank you. Our next question comes from the line of Mohit from Centrum. Please go ahead.

Mohit: Thanks for the opportunity. My first question is on the retail protection. So, how has been your mortality experience and have we done any re

pricing for the same?

Dhiren Salian: I think we monitor the mortality experience quite continuously and repricing of contracts or other policies happens at all points in time depending upon the kind of advantage that we see in the market and the kind of benchmarking that we do on a continuous basis. So, there's nothing we haven't done.

Mohit: Yes. Business as usual, right? I mean, nothing needed.

Dhiren Salian: Yes, business as usual. You will continue to see some changes across pockets, but nothing massive or something that has to be done for the entire book at one shot. In fact, if you pay attention to our early claims, I mean, look at the ratio of early claim s that has started to improve quarter after quarter and we are now at about 22% share of claims as early claims. And that gives you a sense of what we have been able to do in terms of improving the underlying mortality of the book.

Mohit: Understood. The second question is towards the Banca channel. So, I was just looking at your PPT. Basically, we added 2 new Ban ca partners in H1 and now we have overall 50 banks as our ban cassurance partne rs. But if I look at the numbers, numbers look pretty flat at the end of H1. So, do we have any roadmap for the bancassurance growth?

Dhiren Salian: So, in terms of bancassurance, see, there are no large banks that are currently available that we could partner. We are open to a partnership, but of course, depends upon whether the bank themselves wants to partner with us or not. Our objective in all of this is to make sure that we are able to spread as much as possible. And any ban cassurance opportunity that comes with it, we are able to add and onboard as quickly as we can. You rightly noted that we added banks, two banks in this current period. Of course, these are small banks, but we have been working with each of our banks, bring ing them up to speed and working on improving the throughput as well as in terms of quality.

And also note that as part of our pack, we have got a section that talks about how we would like to integrate with our partne rs and our position is that through the ICICI Pru Stack , we'd like to be the most partnerable company in the ecosystem. In fact, now from an onboarding perspective, we are able to onboard distribution partners in less than two weeks and get them productive.

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Mohit: Okay. Makes sense. So, the last question is on the agents. I was looking at your agent addition. So, we added close to around 18,000 agents on net basis from April to September. And if I compare that to the private sector, that's around 15% of the total private sector addition. Now, you're talking about rationali sation of distributor commission and I mean, I think we did at the time of surrender value as such. So, do you think the agent would be kind of a little more demotivated or as an industry, maybe agent may not be wanting to come henceforth? What are your views on that?

Amit Patla: First of all, we have made this event a little bigger. We should keep on looking at the optimism that comes with this decision on increasing the overall demand and absolute productivity going up. So, easier said than done, because on an instant basis, you will look at commissions getting impacted. But over a medium to long -term basis, we do look at absolute productivity, compensating for any change in the commission structure that may happen. Nevertheless, at this point in time, like what Dhiren mentioned, decision s on commissions are still under discussion and it will progress and get probably a logical closure over the next couple of months. So, too early to comment on that. That's how it is. I do believe that the kind of visibility that life insurance has got ever since this announcement has come is quite positive as never been like this before. Earlier, it was seen during the time when there was a tax scarcity. So, this is a big event and we are quite opti

mistic that it will support overall demand and absolute productivity
should take care of the incremen tal cost, both for us as well as for the distribution.

Dhiren Salian: Like I had mentioned earlier, Mohit, I think every distributor is looking at the absolute amount of revenue. I don't think people stress so much about the percentage. If the environment is such that it's able to drive demand and they are able to generate a lot more revenue, then it is very clearly value accretive for them.

Mohit: Understood. Makes sense. Thanks and wish you all the best.

Moderator: Thank you. Our next question comes from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: Thanks for the opportunity. I have a couple of questions. First, at what speed do we start to essentially hit customer benefits? I mean, do we have something in mind that this will be the VNB margin outcome due to the ITC or maybe if the growth is not picking up, maybe 2 or 3 quarters down the line, we can consider hitting customer benefits?

Dhiren Salian: Raghvesh, in response to a question earlier, I mentioned that it's important for us to be able to keep the customer at the center of everything that we do. Right. The rest of the ecosystem, which is the distributor and manufacturer, have to be able to manage this and ensure that whatever best for the customer can be provided has been provided. We also have to be cognizant of the fact that this is not the only avenue for

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savings in the market. There are other products as well and we clearly have to keep our products competitive in that context. Of course, in the context of these being long-term savings. So, I don't think the right approach is to cut customer benefits. I think we have to find a middle ground between the ecosystem participants to be able to find an outcome. Clearly, our position on the VNB is to look at the growth in absolute VNB and believe that with the demand that is potentially going to be spurred because of the GST reform, that should enable us to meet our growth numbers on VNB.

Raghvesh: And on the renewal book, on the policy written in previous years, do we have any leverage to change the commission structure on the book, which was written say in FY2024. Can we change the renewal premiums now on that book?

Dhiren Salian: On the renewal premiums or renewal commission?

Raghvesh: The renewal commission.

Dhiren Salian: So, that is part of the conversation that we are having with distribution as well. We have no ability to change renewal premiums. But in terms of renewal commissions, this is also on the table in terms of the set of items for conversation. The other bit, like I mentioned earlier, is to be able to manage cost. And you're seeing the improvement in our cost ratios for a variety of activities that we spoke of in response to earlier questions as well, that I believe should hold us in good stead as we go through the quarters.

Raghvesh: And the last question you mentioned, GST cuts are good for others as well as the industry. So, are we looking at growing beyond the industry, even as we end this year? Or is that not, the focus remains on it?

Dhiren Salian: I don't want to make a forward-looking statement on this. I think we will do our best to be able to take advantage of the opportunity.

Raghvesh: Okay. Thanks for the answer.

Dhiren Salian: Thanks.

Moderator: Thank you. Our next question comes from Gaurav from MLP. Please go ahead.

Gaurav: Hi. Good evening. Thanks for taking my question. So, just to put into context the severity of the impact that we are speaking about, let's assume that without attributing anything passed on to the distributor, what would be the gross impact of this in any way, if you can call out? And, with better operating leverage playing out in the second half, how much do you expect to offset this organically without assuming anything passed on

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to the distributor,

given that that is under consideration and not yet finalized? Just to understand or just to put into context the severity of the impact on VNB.

Amit Palta: So, Gaurav, yes, the question that you're asking me is, ceteris paribus what is the impact? My challenge in answering this question is nothing is ever ceteris paribus. The entire environment moves, the ecosystem moves, and we are not the only participant in the ecosystem. Very clearly, as I mentioned in response to a question earlier, it is important that the ecosystem of both the distributor and the manufacturer get together to be able to ensure that customers get a fair deal. How this gets split up, I do not think I am in a position to answer it at this point, because there are a couple of levers that are

at play at this point. One is the question on commissions, and how will the commission themselves change?

The second bit is in terms of operating expenses and the impact of GST reversal onto those operating expenses, that itself has to play out. And the larger demand that we expect to see into the coming quarters in the coming years that itself should be able to offset any particular impact that comes through. So, I do not believe it is a ceteris paribus situation. I think the environment will shift. We had this similar set of conversations when we had the introduction of the surrender value regulations. And you have seen how the industry and the distributor ecosystem have evolved in that period. And you have seen the growth in the industry come through as well. So, I do not believe it is a situation that is as dire that gets painted out in terms of how the margin outlooks are. I think very clearly one has to focus on how much of absolute VNB that we can bring onto the table and ensure that the growth of the sector comes through on a sustainable path.

Gaurav: Fair enough. And just the second question on this, since you mentioned the focus will be on absolute VNB and given the tailwind of the GST cut in the second half, and also a favorable base, what kind of absolute VNB growth are we looking at for let us say this financial year? You can give a range with improved outlook on growth in the second half, maybe what kind of absolute VNB growth we should be looking at?

Dhiren Salian: No, it is a little difficult to call this point, Gaurav. But very clearly, we believe there will be a spurt in demand that should help us.

Gaurav: Okay, sure.

Moderator: Thank you. Our next question comes from the line of Harshal from AMSEC. Please go ahead.

Harshal: Thank you for the opportunity, sir. Just two questions. So, first is, in case equity markets continue to remain range bound and yield come down from here on, could we see further divergence in growth between ANW and VIF? That was the first.

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And secondly, just in terms of trade-off between growth and input impact on margins. So, if you can give some colour on what sort of additional growth do we require to offset the impact on margins? So, that will be quite helpful. Thank you.

Dhiren Salian: Harshal, I do not know how the final impact will come through because it is not just the equity markets, it is the question of the debt markets also. And difficult to call how that plays out in the end because part of our portfolio, we do have equity and debt. And so, difficult to see how that pans out at this point.

The second question in terms of offset, I think we are not looking at an impact on margin from that perspective. This was in response to a previous question as well. I think our focus will be on growing the absolute VNB, taking advantage of the environment that offers to us. And very clearly, this is a conversation that is live with our distribution as well because clearly the pitch to them is that if you are able to take advantage of the demand support that we see, then they should be able to make higher revenues, even if there is a shave of

if in commission. Very clearly, like I mentioned earlier, the focus is to make sure that the ecosystem gets together, which is the distributor as well as the manufacturer to ensure that customers do get a fair deal.

Harshal: Sure sir, thanks.

Dhiren Salian: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Anup Bagchi: Thank you all for joining. Have a good evening.

Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' et c., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: Jan 2026

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

January 20, 2026

General Manager
Listing Department
BSE Limited,
Phiroze Jeejeebhoy Tower s,
Dalal Street,
Mumbai 400 001 Vice President
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza',
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and nine months ended December 31, 2025

In continuation to our letter(s) dated January 2, 2026 and January 13, 2026 , the Company had hosted an earnings conference call with investors and analyst s on Tuesday, January 13, 2026 , at 3:30 p.m. IST , to discuss the performance of the Company for 9M-FY2026.

Pursuant to Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for 9M-FY2026 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair
Company Secretary
ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Nine months ended December 31, 2025 (9M-FY2026)
January 13, 2026

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Anup Bagchi

Thank you. Good afternoon and welcome to the results call of ICICI Prudential Life Insurance Company for the nine months ended December 31, 2025.

I have several of my senior colleagues with me on this call; Amit Palta – Chief Products and Distribution Officer; Dhiren Salian – CFO; Judhajit Das – Chief of Service Delivery; Manish Kumar – Chief Investment Officer; Souvik Jash – Appointed Actuary and Dhiraj Chugha – Chief Investor Relations Officer.

Let me start by talking about some of the key developments during the quarter.

We are proud to celebrate 25 years of service to our customers. Trusted by over 20 crore Indians, we have carried the responsibility and pride in protecting families and supporting them in their long-term savings goal. We extend our deepest gratitude to all our stakeholders whose trust and partnership have shaped this journey.

The President of India has approved amendments to the Insurance Act through the 'Sabka Bima Sabki Raksha' Act 2025. This is a move towards achieving 'Insurance for All by 2047'. Raising the FDI limit from 74% to 100% is expected to attract long-term capital to the insurance sector. The Act also enhances ease of doing business, prioritizes policy holder protection and positions India for accelerated growth and development.

Now, let me talk about Q3-FY2026 business overview.

In Q3, the life insurance sector saw a surge in demand following the recent GST reforms, strong GDP growth, low inflation and stable equity markets. Collectively, these factors have provided a conducive environment for the industry.

The key highlights of our business performance are as follows.

■ Q3-FY2026 retail APE grew by 9.9% year-on-year on a base of 20.8% growth in the previous year Q3. Retail number of policies grew by 11.7% year-on-year.

■ The recent GST reforms partly aided the strong performance of our retail protection segment. In Q3-FY2026, this segment registered a 40.8% year-on-year growth.

Consequently, the retail sum assured witnessed robust 51.6% year-on-year growth
du

ring the quarter.

■ Overall APE grew by 3.6% year-on-year in Q3-FY2026. Nine-month retail and overall APE stood at similar levels to previous year.

■ VNB for Q3-FY2026 stood at ■ 6.15 billion. The 9M-FY2026 VNB stood at ■ 16.64 billion with a margin of 24.4%.

■ Cost-to-premium ratio for 9M-FY2026 reduced to 19.3% from previous year's ratio of 19.8%. This includes the impact of withdrawal of input tax credit.

■ As you are aware, over the past two years, we have undertaken several optimisation initiatives to make our cost structures leaner and better aligned to our product mix and will continue to work on the same.

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■ Our 13-month persistency stood at 84.4% and claim settlement ratio stood at 99.3% with an average turnaround time of 1.1 days for non-investigated individual death claims.

To summarise, we are committed to deliver sustainable VNB growth through a balanced focus on business growth, profitability, and risk management. This approach ensures we remain resilient and ready to scale emerging opportunities regardless of the ever-changing external landscape.

Thank you and I will now hand it over to Amit to take you through the business updates.

Amit Palta

Thank you, Anup. Good afternoon, everyone. Let me start with the business overview.

As mentioned by Anup, Q3-FY2026 retail APE grew by 9.9%. Consequently, the two-year retail APE CAGR for Q3 stood at 15.2%. The retail savings and protection segment both registered growth in Q3 of this financial year.

Linked business also grew by 8.3% year-on-year driven by renewed customer confidence as equity markets returned to growth after Q2. Within linked business, we continue to focus on products which are not only aimed at wealth creation but also offer goal protection, high sum assured, and comprehensive benefit for nominees. This approach helps us cater to wider needs of customers apart from wealth creation.

Non-linked savings business grew by 15.2% year-on-year primarily led by non-participating products as customers locked in guaranteed yields in the declining interest rate environment.

Annuity business declined by 16.4% in Q3 on the back of 50% growth in the previous year's same period. Within the annuity business, single premium continues to perform well as it offers attractive rates compared to other investment alternatives. We expect this segment to return to growth as the base normalises in the coming quarters.

Long-term life insurance savings product represents a steady growth opportunity and we capitalise on this through continuous innovation and expansion of our product portfolio. Recently, we introduced three products designed for long-term wealth creation: 'ICICI Pru Wealth Forever', a legacy plan that helps build long-term corpus, 'ICICI Pru SmartKid 360', a plan to secure a child's future milestones and third, 'ICICI Pru Wealth Elite Pro', a ULIP offering which incentivises customers to stay invested for long-term wealth creation.

Our core focus area, the retail protection segment continues to grow, registering 40.8% year-on-year growth. With only 13% of the addressable population currently being covered, we believe this segment offers a strong multi-decadal opportunity for growth.

Group Protection, which includes Credit Life and Group Term business, grew by 6.2% year-on-year. In Credit Life business, MFI segment has started showing signs of revival with growth in Q3. We expect the momentum to continue as industry stabilizes. Group Term business has grown, and we expect this segment to continue to grow over long-term as we remain focused on selecting businesses which meet our defined risk-reward expectations. Group funds business declined by

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43.5% year-on-year in Q3 on a high base of 348.3% growth in the previous year. This business is typically lumpy in nature.

Moving on to the channel-wise growth and contribution:

Agency channel grew by 0.8% and direct channel grew by 1.1% in Q3 and together th

ese

channels contribute 52% to retail APE. This performance is on the back of high growth delivered in previous year where agency channel grew by 26% and direct channel grew by 23.1% in Q3 last year. Over the period, these channels, i.e. Agency and Direct have demonstrated their ability to deliver continuous growth across various business cycles with 5-year CAGR of approximately 14% in 9M-FY2026. Given the current macroeconomic environment favoring both market linked and traditional products, we believe these channels are well-placed to capture the growth opportunities.

On bancassurance channel, we grew by 10.5% year-on-year and contributed 26.7% to APE in Q3. Partnership distribution channel grew by 51.6% year-on-year in Q3 on a base of 7.1% year-on-year growth in the previous year Q3. The channel contributed 13.5% to APE mix in Q3. Group

business declined by 20.1% year-on-year in Q3 on a high base of group fund business last year. The channel contributed 16.2% to APE mix in Q3.

Our distribution reach is provided on Slide 23. We continue to strengthen and deepen our distribution network and have added more than 46,000 agents, 140+ partnerships and 3 bank tie-ups in 9M-FY2026. Today, we have the strength of 2.35 lakh+ advisors, 51 bank partnerships with access to more than 24,500 bank branches and 1,400-plus non-bank partnerships.

To summarise, we will continue to offer the right product to the right customer and deliver it through the right channel. By leveraging our strong brand, continuous product innovation and well-diversified distribution, we are confident in our ability to deliver sustainable business growth.

We finished Q3 on a positive trajectory and expect the momentum to continue in Q4.

I will now hand it over to Dhiren to talk to you through the financial update.

Dhiren Salian

Thank you, Amit. Good afternoon, everyone.

Now, let me take you through the financial metrics.

Our Value of New Business (VNB) for Q3-FY2026 stood at **₹ 6.15 billion**. The VNB for 9M-FY2026 was **₹ 16.64 billion** with the VNB margin at 24.4%.

As you are aware, effective September 22, 2025, the input tax credit on individual business is no longer available. Despite this, we have maintained nine-month margins at levels similar to that of H1. This movement in margin is primarily due to higher retail protection mix, improvement in product-level profitability through increasing sum-assured multiples, longer tenure policies, and increasing rider attachment, and a favorable movement in the yield curve during Q3. The above

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movement has helped us cushion the impact of an increase in expenses due to the unavailability of input tax credit and therefore maintain healthy profitability.

On the efficiency front, we continue to optimise expenses and improve productivity. As you can see, cost-to-premium ratio has reduced by 50 basis points to 19.3% in 9M-FY2026. This includes an increase in Q3 expenses resulting from the unavailability of input tax credit. The reduction in cost is a result of our endeavor over the past two years to continuously align our cost structure with that of the product mix that is demanded by the customer. Notably, the cost-to-premium ratio for our savings line of business has also reduced by 90 basis points to 12.7% in 9M-FY2026. Our 13-month persistency stood at 84.4%. We have observed some challenges in specific channel and product pockets, where persistency ratios are lower than the initial assumptions. To address this, corrective actions have been initiated aimed at improving these levels and that is being monitored closely.

Coming to the other financial metrics:

₹ The Company's PAT grew by 19.6% year-on-year to **₹ 3.90 billion** in Q3-FY2026 and 23.5% year-on-year to **₹ 9.92 billion** in nine months of this fiscal, primarily driven by higher investment income from Shareholders' funds.

₹ Our solvency ratio stood at 214.8% at December 31, 2025. During the quarter, the Company had called

back **₹ 12 billion** that had been previously raised in November 2020.

Subsequently, the Company raised fresh subordinated debt to replace the amount called back.

₹ Our Assets under management grew by 6.5% year-on-year to **₹ 3.31 trillion** at December 31, 2025.

Thank you and we are now happy to take any questions that you may have.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Hi, thank you for the opportunity and congratulations on a good set of numbers. I have three questions. My first question is on the VNB margins of Q3. While you have explained what has driven the almost flat margins, I wanted to understand if the new labor laws' impact of those have been priced into this quarter's financials in terms of the margins. If not, will it come in the next quarter? If you can help us, explain how much would that impact be, how much of it is recurring and so on and so forth. Some details around that would be useful.

My second question is on the persistency bucket. While you have spoken about the 13-month persistency, I also want to understand what is going on with the 61st month because over the years, the persistency trend in this bucket has gone up to as high as 66% probably in the FY2024 numbers and now it is in a different trajectory. Before that, it was as low as 56%-57%. So, if you can help us understand the wide movement and what is causing this amount of wide movement over here.

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My third question is RBI FSR (Financial Stability Report) spoke about the distribution reforms,

product innovation that they look forward to in the insurance sector. If you can help us understand, what kind of reforms should we expect from the industry, what could be the timelines and so on and so forth? Thank you.

Dhiren Salian: Let me take your questions one by one. To address the first point that you raised, in terms of the impact of the labour law, yes, we have taken the impact. We have put it as part of our disclosures as well. The charge that we are taking is to the tune of ₹ 11 crores and that is all that we have at this point. So, the next question would be that why is it so small in relative to the overall liabilities that we hold. Quite frankly, the way that we had set out our internal policies pretty much offset whatever was required by the new labor code. So, the delta of ₹ 11 crores is what we have taken at this point. There is nothing residual for the future from this particular pool. Coming to your second question on persistency, 61st month, over the years, a couple of changes have happened in terms of the way 61st month has to be measured and that is also stemming from the product regulations. Unit linked does have an element where earlier they would get foreclosed at the end of 61st month. Now, the new set of regulations that have happened over the last, actually in 2019, these require the policies to remain active and the foreclosure dates have been pushed back. What that does is that it depresses the persistency at this point. However, given the fact that these are going, the AUM continues to stay with us, we continue to earn off that. There is a similar regulatory change that happened sometime back for traditional book as well, which therefore elongates the foreclosures.

Coming to your third point, I think, frankly, in terms of innovation, you are seeing us do quite a bit. Innovation is not just centered around products. Amit gave you a brief of some of the products that we have recently launched, but innovation also works around in terms of process, efficiency and cost, because all of these go back to be able to deliver value to customers. Frankly, there are two businesses that we run, savings and protection. In the savings business, continuous innovation to be able to drive better cost ratios is where we give better value

back to customers.

That is something that we will continue to keep pushing. And in terms of claims ratios for protection, that's something that we monitor very, very closely.

Shreya Shivani: Just to follow up on that, distribution reforms is not, I mean, any, I understand the product-process innovation, but we have anything, any inkling on the distribution reform?

Dhiren Salian: Not at this point, Shreya. I think we will await any inputs from the regulator or the committees that they've set out.

Shreya Shivani: Okay. All right. And just one follow up on the persistency bit, the traditional book's foreclosures getting elongated, that happened when? I understand ULIP policies were changed in 2019.

Dhiren Salian: Yes, that's also the same 2019 period.

Shreya Shivani: Okay. All of this is in 2019. So, basically, the new regulation allowed the account to remain active, is it?

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Dhiren Salian: Yes, that's right. It stays with the Company for longer, gives additional time for the customer to revive the policy.

Shreya Shivani: Got it. Understood. This is useful. Thank you and all the best.

Dhiren Salian: Thank you.

Moderator: Thank you. We take the next question from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Hi, sir. Thank you for the opportunity and congrats on a good set of numbers. Three questions from my side. First of all, of the channel strategy. So, I take the point that you mentioned that channels like Agency, Banca had a high base previously. So, now I think we are sitting on the inflection point. So, as we move on, what are the on-ground trends are we seeing in terms of these channels? What kind of products we are selling and how are the offtake looking vis-à-vis, say, the base in the previous year for fourth quarter? Although I understand these are early days, but some comments related to that would give us some better understanding about how we should think about growth as we move ahead. And in terms of the partnership distribution channel, I just wanted to understand what kind of products were sold through this channel and is there any impact of any product launch, etc. that was there in this particular quarter. And on the GST side, so are our negotiations largely done and the impact absorbed or should we expect another quarter for that to happen? And also, once everything is absorbed, then the margin run rate that we are seeing currently, do we expect it to increase in the coming year, just purely on the basis of that? And last one, I think I wanted to understand that all these changes in operating parameters like, say, cost ratios or persistency, have we already made the changes in our VNB calculation? Yes, that would be all for my side.

Dhiren Salian: Thanks, Swarnabha. Let me address a couple of questions before I hand over to Amit. One is in terms of the negotiation that we have on GST with distribution. See, frankly, again, we are reiterating what we had said the last time around. We strongly believe that these reforms,

they will help usher in growth. And we expect them to be value accretive for all our stakeholders, customers, distributors, as well as the Company. And you have seen the increase in business that has happened in the current quarter post the reforms that had been announced. Now, everyone has benefited. Customers have seen the value of zero GST. We have seen the benefit of volumes and distributors have also seen the benefit of these volumes come through. Now, we have got multiple types of partners. Our approach is very different with each of these partners. Given that this diversification exists, I guess closing some of these commercials may take time over the period. But we are progressively addressing each of these. And we will work towards a win-win proposition for us as well as our distributors on this. The fundamental point is, it's not the margin, it's growing the absolute business

and therefore the absolute VNB and from a partner perspective, growing their earnings as well. So, that's the process that we have adopted and we continue to make headway at it. Anything else that comes through the coming quarter, we will keep you updated on that front.

Coming to your question on cost ratios, again, we have a view of where we will end up for the year in terms of our cost ratio. Does it take into account all of the savings that we have got over the past few quarters? To some degree, yes. But of course, it depends on how we do well in the

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coming quarter. And we will anyway update all of these cost ratios at the end of the year. At this point, it is looking positive. So, we are very clearly working to ensure that we do not have any surprises on the cost front at all.

Amit Palta: Yes, Amit, this side. On channels front, you spoke about high base of last year. So, let me just define what contributed to high base last year. One was, of course, the markets were very favourable, they were buoyant. Second, we had the right products to capitalise on the positivity that existed in the market. We introduced new products as well on the unit-linked platform, which supported our growth on the unit-linked side. And third is the annuity business that we experimented with a new product, which got us the upside last year. So, last year, we had a very strong growth in the first three quarters, which was largely driven through our proprietary channels, which is Agency and Direct. So, over the years, we have drawn confidence from the fact that whenever there has been a change in the macro environment, our direct channels, our proprietary channels have been able to align to the shift in the customer demand or any change in the macro environment. So, this is something that we witnessed, even in H1 as well. So, while there was a decline, there was a stress because of high base. But progressively, we have seen our decline coming down from Quarter one to Quarter two. And eventually, we turned the corner in Quarter three by turning positive. So, two year CAGR gives us comfort that on a little longish basis, we have the ability through our proprietary channels to start growing every time there is a shift in the environment.

So, these are the things. In between, like I mentioned, even in my opening note as well, looking at where the current environment is, which actually is quite a dual opportunity because the economy has started doing well. Markets are much better than what it was in H1 of the year. So, Quarter three is looking good, and we are supported with new product introductions as well. So, we are quite prepared in terms of availability of products which are most opportune, most appropriate at this point in time, because the opportunity doesn't just exist in unit-linked products, but it also exists on the guaranteed platform products. So, hence, we have seen an uptick on both sides in Quarter three, which gives us the confidence that with these new introductions that we have done, which I spoke in the opening note as well, we are fairly placed in carrying on with the momentum in Quarter four as well, in our direct channels.

Your second question was on partnership distribution. See, partnership distribution, of course, it has a lot of almost 1,400 odd partners we have, and they all follow very different models. So, there is no one model that suffice all 1,400 partners. So, different partners have different primary businesses, somebody is in general insurance, somebody is in broking distribution, somebody is in equity distribution. So, the fabric of our partners in the entire partnership distribution space actually varies quite a lot. And hence, it's very difficult to single out and say one product strategy works across. So, different cohorts of partners respond differently to different economic environment. So, we have seen the current environment is quite favourable when it comes

to
guaranteed products and that is where we have seen maximum momentum.

Swarnabha Mukherjee: Right, sir. That's very helpful. Just one bookkeeping question. In the non-linked part, if you could give us the split between par and non-par, that would be very helpful.

Dhiren Salian: Swarnabha, we are roughly at about 60:40 right now, par to non-par.

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Swarnabh Mukherjee: Okay, thank you. Very helpful. That's all from my side. Thank you so much and all the best.

Dhiren Salian: Thanks.

Moderator: Thank you. We take the next question from the line of Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: Sure. Hi. Thank you for taking my question and congrats on a good set of numbers. Just first question was on the regulatory front. I know you said that there is no update on the distribution reforms. But in general, just wanted to understand, are we expecting any other types of reforms to come in over, let's say, next 3 to 6 months period? So, anything that is in the works, if you could give some more color? And second was on the banca side. So, one, just a bookkeeping question, if you could give the APE mix for ICICI bank and the other banks. I just wanted to understand like this quarter; did we see higher growth on the other banks side or how was it on the banca channel?

Dhiren Salian: Kushagra, ICICI bank to non-ICICI bank roughly is half-half in that range. ICICI bank is steady as in you see the composition of ICICI bank business is unit-linked and protection. Protection has done very well in this quarter as has every other channel. So, they have been able to partake in the growth and do well as well. And unit-linked is dependent upon how the general market environment is. So, to that extent, otherwise generally broadly in the range of ₹100 crores-₹120 crores is typically what they do per month.

Coming to your first question in terms of distribution reform, I think I have answered that. There's nothing more that I can add at this point that is in the public domain.

Kushagra Goel: Any other reforms or anything else which is in the work that can come up in the space? Anything that you have heard?

Dhiren Salian: No. I think we will wait for the committee to come up with their recommendations.

Kushagra Goel: Got it. Thank you. That's all.

Moderator: Thank you. We take the next question from the line of Madhukar from JP Morgan. Please go ahead.

Madhukar: Thank you for the question and congratulations on a good set of numbers. So, first, see protection has done really very well for us. 40% year-over-year growth that we are seeing and that's in retail protection. So, my question is, a lot of it is driven by pent-up demand, I'm guessing, and obviously the GST reduction factor. So, how should we think about it in the coming quarters? What should be sort of more, if you could help us understand, what sort of growth can we see in protection? And second, also on an overall basis, individual APE growth this year has been slightly muted and Q3, of course, you have seen an improvement. But going into Q4, how should you look at individual APE growth? How much do you think we can, on an overall basis, we should be sort of penciling in for APE growth over the next couple of years, individual APE growth?

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Amit Palta: Good question. So, on your comment on protection, well, as you know that once the GST waiver was announced on 22nd of September, we did see demand for consumers picking up. And that was as simple as 18% cheaper product. So, if you ask me, you know, that is something which has really triggered demand across channels that we have witnessed and in the industry. And I don't really believe that for a country where penetration is only 13% to the addressable market, where still there is a long way to go, there could be anything which is pent up. So, it's just the cost economics, suddenly 18% cheaper product is now available, is pushing customers to think again, and get t

he purchase decision be taken faster. And the organizations and us as well, we are making access of these products more and more easy for the customers, getting processes streamlined, and making it available to our customers. So, last year, also, if you look at, you know, Quarter three, we had actually grown by 40% year-on-year. So, actually, it is quite a sustained effort that is required in protection. There is a lot of infrastructure that is required to be built to do protection business at large. Right. So, which is something that where we are investing over a very long period of time, and just that GST waiver has given fillip to the kind of growth that we have witnessed in last three months. And if you ask me, the outlook for future, again, looks very, very good on protection, eventually, it is protection that really differentiates this industry from any other industry in BFSI. So, from that perspective, it's a great move by the government, consumer demand exists and we will keep investing in our processes and systems and our practices to ensure that experiences are good while onboarding our customers and demand keep picking up from current levels. So, I expect this momentum to continue.

On APE growth, you spoke about relatively a muted growth in first half and turning positive in Quarter three. I had explained as an answer to the previous question, that we did have a large base in the last year, which was driven by a positive market environment, unit-linked products, new product launches that we did on unit-linked platform, and the experiment that we did with one of our products in the annuity category, all that led to a very large base. So, the way to look

at our overall nine-month performance is on a 2-year CAGR basis, where we look quite in line with the industry, right. So, to that extent, you can say two years RWRP CAGR, if it is 13.8% for us, for the industry it is about 13.3%. But good part is that Quarter three onwards, it will start getting normalised and for the momentum that now we have seen turning positive in Quarter three, hopefully, it will only get better in Quarter four.

Madhukar: Got it, understood. And just one follow up question on repricing, any thoughts on protection repricing anytime soon?

Dhiren Salian: So, Madhukar, en masse repricing is not something that one should expect, quite frankly. At all points in time, we keep assessing and this is business as usual for us, we keep assessing segments, we keep assessing the process, we keep assessing the pricing. And whenever there are micro adjustments, we keep doing that along the way. This is in the quarter, previous quarters as well. And that's something that we will continue to do. So, in a nutshell, there is no secular price increase that has happened. This is, I'm referring to the price hikes that we had seen back in 2020 and 2022, nothing of that sort has happened.

Madhukar: It's not happened, but given that you are obviously absorbing some bit of the GST there, any chance of you taking a price hike in protection in the near term?

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Dhiren Salian: Madhukar, the objective is to be able to grow absolute VNB. As I explained earlier, if you're able to get demand by way of this reform, then everyone is happy along with it, customers, distributors, as well as us. So, it is the objective of growing absolute VNB, which helps us in this endeavor.

Madhukar: Understood, sir. Congratulations.

Dhiren Salian: And again, I think maybe I should draw your attention to the protection number, 40% year-on-year retail protection growth in the quarter is quite strong.

Madhukar: Yes, sir. Absolutely.

Moderator: Thank you. We take the next question from the line of Umang Shah from Banyan Tree Advisors PMS. Please go ahead.

Umang Shah: Hi, sir. Thank you for taking the question. Sir, first question was, what was the rationale of transferring the pension management subsidiary to ICICI Bank? This was the first qu

estion. Second question was, in partnership distribution, how much revenue or how much premium would be coming from online aggregators? That was the second question. And third one, do we continue selling zero surrender products or have we discontinued them all altogether? Just these three questions.

Dhiren Salian: Sure. In terms of the zero-surrender product, it's still on our shelf, but we don't have so much of volumes at this point. In terms of partnership distribution, and specifically looking at web aggregator, let me just remind you, we have a very diversified distribution. Our largest channel is ICICI Bank as a single entity. And most distribution doesn't really cross the 4%-5% mark at all as a single distribution entity. So, I will not call that web aggregator in specific, but you get the sense that we are extremely diversified in that sense.

Coming to the question on PFM, there is a little bit of synergy that can happen with the PFM being integrated as a direct subsidiary of the bank. And this is in line with the strategy the bank has put out. And to that extent, we were looking at the value that was done through an independent valuer. That's the value that we have transferred the PFM to the bank at.

Umang Shah: Okay. Considering that it's a long-term product, we would have thought that life insurance company and pension fund management will have a better synergy as such.

Dhiren Salian: Yes, Umang, good question. The entire pension is broken up into two parts, the accumulation and the de-accumulation phase. So, the accumulation phase, typically on the NPS, is done by the PFM entity. But it's the de-accumulation phase, which is the annuity phase where only we can participate in. So, to the extent that the PFM grows, whether it's a direct subsidiary or it is a sister concern, as long as we get the annuity, I think we should be able to reap benefits of that. So, that doesn't change our strategy in that perspective.

Umang Shah: Right, sir. Got it. And sir, on partnership distribution, the growth in that channel was even higher than any of the products that were growing. So, if you could just highlight which products did PD do really well in, that would be great.

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Amit Palta: Very simple to explain here. This is Amit. See, partnership distribution, like I explained for Direct distribution which was supported by very strong growth in annuity and unit linked business last year. Partnership distribution is not much into linked business. So, they had relatively a subdued base of last year. So, on that subdued base, they have grown quite phenomenally. And this year's environment, which is more favourable on guaranteed platform, partnership distribution partners have actually done well.

Umang Shah: Okay. Sure, sir. Thank you so much.

Dhiren Salian: Thanks, Umang.

Moderator: Thank you. We take the next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Dhiren, I had one question on the margin, 24.5%. If you can give a broader waterfall, the 24.5% on one edge falling to a margin of 24.4%, how much was dragged by GST and how much it was pulled up by either product level margins or product mix change? If you can give a broader colour there, it gives an understanding how it plays out and how do you see it to play out from a full year perspective in the margins in that sense? So, that's my first question.

And the second question is, cost cutting exercise, which you alluded to, supported the margins and it has been on the focus area. That exercise is broadly done, or you still believe there are efficiencies to play out further and which can contribute incrementally more to the margins? These are the two questions on the margin. And I have one more question on growth. Maybe if you answer these two, then maybe I will ask later.

Dhiren Salian: So, Sanket, I have not given a walk, but when you look at the br

eakup, as I

mentioned earlier, there are these elements that are offsetting the GST cost. One is the fact that the higher protection mix, which is the entire product mix shift, that has contributed towards an uptick. You can see that in Quarter three, retail protection is at 8.2% versus 7.2% that you'd seen in H1. There is an improvement in the product profitability where we had spoken about increasing sum assured, policy tenures, rider attachment, that has contributed quite well. And of course, some degree of movement in the yield curve. Now, these are the counter balancing elements. I'm not getting into the breakup of it. But these have counteracted each other and we are broadly flattish from H1 to nine months.

In terms of your question on cost, I think the right phrasing that we should use is actually waste cutting. It's not cost-cutting. Clearly, we are not cutting into any of the muscle. What we are assessing at every point in time is what can be a better allocation of our resources to be able to deliver sustainable growth. So, very clearly, identification of waste across the organization, across departments, across processes, and across systems. That's something that we have started a few quarters back and we will continue to do it at this point. But having said that, obviously, the bigger chunks of cutting has already happened. We will continue to keep working and cutting further in terms of all of these waste. But of course, the big jumps that you would see in terms of cost ratio drops, that may not be as large going forward.

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Sanketh Godha: I understood. And on margin trajectory, I mean, if these levers of product mix and product level margins sustain, then this 24.5% kind of a margin should hold up for next two years, or this year and the next year, I mean.

Dhiren Salian: Yes, largely it is going to be product mix that kind of dictates where the final margin lands up. And to be able to deliver on VNB, it's growth in the premium, which is APE, and to whatever extent the mix shifts, then that should add to VNB growth. That formula continues.

Sanketh Godha: Understood. Thanks for that. And the second question is much more on growth, which you probably alluded at. See, two years CAGR, it has been 13%-14% growth. Maybe, as you rightly said, the higher base had an implication on the current nine months growth. Then is it fair to say that now, given the distributions are broadly settled, whether it's ICICI Bank or others, we will be in a position to deliver a growth of 13%-14%, assuming the industry growth going ahead. Is it a fair number to believe that now the recent base can give us a growth of 13%-14% going ahead too?

Amit Palta: That exactly is the endeavor, Sanketh. And after having turned our Q3 positive, going through the high-base challenge of last year, we are fairly confident about building it up from here.

Sanketh Godha: Got it. And lastly, on group protection, which was 5%-6% growth in nine months in the 3rd Quarter, if you can give a color whether it's largely credit life led slowdown or it's a combination of both credit life and retail slowdown?

Dhiren Salian: So, in the nine months, we do have an impact of slower growth or rather decline that we have seen in the MFI business of Credit Life. So, the good part that we are starting to see now is that MFI has now started to turn around. I wouldn't say it's out of the woods yet, but very clearly, we have started to see a turnaround coming through in Q3. So, again, this is in line with the commentary that you're also hearing generally around MFI credit, the core business of credit. So, as that business starts to build up, we should be a natural beneficiary of that.

Sanketh Godha: Understood. Yes. Thanks, Dhiren. This answers most of my question. Thank you.

Moderator: Thank you. We take the next question from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. First

question is on GST impact. So, have you passed on that impact to the distributor or we intend to pass it on in coming quarters? And what would be the strategy there?

Dhiren Salian: So, Nidhesh, I covered this earlier as well. Again, GST reforms, this should help usher in growth. There again, value accretive for all our stakeholders - customers, distributors, Company. See, post the change in reform, we have seen growth come through that again, to our sense, it's a demand that's been built up. That's quite positive. We are able to add VNB. At the same time, partner's earnings are also coming through. Now, given the diversity of partnerships that we have, some of these conversations take longer to conclude. We are working towards this and the idea is to be able to bring a win-win proposition for everyone.

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Nidhesh: Sure. Secondly, so this quarter, we also got benefit of yield curve being in our favor, which also helped our margins. How do you see that playing out over medium term, whether you will pass on that benefit to the customer or you will be able to retain that because then that will have an implication on the future margins?

Dhiren Salian: Yes, you're right, Nidhesh. But the final changes in pricing or if there are any changes in pricing will be a function of how the yield curve moves, what the market dynamics are, what our distributive conversations are, as well as growth. So, it will be a multi-factor equation. I can't simply pick up one thing that will determine whether the price will move positively or negatively.

Nidhesh: And last question is on persistency. So, there has been a sharp drop in 13-month persistency, which you have explained. But how do you see the trend in FY2027? Should we again go back to 88%-89% persistency on 13-month basis or this 85% is the new normal? And how do you see the impact of lower persistency in our operating variances for the full year?

Dhiren Salian: So, you're right. We have seen some challenges in specific channel product cohorts and we are working at this. As we fix those particular poles, we should see persistency rise. That's the endeavor, we should hit 85% and above as we go through into the later part or mid part of next year. How much more can we get through to the 87%-88%? I think we will have to wait and watch how that shapes up or the underlying business shapes up. How we take a look at that on terms of EV, I think we will do the final assessment as we go through to the end of the quarter and then we will bring that to the market.

Nidhesh: Sure. Thanks, Dhiren. Thanks.

Moderator: Thank you. We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain: Hi. Just firstly on the growth front, while Amit you mentioned that we are looking at a good 2-year CAGR, but if I actually look at trends even in FY2024, it was a kind of a low base where ICICI Bank was possibly declining and from that base in FY2025, we saw most quarters very strong growth, obviously because of product innovations and product launches that we had done. Then again on that high base, we have seen a low growth in this fiscal so far. So, it's been up and down. So, do you think that we are now in a position that we can be a more consistent growth Company from an all-product perspective or from a channel perspective, now that all these corrections have been done, we should be a more stable growth Company?

Amit Palta: Okay. I will take this. Amit, this side. You spoke about FY2024 challenges because of decline in our primary channel and subsequently product launches and innovation. See, one big learning from last year after having witnessed growth in first nine months, when the demand was very strong in unit-linked products, we took a strategic call to align our cost structure to ensure that we don't create a bias, artificial bias in selecting products which gives margin. And we continue

to have growth of absolute VNB as an objective. But to follow that strategy, it is very important that you take those hard calls, cut the waste, relook at the structure, work on every area of cost rationalization, so that you are aligned as an organization to the demand based on the macro environment. So, having done that hard work, now we have created products across

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category, not creating biases on what we believe is right for us internally, but going truly with the consumer demand, I think we are fairly well placed with our current cost structure, as well as the availability of products that we have created. So, if you ask me on growth perspective, we are very confident in aligning to any change in the macro environment that may happen in times to come. And this situation is very different from where we were two years back, when there were issues about concentration of business with one of the large partners, which is now fairly diversified. And even on products, we are fairly diversified and have availability of products to take care of any change in the environment. So, from a degree of confidence, I can say now things look much better. Because at cost structures that we have currently, we can take care of the volatility much better.

Prayesh Jain: Got that. That's helpful. Dhiren, you mentioned that the product mix in between in the non-linked part is 60-40 between par and non-par. But I think in the Q2 call, you mentioned it was 50-50. So, has the par share gone up?

Dhiren Salian: It's 60-40, roughly in that range.

Prayesh Jain: Okay. Because in the previous call, you had mentioned the mix is 50-50, that's the reason I'm asking. And the third question is the solvency increase is because of what, in spite of we seeing such a strong growth in protection?

Dhiren Salian: Solvency increase is largely because of addition in PAT. There's not too much of movement. Whatever that we need in terms of required solvency, that was added up.

Prayesh Jain: Okay. All right. That's all from my side. Thank you.

Dhiren Salian: Nothing unusual there, Prayesh.

Prayesh Jain: Okay. All right.

Dhiren Salian: Thank you so much.

Moderator: Thank you. We take the next question from the line of Harshal from Asian Market Securities. Please go ahead.

Harshal: Hi sir. Thank you for the opportunity. Two sets of questions. The first is in terms of annuity books. So, if you can help us explain how the surrender experience tracking versus assumption is, whether there is any impact on EV from annuity surrenders has been recognized or is expected to be going forward? That was the first question. And secondly, in terms of commission cost, we have seen a sharp increase in the single premium commissions. So, could you help us understand the key drivers behind the same?

Dhiren Salian: So, in terms of the final quantification of whatever hit that we have, if any on to EV, we will bring that at the end of the year. Yes, in the RP annuity book, the persistency is lower than what we had initially set out. In terms of single premium overall, you would have seen the commission grow. That's also because of the growth that we have seen in parts of the Credit Life business.

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Harshal: Sure, sir. Thank you and all the best.

Dhiren Salian: Thanks.

Moderator: Thank you. We take the next question from the line of Dipanjan Ghosh from Citi Group. Please go ahead.

Dipanjan Ghosh: Hi. Good evening, sir. Just a few questions from my side. First, if you look at your protection business, it seems that after quite some time, your non-ROP business has grown at a very, very significant pace. So, just want to get some sense of this demand growth that we have seen, let's say, post-GST rate cuts and its linkage to pure term. Do you see some linkage of them? Secondly, is the non-ROP product significantly higher on the margin profile, which kind of benefited you during the quarter? Second, on the Credit Life mix,

I think this question has been

asked by previous participants. So, just wanted to kind of extend the discussion. In terms of your mix between MFI and non-MFI, how much that will be, let's say, for the nine months, so that we can gauge what can be the growth if microfinance were to improve in FY2027? And the last question is on the non-IBank banca channels. Do you see any sort of competitive pressure rising, or do you kind of hold on to the counter shares that you would have seen over the past half or nine months, or rather, in case they have increased from the previous levels?

Dhiren Salian: So, Dipanjan, bulk of our retail protection business is actually non-ROP. ROP is a very small component of that. That's roughly in the range of about 10%. So, that's never been the big mainstay. Most of our retail protection has been pure termed without ROP. And that's seen a big spike over this last few quarters also. We have not broken out the split between MFI and non-MFI within the Credit Life, but it's fair to say that MFI is fairly significant within our portfolio. Coming to the third question that you had in terms of non-ICICI bank multi-insurers, I think we have been holding our counter share in all of these shops. So, competition, of course, is intense in all of these shops, but we have been holding our counter share here. Amit, you want to add anything?

Amit Palta: Yes. So, most of our bancassurance partnerships outside ICICI Bank are multi-insurance, with the exception of one multinational bank that we have. And there the competitive pressures are always there. So, we play by the year, the only guardrail threshold that we keep in mind is the risk reward ratio, as well as the quality. And based on that, we play out and see how it goes. But yes, competition is very active. But most of the shops, we have been able to hold on to our share or even better there. So, that's something which is only on the improving side.

Dipanjan Ghosh: Got it. Thank you and all the best.

Amit Palta: Thanks, Dipanjan.

Moderator: Thank you. We take the next question from the line of Vinod Rajamani from Nirmal Bang. Please go ahead.

Vinod Rajamani: Thank you for the opportunity. I had two questions. One is on this ULIP portfolio,

what is the proportion of say these hybrid ULIPs, say the ULIPs on the similar lines of say Protect and Gain and so on, where you offer a higher sum assured. So, just what the proportion of the

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entire ULIP is? Secondly, on riders, what is the attachment rate? Are you attaching only on say the new products, new sales or on the existing portfolio as well? And what kind of attachment rates are you seeing? So, these are the two questions I had.

Dhiren Salian: Now, Vinod, we haven't called out the share of higher sum assured ULIPs, but it's safe to say that it started to pick up materially over this current fiscal. In terms of riders, these are on to new products, new sales only. A little difficult to go back to existing customers and then look at an upsell of a rider on an existing plan. So, it's easier done with a new sale primarily because the amount of premium that we are taking is quite small. So, going back to existing customers using our distribution force is not as cost effective.

Vinod Rajamani: Fair point. Just on this, a follow up to this hybrid ULIP question, is there any, do you see any issue in terms of, say, a substitution effect in the sense that if you're selling these high sum-assured ULIPs, you could be kind of, some customers who would have wanted to buy, say, a large term policies, they might be wanting, they might just end up finally buying hybrid ULIPs, which have high sum assured. So, is there some substitution effect that is possibly playing there? Also, is that some, is the substitution effect also playing to some extent on the non-par to kind of on hybrid ULIPs? So, the customer profile is different. But, is the agency force trying to kind of sell

these hybrid ULIPs as a substitute for non-par? Is that happening?

Amit Palta: So, let me answer this. Amit, this side. See, the profile of customer that we are intending to penetrate through our high sum assured ULIP are those mass affluent and affluent customers who have dual objective of wealth creation and protection. So, to that extent, even somebody who does purchase a pure protection doesn't stop planning for wealth creation. So, to that extent, he does plan wealth creation as well. So, these are typically mass affluent and affluent customers who tend to take these products. But you're right, for somebody who intends to go for a very high cover, he has a choice of going with his affordability and seeing what he can spare for pure protection and can choose a cheaper product. So, to that extent, I don't see this coming as a replacement for pure protection because the affordability and what you get as premium is very, very different in these two categories of products. So, they are not a similar premium sized product giving similar kind of cover and one giving wealth creation, other than not giving wealth creation. So, it's a, it's very different from an affordability perspective by customer segments. And we have not witnessed, to be very honest, giving you a direct answer, we have not witnessed any replacement of pure protection with the high sum assured ULIP.

Dhiren Salian: Because Vinod, the pure protection plan at one level gives you 400 plus times the premium in terms of cover, whereas these products give you anywhere between 40 to 100 in terms of the coverage to the premium. So, clearly different areas, different objectives that we are trying to meet with this. And despite this, you have seen a 40% year-on-year growth in retail protection in Quarter 3.

Vinod Rajamani: The only reason I brought this up is, none of your similar sized peers have launched this, this high sum assured ULIP So, that was the reason that's it. So, that's why I was wondering if there's some substitution effect at play.

Amit Palta: Let us clarify, this product is being offered though a little differently, but mostly it is available across quite a few organizations now. We are not the only one.

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Vinod Rajamani: Okay. Thank you.

Amit Palta: Thanks.

Moderator: Thank you. We take the next question from the line of Shobhit Sharma from HDFC Securities Limited. Please go ahead.

Shobhit Sharma: Hi, sir. Thanks for the opportunity. So, I have a question on your growth. So, how should we think about your growth on the individual business side for the next 2-3 years? Why I'm asking this question is like, if I look at your five years CAGR, it's actually less than one third of the CAGR of the private players. And it is now almost two years from the time we have rejigged our margin profiles and the constant changes we have made to our product portfolio. So, that's first. Secondly, on to the product strategy, if I look at, so we, so two years, so we have thought about no-cost ULIPs. We have pushed for that. We launched an annuity product with a 100% return of premium on surrender. Now we have launched a new product on the ULIP side with a return of premium allocation charges and we have slowed down on the annuity products. So, just wanted to understand our thought process on that and what kind of new product should we expect in the upcoming quarters now? Yes. Thank you.

Amit Palta: Okay. I will take this, Amit, this side. So, there's always a context and the power of context cannot be taken away. And that has been the journey that we have traversed over a

period of last 4 to 5 years. And we focused on things which we prioritized at a given point in time and looked at protecting our margins, diversifying our channel mix, diversifying our products at a time when there was a shift in strategic priorities with a primary bank partnership. And we are very happy to say that, the guidance that we had giv

en of doubling our FY2019 VNB by FY2023

VNB still was achieved. We doubled that VNB. Though the path we chose was through channel diversification, new partnerships and product diversification. So, the path was different from the growth objective that we would have probably otherwise followed. Subsequent to that, there has been some changes in the environment to which we have aligned whenever the opportunity has been favorable. And when it has been challenged, like the way it was challenged last year with a very high base and we capitalizing on that base of unit linked opportunity, market positive and annuity as an experiment that we did, in light of the fact that surrender guidelines were six months down the line, going to become a new norm. And we thought it was a good experiment to do with our affluent customers with our select channels. And it did work for a short while. And it gave us a good growth last year. So, there is a context to what you witnessed over a period of last so many years. And today, which is most important is the context where we are today. Where we are on our product strategy is that in terms of availability of products, right across categories we have on category of products, whether it is unit linked, market linked, part guarantee, full guarantee, annuity, nearing retirement age customers, younger customers, protection, return of premium, exit as a special feature for our customers, exclusive products for self-employed. So, virtually, from benefit perspective and from category choice perspective, we have almost our basket being full. And we have already articulated that we will not follow an internal expectation on what product need to deliver how much. We have allowed customer demand to dictate what is purchased in the market. And we have aligned our cost structures now to deliver that objective of being true to consumer demand. So, from that perspective, like I mentioned again, the context that we have witnessed in most recent times, which is Q3, I think coming out of a challenging base in H1 and getting into a positive growth in Q3 gives us fair confidence that with all the

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availability of products we have, and for the dual opportunity that we see both from the market perspective, as well as on guaranteed product platform. And with this support that we see on protection business with consumer demand increasing, I think we are in a fairly decent spot in terms of delivering a stable growth going forward.

Shobhit Sharma: Yes, just to follow up on this, Amit, which channel do you think would be key in driving the overall growth for yourself?

Amit Palta: See, all channels are dear to us. There is no channel that we can really articulate. As Dhiren mentioned as an answer to a previous question, that no channel apart from ICICI delivers more than 6% to 7% of our overall portfolio. So, I don't have the luxury of focusing only on one channel, right? Because apart from ICICI, almost every channel is 5% to 6% contribution to overall. So, from that perspective, our effort is to look at cohorts of our distribution, which is multi-insurance, partnership distribution as one cohort, direct distribution, which is both online as well as offline as one cohort, agency as third cohort, and bancassurance, ICICI and non-ICICI bank partnerships as other cohorts. And we would like to invest in all depending upon the strategic priorities chosen by our partners. We will keep aligning ourselves and keep making the products available, make processes efficient, and keep cost under control, and deliver growth in a balanced manner.

Shobhit Sharma: Our approach on the product strategy, what kind of new products should we expect in the upcoming quarters now?

Amit Palta: I mentioned three products we have launched very recently. One on a unit linked platform, and second on a legacy platform, and third on a children platform. So, that is one effort that we will keep making. So, I

can't really say how many and when, but we will keep working on across categories and see and align our effort to the natural demand that we will witness based on the environmental factors.

Shobhit Sharma: Okay, and Dhiren, just one question to you. So, should we expect our VNB growth outpace our APE growth? The benefit of the cost savings, the efficiency in the cost, so should we expect that to happen now?

Dhiren Salian: No, I'm not giving guidance on this. The fundamental that we are looking at is growing VNB. As we bring some stability to the business, you will see that APE will be the lead to getting growth in VNB.

Shobhit Sharma: Okay, thank you. Thank you and all the best.

Dhiren Salian: Thanks.

Moderator: Thank you. We take the next question from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe: Hi, I have a simple question. When you say that your conversations with distributors are going on with respect to the GST input tax credit deficit, what do you really mean? Does it mean that next quarter, supposing you kind of get into more favorable conversation, then

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some of the ITC provision that you have made this quarter kind of reverses or what happens to the business that has been done till date?

Dhiren Salian: Nischint, it's not about ITC provision. The input tax credit is no longer available and that is the cost that we have taken on the P&L as well as VNB. Now, as our conversations with distributions come to a close, if there is an element in terms of cutting commission, then we will get that implemented in the coming period. If that is effective first October, then it will be effective since then as well.

Nischint Chawathe: So, when you say that there is going to be maybe some revision in commissions from October 1, then you obviously made some assumptions on commissions for the business in last three months, right? So, that kind of completely gets reset in the 4th Quarter. Is that how we should think about it?

Dhiren Salian: No, that it doesn't. So, commissions will anyway be applicable going forward. And what we are looking at doing is optimizing along with commission, everything else that we have within our capabilities, technology, operations to be able to give better value in terms of operating leverage.

Nischint Chawathe: Okay. So, basically what you're trying to say is that whatever the conversation that happens will be for prospective business and not really for retrospective business. Is that how we should think about it?

Dhiren Salian: Yes.

Nischint Chawathe: Got it. Thank you very much. That was my question.

Moderator: Thank you. We take the next question from the line of Mohit from Centrum Broking. Please go ahead.

Mohit: Good evening and thanks for the opportunity. So, I have got two questions. My first question, I was looking at your bancassurance, where we have around 51 banca partnership. One year before, we had around 46. Despite adding new banks, their share in the protection and annuity has declined from 13% to 11%. So, how should we interpret this kind of decline, basically?

Dhiren Salian: So, Mohit, the banks that we have added are actually quite small. Yes, the count has gone up from about 47 to now 51. But the banks that we have added are actually quite small. So, they would not have materially moved the mix at this point.

Mohit: Okay. So, is there any concentration risk within this, within the banca business?

Dhiren Salian: No, not really. Like I mentioned earlier, the largest single distributor is ICICI Bank, which is roughly about 15%, beyond which everyone is at best in the 5% range. And most others are quite small.

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Mohit: Understood. That's helpful. My second question is towards the retail protection. So, I think, is it safe to say that your return of premium demand is going down and basically the focus is on selling pure term policies?

Dhiren Salian: Mohit, again, I a

nswered this in another context. Bulk of our business has always been a pure term. The return of premium has been quite small in the range of 10% to 15%. At this point, it was 10%. And that's what it is. At this stage, we are seeing that a bigger demand is visible in the pure protection plan. And very clearly, the impact of 0% GST is most felt on that plan.

Mohit: Understood. And just to confirm, we are not repricing any of the retail protection policies, right?

Dhiren Salian: No, there is no en masse repricing that is planned.

Mohit: Understood. Thanks and wish you all the best.

Dhiren Salian: Thanks

Moderator: Thank you. We take the next question from the line of Raghvesh from JM Financial. Please go ahead.

Raghvesh: Hi, congratulations on strong results. Now, I just have one question that mentioned persistency has been bad in some buckets. Now, we will decide on the operating variance at the end of Q4. But whatever the impact is there on the new business that is that should be visible in the VNB, that has been taken already or will that also be reassessed at the end of Q4? Yes, that's it.

Dhiren Salian: So, Raghvesh, if there's an assumption update that we need to do that will impact VNB. Assumption updates are typically can be either directions. Generally, when I look at the assumption updates, these will be in the context of persistency, mortality and expense ratios. And these are elements that we look at in terms of whether these are permanent. Whatever is

permanent gets passed through as an assumption update, whatever is temporary goes through as variance. This exercise will be done in the last quarter and we will take all of those updates at the March end financials.

Raghvesh: Okay. So, essentially, there can be an update on the VNB margins as well?

Dhiren Salian: No, not really. Not so much on the VNB.

Raghvesh: Okay. Thanks.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Anup Bagchi for closing comments.

Anup Bagchi: Thank you very much for joining. Have a good day.

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Safe harbour: Please note that this transcript has been lightly edited for the purpose of clarity. Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will', 'would', 'indicating', 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; experience with regard to mortality and morbidity trends, lapse rates and policy renewal rates; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company, with the United States Securities and Exchange Commission. ICICI Prudential Life Insurance undertakes no obligation to update forward-looking statements to reflect events or circumstances after the date thereof.

Call: Apr 2026

ICICI Prudential Life Insurance Company Limited

1st and 2nd Floor, Cnergy IT Park, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025.

Regd. Office : ICICI PruLife Towers, 1089, Appasaheb Marathe Marg, Prabhadevi, Mumbai - 400025. India. Visit us at www.iciciprulife.com

Phone: +91 22 4039 1600, Fax: +91 22 2437 6638, Email: corporate@iciciprulife.com

CIN : L66010MH2000PLC127837

April 20, 2026

General Manager
Listing Department
BSE Limited,
Phiroze Jeejeebhoy Tower s,
Dalal Street,
Mumbai 400 001 Vice President
Listing Department
National Stock Exchange of India Limited
'Exchange Plaza',
Bandra -Kurla Complex,
Bandra (East), Mumbai 400 051

Dear Sir/Madam,

Subject: Earnings Call Transcript for the quarter and year ended March 31, 202 6

In continuation to our letter(s) dated April 1 , 2026 and April 14 , 2026 , the Company had hosted an earnings conference call with investors and analyst s on Tuesday, April 14 , 2026 , at 3:00 p.m. IST , to discuss the performance of the Company for FY202 6.

Pursuant to Regulatio n 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please be informed that the transcript of the 'earnings conference call' for FY202 6 has been hosted on the website of the Company at www.iciciprulife.com

A copy of the transcript is enclosed herewith for immediate reference.

Please note that no unpublished price sensitive information was shared during the meeting.

Thanking you,

Yours sincerely,

For ICICI Prudential Life Insurance Company Limited

Priya Nair
Company Secretary
ACS 17769

Encl.: As above

ICICI Prudential Life Insurance Company Limited
Earnings conference call
Year ended March 31, 2026 (FY2026)
April 14, 2026

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Anup Bagchi

Good afternoon, and welcome to the results call of ICICI Prudential Life Insurance Company for the year ended March 31, 2026. I have several of my senior colleagues with me on this call, Amit Palta, Chief Products and Distribution Officer; Dhiren Salian, CFO; Judhajit Das, Chief Service Delivery; Manish Kumar, Chief Investment Officer; Souvik Jash, Appointed Actuary and Dhiraj Chugha, Chief Investor Relations Officer.

We are also joined today by Amish Banker. Amish started his career in branch operations and has a deep understanding of the customer life cycle and organization processes and systems. He is currently the Chief Operations Officer and will be taking over as Chief Distribution Officer from Amit Palta. Amit, as you would have noted in the exchange update, is moving on from the Company, having spent more than two decades in the ICICI Group. We wish him all the very best for his future endeavor.

Let me start with some key updates.

On the regulatory front, we welcome IRDAI's transition to I ND-AS, which will align our financial reporting with global standards. This shift enhances transparency and market comparability, ensuring that our financial statements reflect an improved picture of value accretion.

On the economic front, in FY 2026, the Indian economy displayed resilience while navigating external turbulence due to trade tariffs and geopolitical conflicts. The stability was anchored by direct tax relief, GST reforms and RBI's supportive monetary policy stance aimed at stimulating domestic consumption.

As a Company, we also exhibited agility and resilience, achieving a VNB of ₹ 26.29 billion with VNB growth of 10.9% year-on-year in FY 2026 and working to deliver long-term value to our shareholders. Our VNB margin stood at 24.7% as compared to 22.8% in FY2025. PAT grew strongly by 34.6% year-on-year to ₹16 billion.

Life Insurance products, particularly the retail protection segment, received a significant boost partly aided by the GST reform effective September, 2025. The retail sum assured

growth for the industry was higher by 2.5 times in the post reform period as compared to the pre-reform period. In the current year, our retail new business sum assured

reached ■ 4.5 trillion led by 50.9% year -on-year growth in retail protection in H2 -FY2026, demonstrating our dominant position in this segment.

In the savings category, despite the external volatility of FY 2026, our AP E remained steady and similar to the previous year. New business premium registered a year -on-year growth of approximately 10% to ■ 248.10 billion in FY 2026. Our business growth has also been delivered on the foundation of risk and prudence, and it is exhibited in our resilient balance sheet.

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In FY 2026, we maintained an industry -leading claim settlement ratio of 99.3% with an average turnaround time of 1.1 days. Our early claims ratio stood at 22%, best in class in the industry, highlighting our focus on quality business sourced over the years. Our 13th month persistency stood at 84.5%. Our solvency ratio stood at 227.3%, well capitali sed and much ahead of the regulatory requirement of 150%.

We continue to maintain our track record of not having a single non -performing asset in our investment portfolio since the inception of our Company. We remain committed to delivering superior value to our customers by leveraging economies of scale and aligning our cost structure closely with our evolving product mix. Notably, technology and digital solutions have enabled us to increase efficien cy, resulting in a reduction of 40 basis points to 12.1% in our savings cost to premium ratio during FY 2026.

Our AUM stood at ■ 3.14 trillion and our total in -force sum assured grew by 16.9% year -on-year to ■ 46.11 trillion on March 31, 2026. In the same year, our Embedded Value grew by 10.5% year -on-year to reach ■ 529.89 billion.

To summari se this year, as we celebrate 25 years of service to our customers, we would like to reaffirm our commitment to deliver sustainable VNB growth by balancing business growth, profitability and risk and prudence. Towards this, we believe all the necessary levers continue to be available with us.

Thank you, and I'll now hand it over to Amit to take you through the business update.

Amit Palta

Thank you, Anup. Good afternoon, everyone. As Anup mentioned, the past year was defined by changing macroeconomic landscape, shaped by both global and domestic shifts. And additionally, we also had a relatively high base of last year, particularly in H1. Quarter three onwards, the growth momentum returned with retail APE growth of 10% year -on-year. This positive trajectory sustained throughout quarter four until renewed geo-political disruptions emerged in March 2026. Despite these disruptions, we managed to deliver growth in quarter four with APE registering 9. 4% year -on-year growth. On a full year basis, APE grew by 2.2% year -on-year to ■ 106.41 billion.

Coming to product -wise performance, our core focus area, retail protection grew by 60.5% year -on-year in Q4-FY2026, resulting in a full year growth of 32.3% . With an estimated 13% of the addressable population currently being covered through retail protection, we believe this segment offers a multi -decadal growth opportunity.

Group Protection, which includes credit life and group term business grew by 7.1% year -on-year in FY 2026. Within that, group term business grew by 14.6% year -on-year , and

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credit life business grew by 1.8% year -on-year. MFI segment, which witnessed challenges at the start of the year, has seen recovery from quarter three onwards.

Linked business APE grew by 1.6% year -on-year in FY 2026, impacted by volatile equity markets. Two -year CAGR for linked business APE stood at 14.2%. We continue to focus on increasing the contribution from high sum assured ULIP in this segment. Such products are less impacted by market volatility, thereby providing stability to link

ed

category to a large extent.

The non -linked savings APE grew at 15.4% year -on-year for the first nine months. Last year, in quarter four, we launched a new product in this segment which had a very good response. This year, quarter four, as business from that product normali sed, non -linked business has declined year -on-year in quarter four. On a full year basis, the business and contribution from non -linked savings business is at a similar level to last year.

Annuity business four -year CAGR stood at approximately 20%. This business has stabili sed at around 7% of our retail mix. The Group Funds business grew by 26% year -on-year.

Now let me talk about channel -wise performance. Agency channel APE stood at ■ 26.86 billion and Direct channel APE stood at ■ 14.30 billion in FY 2026. Together, these channels contributed 47.4% to Retail AP E. These channels have declined this year,

primarily due to the high base of linked and annuity businesses in the previous year. In the agency channel, growth trajectory has shown consistent sequential improvement throughout this year. As a strategic priority, we have been investing in the channel from a long-term perspective. Our road map centers on micro market-led branch strategy and using technology and analytics as a productivity lever. By equipping agents with tools and analytics to automate administrative tasks, they can pivot their focus towards high-value revenue-generating activities.

In the Direct channel, focus will be to deepen NRI segment through GIFT city and scale up online channel through differentiated offerings.

Bancassurance channel grew by 3.6% year-on-year and contributed 29.8% to total APE. Partnership Distribution channel grew by 23.4% year-on-year and contributed 13.2% to APE mix in FY 2026. In Banca and Partnership Distribution channel, our focus continues to be on adding new partnerships and improving the share of shop in each partnership. Group business grew by 14.5% year-on-year and contributed 18.3% to the overall APE mix in FY 2026.

Today, we have the strength of 2.42 lakhs + advisers, 53 bank partnerships with access to more than 26,400 bank branches and 1,500 + non-bank partnerships.

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To summarize, our primary focus will be to drive business growth through our micro market strategy in proprietary channels. By deepening our distribution, we shall gain access to a wider range of customer profiles, which enhances our ability to seamlessly shift between product segments as per macro environment. We believe this will help us keep our product and channel mix balanced and deliver sustainable growth irrespective of the market environment over the long term.

I will now hand it over to Dhiren to talk you through the financial update.

Dhiren Salian

Thank you, Amit. Good afternoon, everyone.

Let me start with some efficiency-related aspects. As you are aware, we have undertaken various cost optimization initiatives in the past two years to make our cost structure aligned to our prevailing product mix. One of them being the use of AI/ML, which is being embedded across the entire customer journey that is driving targeted demand generation, automated underwriting, improved renewal retention, enhanced customer service and effective claims investigation. Upsell programs and digital lead conversion, both supported by Machine Learning models, continue to contribute to growth, while advanced fraud detection and early claims identification help mitigate risk and improve profitability. We have also deployed AI-led face matching between KYC documents and customer images to reduce fraud risk. Gen AI-based categorization of incoming customer e-mails has significantly improved turnaround times and AI-driven medical summarization is enabling faster and more efficient underwriting decisions. Further, details on usage of AI/ML across our processes is shown on slide number 36 of the presentation.

entation.

As can be seen on Slide 12, the various productivity enhancements have helped in reducing cost to premium ratios for our savings line of business by 40 basis points to 12.1% in FY 2026. This cost reduction is after accounting for unavailability of input tax credit, which was effective September 22, 2025. Our total cost to premium ratio for FY2026 stood at 18.2% and remained stable at previous year's level.

The company's Profit after tax grew by 34.6% year-on-year to ₹16 billion in FY 2026, primarily driven by higher investment income from shareholder funds. This includes a gain of ₹1.14 billion realized from sale of 100% equity shareholding in ICICI Pension Fund Management Company, which was erstwhile called ICICI Prudential Pension Fund Management Company Limited. Excluding the sale transaction, PAT grew by 25% year-on-year in FY 2026.

Our solvency ratio continues to be strong at 227.3%. The improvement in solvency is primarily due to increase in profit after tax and realization from sale of subsidiary. Our assets under management stood at ₹3.14 trillion as of March 31, 2026.

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Value of new business i.e., VNB grew by 10.9% year-on-year to ₹26.29 billion. As you are aware, our focus is on growing the absolute VNB, which we have been able to achieve through improvement in product mix and operational efficiencies even after accounting for the unavailability of input tax credit.

VNB margin expanded by 190 basis points year-on-year to 24.7% in the current year.

Margin expansion has been led by improvements in new business profile and economic assumption changes. Protection mix for the year has increased by 2.2% year -on-year to 17.9%. Additionally, we have also been working towards improving the profitability of each line of business through longer tenor policies, higher sum assured multiples and increasing rider attachment. The policy term on the savings line of business has increased from 26 years in FY 2025 to 29 years in FY 2026. Retail sum assured has grown by 35% year -on-year in the current year.

The expansion was offset by operating assumption changes, which is primarily due to unavailability of input tax credit on individual businesses and some updates to persistency.

As shown on slide 16, our Embedded Value grew by 10.5% year -on-year to ₹ 529.89 billion at March 31, 2026. Our Embedded Value Operating Profit stood at ₹ 57.02 billion in FY 2026.

The breakup of the EVOP is as follows:

- Unwind contribution for FY 2026 is 7.4% of the opening EV .
- VNB of ₹ 26.29 billion is 5.5% of the opening EV. Unwind and VNB together constitute 12.9% of the opening EV.
- Operating assumption change is negative 0.5% of the opening EV and primarily on account of unavailability of input tax credit and some updates to persistency, as I mentioned earlier.
- Both mortality and expense variance are positive for the year and broadly in line with our expectations.
- Persistency variance is a negative ₹ 2.64 billion, which is largely on account of the 100% premium back annuity product where the persistency experience fell short of long -term assumptions. As you're aware, it was an industry -first product and coincided with regulatory discussions aimed at increasing surrender values for traditional savings products. During the year, given the market volatility and tight liquidity scenario where market returns were negative, we believe that customers used the amount for withdrawals in times of need. While we ensured that the economic benefit was safeguarded from our Company's perspective, the future earning , which is part of EV was impacted due to the higher withdrawals. Consequently, the RoEV for FY2026 stands at 11.9%.

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The total economic and investment variance is negative ₹ 7.78 billion due to a shift in the yield curve and equity market movements. Our VNB and EV have been reviewed independently by Milliman Advisors LLP, and their

opinion is available in the results pack submitted to the exchanges. Further sensitivity details are available on Slide 17.

This concludes the financial performance. I will now hand it over to Judhajit to talk you through the ESG updates.

Judhajit Das

Thank you, Dhiren. I will be sharing the salient aspects of our ESG journey. We continue to retain the highest ranking in the Indian life insurance industry as per leading global and Indian ESG rating agencies. We are also delighted to share that during Q4 -FY2026, we received the Platinum Award for our ESG report for FY2025 at the Vision Award s organised by the League of American Communications Professionals. We were also recognised among India's top 60 most sustainable companies by Business World.

I will now share the key highlights under each of the ESG focus areas.

Environment : We continue to look at ways and means of reducing our carbon footprint by adopting green energy across various branches across India. Apart from the LEED platinum certificate, which is a green building rating for the Company 's headquarter , we have also got the IGBC Platinum Green Building certification for four other branches.

On responsible investing, we are signatory to the UN Principles for Responsible Investment . We have completed our third annual reporting on responsible investing activities, and we shall continue to remain committed to promote ESG factors in our investment decisions.

On the diversity front, our gender diversity is now at 30%, and we shall continue to strive to improve it from here. As far as communities are concerned, our goal has been to increase financial inclusion through specially designed micro -insurance products, targeting socially and economically weaker sections, and we have covered 53.8 million lives as on March 31, 2026. This year, we settled more than 3 lakh retail and group claims with an overall claim settlement ratio of 99.8%.

On the CSR front, through ICICI Foundation, we have established skilling labs at four locations to facilitate advanced industrial line skill training, while in the area of health

care, the support of the Indian Cancer Society to conduct surgeries for almost more than 90 patients.

Governance : Our Board has a majority of Independent Directors, enabling the separation of the Board's supervisory role from executive management. I would like to reaffirm our

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commitment again to create a culture that embraces sustainability and goes beyond goals and targets. Thank you very much.

We are now happy to take any questions that you may have.

Moderator : We'll take a first question from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee : Good afternoon and congrats on a good set of numbers. So, I have three questions. First of all, just wanted to understand in terms of growth, how should we think about in the upcoming year, given that this particular year, how the growth has trended, I mean, gives us a very favorable base to grow. So, if you could outline your strategy of how you are thinking about FY 2027?

And given that, last year, there was this launch of par product, and you highlighted that which would have led to a slower growth in the non-linked channel. But what are your thoughts on the non-par category? How do you see it? And parallelly also, if you could provide us the mix for par, non-par for the quarter. That's one.

And then, sir, on the VNB margin side, if you could highlight, have all the persistency-led changes that you are seeing, you're experiencing, has that been taken into the assumptions, or can something incremental come? Or if you are observing anything due to the surrender value regulation that you might want to highlight? And in that case then, how should we think about the VNB margin numbers? Should we take the current year's numbers more of a baseline if this kind of product mix

sustain s? So these are broadly my queries, if you could answer. Thanks.

Dhiren Salian : Hi, Swarnabha, this is Dhiren here. So let me pick up some of your questions. In terms of growth for the next financial year, I think this is quite a volatile time at this stage. And I'm sure you would have seen the way the markets have behaved over the last month of the financial year. I think this is still going to be a bit of a wait and watch.

You're right, specifically for us, we do have a base that is good for us. But again, it is dependent upon how things shape up in the environment. So, it's a little early for us to commit as to what the number should look like for the rest of the year.

But rest assured, in the way that we're approaching the problem is that we would continue to go granular, continue to understand who are these customer segments that we should be looking at, what are the product mix that we would need, work with our distribution channels to be able to deliver the right proposition for customers as well as

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shareholders. That is the objective and that process continues. There's no wavering on that front.

Coming to your second question, in terms of what is the split between par and non-par. For the year, it's roughly 2:1 ratio. It's been broadly in that range, some quarters a little higher, some quarters a little lower, but broadly in the 2:1 range for the year.

Coming to your third question, which is on the persistency experience, see our process around looking at assumptions and experiences is to look at what is temporary and what is permanent. So, we do this every year towards the end of the year in terms of how these assumptions are shaping up. So, whatever is known at this point, we will incorporate as part of our assumption setting.

If there are experiences that we see are temporary in nature or they pertain to quarantine portfolios, we will allow it to go through the variance. So, at this point, we have factored

what we know in terms of persistency, in terms of mortality and in terms of expenses as part of our margins. So, this essentially becomes the baseline for us going forward.

Swarnabha Mukherjee: Right. Very helpful. Dhiren, just a couple of follow-ups on two aspects. One is on the growth, as you mentioned, I understand that this is a volatile year. But like if I were to look at from the channel side also, I mean this year's growth has been primarily heavy lifted by our partnerships. So, I mean, how shall we think about, say, the other channels, for example, the agency this year has been tepid. So how do you plan to activate or go about driving that channel?

I understand that bancassurance given the base of ICICI bank, there might be a steadiness in that number, but particularly on the agency, I wanted to query. And also like on the persistency part, even surrender value related regulations, are you seeing any delta apart from the annuity product? That's what I wanted to understand. Thanks.

Dhiren Salian : Yes. So, on the early experience of surrender value products, we're not seeing anything too different, but it's a little too early to call because you only got about 5 to 6 months of experience, and we'd allow the whole year to pan out for that.

In terms of growth, you're right, agency has not had a great year in the sense, the growth has not been great. So to that extent, it does form a fairly good base for us into the coming years. But like I mentioned, we'll continue to work at it granularly, understand what are these micro segments that we need to go after and work with that.

Swarnabh Mukherjee : All right. Thank you. Thanks, Dhiren. All the best for FY 2027.

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Moderator : Thank you. We'll take our next question from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta : Thanks a lot for the opportunity. I have three questions, starting with the growth aspect.

Could you help us understand how customer behavior has changed with respect to products post the start of this Middle East war? Are you seeing any increase in demand for non-par policies in this current environment?

And how are you seeing the demand of ULIPs in late March and early April, if you could give us some color around the trends that would be helpful. Because what I see is in March, despite the lower base the agency channel has declined, and this channel should ideally have lower ULIP exposure. So, trying to understand what's happening there.

On the margin bit, what I wanted to understand is, despite the rise in group funds in fourth quarter, you have witnessed a sequential rise in margins. Is this a function of higher yields in some of the non-par products and potentially protection as well? Or are there some other drivers here that we should look at?

And lastly, coming to the I ND-AS transition, now with I ND-AS rolling out from first of April, I wanted to understand, would you be sharing the I ND-AS accounts from next quarter? And how would this be compared with the CSM in force, if you could give us some color and how does this change your capital position as well? If you could give us some color on that, that also will be very helpful. Thank you.

Dhiren Salian : Hi, Supratim, let me cover I ND-AS first. So yes, technically, we should be live with I ND-AS, but as approved by the Board, we will be seeking forbearance for a year. One of the more fundamental points is that some of the decisions around how the inputs could be provided for computing CSM. I think we still await some clarity from the joint expert group.

The other thing also is that this is too short a time for us to transition into I ND-AS given the fact that we typically go live with our results by the first 15 days of the quarter. So, we would need some time to be able to get our systems up to be able to manage the transition there.

In terms of the capital position, I believe the regulator still wants us to use the erstwhile

solvency formulas. So , until we wait to see how the RBC gets implemented, we will continue with our current solvency basis on which we are quite strong at 22.7%.

Coming to your second question that you have asked, which is on margin. The margin support has largely come in by the growth in protection that you can see for the current quarter, which has been quite strong. In addition to, of course, all the improvements to

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profitability that we've been doing across all other savings lines of business, as I mentioned earlier.

Your first question was on what are the upcoming trends. A little too early to call, Supratim, and let it settle. I do believe that the war in West Asia has, to some extent, impacted new business sales in the month of March. Difficult to guess how much it would be, but clearly, there has been some impact.

Supratim Datta : Thanks a lot Dhiren for this colour. So just wanted to understand has the impact been more on ULIP or has it been across the board a slowdown in demand in late March?

Dhiren Salian : It's been across the board, except for protection.

Supratim Datta : Okay. Got it. Understood. Thank you.

Moderator : Thank you. Next question is from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani : Yes. Hi. Good afternoon. Thank you for the opportunity and congratulations on a good set of numbers. I have two questions both on the EV walk. First , is the operating assumption changes that we've taken, is it only the persistency operating assumption? Or there are certain changes you've done with assumptions in mortality or expense, etc .?

And second is, I mean, it's the RoEVs, it's at 11.9%. Now I mean even if I had assumed a zero value for operating assumption changes and zero for persistency variance instead of a negative number, I would still be at 12.9 % or so. So , what is ge

n uinely our steady - state RoEVs that we should assume? Because we are already under the cost of equity in FY2026. And how should I think about it for that matter? Yes.

Dhiren Salian : Hi, Shreya. So , coming to your question on operating assumption changes in EV, as I mentioned in my opening remarks, it's primarily on account of unavailability of input tax credit and then some updates to persistency. Now this entire , if you recall, this conversation started in September as to the impact of the unavailability of input tax credit due to GST reforms and that has been the bigger component in this operating assumption change.

Now coming to RoEVs, yes, this , without the assumption changes and variance, we are in the 13% range. Now technically, on a longer -term basis, we should still be at the 13% to 14% range, depending, of course, on how the yield curve shapes up, depending, of

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course, on how we are able to grow VNB. And that becomes the two primary drivers of how you determine RoEV.

But as IND-AS is live this year and if we get the forbearance, then we will go live on that next year. Looking at returns on earnings will become much easier when you look at the IND-AS numbers. The RoEV will have less significance going forward.

Shreya Shivani : Got it, got it. So, with IND-AS, it does not impact the RoEV whatsoever, but probably we'll not be looking at the RoEV 's going ahead is what your point of view is, right?

Dhiren Salian : My sense is most commentators and analysts would end up looking at

ROEs because then that would be at least comparable to how the rest of the market is , outside of insurance. Comparison becomes much easier then. For want of any other metric, we are in this RoEV world at this point.

Shreya Shivani : Right. And there is no impact whatsoever of IFRS on the EV walk , right? Nothing from the , even if, say, a risk -based solvency comes through, nothing gets changed in this metric , right?

Dhiren Salian : No. Risk -based solvency only determine s your capital position.

Shreya Shivani : Correct. Okay. Nothing happens here. Yes, all right. Okay. Those were my questions. Thank you.

Moderator : Thank you. We'll take our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Yes. Hi. A couple of questions. First , if I look at the protection business, premium growth exceeds the sum assured growth. How should we read that whether it's more return of premium products that has come in or how should we kind of read that? That's one.

And second is more of a structural question on the embedded value front, where in FY2024, we had a mortality variance then in FY 2025 we had assumption change, and now we have a persistency impact both on variance as well as assumption change. You know, this has been constantly negative for us over the past three fiscals, how should we kind of think about this going ahead?

And whether you have stress test ed the EV now to an extent that assumptions are more moderate or more conservative, and we could start looking at more positive variance or assumption changes going right. Just some color on that, that would be helpful. Thanks.

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Dhiren Salian : So, Prayesh, you're right, when you look at the protection sum assured growth, that's been at about 48% year -on-year , the growth on retail protection has been higher at about 60% year -on-year . The retail new business sum assured actually consists of both protection and savings. So , you will have to offset the two together.

So, the retail sum assured is not purely protection. Because see, by the fundamental construct of products in India, savings products in India, you end up providing 10x cover for most of our products. So that itself forms a sum assured that comes on board, right?

Coming to your question on embedded value and how we look at how our assumptions are being set. See

frankly, we run a very diversified portfolio. And our approach to setting assumptions is to understand whether these potential differences between an assumption that we have set and the resulting experience that we see at this point, is that temporary or permanent.

Now the way you always look at the businesses that come in, is that you group them into cohorts. And as you look at each cohort, you are trying to identify whether cohorts look alike or do you need to separate these cohorts. And again, given the underlying variability and the underlying diversity of our business, you have to start looking at each of these cohorts as they gain meaningful size. As they have separation, you start to see assumption changes.

If I had a homogeneous portfolio, then ideally you should not see any assumption changes at all or even variances. But given the diversity of the underlying business that we bring, you have to look at cohorts , and you have to then start segregating these cohorts as they start to gain size and significance. So, in any case, as you look at the overall experience and assumption changes, these are marginal. There have been points in time when we had positive assumption changes as well. But overall, you see that in the business it has been ensured that the underlying assumptions that go in are reflective of what we see today.

Prayesh Jain : Got it. And the economic assumption changes, could you split that between equity and debt?

Dhiren Salian : It's largely debt. Almost all of it.

Prayesh Jain : Got it. Thank you so much.

Moderator : Thank you. We'll take our next question from the line of Madhukar Ladha from JP Morgan. Please go ahead.

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Madhukar Ladha : Hi, good afternoon. Thank you for taking my questions. First, see, in the beginning of last year, we were sort of targeting above or at least at par with private life insurance retail APE growth. I mean, we've significantly sort of underperformed that level. Now going into sort of FY 2027 and onwards, what do you think should be your target and how do you think you will achieve that target?

Like if you can sort of quantify any sort of meaningful changes that you are doing that will lead us to believe that we will be able to sort of achieve higher retail APE sort of growth, right? So that's my first question.

And second, also if I look at persistency, we are seeing a decline for the 61st month, 13th month and also I think 25th month. So, what's happening over there? Third, with significant, I mean interest rates have gone up, bond yields have sort of gone up. That should help our margins. What will enable us to sell more non-par or as a company, what as a management, how can you sell more non-par would be my question. Yes, these would be my three questions. And also, if you can split your economic variance between debt and equity? Thanks.

Dhiren Salian : Hi, Madhukar. I just answered the question for Prayesh. The economic variance is largely debt. In your first question that you mentioned about growth. Actually, when you look at the 2-year CAGR, we're still in the range of 7%, 8%. Yes, it is not in line with the market, but then we have continued to work at a granular level to see what are those customer segments that are available to us through our distribution and where can we generate growth from.

So, we are not divorced from the market. We very clearly are looking at working, at least, at the market and then look to work beyond that. Largely, when you look at the market the 2-year growth seems to be in the range of 10% to 11%. We are in the range of about 7% to 8%. So, some work left, but we're not too far off.

Madhukar Ladha : Just to sort of interrupt on that. But if you look at 2-year CAGR, then that may be the case. But if you come to more recent time, then last year's number, FY2026 would suggest that we are losing some more ground, right? So, in that

sense, there'd be more to catch up moving into FY 2027 & FY2028?

Dhiren Salian : Yes. So Madhukar, we have discussed this earlier also. I think the focus for our Company is to be able to grow VNB in a sustainable fashion. The large component of VNB does absolutely come from APE. So, as you rightly pointed out, yes, 2 years slightly lower than market, but when I look at this year's numbers in terms of APE at 2% growth, VNB is at 11% growth. And you can see this consistency in the margin that has held up all through the year. So, I think we're working at it granularly, to see how we can deliver growth in a sustainable format.

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Your second question was on persistency. 61st month we discussed this earlier, this has been due to a regulatory definition change. 25th month is a new phenomenon. Yes, I think some of the spillover from the 13th month is coming through to the 25th month at this point. You had another question in terms of how we can sustainably grow non-par.

I think one of the challenges that we run as an industry is that our product does get

compared to what bank FD rates are in the current environment and bank FD rates continue to be fairly steep. The product that we price, the product that we offer, does not look attractive because very clearly, the way that we set up our products is to price off the G -Sec. And so the return over the longer term has to be built off the G -Sec. There may be other considerations that banks may be using to set up their deposit rate. But whenever there is a dichotomy between the deposit rates and the non -par IRRs, then you will see customers swing from one to another. I hope I have answered your question.

Madhukar Ladha : Yes. That's helpful. Thanks a lot and all the best.

Moderator : Thank you. Next question is from the line of Umang Shah from Banyan Tree Advisors PMS. Please go ahead.

Umang Shah : Yes. Thank you for the opportunity. Sir, one question was till FY2024 we were giving VNB breakup among the various segments. If you can give that number for FY2026 and FY 2025, that would be great?

Dhiren Salian : We aligned with the market on this front Umang.

Umang Shah : Okay. Sure, sir. That was very good. I mean, that was quite helpful. But sure I understand. Sir, second question was the persistency decline in 13th month cohort, does it have a large part of annuity product or it's across segments?

Dhiren Salian : A large part driven by the annuity product. There are, of course, some product channel cohorts that have not performed at par.

Umang Shah : Okay. And sir, when we have persistency, which is worse than what you were expecting, does it benefit the VNB or does it not benefit the VNB?

Dhiren Salian : Umang, it doesn't benefit. So, the way we look at our assumption setting is that we evaluate it the end of the year, we take a view as to which of these are permanent impairments in that sense. For those, we take an assumption change. Those that we believe are temporary, we allow that to run through the variance.

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Umang Shah : Okay. Sure, sir. No, I think that's all. I think I am covered. I will get back in the queue. Thank you.

Dhiren Salian : Thanks, Umang.

Moderator : Thank you. We'll take our next question from the line of Vinod Rajamani from Nirmal Bang. Please go ahead.

Vinod Rajamani : Yes. Thank you for taking my question. Most of my questions were answered. I just had one question. What happened to the negotiations that were going on with the distributors on commission and so on? Should we expect that they are mostly done? And if so then could we see all channels, but especially agency doing better in FY2027? That was the only question I had? Thank you.

Dhiren Salian : So Vinod, the negotiations and conversations with distributors, be it agency or otherwise, is always on. We look to offer remuneration that is appropriate and in line

with the product and the pricing that we have built that is accretive to both. So at all points in time, this is a continuous conversation. There is never a start or a stop to this.

It will continue and will keep going forward as well. So it is a continuous exercise as we bring out new products and new propositions. We will continue to work with that distribution to see how we could deliver these products to the relevant customer bases in an efficient format.

Vinod Rajamani : Okay. So no conclusion so far. I mean this was, it's ongoing for some time. So there's been no, what do you say, there will be no agreement of something reached or how should we look at it?

Dhiren Salian : Agreements have been reached with all our distribution. We are where we are and you are seeing the 24.7% VNB margin.

Vinod Rajamani : Understood. Thanks so much.

Moderator : Thank you. We'll take next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Thank you. I have a few questions just to start with. The uptick in the margin in the fourth quarter is around 25.2%, can we attribute it predominantly to the favorable yield curve at least in the month of March? And related to that, in the VNB walk, what we see as 250 basis point addition to the VNB margin due to economic variance, is it largely because of the yield curve benefit which played in the current year to bump up the margins?

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Dhiren Salian : Sanketh, when you look at the yield curve and especially in the perspective of non-par products and which also includes protection, one has to look at what the pricing is and what the yield curve is and what is the expected margin that one wants out of it. So as yield curve moves, depending upon your underlying costs and, of course, this year there has been an impact of GST, pricing swings. So, if we have got a benefit of the yield curve, we didn't change the pricing.

Sanketh Godha : Dhiren, what you're trying to say that you did not change the IRR of the end consumer despite the benefit and probably because of that thing the GST impact to some extent got negated?

Dhiren Salian : Yes. So, if you look at the VNB walk, right, what we have called out is the movement across from 22.8% to 24.7%. Now here the product repricing, whatever that we have done is all sitting as part of the new business profile. And all the yield curve changes are now part of the economic assumption change. So, if I'm making any pricing changes, they sit as part of new products that have come on board.

Sanketh Godha : Understood. No, my point was that you got double benefit, right? Your product mix has also changed. And on top of it, you've got positive economic variance number. But naturally GST impact of minus 3.9% will be there in the VNB. So just wanted to assume that the product mix moved favorably and also you took the benefit of economic variance to largely negate the impact of assumption changes which might be largely related to GST thing?

Dhiren Salian : You take everything together, Sanketh. So, one we have been working very hard at cost efficiencies across the years, which I spoke of earlier. So, the benefit of the cost efficiency is something that we have taken on board as we've got our pricing. Because I'm getting cost efficiency, I can continue to hold the price as it is.

Now this is ceteris paribus. Some of my cost efficiency was negated due to the GST impact. So technically, I should have changed my pricing. But then I also had the improving yield curve, which allowed me to hold on to prices at that point. Actually, if you look at the entire period, there have been very marginal price changes, that too in certain cohorts, and not across the board. And I believe we had answered the other question earlier as well, one did not expect en masse price changes to happen and that has not happened.

Sanketh Godha : Okay

, the reason I was asking this question is that given growth is becoming soft a bit now, and probably if yield curve becomes much more steeper, which was very visible in the month of March. Is it fair to say that to flip the growth, you will pass on some benefit to the consumers? And maybe that could play a role for the growth?

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And related to that point only is that, given, we largely did only single premium annuity in the current year. Given FRA lock-ins will be better or bond forward lock-ins will be

better , will you go back to deferred annuity in a different format to fill back the growth , given the economics are in your favor or in your industry favor right now?

Dhiren Salian : So let me give you an answer hypothetically , if the yield curve moves downwards , I will reprice. Your second point was around regular pay annuity. We do have regular pay annuities and we continue to sell those as well. Yes, it's on a little more towards single pay, but we've built our regular pay annuity business as well and we'll continue to sell that.

Sanketh Godha : Understood. And two more questions. One question is that given it's almost 6 months , closer to 6 months that the GST impact was taken on the protection. Have we started repricing or has industry started repricing the individual protection business to the extent of input credit not available or we still are on the old pricing nature only? And related to that, Dhiren, given we had a very strong third quarter. Now fourth quarter growth is still there, but it is turning down a bit. So the impact of GST which was there in third quarter, is it fair to say that now it is coming back to normal demand?

Dhiren Salian : Sanketh, you saw the 60% year -on-year growth in retail protection in the fourth quarter. So , I think what we have been doing is working at this granular level to make sure that protection growth continues. In terms of your question on how we would look at pricing and have people taken step changes. I believe, by and large, the industry has not taken step changes.

You might have one or two players who have taken some minor increases in prices , en masse price changes that too again to a degree of 1% to 3% across the board. We have stayed away from doing en masse price changes, we have taken cohorts and worked at those cohorts where we need to make updates to pricing. That has been our perspective , how we could manage this entire transition of GST. And you have seen the numbers come through in terms of 60% year -on-year growth.

Sanketh Godha : Sorry, maybe I saw a wrong number. My bad. Actually, I saw total protection growth number so it's my bad. 60 % is a very solid number. And lastly Dhiren then if you're okay to give the mix of ULIP, which has a higher sum assured and largely just to confirm that again. In your PPT, you gave 13-month persistency product wise that is linked, non -linked. And naturally, the non -linked part fell from 86.8% to 73.2%. So I'm assuming this is predominantly due to the zero surrender deferred annuity plan?

Dhiren Salian : Yes. So the non -linked persistency drop is due to the annuity plan there. And no, we have not called out the split of the high sum assured ULIP.

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Sanketh Godha : Okay. Thanks. That's it I must say. Thank you.

Moderator : Thank you. We'll take our next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity. First question is on EV split. So if I look at the March , 2025 EV split between VIF and networth in this presentation, it's different from the last year presentation. So is there any change in VIF and networth methodology?

Dhiren Salian : Yes. Nidhesh, you can refer to Slide 63. We've called that out and given you a walk from FY20 22 to FY20 26. The key change is that the shareholder share of the MTM that's on the assets and derivatives of the policy

holder funds, that's been reclassified to VIF from ANW. That has absolutely no impact on the EV , just a reclassification within VIF and ANW. And this is consistent with how the market is looking at it.

Nidhesh Jain : MTM being classified in VIF?

Dhiren Salian : Yes, the MTM on assets and derivatives of the policyholders has been classified in the VIF.

Nidhesh Jain : Okay. Sure. Second question is that if I look at agency business last year

Q4 declined 20%. This year, again, it has declined on a lower base. So what is exactly happening in this channel? What are we looking in terms of growth in the agency channel specifically?

Dhiren Salian : In a large part, due to the higher base that we had of annuity in the previous year, that has held the base that we have to work against. Again, if you look at from a longer time frame, we still have a fairly decent growth on agency. But yes, at the shorter term, it has been a bit of a challenge. But like I mentioned earlier, we are looking at working granularly at agency looking at these micro segments, building efficiency within the agency distribution itself.

Nidhesh Jain : And similarly Direct channel has also lagged in terms of growth this year, last year also, I think Q4, it was weak?

Dhiren Salian : Yes, that's right. There was a base effect with direct as well.

Nidhesh Jain : So, in terms of expansion of these channels are we planning to add more agents, open more offices or also I'm just trying to understand how are we trying to, let's

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say, deliver growth in these channels in FY 2027 and how are we planning today for that growth?

Dhiren Salian : So as I mentioned earlier, we are looking at these . Growth centers on our data -driven expansion , especially with the micro -market led branch strategy that we have, again, using technology, analytics as productivity levers. So , we will continue to work at it granularly Nidhesh and then I'm not walking away with the fact that the growth numbers have not been strong. We will work at improving these as we go down granularly into each of these segments.

Nidhesh Jain : Sure. Third question is on the non -par business. So , since the yield curve has been quite favorable, why don't we offer better IRRs to the customers versus fixed deposits . Have some cut on margins, but deliver better APE growth . Why are we not doing that?

Dhiren Salian : See, one of the things Nidhesh , is that we get priced off the G -Sec. I think by and large, insurers in India have been quite disciplined an approach to actually work off the G -Sec, which may not have been the case in geographies outside of India. The pricing of deposits does not really follow the G-Sec threshold. So , to that extent, at certain points in time, when deposit gets priced extremely well relative to non -par products, which are built from a longer -term perspective, customers can swing from one to another. So , if you were to actually start to cut margins to be able to deliver on growth on non-par, it may not be accretive to shareholders.

The whole perspective that we carry, Nidhesh, is that, again, look at absolute VNB. It's not a question of trying to push one particular product versus another, it's to identify what are these opportunities that exist at this, point, and you're right in the sense that the non -par offers you a great opportunity in sense that the yield curve is great, that it is steep and is able to give you a good IRR but the competition that also comes about at least from a sticker price comparison is FDs, which are still running a fairly steep rate. So to that extent, the non -par does get subdued.

Nidhesh Jain : Sure. And lastly, if you can share the breakup of group protection between term protection, group term, and credit life?

Dhiren Salian : Yes, that's in part of annexures of this pack , that's on slide 56.

Nidhesh Jain : Okay, I will take it from there. Thank you, Dhiren. Thank you.

Moderator : Thank you. Next question is from the line of Zhixuan Gao from Schonfeld Strategic Advisors. Please go ahead.

Zhixuan Gao : Yes, thanks so much for the opportunity. Just want to have a couple of clarifications. On slide 64, the EV walk. Just want to understand, under the persistency and the other variance, the ₹ 2.64 billion, how much is pertinent to VNB returning to FY2026?

Dhiren Salian : Sorry, can you repeat your question again?

Zhixuan Gao : Yes, so we have ₹ 2.64 billion persistency and other variance in the EV walk, right? I just want to understand how much of that is attributed to VNB or APE for policies written in FY2026?

Dhiren Salian : Almost none. Gao.

Zhixuan Gao : This is all back book?

Dhiren Salian : Yes.

Zhixuan Gao : Thank you so much.

Moderator : Thank you. Next question is from the line of Manas Agrawal from Bernstein. Please go ahead.

Manas Agrawal : Hi. My question relates to potential regulations on commissions. A: Do we have any understanding of what is happening and when is it expected to happen? And B: if there are like various levels of cuts to commissions, how would your margins and your growth assumptions change?

Dhiren Salian : Manas, we are not aware of discussions. We do acknowledge that the regulators asked for data which we have provided, but we have not heard anything beyond that.

Manas Agrawal : Okay. And second question, let's say, the regulator does something. What would be the sensitivity to growth and margins on that front?

Dhiren Salian : I don't know what the regulator is thinking on that front. So, it will be a little difficult to comment.

Manas Agrawal : Understood. Thank you.

Moderator : Thank you. We'll take our next question from the line of Shobhit Sharma from HDFC Securities. Please go ahead.

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Shobhit Sharma : Yes. Hi, sir. Thank you for the opportunity. I have a question for Anup Sir. Anup Sir, if I look at our retail business growth over the last two, three years, it has not been that strong. If you can help us understand what are the key challenges which is impacting our growth. Does our cost optimization initiative which we have taken over the last 2, 3 years impacting our growth trajectory? And given market remains like this for the entire year and as we remain really focused, how do you internally plan growth and do you think we can grow in line with the private players?

And secondly, we have a very granular distribution and agency plays a very important role. The share of agency channel has been coming down over the last two years, if you look at. So is it because we have seen larger agents moving to the competition? Or there any other challenges which are impacting the growth of this channel?

Anup Bagchi : I think from a growth perspective, I think it might be useful to look at a slightly longer period and do a CAGR of growth and take volatility and base effects into consideration. I don't think that cost optimization comes in the way of growth at all. In fact, in our industry, I would say that since we run largely two kinds of businesses, one is protection-led businesses, which are risk-based businesses completely. And second is savings-oriented business, which essentially either get priced-off the equity return or get priced-off G-sec. In both cases, what we can give to the customer is less the margins and

less the opex & commission cost.

So, with that in context, I think like in all asset management businesses, one has to keep working on cost structure both on your fixed cost as well as optimising on the commission costs and distribution costs at least in areas where it is not adding value, but it is giving top line. So, there are always pockets in large distributions where you will see that there are larger payouts and it is not giving commensurate margins or commensurate

profits

or profit pools. So that is a constant area of optimisation that one has to do.

And then on the protection side, one has to be focused on the risk, which is early claims and make sure that your underwriting is proper and your pricing is better. So, I don't think there is anything sort of coming in the way of growth. So, we have to go more granular and we have to get back growth.

There are base effects, and which is I am saying, and like Dhiren earlier said, if you look at, you know, two years, three years CAGR, even if you look at two years CAGR, we are slightly behind, but we do have to catch up. I understand the sentiment that we have to do more growth, but our focus, like we have always said is absolute VNB.

And in absolute VNB, there are other levers in addition to the APE. APE is a very important lever, not to say that it is not. But there are levers also, which needs to be

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flexed to get the VNB and make the whole business model more robust. So we don't see cost optimisation or things like that comes in the way of growth at all.

Shobhit Sharma : And secondly, sir, on the agency channel, how we plan to revive that channel?

Anup Bagchi : I think agency channels, we have had some large base effect two years back. And if you look at CAGR of few years, it is running at 12%, 13%. And as the base effect goes, I think it will come back. And we are also certainly looking at micro market - led agency. So hopefully, it will come back sooner than we think.

Shobhit Sharma : Okay. Thank you and all the best.

Moderator : Thank you. Next question is from the line of Ritika Dua from Bandhan AMC. Please go ahead.

Ritika Dua : Yes. There are two questions. One is that Nidhesh was saying on the reclassification on the EV side. So, while Dhiren, you clarified that it doesn't have an impact on the EV. But just could you just explain what we have done and the objective of the same to do it today? That's one question. And the second question is that while I know we are very early days of IFRS, but just maybe to hear your initial thoughts as to how the KPIs would be maybe in our IFRS world? So those are the two questions. Thank you.

Dhiren Salian : Hi, Ritika, IFRS , let's wait until it gets implemented. As we see k forbearance, the current year will be on the existing I -GAAP. I ND-AS will form financial information, which will be alternate financials. So, let's wait until that settles . Because we'll have to , as we create the Opening Balance Sheet and then look at the quarterly financials as they're being generated.

Coming to your first question on this reclassification. This is just alignment with what we've seen the market at, nothing more than that. So total EV does not change, it's just alignment. There is no specific guidance on where this particular MTM is to sit. We realise that it's better to align with the way the market is presenting it, so that you have comparability.

Ritika Dua : And if you don't mind, Dhiren, could you just explain the change again. I'll obviously go through the presentation, but if you don't mind, could you just explain the change again?

Dhiren Salian : This is the mark -to-market on the assets and derivatives of the policyholder funds. That is the component that has been reclassified. It's just the mark -to-market on assets and derivatives.

Ritika Dua : Sure. Thanks. Thanks so much. Thank you. I'm done.

Moderator : Thank you. Next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh : Hi. Good evening, everyone. So, a few questions from my side. A few questions from my side. First, Dhiren, you mentioned on how you really go about looking at assumption changes and variances on the persistency and back book. You specifically mentioned that once a select cohort kind of becomes meaningful from a size and scale, that's why the variability can come out

to be a meaningful number from an EV perspective in case there are some differences between assumptions and realities of life.

Now on that backdrop, you also mentioned that barring the annuity product also, there are certain other products and cohorts where you have witnessed some challenges. So, I wanted to get some color on what this product or cohort would be? And is it any particular mass market strategy or any particular product which is really driving this? Just wanted to get some sense of how these things can shape up, let's say, from the next 2 to 3 years also if your product or customer strategies kind of like to remain the same?

The second question was on the banking channel. In your opening remarks, you mentioned that you want to focus on increasing your counter share. So, except of ICICI Bank now that some of the banking partnerships except ICICI bank have kind of increased in vintage. Could you give some quantitative color on your counter share or at least the movement in counter share over the last few years or maybe this year?

And finally, third question is on the ULIP side. It seems that your ULIP margins have been moving up over the last two years, due to the efforts that you have undertaken, be it in terms of riders or higher sum assured. So how much headroom would you believe that you have in this category to kind of further scale up the margin profile?

And just one small data keeping question, if you used to break up the unwinding into reference rate and real-world returns. If you can kind of quantify that number?

Dhiren Salian : It's alignment with how the market is presenting it. We are not breaking the unwind up at this point. In terms of persistency, see, there are always going to be some products that are doing better than the expected persistency and some that are doing worse. The way that we have seen this evolve is that there are certain products and channel cohorts where we need to do some work where the persistency has not

been in line and that is the reason why we said we will keep continuing to watch this and see how we could improve these persistency in the years going forward.

As Anup also pointed out, we continuously look at our distribution and see what adds value. Very clearly, if there are cohorts that are not adding value, then we look to step away from those cohorts. And if you're not able to fix them. So, to that extent, there is a continuous rejig of our distribution of what customer segments that we want to onboard through specific distribution and corrective actions get taken along with the distribution teams on the ground. So, I don't want to call out any specific channel or any product, but there are some small cohorts here and there that we need to fix and that we'll continue to work at in the years as well.

Within the non-ICICI Bank, we did mention that we've had an increase in market share by and large. Again, a lot of the work has gone in across all of these partnerships to be able to drive our share. But again, it depends upon each particular shop, what our share is in that particular shop. But by and large, we've been seeing a positive trend in terms of increasing share in most places.

Coming to the question on unit linked and its margin. Yes, you're right. Over the years, we've been able to improve the margin of our unit linked portfolio by addition of high sum assured by elongating terms. But I think the way to look at the unit linked product is, it is a very transparent product. If you're able to add sufficient protection to it, it makes it far more meaningful. It is not a mutual fund product and that has to be very well understood but by making sure that you're adding protection and propositions very specifically, you are able to cater to various needs of customers and fulfill whatever needs that they set out. So that's been our approach to product development and proposition set up for

our customers, and we'll continue to keep working at this when I'm covering newer segments that we want to expand this into.

Dipanjana Ghosh : All right. Thank you, Dhiren. Just one small clarification. I mean, in the persistence question, you mentioned that you'll be working through these products and customer cohorts incrementally throughout the year and going ahead also, right? I mean is that the right understanding?

Dhiren Salian : That's right. It's a continuous exercise. Like as Anup also pointed out, there are always going to be some segments that are not up to par. The point is you try to fix it because you start with the underlying proposition that is being provided to customers and the sales process. If it doesn't work, then you stop selling.

Dipanjana Ghosh : Got it. Thank you and all the best.

Dhiren Salian : Thanks

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Moderator : Thank you. Next question is from the line of Nischint Chawathe from Kotak. Please go ahead. Nischint, your line is unmuted, please go ahead with your question.

Nischint Chawathe : Thanks for taking my question. You know, just on the protection side on the retail term side, we have seen a lot of tailwinds with GST and hopefully, we can see this continuing as well. Is this because there is a natural offtake or as the industry or specifically you kind of tailored certain products or looked at certain segments or probably made more investments to grow the segment? And in that sense, probably if you could give some sense of how long can this continue?

Dhiren Salian : So, Nischint, if the question is, have we created new products and innovative products? The answer is yes. We have done that through the year by providing newer and newer propositions along the way. But I think one of the biggest tailwinds that we have got as an industry has been the GST reform, and that is felt most in protection, in retail protection because that's where you see the 18% go off.

So, to the customer, you're seeing this improved benefit come through immediately. In fact, this is not just for new customers. It's also available for existing customers because as they pay the renewal, the renewals are much cheaper. So, the way I'm looking at it is that it has actually helped create positive word of mouth on retail protection because very clearly, I think this is one of the essences of our industry. Selling protection has to become one of the cores of what this industry does. In fact, we called it out also in the earlier part of our commentary. The retail sum assured growth for the industry actually was 2.5 times post the reform than what it was pre-reform through this financial year. So very clearly, I think everyone, and it's not just us, everyone has latched on to this particular move. And it's up to industry to make this a success, which it has for the half year that we've seen.

Nischint Chawathe : Got it. Just now, I believe Prudential is setting up a Health business. So, is there a partnership or any synergies between you and Prudential or is it run completely separately?

Dhiren Salian : No, I believe that's a separate company.

Nischint Chawathe : And if, I mean, hypothetically if Prudential wants to move from Health to Life. Do they need a NOC from you?

Dhiren Salian : Again, these are shareholder matters. I think we could restrict the conversation to financial results.

Nischint Chawathe : Sure, those are my questions. Thank you very much.

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Dhiren Salian : Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to Mr. Anup Bagchi, MD and CEO, for closing comments. Over to you, sir.

Anup Bagchi : Thank you. Thank you very much, everyone. Have a good day.

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